MphasiS Ltd. (MPHASIS)

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Call: May 2023

5 May 2023

The Manager, Listing
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
The Manager, Listing
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. c/1,
G-Block, Bandra -Kurla Complex,
MUMBAI – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

Further to our intimation dated 28 April 2023, please find enclosed the transcript of the Investor(s)/Analyst(s) call which is hosted on the website of the Company at https://www.mphasis.com/content/dam/mphasis -com/global/en/investo rs/financial -results/2023/transcript -of-earnings -call-q4-2023.pdf

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking y ou,

Yours faithfully,

For Mphasis Limited

Subramanian Narayan
Senior Vice President and Company Secretary

Encl: As above

“Mphasis Limited
Q4 Full Year FY 2023 Earnings Conference Call”
April 28, 202 3

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER –
MPHASIS LIMITED
MR. MANISH DUGAR – CHIEF FINANCIAL OFFICER –
MPHASIS LIMITED

Moderator: Good morning, ladies and gentlemen, and thanks for joining the Mphasis Q4 Full Year FY 2023 Earnings Conference Call. I am Aman, your moderator for the day. We have with us today Mr. Nitin Rakesh, CEO of Mphasis and Mr. Manish Dugar, CFO. As a reminder, there is a webcast link in the call invite mail that the Mphasis management team would be referring to today. The same presentation is also available on the Mphasis website, www.mphasis.c om in the Investors section under Financial and Filings as well as on both BSE and NSE websites. Request you to have the presentation handy.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to as k questions aft er the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to state that some of the statements made in today's discussion may be forward -looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q4 results release that has been sent out to all of you earlier. I now hand over the floor to Mr. Nitin to begin the proceedings of this call. Thank you, and over to you, Nitin.

Nitin Rakesh: Thank you Aman, and thanks everyone for joining us today. I know it's a busy day with multiple earnings calls an d we appreciate your interest in Mphasis. I trust everybody has had a chance to review our earnings release documents. As the global economic climate continues to remain uncertain, volatility and business resilience will coexist. While enterprise digital t ransformation remains a core strategic priority for 2023, cost takeout and optimization requirements are also in great demand, given the macro environment.

Strategic tech spends have slowed down, however, haven't been paused. There is sustained investment in cloud and digital transformation. Cost transformation projects that will free up working capital for cloud, digital and consolidation are a priority as clients optimize through increased productivity, automation and other software -driven transformation initiatives. In a recent survey conducted by McKinsey, 75% of the CIOs said that they intend to increase their organization 's spends in cloud, data and digital .

Given the digital transformation journey underway post -pandemic, there is a rising percentage of CIOs increasingly focused on variab ilization of cost structures, unsurprisingly so, given the current environment. There is a greater scrutiny of spends leading to elongated sales and contract conversion cycles and tightening of discretionary spends. Bu ying preferences are likely to continue to favor transformation partners for digital -led change with the vendor consolidation emerging as a theme in cost take -outs. We have proven frameworks to play in both these buckets. Our zero -cost transformation frame work where we fund the digital transformation agenda by providing guaranteed cost savings outcomes to clients , is finding good traction in this environment.

Over a six-year period from FY '17 to '23, our revenue journey is marked by several aspects attesting to the firm's scalability. The contribution of the DXC revenue as a percentage has

declined to 4.5% in FY '23. Despite the decline

, we sustained double digit revenue CAGR trajectory over this period. Our revenue CAGR for Direct over this period is 15.6 % in constant currency terms. The quality of revenue is improving as it moves towards Direct business on the back of scaling up multiple marquee logos. We've also set up multiple new engines of growth with newer verticals such as TMT/ High -Tech, Healthcare, Logistics and Travel. These have become meaningful to overall revenue share complementing our historically strong presence in the BFSI segment. We will detail that further in our subsequent sections. We've also more than doubled the number of $10 million and $20 million customers in the same period. Our quarterly average net new deal signings have moved up 3 to 4 times from that in FY '17. Our FY '23 EBIT is nearly 2.5 times what it was in FY '17 as well.

Our Q4 FY '23 revenue of $412 million represents a decline of 3.1% year -over-year in constant currency impacted by DXC and the mortgage business. Direct revenue at $390 million declined 3.4% sequentially and 1.8% in constant currency terms Y -o-Y in Q4. Direct ex DR declined 1%

Q-o-Q an d grew 7% Y -o-Y reflecting the head -winded environment related to historically elevated inflation and interest rates. This has particularly been acute in the mortgage segment. On a full year basis, our Direct business grew 12% year -over-year in constant cu rrency, dragged down by the mortgage business.

Direct ex mortgage grew 19.6% in FY '23. Direct business accounted for 94% of our overall revenue in FY '23 and 94.6% for fourth quarter FY '23. DXC's contribution to our revenue is 3.8% as of fourth quarter F Y '23. The mortgage business has continued to experience a perfect storm in Q4 FY '23 as well , hammered by the trifecta of trajectory of rates, consumer price inflation and sluggish home sales, even as leading banks prepare for recession in 2023. While mortgage rates have started to decline, the market remains hyper -sensitive to interest rate movements with purchase demand experiencing large swings relative to minor changes in rates, leading to a freeze -up in activity in residential real estate markets.

Contribution of Digital Risk, our mortgage BPS subsidiary , now stands at 6.8% of Q4 FY '23 revenue, down from 8.8% in Q3 FY '23 in reported INR terms. We've also seen the softening of house prices in the recent quarter, limiting our ability to drive home equi ty line of business, which is usually countercyclical to the overall origination service line. Our core service line, enterprise applications constituting more than 70% of revenue grew 23.6% in FY '23 in constant currency terms for Direct business. The BPS segment which suffered from a downturn in the mortgage segment declined 16% with the Y -o-Y decline in this segment increasing through FY '23 as we felt the brunt of the mortgage decline in the last two quarters of the financial year.

Our anchor geography, US grew 12.6% constant currency year -over-year in FY '23. Excluding mortgages, the US business grew 22.4% for the year. Rest of the world segment, primarily India business , grew 14.3% in FY '23 Y -o-Y albeit of f a small base. Direct applications growth sto od at 7% year -over-year in the fourth quarter FY '23. We saw tightening discretionary spends and lower contract conversions. Rest of the world grew 18% year -over-year in this quarter in Direct while the Y -o-Y decline in BPO widened to 32% du e to mortgages. Most of our focus segments continued to grow, driven by wallet share and market share growth.

Moving to vertical performance, our mainstay vertical BFS in Direct continues to fare well growing 24.1% ex -mortgages in FY '23, though 9% on overall basis, weig hed down with the mortgage declines. Our smaller and new er verticals such as healthcare are growing quite

well
reflected in the 31% revenue growth in FY '23 in the Others segment. The TMT vertical also grew strong double digit in FY '23 at 17.4% with seque ntial impact primarily from the DXC revenue decline in Q4 over Q3.

While growth rate in insurance has lagged, impacted by client specific issues, TCV wins and pipeline in this vertical look healthy and we remain focused on expanding our portfolio of new clients as well as wallet share with existing relationships. To ensure scalability and facilitate the next phase of growth, a realigned verticalized go -to-market structure has been implemented for FY '24 with the following principles in mind : Aligning the GTM organization along verticals to drive better sales synergy, especially as we focus our energies on deepening our wallet share and market share with our named account strategy for existing and new clients, as well as to enable scalability and repeatability with a vertical focus to overlay the tribes and squads -led competency model so that we can create repeatable deal and delivery templates to accelerate deal cycles as well as to expand leverage available within account cohort s mindset. Thi s is already enabling us to see new growth opportunities and retain our hi-touch service delivery model with clients.

With the vertical -based go -to-market model, we can bring vertical and industry points of view to bear , consolidate capabilities and learni ngs within a vertical across accounts and cross -pollinate more effectively as we seek to further expand our proven account mining template to the NCA accounts. Our Top 10 clients grew 8.6% in FY '23, weigh ed down with the mortgage business pressures in the past two quarters. On a consistent basis over the past three years, top clients have grown well with a 20% plus three -year revenue CAGR. Notably, our Top 11 to 20 clients grew 19% for the year, indicating a strong positive impact that our account mining a nd the new engines of growth are having on broad basing of our growth.

Our new client revenue continues to grow rapidly, growing at 39% year -over-year in FY '23. The NCA segment contributed 22% of FY '23 revenue. We recorded TCV of $309 million of net new deals won in the fourth quarter of FY '23. Included in this is a $150 million large deal from a new client. In FY '22, we had a mega deal of $250 million that contributed to the total TCV of $1.4 billion. Our FY '23 net new TCV is at $1.3 billion and we co ntinue to consistently maintain a run rate of $300 million plus TCV wins per quarter.

Our large deal wins continue to increasingly come from newer verticals and new clients. Despite strong TCV over the last few quarters, our pipeline is up, suggesting that our pipeline generation engine is also firing well. We will cover that shortly. We generated a reasonably high percentage of our TCV through proactive deal pursuits where win rates are materially higher than in competitive RFP situations. 95% of our deal wins were proactive in fourth quarter of '23 and we closed 10 large deals in FY '23. As we report our TCV on a net new basis excluding renewals, we find the correlation between Direct TCV and revenue growth at 0.8. It's reasonably good but has declined rec ently due to the DR ramp -downs and some slower ramp -up deals impacting TCV to revenue conversions.

Coming to our client metrics, our track record in migrating clients from one revenue bucket to the next continues to be steady. We had additions to the count of clients in $5 million, $10 million and $20 million plus categories on a year -over-year basis. On a Y -o-Y basis, we added one client each to $150 million plus and $200 million plus categories as well. As we mentioned, we won 10 large deals in FY '23 , two of which were over $100 million TCV each. Our average large deal size in FY '23 is $6

1 million, double from where it stood three years back.

Almost all of our pipeline is Tribe -driven and is up 9% quarter -over-quarter and 35% year -over-year despite conve rsion from pipeline to new sold TCV in the last four quarters. Pipeline is also well distributed across verticals. While BFSI continues to generate the highest share of the pipeline at 36%, it is still reasonably lower than the BFSI revenue contribution. T he non -BFSI pipeline is disproportionate to its revenue contribution suggesting that our investments in generating pipeline aimed at aggressive growth diversification beyond our anchor BFSI clients is working. Our non -BFSI pipeline has increased by 52% yea r-over-year. Our pipeline is also well distributed across key themes such as data, modernization, cyber security, Agile ops and platforms.

Expertise in these themes is evident in our tribes as we've discussed with you in the past. That being said, as menti oned, we are seeing lengthening of sales cycles in converting pipeline into TCVs due to greater scrutiny of tech spends , though our win rates are holding steady. This translates into a potentially strong position with deal wins, as these deals move to frui tion over FY '24. Coming to our financial metrics : Our margin philosophy affords us the flexibility to manage our profitability in the phase of revenue headwinds. We're extremely pleased by the resilienc e of our profitability metrics.

In this quarter and for the full year FY '23, our EBIT margin stood steady at 15.3% within the stated band . This has resulted in operating profit growth in line with revenue growth. Operating profit growth for FY '23 stood at 15.4% in INR terms while for t he quarter, it was 3.6% in Q4 FY '23 over Q4 FY '22. Losses in cash flow hedges impacted margins in Q4 FY '23 by approximately 80 bps. Our EPS for the full year at INR 87.1 represents a 14% year -over-year increase while our fourth quarter EPS at INR 21.5 g rew 3% Y -o-Y. Cash flow generation for FY '23 at slightly above $ 200 million, adjusted for one -offs, stays solid at almost 100% of PAT.

In summary, we rounded off FY '23 marked by a duality of performance - above industry performance in Direct ex -DR at 19. 6% constant currency, while the mortgage business declined over 32% in FY '23 resulting in an overall direct growth of 12% in CC terms in FY '23. We sustained our wallet share gains in BFS. BFS ex -DR, grew 22.6% in FY '23. We have reasonably strong deal wi ns of $1.3 billion in FY '23 and some of our smaller newer verticals such as healthcare ha ve scaled up and are approaching the $100 million mark on an annualized basis. Despite the accelerated decline in the mortgage business, our EBIT margins at 15.3% sto od steady through the year and within the stated band , resulting in EBIT growing at 15.4% in INR terms in line with revenue growth. Tighter focus on utilization, fresher deployment and some increase in offshore leverage helped margin performance. Our opera ting cash flow adjusted for one timers stood at nearly 100% of net profit.

Coming to FY '24 outlook, we enter year on the back of an expanded pipeline. Cloud , digital transformation, cost optimization and consolidation type opportunities characterize the p ipeline. While we expect to have a soft start to FY '24 as we deal with some slowdown in BFS , including a client -specific issue , and delayed contract conversions in this environment, we expect Q1 to

be characterized by stability across segments with strong sequential growth starting second quarter onwards, which will result in a rising Y -o-Y growth through FY '24. For the full year, we expect to register at least industry aver age growth in Direct ex mortgage.
Good news in the mortgage segment is that we hav e started building up a pipeline and crafting new deal constr

ucts . We have seen green shoots of activity with some deal closures in the recent weeks. As this plays out through FY '24, the mortgage segment , we believe , is close to bottoming out and we expec t this segment to be incrementally stable through much of FY '24. There is potential for volumes to increase in the second half of FY '24 based on macro impact softening, as well as due to the nature of this segment in late stage of an economic downturn, w here the possibility of rising delinquencies create opportunities for trading of loan books, leading to higher servicing and diligen ce volumes. We are also driving greater offshore leverage in the business in this segment of mortgages compared to before en suring that we are able to tap into newer segments of work with the same clients, as well as expanding our wallet share.
We also have visibility to the DXC segment and are jointly aligned on a continued relationship with an expectation that this segment of our business will stabilize while we look for additional synergy opportunities. We will update you further as we progress this engagement over the next few weeks. On margins, we retain our message of margin stability expecting to hold EBIT margins in the 15.25% to 16.25% range in each quarter of FY '24.
We'll open the call for questions. And operator , if you can line up the questions please.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan : Yes. Hi, good morning. Nitin, I probably missed this but excluding DR, is it still a decline on a sequential basis . And second thing is, I think one of the calls we had yesterday I think suggested a freeze on spending by a few customers and that could sort of come away from post the end of Q1. Are you seeing a similar trend ? And finally from a Q1 perspective, do you think what you're seeing on a run rate basis , can Q1 also be a dec line? And finally, if you could just based on your experience, I think if you compare with COVID and now, we have seen a much sharper sort of two quarters of decline versus COVID. So , contextually, what are you seeing different in terms of client behavior. If you just give some sense on all these. Thank you so much.
Nitin Rakesh: So Nitin, in terms of Direct, was the question, Direct ex mortgage, is there a sequential decline, is that the question ?
Nitin Padmanabhan : Correct.

Nitin Rakesh : There is approximately 1% sequential decline in Direct ex mortgage, predominantly driven by some of the issues that we saw crop -up in March and some ramp downs that led out of that issue.
Your second question around is there a spending freeze. I think it depends, t he answer is more nuance d. If you look at banks that are more Wall Street oriented, there is definitely reprioritization of spends because the activities haven't picked up, especially on the investment bank and the trading side or more on the corporate sid e. On the commercial retail , asset and wealth, I think their environment is much more BAU and stable and we are still continuing to see demand there, as such, we haven't really seen so to speak, freezes but of course, depending on what the situation with e ach customer is, there's definitely some element of reprioritization.
Of course on the regional banks where there are impacts, we've definitely seen significant issue s crop-up and ramp downs that obviously are baked into some of the numbers you see and so me of the guidance you see. In terms of your question around Q1 , as I mentioned, I think in our minds, the quarter is really a stabilization quarter, bulk of the decline in mortgage seems to be behind us. We'll just have to kind of make sure that the volumes hold up. And p robably Q1

is
going to be a bottom quarter from t hat perspective. In Direct ex mortgage, we definitely expect certain uptick in Q1, but again, I think the environment is a little bit hazy, so we are expecting at least from Q2 onwards, the strong sequential growth in Direct ex mortgages.
I don't know if I missed anything from your question list, but that's kind of the environment right now.
Nitin Padmanabhan : Yes. The last one was on some contextualization, on the COVID period versus now, because you're seeing two quarters of decline, in terms of client be havior and what do you actually think ?
Nitin Rakesh: Yes, I think COVID impact was a little bit different sectorally. There were sectors like airlines and hospitality that really got impacted for a long period of time whereas e -commerce and financial servi ces actually had a pretty strong pick -up very quickly given the excess infusion of cash that came through multiple initiatives, especially in the US. So , I think it's a little bit apples -

to-oranges. I think the common theme though is that the tech investin g super cycle that started in favor of cloud , data and application transformation, legacy exit, tech debt reduction , and now AI, I think that cycle has continued to keep pace. Of course given the tightening of budgets, I think clients are looking for ideas to re-prioritize cost takeout into change program s.
So I think overall budgets being flattish, they ’re really looking for ideas to re -prioritize internal spends . And that ’s where a lot of this deal making that we ’ve talked about is happening. To give you an example, the greater than $150 million deal that we signed with a new customer is in BFS and is in the nature of the zero -cost transformation type deal where we are squeezing the run cost, gaining wallet share at the expense of other providers in that account. It's a new account for us. So , we're obviously gaining share there and reprioritizing a lot of the spend and that comes through savings into a modernization program.
Nitin Padmanabhan : That’s very helpful. Thank you. All the best.
Nitin Padmanabha n: Thank you.

Moderator: Thank you. The next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.
Mohit Jain: Sir, two questions, both on revenues, mostly an extension of the previous one. So , in the fourth quarter as you spoke abou t slight decline . And now you're guiding for steep decline behind us in terms of mortgage business. So , first is, now on you expecting Q1, Q4 revenues to be flattish or should we assume a steep decline in Q1 as well before stabilization returns in Q2. That 's only for mortgage business. And then on the Direct side, now there is some, what should I say, there is some commentary, commentaries are different across various companies. So , to that extent, what a re we expecting from our client ele in 1Q. This is on ex-mortgage type business.
Nitin Rakesh: Sure. So I think the quantum of decline that we saw in Q3 and Q4 is definitely behind us. We are not expecting that quantum of decline in Q1. I think the question is are we at the bottom or are we near the bottom. I think the answer is, we are definitely near the bottom and we probably get a little better idea over the next few weeks on whether Q1 is the bottom or Q4 was the bottom. I think the quantum of decline will definitely , even if there is a decline in Q1 in t he mortgage business, will be a fraction of what it was in Q3 and in Q4 in absolute terms. And the reason I'm not able to give you a clear answer is because volumes go up and down .
Mohit Jain : That is clear enough.
Nitin Rakesh : To give you an example, right. When the mortgage rates came down to around 6%, January volum es picked up quite dramatically and then they dropped off again in Feb and March. So , that's th

e volatility that we're seeing in that business. Also some very short -term delinquency type i ssues create immediate opportunity. So , I think we are very focused on those, but I think the short point is that the quantum of decline will definitely be a fraction, small fraction compared to what we've seen in the last few quarters.
On the non -mortgag e Direct business, I think the key metric I will point to is the continued expansion of the pipeline and the fact that we are still able to consummate large deals where we're actually creating these opportunities proactively, I think we are fairly confiden t in retaining our win rates, which we have actually maintained through Q3, Q4 despite the environment and as we see green shoot of stability even in BFS, we've seen good upt ick of deals. The fact that our pipeline is 35% - 36% higher than last year and the win rates are stable means that we are actually setting ourselves up for fairly significant TCV against over the course of FY '24.
So I think that's the best way to think about the environment right now. Of course it is hard work to close those deals and it's even hard er work to close them and convert them to revenue, but I think the activity while it may slowdown, hasn't really that paused that much. So that's the silver lining so to speak in the current environment as well.
Mohit Jain : So as a take away, you are not seeing any slowdown in, say, business closure, deal closure for 2Q as well, that $300 million that you spoke about sort of continues at a similar momentum.
Nitin Rakesh: Yes.

Mohit Jain : And second thing is that the TCV which we won last year , FY '23 , but because of conversion being slow, we could not convert into revenues. Do you expect in FY '24, what happens to that actually, does it become order backlog, which will flow through in FY '24 or do you think that is something, which could be los t?

Nitin Rakesh: Yes. No, it is not lost, it definitely goes into the backlog and I think I explained in the last call as well, sometimes you sign a 12 -month $20 million deal and because of the ramp slow down, it becomes 18 months, $20 million deal, but i t doesn't disappear.
Mohit Jain : So in 2024, revenue growth should be slightly faster than the TCV growth in that sense?
Nitin Rakesh: I think let's wait for the next quarter or two to declare victory but the backlog definitely adds up.
Moderator: Thank yo u. The next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.
Ankur Rudra: It is clearly a tough quarter. I wanted to get a sense. Nitin, how the demand , billings and bookings evolve d through the course of the quarter. Was it consis tently bad from January and February or did you see this more later in the quarter in March, which is why you're pointing to the weakness in the first quarter. That's the first question.
The second question is, you've highlighted, you've obviously seen con tinued and sustained signing success, very good signings momentum despite the revenue softness. Is there a certain level of signings that you need for Mphasis to stay at the same place on a quarterly basis. For example, you highlighted how it's been $300 m illion or so on a quarterly basis. Is there a minimum $100 million, $150 million required just to sort of overcome the melting iceberg problem that we have every quarter.
Nitin Rakesh: So Ankur the answer is two part s. Firstly, at least on the mortgage sid e, things definitely got tougher through the quarter, because as I mentioned, January was a bump in volumes given the new mortgage rates were at or below 6% and home equity line was actually quite robust, but both of those , kind of , had a ramp down through the quarter.
On the TCV side and on the Direct side. I don't think there was any perceptible deterioration barring

obviously the two weeks in March where there was significant re -prioritization of just executive bandwidth in dealin g with some of the issues. Some clients were seeing massive inflow of funds so they had to divert all their resources into on -boarding customers and doing KYC and making sure the systems are holding up. Some clients were having significant outflows, so the re were obviously different set of challenges there.
I think in terms of, if I look at the trend of TCV closure, I think the fact that we were able to close two large deals and one of them at $150 million plus basically, and I think many of those activitie s continue d through the quarter. There wasn't any perceptible deterioration, so to speak.
I think the bulk of issues that we've seen in the last two quarters compared to the peer group really came out of the mortgage business. Last quarter we had sequentia l growth in Direct ex mortgage. This quarter we had a minor decline, not unusual given the environment. So I think

from the melting iceberg perspective, what we really have to do is focus on making sure that this mortgage decline and the DXC decline gets u nder control and that's exactly what I mentioned that we think we are very much near the bottom, if not at the bottom in the mortgage business and we definitely have visibility to DXC stability at or around these levels for the foreseeable future based on just the nature of our engagements.
On your question around what's the minimum TCV required to sustain. I think we've consistently done $300 million plus, that's I would say, a good benchmark to think about and as the leakage in mortgage drops off, even th ough the Y -o-Y comparisons will still be tough for a few quarters, definitely the sequential number will start looking healthy again and that's the reason why we are indicating strong sequential growth in the Direct ex mortgage business as well as potentia lly improvement in the mortgage revenue as we progress through the year. So think of Q1 as stabilization and really making sure that we are plugging that leakage and hopefully bring the growth momentum back as we continue to convert deals and revenue.
Anku r Rudra: Just last question. I noted your statement about expecting very strong sequential momentum from second quarter. What gives you the confidence right now that level of visibility that 1Q will be the bottom and you will see growth momentum restart fr om 2Q. Anything specific from clients committing to start these dates. Obviously the environment remains uncertain. I know that's beyond your control.
Nitin Rakesh: I think that will link back to the previous answer. I think, we had $10 million plus declin es in both quarters just from mortgage and just plugging that leak itself will give us the springboard that we are looking for and that's the visibility we are looking for in Q1.
Secondly, I think we talked about the backlog, we talked about conversion of closed signed deals and we've obviously looked at the pipeline and have an expectation of how we will progress some of those deals especially with existing large relationships where we have a better handle on how that plays out in terms of closure and conv ersion. So I think it's a combination of those two things.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Well, part of my questions already been answered in response to Ankur's q uestion. I just wanted to get a sense on what are you seeing with one of your large customers on the logistics side which has decided to target significant cost savings as well as in -house more work or ship more work in -house with the setting up of the new captive in Hyderabad.
Nitin Rakesh: I think again not to go into specific client items but the two the

mes that continue to resonate including with the customer that you are referring to without naming. Firstly, we are actually very, very strongly position ed when it comes to being the transformation partners. You also noticed there is not just a cost and a captive conversation, there is also a significant reorg of the whole tech and infrastructure estate that they run across the org. And I think we are the chosen partner for that and have been for a period of time. In short, the wallet share gains there have

been strong and I think confidence comes from also the fact that we continue to align towards spend areas that they prioritized. And many of our peers within top accounts continue to actually get deprioritize d purely based on the alignment with transformation program. So I think our confidence comes from the position we have in many of our top acc ounts. The forward leaning tech driven change agenda that we are driving and the close alignment with executive priorities as they work through their own internal change programs.
Manik Taneja: Sure. And one last one basically on the change in org structur e. You basically referred moving towards verticalized based GTM structure. Is this is in contrast to the account -based retail structure that we followed in the past and the merit that you have spoken about that particular structure. If you could help us un derstand what's driving us to change this GTM going forward.
Nitin Rakesh: I think, firstly, we are not going away from a named account strategy because that is very much part and parcel of the way we drive our account planning and mining template and the success that we've seen in our Top 10 and 11 to 20 accounts. The reason to do a realignment rather than reorg, I used the word realignment of GTM is because there is now merit in taking smaller accounts , for example, within BFS that will gain a fair amount with this account cohort mindset because the priorities and the patterns of problems and solutions within BFS are very, very similar even though they're powered by the s ame tribes and squads.
So if the common element earlier was the tribe and squads and t he solutions layer, we've created another common element of account cohorts because there is leverage to be gained, time to be gained, repeatability and scalability to be gained, as we look at these accounts cohorts to be from within the same verticals. So think of this as a blend of an account -based high touch structure with a very deep understanding of what th at account needs and how we plan to run it and mine it and combine that with of course the success that we've had in opening new logos and now scaling those logos with the learnings we have in the large accounts. I think that's re ally where this is coming from.
The change is not drastic because a number of our large accounts were already in BFS for example, but the change is a little bit more focused and it will give us an opportunity to also double down on areas where , from a vertical standpoint , we weren't able to see those patterns and hence you would probably see a little bit more incisive growth mindset in some of the verticals outside of BFS as w ell.
Moderator: Thank you. Next question is from the line of Mitul Shah from Reliance Securities. Please go ahead.
Mitul Shah: In initial remark, you highlighted that your non -BFSI deal pipeline growth is 55%. So within that, can you highlight which verticals to which segments will be much more growth and sharper or faster recovery. And second question, if you can give some more light in terms of geography -wise outlook. These are two of my questions.
Nitin Rakesh: I think outside of BFSI, just by shee r size of the vertical, Hi -Tech /TMT has the biggest pipeline. We have also seen green shoots of recovery in the current calenda

r year in that business. Last

year was a tough year. While the Q4 headline number shows a decline sequentially, in Hi -Tech that's largely driven by DXC as I said in my comments. So I think if I look at just sheer size of large deals, Hi -Tech is probably the one that definitely is leading the charge but there are also interesting deals in travel and logistics.

We just talked about the situation with logistics. I think that 's also sitting right there. And as we build up the healthcare unit, we also think there are opportunities there that have emerged while we closed some very strong TCV in healthcare in the last 12 to 18 months, tha t's also something that is representative. But I think Hi -Tech , travel and logistics are probably a bigger share right now, just given the size of those businesses.

Mitul Shah: Sir, question on geography -wise.

Nitin Rakesh: Yes. Sorry about that. I think f rom BFS, most of our exposure in Europe is BFSI, so there 's definitely been some knock -on impact there and hence you 've seen a little bit moderation in growth in Q4. Pipeline actually in Europe has also increased. We do have some very large deals that we c ontinue to work on. For the year, we definitely have double digit type visibility into growth in that region. Our growth in rest of the world, primarily India has been very strong, healthy double digits and we expect the healthy double digits trend to cont inue in that segment as well. So that 's sort of to give you a little bit of a sense of the non -US side. Of course , for our overall Direct business to grow in line with industry, the US has to grow ex -mortgage. So I think that's kind of where we stand on th e geo breakup.

Moderator: Thank you. Next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Couple of questions. First about just some comment about the vertical growth trajectory. If I look at insurance, insurance remain ed weak for some time for us. If you can provide some sense what is currently going on in insurance because we had hoped for growth, but it has so far not played out in terms of recovery in that vertical. Second thing is logistics. Even tho ugh Y -o-Y growth is good, but for last four, five quarters, you can look at, it is very flattish kind of performance.

So after a good run, when we used to club it into emerging separate it out significant growth trajectory, now it is flattening out. So whe ther it is challenges in broad basing growth perspective compared to a large client that is what creating issues or how one should look at this growth and over medium term, how we expect it to be more secular growth trajectory. Third question is about grow th. I think you said FY '24 would be Q2 onwards growth. But do you think we can have a positive trajectory of growth in FY '24.

Nitin Rakesh: Dipesh, let me take those three in the order that you asked that question, I think you 're right, insurance has underwhelmed us as well, specific to a large client issues that has gone through some significant corporate restructuring activity, but we won two large deals in insurance in the last two quarters and as they start to ramp up starting late Q4, early Q1, we 'll definitely see sequential growth popping -up in insurance in Q1. With this vertical realignment, that 's one of the byproducts of that will be hyper growth laser focus on each of these segments which is the

reason why we actually created a realignment to cr eate these account cohorts that we can then drive growth in.

In terms of your question on logistics, definitely we had some headwinds, given the restructuring and slowdown in e -commerce, not just across one customer, but across

actually a broader group,

but some of that has definitely been countered by the growth in our travel and airline business. We definitely think FY '24 is a growth year both on a sequential basis as well as on Y -o-Y basis and I think part of the issue for Q1 will get solved when we con vert the pipeline, but we definitely are well placed with both travel as well as transportation and logistics for FY '24. Again, I think, as I mentioned, we 've actually gained quite a bit of wallet share even with larger relationships in that segment. And I think your third question was around, can you remind me please.

Dipesh Mehta: Full year growth .

Nitin Rakesh: Yes. I think, as I mentioned right, Q1 stabilization definitely means focus on sequential growth. In our Direct ex mortgage business, full year growth is definitely visible as I mentioned at market. Even in our BFS non -mortgage business, full year growth is visible. Question is whether it will be at market, can we push it higher. I think there 's a little bit more uncertainty to work through there. Other segments definite ly full year growth is visible.

So I think it really will boil down to from a headline perspective, as we stabilize the mortgage business, if we are able to find sequential growth, then I think you will see strong sequential growth across the headline number as well. On a Y -o-Y basis, because of the mortgage drag that continued through the year, you still may find a little bit more muted Y -o-Y numbers for overall business but the silver lining there as I mentioned is the fact that th e closure conversion and pipeline continues to be strong.

Moderator: Thank you. Next question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta: So Nitin, consolidation and taking wallet share through zero -cost transformation in large accounts is one of the key drivers of our growth. So what are the trends there across verticals and is there a decision making slow -down there as well. And secondly, we have a significant exposure to our top 10 clients. Any client -specific issues to call -out and how material are these from an exposure perspective. And then I have a follow -up.

Nitin Rakesh: Sure, Ashwin. I think, as I explained, deal making is happening. Deal origination is actually happening much more at a robust pac e because there is extreme amount of openness and willingness from a client to hear a story how on we can construct a transformation thesis without actually asking for fresh funding. And I think that has definitely opened -up a whole series of opportunities . It's not that we were not taking this solution to market in FY '21 or FY'22, it's just that the enterprise segment was so flush with spend money at that point that they were more focused on spending than saving. As that has become a lot less challenged, there is high visibility, a high acceptability for constructs that create this mechanism as evidenced by the large deal that I just talked about.

So I think that definitely has legs, th ere is repeatability and scalability in their archetype . And you combin e that with the new focus that a lot of our clients have on creating productivity by using tools like AI and co -pilot, that actually become s another interesting wedge into creating modern engineering practices led deal archetype . Still early days for that one, but I think that will become really serious contender in the next couple of quarters. So I think the cycles are little bit more elongated. I would say more elongated from a conversion to revenue standpoint than from just pure deal standpoint. I think the deal environment is still fairly conducive for us to continue to create and close deals and that's also reflected in the pipeline numbers I shared with you both Y -o-Y and sequentially. Your s

econd question?

Ashwin Mehta: Any client specific issues.

Nitin Rakesh: Yes. I think, if you look at the top 10 clients, I think obviously there is a fair representation of BFS in there. I think we did talk about specific clients that got hit in March. So as a metric, the Top 10 metric will probably get a little bit challenged in the short run, but that's the reason why 11 to 20 growth and NCA growth is really what we will continue to focus on as we have done in FY '23 as well. And that's why I think the non -BFSI pipeline growth is also very much being driven proacti vely. So I think some of these metrics will get a little bit skewed as some of those issues come into play, at least in the very short run, but good news is, there is no wallet share loss in any Top 10 customer across the company.

Ashwin Mehta: Sure. And j ust one follow -up for Manish. Manish, we have seen material hedge losses on the revenue line. How does that look from an FY '24 perspective.

Manish Dugar : Sure, Ashwin. We follow hedge policy of getting cover visibility to the next four quarters and then declining percentage as we go to the second year. A lot of the cover that we have taken last year for the next four quarters were kind of significantly challenged when we saw a significant appreciation in dollar in a short time. Good news is, a lot of that has kind of got consumed and as we get into Q1 and Q2, we should exhaust all of that to almost 100% by quarter two.
So if the spot remains in the 82, 82.5 zip code, we will start seeing near zero impact o f hedge losses in the books and that would mean an expansion in the bottom line from where we are today when we are taking a charge of almost INR 28 crores for the quarter. We have also consciously kept the future quarters a little less hedged; one, becaus e of the uncertainty and more importantly, because the forward premiums have come down significantly because of significant reduction in the gap between the interest rates in India versu s the interest rates in the US.
So that also gives us an ability to ki nd of benefit from further appreciation in dollars. So in short, two quarters that we saw losses of INR 29 crores and INR 28 crores, which should come down as we go forward and we should get closer to the spot rates as long as the spot remains in that zip code and does not depreciate significantly.

Ashwin Mehta: So Manish, in that light and given the utilization scope that we have, why are we guiding for more like flattish margins and not an improvement. Is it to kind of expand spends on the selling side of thing s?

Manish Dugar : No. Ashwin, our guidance is 15.25% to 16.25%. And as you know, we are currently at 15.3%. I think it would be fair to say that we expect reported margins to go up certainly this year versus what we saw last year, driven by, one, impr ovement in utilization and fresher deployment and second, the gains of exchange coming in. Because the revenues declined, we were not able to benefit fully in our margins in quarter four.
So while the gross margin expanded to 27.4%, we would have expected it to expand more and some of it got eaten away because of the revenue decline impact that we had to absorb and also because the revenue drop leads to lower operating leverage because absolute expenses in S&M and G&A remains kind of constant. We saw that t he G&A percentage went up. So as we go forward, when the revenue growth comes back and we start seeing that operating leverage and expansion, we feel more confident about expanding from 15.3% upwards. What that exact number will be it ’s difficult to say, b ut it should certainly be more than 15.3%.
Moderator: Thank you. Next question is from the line of Abhishek Shindadkar from In Cred Capital. Please go ahead.
Abhishek Shindadkar: Three question

s if I may. The first is on the top customer. In the growth, ca n you just give us some color, was there any specific ramp up of project, what drove that. The second is, I wanted to get a sense on the portfolio of Blink UX, we had a great capability, but exposure to BFSI and Hi-Tech. So what you're seeing in that marke t from a demand standpoint would be helpful. And the third question is on the employee number. The deduction that you seen, is it largely voluntary or is there involuntary component in that as well.
Nitin Rakesh: Sure. So I think on the large customer, I mean, again, not to get into specific client commentary, I think there again is a wallet share gain play that we've talked about over the last 12 months. You can expect that from a wallet share perspective, we will continue to have very strong position the re. Whether that spend continues to hold -up, if there is any fluctuation, we'll probably find out over the course of next quarter or two, but from a positioning standpoint, from a spend standpoint, we feel fairly confident that our position remains strong there.
Secondly, on Blink, I think bulk of that client base is Hi -Tech even , within Hi -tech, it's more of a FAANG group. There was some slowdown in the last couple of quarters, but we've seen in the recent few weeks aligned to what you're seeing in their earnings there actually has been a pretty decent uptick in deal closures and there is definitely visibility to continue sequential growth in that segment of the business as well. Not to mention that we've already seen significant benefits on both synergy r evenue and synergy deals from that business in the last 12 months. In fact, the influence on deal wins have actually been very, very strong because the whole point was to use that as an arrowhead to drive larger deals in our existing client base and that a lso has happened.
Manish Dugar : Nitin, the other question was on attrition.
Nitin Rakesh: You want to take it?

Manish Dugar : Yes, I can. So Abhishek, we had kind of tightened our recruitment and looked at utilization with a very, very rigorous and intense lens. We haven't let go anybody, we haven't had any involuntary attrition. All of what you see is a reduction because of voluntary attrition, which we kind of manage to not backfill by recruiting from outside, but by deploying people from within, a large n umber of which were fresher deployments.
Moderator: Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Thanks for the opportunity. So first question, can you give some color in terms of our ex posure to regional US bank s that may lead to any new client -specific issues and that is the reason we are calling out the first quarter BFS being soft and if yes, will it bottom out in the Q 1 or that softness will continue beyond Q1 as well.
Nitin Rakesh: I think as it stands today, we already saw some hit on that in March. And on a run rate basis, that will definitely show up in Q1. Again things might change because that's a very fluid position, but we already gave out the fact that our total exposure is l ow single digits. So that should give you some sense on what the impact can be. Obviously, we're not expecting it to fall off to zero either. So definitely, we think that Q1 is probably the biggest hit there. And after that we should definitely see stabili zation on a sequential basis.
Sandeep Shah: Okay, thanks and all the best.
Moderator: Thank you. The next question is from the line of Harshil Shethia from AUM Fund Advisors. Please go ahead.
Harshil Shethia: Hi sir, what is the percentage contribution of mortgage business in the current quarter, which was 8% last quarter.

Nitin Rakesh: I think I mentioned that in my remarks. It is 6% change.
Man

ish Dugar : 6.8%.
Moderator: Thank you. The next question is from the line of Shradha from AMSEC. Please go ahead.
Shradha: Hi, just one question on the mortgage business. So what is the mix of origination and home equity in mortgage for us . I think last quarter we had called out home equity portion might still be vulnerable even though there might b e some stability in the home division part of mortgage. So what is our view on the business segment within mortgage now.
Nitin Rakesh: Shradha, you are very difficult to hear because I think there is some disturbance on your cell phone. Is the question, what is the current mix of home equity versus the rest or is the question ?
Shradha: Yes. Home equity versus origination in mortgage and what is the view on the home equity portion ?

Nitin Rakesh: So I think about a third of the business continues to be non -origination, non -diligence based, so that's kind of where we are at the end of Q4. That , obviously , mix was very different two years ago where home equity was almost non -existent for us. Does that answer your question?
Shradha: Yes. I think last quarter yo u had indicated that the home equity portion in mortgage could be vulnerable and that home prices in the US can start cracking up. From that perspective, how do you see the home equity portion playing out now ?
Nitin Rakesh: I think , Shradha , it is better to think about it as a composite. I think we talked about the fact that the bulk of the decline is behind us and we are definitely close to the bottom. The internals of the outlook , I think we've seen some impact on housing prices translating into volumes already in the last three months in the recent quarter. I think at this point, it does look like we might be able to stabilize the overall business between all the service lines. So I think I'll just leave it at that.
Moderator: Thank you. Nitin, we'll tak e the last question, that is the text question from the webcast, which is from Santhosh Nigam from SM Wealth. Question is on future growth and new business verticals. Is there any new technology company is inventing ?
Nitin Rakesh: I think I've already answ ered a lot of the growth -oriented questions around outlook for the year even at the segment level. So I won't repeat that answer. I think the question on our new technology is probably in relation to all the buzz in the market around ChatGPT and AI. Mphasi s has actually been one of the leaders in this space for the last few years. As early as FY '19, we've actually had our own machine learning platform and we've also incorporated earlier versions of GPT as well as GPT4 into those algorithms.
These algorithm s are available for consumption on the AWS marketplace for the last four years. We have algorithms on Quantum computing as well that are already available, using quantum simulator s. So I think our tech-first approach really definitely is helping and is giv ing us the ability to continue to craft solutions based on some of these new technologies that have now become mainstream. I think the biggest takeaway from the ChatGPT revolution is that it's now mainstream boardroom topic and that gives us the ability to actually continue to drive conversations and deals. The two primary areas where we're seeing adoption of these cutting -edge new tech areas, one is in what we call modern engineering practices and developer productivity, which is again, an opportunity for us to take more wallet share from our competitors if we are able to actually align our client's software development and eng ineering practices more towards using these tools.
And the second is in areas that have a significant automation element for example, contact center automation, using digital self help and chatbots, as well as in creating agent productivity using

ChatGPT o r large language model for which also we have a deal arche type and we'll continue to make further announcements as we expand in that segment, but we are very actively participating in those areas as well.

Moderator: So we have one more text question that h as just come in. It is from Athreya. R from iThought. Could you please talk about the M&A strategy at this time. Are we looking at anything in the near term?
Nitin Rakesh: I think difficult to answer the timeline, but I will take that question as I can ans wer it which is ,

M&A is very much on our execution p ath. We've constantly looked at deals, especially in the recent quarters. We have deals under consideration, we have deals under diligence and potentially as we expand our outlook given the current enviro nment, we will also get a lot more strategic in looking at using M&A as a tool to expand our growth and diversify into new verticals and new geographies as well. So all of that is in our consideration set for FY '24 and again, hard to confirm when a deal w ill happen, but we are hopeful that in the current financial year, we should be able to consummate a transaction or two.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Mr. Nitin Rake sh for closing comments. Thank you, and over to you.

Nitin Rakesh: Thank you all for your time and your interest. We look forward to talking to you next quarter and we will continue to drive responsible growth. And I believe it's a long weekend, so take ca re and enjoy the long weekend.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Mphasis Limited that concludes this conference. If you have any further questions please reach out to the Mphasis Investor Relations at investor.relations@mph asis.com. Thank you all for joining. You may now disconnect your lines.

Call: Aug 2023

28 July 2023

The Manager, Listing
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MUMBAI – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

Further to our intimation dated 21 July 2023, please find enclosed the transcript of the Investor(s)/Analyst(s) call which is hosted on the website of the Company at https://www.mphasis.com/content/dam/mphasis -com/global/en/investo rs/financial -results/2024/transcript -of-earnings -call-q1-2024.pdf

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking y ou,

Yours faithfully,

For Mphasis Limited

Subramanian Narayan
Senior Vice President and Company Secretary

Encl: As above

“Mphasis Limited
Q1 FY 202 4 Earnings Conference Call”
July 21, 202 3

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER –
MPHASIS LIMITED
MR. MANISH DUGAR – CHIEF FINANCIAL OFFICER –
MPHASIS LIMITED

Moderator: Good morning, ladies and gentlemen, and thanks for joining the Mphasis Q1 FY 2024 Earnings Conference Call. I am Aman, your moderator for the day. We have with us today Mr. Nitin Rakesh, CEO of Mp hasis; and Mr. Manish Dugar, CFO.
As a reminder, there is a webcast link in the call invite mail that the Mphasis management team would be referring to today. The same presentation is also available on the Mphasis website, www.mphasis.com, in the Investors section under financial and filing, as well as both on the BSE and NSE websites. Request you to have the presentation handy.
As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to state tha t some of the statements made in today's discussion may be forward -looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q4 results release that has been sent out to all of you earlier.
I now hand over the floor to Mr. Nitin to begin the proceedings of this call. Thank you, and over to you, Nitin.
Nitin Rakesh: Thank you, Aman, and good morning, everyone. Thank you for joining us today. Hopefully, we will all get an opportunity soon to mee t in person. I trust you had the opportunity to review our earnings release documents. I would like to take time today to share with you our perspective on recent developments, markets, technology, people as well as highlight our quarterly performance and how this is setting the base for FY '24.
Let me begin by showcasing the highlights of the quarter, especially as it relates to the various initiatives that we have been executing towards. One, we have set a strong pace of the deal closures with record TCV wins of USD 707 million this quarter, providing a visibility of growth for future quarters. We would be double clicking on this in the slides ahead.
Two, our vertical cohort strategy is showing encouraging results. Our vertically aligned, yet account -centric GTM units have aligned well since we announced the re- org design earlier this year, to create growth diversification by expanding growth to accou nts beyond Top 5 and Top 10, to newer verticals as well as to new clients acquired within the BFS limit.
Three, I'm glad to report that we are leaning in on AI with 1/3 rd of TCV originating from AI - centric deals in this quarter. We have key AI partnerships in place that have enabled us to open up a solid book of business within a short time span.
Four, a significant percentage of our TCV and pipeline now emanate s from beyond the Top 10 accounts, including newer accounts. Our diversification strategy is show ing results, particularly as our Top 30 clients outside the Top 10 accounts and outside BFS in our new vertically aligned GTM structure are scoring well on leading indicators of revenues.

Five, while recent quarters have been challenging for us in view of the pressures in the mortgage market and selectively in the BFS segment due to discretionary spend cuts, we believe that the business is bottoming out. Incremental stability in mortgage together with early signs of pickup of decision -making at top banking clients a

nd visibility from record -breaking TCV in this
quarter will help us return to growth through the remainder of FY '24. We will elaborate more on this in the summary outlook.
As mentioned, our TCV in Q1 '24 at USD 707 million reached an all -time high . There are a few things that I would like to highlight. TCV wins in this quarter are more than twice our quarterly average on an LTM basis. Nearly 1/3 rd of this is from AI deals, including a USD 100 million + deal. As you are aware, we launched Mphasis.ai, a first of its kind business unit that seamlessly integrates AI capabilities into existing technology landscape of our clients, as well as powers all of our Technology Tribes, since they were designed to be Cloud First and Cognitive Native. This is starting to pay off well as we will discuss shortly.
We have won seven large deals in this quarter, of which five are in the non -BFS verticals, which shows that our vertical cohort strategy is working across the board, including within new BFS clients as 2 of these deals are in BFS, with one over USD 100 million in TCV. 4 of the 7 deals are over USD 100 million each. N otably, significant TCV wins in this quarter are from non -BFS segments as well as from beyond our Top 10 accounts and over 70% are i n the application service line.
Specifically, I would also like to cite our significantly increased traction in Canada, wher e we signed a USD 40 million + deal and several more are in the pipeline. Our pipeline in Canada has

grown 500% year -over-year, and revenue has doubled sequentially in this geography.
Almost all our pipeline continues to be Tribe -driven , archetype -led and is up 6% sequentially and 23% year -over-year despite record conversion from pipeline to new sold TCV in the last 4 quarters. Our pipeline is also well distributed across verticals. While BFS continues to generate the higher share of pipeline at jus t over 40% of the pipeline, other verticals have a disproportionate share of pipeline compared to their revenue contribution, suggesting that our investment in generating pipeline aimed at aggressive growth diversification is working.
Our pipeline generati on in some of the smaller verticals such as healthcare has been particularly robust with pipeline in this vertical up 63% year -over-year. Our accelerated GTM motion in AI builds on the AI TCV in this quarter and helps build a strong inflow deal engine for future quarters. 2/3 rd of our pipeline is application -centric, further reflecting the strength of our Application Transformation and Modernization Engineering practices. Our pipeline is also well distributed across key themes such as data, modernization , cyber security, Agile Ops and platforms. Expertise in these themes is resident in our tribes as we have discussed with you in the past.
We have mentioned in prior calls that we were seeing a lengthening of the sales cycle in converting pipeline into TCV and TCV into revenue due to greater scrutiny of the tech spend s. While the TCV to revenue conversion cycle is still elongated, we are seeing early signs of some

normalization of the pace of decision -making as reflected in the deal closures this quarter. We expect further improvement during the course of FY '24.
I'm personally thrilled with the opportunity of Artificial Intelligence to maximize business outcomes. At Mphasis, cloud and cognitive -led solutions have been central to our unique Front2Back approach to transformation. The Mphasis.ai business unit delivers various benefits to enterprise clients that include offerings that drive business outcomes, starting with an AI Advisory unit to help assess and identify key AI interventions to complete ar chetypes such as contact center transformation, customer experience transformation, etc ; Access to an array of Mphasis patented AI as

sets with over 250 ready -to-use models available on Hyperscaler
marketplaces and frameworks created at Mphasis Next Labs, an in -house research and innovation lab , that can be seamlessly integrated into existing systems and processes ; Access to state-of-the-art conversational AI platforms powered by generative AI technology and large language models to transform customer exper ience management, employee engagement, as well as to drive operational efficiency and increased NPS scores ; Access to Mphasis Sparkle Innovation Ecosystem, which has enrolled over 50 domain specific startups, including ones that are AI focused, that can al so accelerate the co -creation of robust go -to-market solutions for enterprises.
Examples from the business unit suite of intelligent service offerings have now been created as additional Deal Archetypes in true Mphasis fashion. Examples include Ge nerative AI Advisory Engagement Model, which is an offering that is targeted to help enterprises to assess where AI can have the biggest impact in chosen areas. The output of this engagement can help drive the AI strategy and for plans to leverage Mphas is.ai to exe cute this strategy. Contact Center and Customer Experience Transformation is a solution that helps enterprises deliver great customer, agent and employee experiences, reducing digital leakage and delivering operational efficiencies by introducing AI -based interventions into the ecosystem.
We have partnered with several Hyperscaler as well as specialized market -leading AI platforms and solutions companies such as Kore.ai , Work Fusion, and Databricks, as well as all the cloud providers. We do expect additiona l deal archetypes to continue to get robust as we expand on these offerings.
We continue to push for revenue growth, which is anchored in our strong client mining model and tech -led offerings. Our Q1 FY24 revenue came in at USD398 million, impacted primari ly by softness in banking. On an LTM basis, we grew the Direct ex -DR business at 11.2% in Q1 FY24 .With growth becoming more diversified and uptick in mortgage volumes, we see stability in performance going forward.
Our core service line enterprise apps constituting over 70% of revenue was flat year -over-year in Direct, impacted by the tightness in discretionary spending in some of our clients and weakness in select BFS pockets. The BPO segment . Which has suffered fro m the downturn in the mortgage segment over the last 4 quarters, declined 33% with Y -o-Y decline in this segment increasing for the past 3 quarters. Our anchor geography , the U.S., was flat ex -DR on Y -o-Y basis. Direct at USD 378 million declined 3.2% quart er-over-quarter in constant currency terms and 7.2% year -over-year in Q1FY24. Direct ex mortgage was nearly flat year -over-year,

reflecting tightness in discretionary spends in some of our banking clients, as well as some regional bank pressures.

Our Direc t business accounted for 95% of our overall revenue in Q1 FY 24. DXC's contribution to our revenue is 3.5% as of Q1 '24. The mortgage business declined further sequentially in this quarter, though to a lesser extent compared to that in the prior two quarte rs. The contribution of Digital Risk, our mortgage BPO subsidiary now stands at 6.3% of overall revenue in Q1 '24 versus 12.7% a year ago in Q1 '23. As mentioned, we see incremental stability in this segment with visible uptick in volumes in some service l ines and are starting to see capacity build up requests from clients in advance of recovery in other segments of the mortgage business.

Moving quickly to vertical performance, our mainstay vertical, BFS in Direct ex -DR had a negative 1% growth year -over-year. It was down 14% on overall basis weighed down by mortgage. Our smaller verticals in Direct such as healthcare are growing qui

te well as reflected
in ~13% revenue growth in Q1 '24 in the other s segment . The TMT vertical within Direct also grew well with a 6-plus percent sequential growth in Q1, reversing some recent weaknesses. While growth rate in insurance has lagged, impacted by client specific issues, sequential growth, TCV wins and pipeline in this vertical look healthy, and we expect to continue to the trend on a sequential basis.

As mentioned, to ensure scalability and facilitate the next phase of growth, a realigned verticalized GTM structure has been implemented with the following principles in mind : Align the GTM organization to derive better sa les synergies, especially as we focus our energies on deepening our wallet share and market share with our named account strategy for existing and new clients. Enable scalability and repeatability with a vertical focus powered by Deal Archetypes providing a set of win themes and propositions.

Reorient account cohorts to see d new growth opportunities and retain our hi -touch service delivery model with clients . With a vertical based GTM cohort model, we're able to bring vertical and industry points of view to bear, consolidate capabilities and learnings within a vertical across accounts and cross -pollinate more effectively.

Our Top 5 clients declined 2% year -over-year (on LTM basis) , going down by mortgage business pressures in the past 3 quarters and tightness in discretionary spend. Notably, our Top 11 to 20 client segment grew 12.7% year -over-year, indicating the increasingly broad -based nature of the growth. Clients 21 to 30 grew a health y 18.5% in Q1 on a Y -o-Y basis .

Our New Client Acquisition revenue continues to grow well, sustaining its double -digit growth trajectory in the first quarter as well. Client mining stats remain steady Q -o-Q and Y -o-Y, movement on 1 client in the 75 million and 100 million plus categories is purely due to mortgage softness playing through for the fourth quarter in a row. We expect this to come back as mortgage spends resume their up cycles. Even as some of our key clients have tightened discretionar y spends, which has impacted us, we continue to strengthen our wallet share with all of them.

Coming to our financial metrics. Our margin philosophy affords us the flexibility to manage our profitability in the face of revenue headwinds. In this quarter, o ur EBIT margin stood at 15.4% ,

within the stated margin guidance band of 15.25% to 16.25%. An operating profit decline of 4% Y-o-Y on a reported basis is due to revenue headwinds. Losses in cash flow hedges impacted margins in Q1 FY '24 by 50 basis points. Our EPS of Rs 21 for this quarter is a marginal decline of 2% sequentially. Cash flow generation at USD 54 million, adjusting for the one -offs, stayed solid at 90 -plus percent of PAT average.

In summary, I'll leave you with 5 points. One, we are seeing signs of bottoming out of recent revenue trends, thanks to stability in mortgage, visibility of growth given the highest ever TCV of USD 700-plus million and some return in pace of decision -making by clients, especially in discretionary spending projects . We have seen a record seven large deals in this quarter with four of them being over USD 100 million each.

Two, the majority of our TCV and pipeline originate from newly created verticals as well as from beyond Top 10 clients, underscoring the early success of our vertical cohort strategy. Three, our AI centric deal propositions are paying off with nearly a third of our Q1 TCV from AI -led deals. We are focused on establishing a path of AI acceleration with our full -fledged Mphasis.ai business unit. Further, w e have key GTM and solutioning AI partnerships in place to make the most of these opportunities. Four, despite some tightness in discretionary spends with some o

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our key clients, we continue to strengthen our wallet share with them. And five, despite the challenging revenue situation of late, our EBIT margins of 15.4% stayed steady and in line with the stated target operating margin band. Tighter focus on utilization, pyramid optimization and some increases in offshore leverage helped maintain margin perfo rmance. Our operating cash flow adjusted for one -timers, stood at 100% of the net profit for the quarter.

Coming to our FY24 outlook. We enter FY24 on the back of an expanded pipeline, albeit marked by lengthening sales cycles and slower contract conversio ns. Cloud, digital transformation, cost optimization and consolidation type opportunities characterize the pipeline. As noted on our last call, we expected to have a soft start to FY24 as we work to deal with some slowdown in BFS and delayed contract conve rsion in this segment. We expect strong sequential growth going forward with an expectation of acceleration thr ough the remainder of the year.

The good news in the mortgage segment is that we have seen green shoots of activity with an uptick in volumes acr oss select segments, as well as pickup in client request s for capacity addition besides an increasing pipeline and new deal constructs. As this plays out for FY24, we believe the mortgage segment is likely bottoming out in Q1, and we expect this segment to be incrementally sequentially growth accretive through much of FY'24.

As also noted on our previous call, we now have visibility to stability in the DXC segment and expect that headwind to abate on a sequential basis. On margins, we retain our message of margin stability, expecting to hold the EBIT margins in the 15.25% to 16.25% range in every quarter of FY24, with a continued focus on operational rigor, giving us increased confidence on the trajectory of our performance and hence an upward bias in margin s through the remainder of FY24. On that note, moderator, let's open it up for questions, please.

Moderator: Thank you very much. The first question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: My first question was on how are you classifying the AI deals? You talked about 1/3 rd of the TCV are in the AI deals. So suppose if we classify into 3 segments, preparatory work for building AI models or consulting and development of AI models or testing of those models. How woul d you be classifying your AI deals? And where are you seeing the most part of the demand coming from?

Nitin Rakesh: Kumar, I think there is more to AI than just GenAI. That's the first point. I think a lot of the deal making and the activity that we are un dertaking right now is in essentially helping clients implement orchestration platforms and third -party products that actually enable them to roll out these models across the enterprise. Of course, they are going to continue to use the publicly available L LMs, open source LLMs. But at the same time, those LLMs need to be trained. They need to be configured. They need to be set up with the right security protocols, as well as integrated with their existing application stack. So I think that's kind of the fir st big area of opportunity that we tapped into.

Second, as you start thinking about areas that these solutions will impact in short order before enterprises really fully integrate, for example, a Copilot or a CodeWhisperer, I think the immediate opportunit y actually starts showing up in areas where there is digital leakage, whether it is experience, automation, whether it is creating a highly digitized engagement model for internal employees or partners or end customers. So , combining Conversational AI with GenAI, I think, is where the immediate opportunity has been for us.

And the third area is, we have also started to see signifi

cant embedment of AI in operations

optimization and transformation, which is much more than what RPA was. I think this is a massi vely more powerful ecosystem of platforms that are being deployed in helping truly transform the way you run business operations, ongoing processes, document management and more importantly, things that require significant training of models to detect thin gs like fraud, anti-money laundering, sanction screening. So I think there's a significant opportunity in the whole governance , risk, compliance and documentation phase. So those are, I would say, the early wins that we've seen in the last 2-3 months.

Kuma r Rakesh: Quite helpful. My second question was on the deal win side. So there's quite a phenomenal increase that we have seen. Can you give some color on , are some of these deals already part of the DXC channel or all of this is entirely incremental deal that we are seeing? And how is the pipeline looking like post the deal closure that we have seen?

Nitin Rakesh: So Kumar, we don't really include any DXC d eals in this TCV disclosure. This is all direct TCV. This is a business that will continue to have an impact on our direct revenues. So as such, those two are completely separate and always have been. The uptick really is, if you go back the last 2 or 3 qu arters, we've had an expanding pipeline. But obviously, the pace of decision -making was a little bit slower. We've seen some unclogging of that in the last 3 months.

We've also seen some opportunities where we were fairly nimble and jumped right in to actu ally construct deals where we thought client had urgent needs. Some of them are in the nature of transformation we talked about. Some of them are in the nature of accelerating the adoption of both cloud and cognitive because it is a time bound, for example , a data center retirement

strategy and they need to get certain goals by certain time periods, especially in this constrained environment they cannot afford cost overrun. So I think those have created significant opportunities around legacy modernization, application transformation using cloud and cognitive. And of course, we've given a breakout of where the pipeline sits today in terms of our tribes.

The health of the pipeline is actually still pretty healthy because we've grown at 6% sequentially despite this level of conversion and it's up more than 20% on a Y -o-Y basis almost across all our segments except BPO.

Moderator: The next question is from the line of Ankur Rudra from JPMorgan.

Ankur Rudra: Just maybe to start with, Nitin, could you maybe elabor ate on this TCV that you've been able to achieve this quarter. Clearly, it's been very healthy and very strong. From what I can see, the net TCV announced is more than the revenues in the last 12 months and of course, we've seen some challenges in terms of conversion there. So, could you maybe highlight if there's any change in your confidence of the conversion going forward, which is driving your confidence on growth returning? And if it's possible to sort of also break out the moving parts within DXC, DR and the rest as it translates to the contracts you've won?

Nitin Rakesh: So, Ankur, there are 2 things to think about. I think you mentioned that our TCV closure in the last 4 or 5 quarters has been almost one to one because it's Direct TCV. The way to thi nk about it is while that has a definite impact in providing revenue visibility, the leakage of discretionary cuts, the leakage coming out of mortgage units as well as on a Y -o-Y basis, of course, we've declined the DXC business - all those three obviously have been headwinds to revenue on a run rate basis.

The fourth thing that I want you to think about is that in the current environment, not only are we seeing tightness in spend, but there was a pretty significant pressure any time you had a project closur e or you delivered a program, it got harder and harder to find shorter -term organic growth programs to fill that bucket. So I think that will definitely revert back to mean once discretionary spend gets a little bit more normal. It's not quite there yet.

The conversion of sol d TCV to revenue has also been slow as you probably heard from the rest of the industry participants as well. The early signs are actually fairly encouraging. Of the TCV, we've closed in Q1, we have seen already impact in quarter -- obviously, towards the later part of the quarter. So, it will play out in the run rate through Q2, and which is what gives us the confidence of the fact that we seem to have formed a base and a bottom in Q1.

Ankur Rudra: In terms of growth, I just wanted to c larify that...

Nitin Rakesh: I am sorry. Manish wants to add something.

Manish Dugar: To your question, Ankur, on the color regarding DXC, DR. Like Nitin mentioned, we are not only seeing contract closures, we are also seeing conversations from customers o n volume increase as well as starting to build for capacity, and that gives confidence that mortgage is

certainly bottoming out. And in DXC, based on our conversations and the various negotiations that we are having, we believe that we will be able to hold the current run rate on a stable basis.

Ankur Rudra: The follow -up was on organic growth this quarter. What were the revenues recognized from this Kore.ai's professional business that has been acquired ?

Nitin Rakesh: Ankur, I think it's not fair to talk s pecific clients. We basically signed a fairly large partnership on professional services, product engineering and solutions development. I think there is an element of that in the numbers, but we are not going to break out individual client numbers.

Ankur Rudra: Fair. And the question was more in terms of organic growth because there was an acquisition that was mentioned in the notes to accounts.
Nitin Rakesh: I think acquisition is more from a capability acquisition. There wasn't an M&A transaction here.
Ankur Rudra: But there seem to be -- you will have be paying USD 60 million on a next 3 -year basis for this professional services business has been taken over by Mphasis?
Nitin Rakesh: Yes. I think what we have done is we basically created a construct where we are embedding their solution in our deal archetypes and there is an arrangement that we've constructed with them that will create an ability for us to actually get bulk licenses for us to be able to rebundle those solutions. So think of this as a solution construct with a build -by-partner is our approach. There are things we build, there are clients we partner with. I mean, it's not unusual for us to go do the same thing with multiple other partners including hyperscalers. So I think it's a fairly comprehensive 360 partnership across both firms. We have a platinum tier status with them, and we've made certain joint commitments into the partnership on both sides.
Ankur Rudra: Okay. Then the last one, I think, is more around the AI announcements you'v e made. I mean, it sounds very exciting that you've won USD 250 million worth of AI deal. Just help us put this in context. The biggest company in the industry, Accenture, has announced that the total AI revenues they have at the moment or GenAI revenue is about USD 100 million. How do we make sense of your number, which is 2.5 times that? Is this a very different definition that you are using versus what they were using,?
And also, maybe you can clarify how much of this is generative AI versus analytics, whi ch you had anyway from before. And sort of in terms of the large deals, normally, large deals take time to win , to construct, as you know. Has there been any

sort of retagging here because AI has become more relevant to the clients now and hence it's impor tant for them to call this AI?
Nitin Rakesh: Not really, Ankur. This is why I said it's not AI power ed, it's actually pure AI, basically, implementation of things that I explained to Kumar earlier on in the question, there is no element of existing revenue being reclassified as AI in this case.
Ankur Rudra: Okay. And I mean, just as a follow -up to that one. You mentioned the industry has had this leaky bucket problem , and everybody else has in the last 6 months. Do you think generative AI can accelerate tha t or make it tougher, especially on the BPO side of the business, some of the more legacy applications, maintenance side of the business?

Nitin Rakesh: I think , every new tech platform is an opportunity and a threat. We've seen the same thing play out in infrastructure services over the last 10 years. While it's been a headwind for people who manage those infrastructure assets and data center services, it's been a huge tailwind for players like us who are always asset -light and focused more on the applicat ion as well as transformation side. So similarly, whether this is a threat or an opportunity is a reflection of what your current portfolio of services is and how you can actually construct transformation deals without necessarily focusing on immediate imp act on these services because there may be an element of transforming what you deliver to the customer because if you don't, somebody else will disrupt it anyway.
So I think we are very forward leaning on creating propositions and being very proactive with clients in applying those services and technology assets in our current book of business. And we've won great amount of wallet share in the last 5 years using that strategy. So for us, it's definitely a tailwind. We are, as I mentioned, being very proacti ve in constructing almost every tribe led deal archetype or powering it with AI, whether it is app dev, whether it is modernization, I think there are some really interesting use cases in modernization, there are some really interesting use cases in cloud led transformation.
We talked about, IT assist, customer experience support and of course, business process operations. But I think given that in many of these areas, we have a fairly forward -looking view. And in some of these areas, we don't have a large share of wallet, we can definitely expand our share of wallet using these capabilities. So this is an interesting way to wedge open opportunities that we were hitherto not really playing in.
Moderator: The next question is from the line of Nitin Padmanabhan from Investec.
Nitin Padmanabhan: So I had a couple of questions. So I think first is, on the Digital Risk side, you mentioned a request for increas e in capacity. So I'm just surprised that it has happened so early because the rates still seem so high. So contextually what's really happening here that it's sort of picking up earlier than one would imagine? So I think that's the first question.
Nitin Rakesh: You have to think about not just the new originations. I think the rate -sensitive part of the business is first mortgage and refinance. There are four other lines of business that are not so rate sensitive. One is the whole home equity line of credit. We talked about that in the last 12

months. There, given that housing prices have remained fa irly stable, there is an opportunity that consumers are tapping into to take out second loans or home equity loans. So that uptick is the first uptick that became visible over the last few weeks or the later part of the quarter, and has carried into the cu rrent quarter as well. Second, there is a pickup in diligence activity because loan books have started getting traded. I think we are

already , we had actually called for that
towards late spring, early summer. So that doesn't surprise us. Go back to the call, I would say, 6 months ago, and we actually did say that the market will not stay locked forever. So that trading activity leads to diligen ce services. We do expect that to continue to tick up as well.
And third, as the interest rate cycle enters its late phase, banks are also gearing up for loan restructurings, as well as servicing those loans both on an inbound basis as well as proactively reaching out to consumers because , in the end, banks want to deploy the capital they have, they

want to extend those loan tenures and so on and so forth. So I think that's what's driving the current uptick in volumes. There are still ways to go before we se e any major uptick in refinance for sure .. mortgage probably will recover before that because the housing market has actually stayed fairly robust. The issue is more on the commercial real estate side in the U.S., the residential real estate, the rents, al l of that has been fairly robust.
Nitin Padmanabhan: Perfect. That's very helpful. Second was on the ramp -up, right? So one is the earlier deal s, maybe Q3 and so forth. Have they started ramping up? Or do you think that begins to ramp up? And second, the d eals that you have won today, do you think they sort of ramp up on time? And by when do you see them sort of ramp up? So that's on the ramp -up side and...
Nitin Rakesh: Yes. Go ahead, go ahead.
Nitin Padmanabhan: Yes. The second part was on the existing bo ok of business. So excluding mortgage, within BFS, do you continue to see sort of headwinds on revenue as we saw this quarter, continuing for some more time and sort of tempering down growth despite the accretion from new deals. Yes, those are the 2 questi ons.
Nitin Rakesh: I think on the first one, as I mentioned, as Manish calls them the 3 phases, origination, closure and conversion. Origination actually was fairly robust over the last 12 months. That's the reason pipeline has grown this robustly on a Y -o-Y basis as well. Closure, I think, was a little bit muted. That's why our TCV was trending in the 300 to 400 range for four quarters in a row.
But that seems to have definitely picked up because I think there is a point at which the execs have to make so me decisions and move on because there is a finite amount of time with which they need to implement certain programs. And of course, our ability to blend their needs with a proposition is something that's com e in very handy with the proactive nature of our pipeline. So I think the closure has definitely picked up, and that's the first sign that we are seeing that decision -making is starting to revert a little bit out of that frozen zone. And the conversion, while it is not where we expect it to be, we still have a proportion of deals that are taking fairly long time to convert .
It depends on client situation, the business cycle that a customer is in , as well as the ramp -up schedule that they originally agreed to versus what they want to re -baseline it to, s o there is a lengthening that has happened there. But given just the experience in the last 3 months through the quarter, it progressively seems to get a little bit better. So we do have early signs that not only is origination and closure are getting bett er, the conversion is starting to get a little bit better.
So we are cautiously optimistic, too early to tell, but early signs are encouraging.
Nitin Padmanabhan: Sure. And on the banking financial services, existing book of business, do you continue to se e headwinds there on a going -forward basis ex mortgage?
Nitin Rakesh: Yes, I think this was probably the crescendo quarter when it came to bubbling up of all the issues that came up in the banking sector st

arting in March and probably culminating in the crisis
getting resolved at least for now through, I would say, middle of the quarter. So right now, I think it is status quo, it seems to be stable , we haven't seen any major ramp -down requests in the recent few weeks. But I think –in another 2 or 3 months, the 2024 budgeting cycles will start.

So we will see some pent -up demand or unspent budget kind of starting to open up between the

Labor Day to Thanksgiving season.
But at the same time, it's a little bit too early to call whether it's across the board act ivity because there are segments of banking that are still fairly stressed, especially on the CIB side. On the consumer side, things have been fairly stable and continue to be stable. Wealth and asset have been fairly stable because that's been a bright spot actually across the domain, and we just talked about mortgage as well. So I think increasingly, as we see resolution of cyclical issues, we will see opening up of spends on the discretionary side in the very short run. That actually will give us some short burst revenue and clearly are important for consistent growth.
Moderator: The next question is from Mohit Jain from Anand Rathi.
Mohit Jain: Sir, I have 2, 3 questions. One, if you could talk a little bit about the tenure of the TCV that gets close d at 700. So say, for comparison sake, Q1 '23 versus Q1 '24, how we should see the tenure thing? And second is related to the split of BFSI decline that we saw in 1Q. So what target mortgage and how should we see between regional bank, mortgage and core business?
Nitin Rakesh: So on the first question, there is no major change to call out in terms of the tenure of large deals. However, there is a little bit of drying up of shorter duration small deals, and that's tied to the discretionary spend pattern that we talked about. I th ink, as such, the seven large deals, the duration, the multi -tower nature, the transformation -type deals, all of that is fairly consistent and has felt fairly steady over the last 4 quarters. The only change to call out, as I mentioned, is the small organi c growth type deals. For example, when you roll out a project or if you lose 2 or 3 people, backfills get stopped. So I think that's probably the only thing to call out for in the – break up of the TCV.
On the second question around Direct ex -DR versus Dir ect BFS. I think that, that data has been published in the deck. I think Direct ex -DR was almost flat on a Y -o-Y basis. Of course, on a sequential basis, I think it (Direct BFS) had a decline , approximately 8% . The DR business also declined in this quarter, not to the extent that it had in the last 2 quarters, but it's definitely still little bit head -winded. I think it's not fair to break out the impact from segments of banking. So I'm not going to answer what impact was from regional versus n on-regional because then we're starting to get very client specific. But all puts and takes together...
Mohit Jain: So regional banks, are we done with the cuts, etc, that you were anticipating? Or do you think some of that will flow through into 2Q as wel l?
Nitin Rakesh: I think on a consolidated basis, bulk of it is behind us, and that's the reason we mentioned that we are cautiously optimistic, but it's hard to call exactly the bottom in a segment that is so exposed to macro. So at this point, I think al l I'm going to tell you is bulk of the cuts are behind us. Mortgage definitely seems to have bottomed. And that's kind of what was one of the biggest headwinds to our BFS business in the last 4 quarters. And I think we will look forward to additional data points through Q2 to see if we can truly call a bottom in the entire banking.

Mohit Jain: Okay. And one last, again on Q2. During the quarter we announced a DXC subsidiary transfer. So I assume that will be consolidated in Q2. So how should we specifically look at Q2 growth outlook given that some of the tailwinds are also coming through?
Nitin Rakesh: I think it is hard to give you specific Q2 guidance. We are , as we mentioned, we think we had a base formation and a bottoming out in Q1. At this point in ti me, it looks like that we will see sequential growth, but it probably will accelerate as we get into Q3 and Q4.
Mohit Jain: So when you say sequential growth, sequential growth plus whatever the subsidiary adds up, right? That's the...
Nitin Rakesh: Over t he Q1. Over Q1.
Mohit Jain: So sequential growth plus something from DXC subsidiary which will flow through?
Nitin Rakesh: You are asking me to answer something that I'm not willing to disclose at this point in time only because, as I mentioned in the past, I would not like to discuss specific contractual arrangements with the outside world. It's something that we have to kind of guard against . All of this is baked into the guidance I just gave you.
Moderator: The next question is from Dipesh Mehta from Emkay Global.
Dipesh Mehta: A couple of questions. First, about the deal intake. I just want to understand the nature of competition, which we face d. For 100 million plus deal and I think another lar ge deal, which you indicated , 40-odd million in Canada. So if you can provide some sense about nature of competition, and you indicated non -BFS. But if you can provide some sense about the type of work which we do, and if possible some of the industries where we are trying to provide offerings and whether it is part of Non-top 3 kind of focus areas in terms of some of the emerging verticals, which we indicated.
Second question is, you indicated some one -timer in cas h, so can you provide some more detail

about one-timer you are referring to? And last question is about DX C subsidiary -related transaction. So how one look at it? If I look last few years of that subsid iary performance, remains very inconsistent, both on revenue and margin performance. So first about the capability, how we see synergy with Mphasis offe ring? Second thing is what are your growth plan? And last is, what is the current revenue around that entity running at?

Nitin Rakesh: Manish, why don't you take the last 2 questions, and then I'll talk about the pipeline outside and the wins and the compe titive intensity.

Manish Dugar: Dipesh, Manish here. Taking the question on the cash first, the onetime is essentially three things. You would have seen in our balance sheet, our classification of non -current assets. That's a structured contract and the f inance cost of delayed collection is baked into the commercials. But it does come up in the DSO and the receivables. And then there is a collection that was erroneously sent from the client of a n amount close to USD 25 million (SWIFT code error) , and then t hat got reinitiated and it hit the Nostro Account after the third of July. And then because the weekend happened and it was a long week end for 4th July, some of the collections came in

late. If we were to normalize for these, we are talking about almost 13 days impact on the DSO. So without these, we would be at 64 - 65 days of DSO. So that's what we have called out as one - timers. All of this money ,(except for the deferral) came in by the 7th of July, but we have not included that in our cash flow for the qu arter ended 30th June.

Second question on the DXC transaction. It's a capability acquisition, primarily helps us in building our relationship with Microsoft and capability that we can take to clients in implementing Dynamics. We looked at the asset from th e

perspective of synergy benefits and expansion of TAM that we can have in our client base, and we feel very good about the fact that it comes along with logos and revenues that also gives us a boost in our Europe business. So at an overall level, wouldn't like to comment on what happened with that business within DXC. But we do believe that once we acquire, we will be able to create a lot of value out of the transaction.

Nitin Rakesh: Going back to your other question on the competitive intensity, especial ly on the large deals, I think it's not a surprise that almost every deal is hot pot. And while we may have had an element of helping shape the deal proactively, given the size of the deals and the governance mechanism at most large enterprises, banks incl uded, there is a competitive process that everybody follows. So I think the usual players that you can think of from our larger peers in India to the global SIs to specialist consulting regional firms, almost all of them are present in many cases, many mor e than one are present as we go through the competitive process.

To give you an example, there was a large deal in the banking segment where there was 7 people that were invited to the bid. And many of them were incumbents. We were not. And in that case, over a period of 3 months, we managed to run through the process. And at the back of our tribe - lead deal archetype, we actually differentiated really well and came through the process to win the business. So I think almost every deal is very similar in natu re when it comes to the competitive intensity. Yes, of course, some of them, we very proactively work to identify the opportunity, and that gives us a higher win rate in the proactive deals. So that's kind of typically the nature.

There are , especially in times where demand is stressed, the competitive intensity actually does get higher. And couple that with slower decision -making, it is definitely a lot of hard work that goes into making these deals come to closure.

Manish Dugar: Dipesh, to your first question on the industry and type of work in the TCV, majority of the growth in TCV over the last quarter actually came from outside of BFS. The good thing is that the work has got a lot of broad basing from a demand perspective. Geog raphy -wise, as we talked about, the fact that it is a significant TCV from Canada given its proportion to the size of Canada business. From a service perspective, a large part of it is application centric. From a vertical perspective, it is actually reflec tive of investments made in building some of the other verticals. From an account perspective, a lot of this is from beyond the Top 10 customers, which is, again, reflective of the investments we made in NCA and our efforts to diversify. So if you think ab out it, it is actually helping us diversify across all dimensions - the clients, the verticals, the geography, and from a capability perspective, not to forget significant contribution from the AI - led transactions.

Dipesh Mehta: Understood. The only follow -up question, which is, I think unanswered was on the DXC subsid iary I'm referring to, what is the revenue run rate?
Manish Dugar: So we would not like to disclose that, Dipesh. It's like Nitin mentioned earlier...
Nitin Rakesh: I think the right way to think about it is Microsoft business applications is the reason we actually took over that book of business. It is part of strategy that we've been following up, building a string of pearlscapability. It is something that had been in the works for many months in terms of really identifying pockets where we could get to a business arrangement that works for both parties. And it is not material in terms of the overall size of our business. But at the same time, from a capability stand point, it is definitely some

thing that will , and it's already creating synergies because we actually integrated that pretty much on day 1.
Moderator: The next question is from Sandeep Shah from Equirus Securities.
Sandeep Shah: Just 1 question. Nitin, is t here any large client -specific issues still worrying you in any of your industry segments?
Nitin Rakesh: As I mentioned before, the metric that we are mainly focused on is wallet share within a customer and expansion of TAM in every large customer. So thes e are two things that we continuously focus on as we drive the account plans. If I focus on these 2 metrics, I don't see significant areas of concern that give us a pause saying, we need to double down or we are not really well -placed in any of our top accounts. Of course, it also depends on the environment that th ose accounts are going through.
And in some cases, we've had certain client -specific issues that have kind of lingered on for a little bit longer. But I think on an overall basis, it is driven more by what's going on outside our control versus the micro focus that we've been bringing to the table pretty consistently over the last 5 years. So I think we'll continue to execute the strategy. We'll continue to expand that cohort account planning bas ed model to accounts outside the Top 5, Top 10, which is why I broke out the performance coming out of accounts in 11 to 20 and 21 to 30 as well as outside of BFS.
So I think the 3 vectors of diversification, we will continue to expand. And of course, give n that we are so focused on TAM expansion and wallet share expansion inside of our existing top customers, I think we will actually disproportionately benefit either through consolidation, which also has continued to show good promise or through return of spends.
Sandeep Shah: Okay. So my question was on that -- the path which you alluded. The issues in the large clients, which are outside your control, led by macro issues, those issues largely bottoming out, or you believe still it's early to call out that ?
Nitin Rakesh: I think it's too early to call it out at a group level. I think they are , as I mentioned, right, it all depends on the segment that we are operating in. Some of those clients, while we've actually grown the share of wallet in tech services, we've obviously lost revenue on the mortgage side because that just was so headwind ed, it's the same customer. So I think it's more nuanced by LOB or by segment that you are operating in. Even within our very large customers, some of

them have been more e xposed to the slowness in deal making on Wall Street, which has an impact on their spends in CIB versus their spends in consumer or payment or asset and wealth. So I think it's a little bit more nuanced right now, which is why I gave you guys an outlook by LOB or business segment within banking. I think that's the right way to think about it. Obviously, we are more comfortable today in many of those segments than we were 3 months ago. But I think it's too early to say that across the board, the demand has c ome back or there is a big bang change.
Moderator: Next question is from Ashwin Mehta: from AMBIT Capital.
Ashwin Mehta: Just wanted to get a sense in terms of the USD 700 million plus of deal flow. Any duration changes that you have seen versus earlier giv en that there were four 100 million -plus deals here? And the second question was in terms of our margin outlook as we go through the year, given that we have significant scope in terms of utilization, growth is also expected to improve. And the third one is on our Top 10 client cohor ts because we've seen sharp declines there. So as a cohort, do you see that stabilize as you go forward and see a similar sequential growth that we're guiding for the overall company? How should we see that?
Nitin Rak

esh: Ashwin, on the first question arou nd duration, I think I just answered it a few minutes ago. Nothing to call out. The contract duration, multi -tower nature and transformation, all of that has been fairly consistent on the large deal side. So there isn't any significant change in any of tho se,

that's the point number one. But I think a corollary to that was that we've definitely seen a downtick over the last couple of quarters in the smaller deals that typically do add up to in - quarter revenue and ACV. So I think that is tied directly to the cuts and discretionary spends and the lack of opportunity to backfill or project rollovers that don't get refunded. So that's the first point. Second, maybe on margin, Manish, you can take the second one.
Manish Dugar: So Ashwin, we talked about our philo sophy of maintaining margin in a narrow bandwidth , with investing for growth. And we talked about the fact that there will be an expansion in the margin as we go forward. We did expand the margin, although a very small number, 15.4% from 15.3%. But when yo u think about it, this came despite the sharp decline in revenue and the pressure we had continuing from the prior quarters on a variety of metrics. Operating metric, as you rightly mentioned, continues to give tailwinds, whether it is utilization, whether it is pyramid, whether it is the value driven sales leading to better pricing environment.
And we feel confident about the margin as we go forward, leading to us guiding that we would be reporting expanded margin as we go forward. I know that the environment is very different when we look at the peer group, but we feel reasonably confident that we will deliver the expanded margin, and we have done our bit in terms of making sure that that happens despite the investments that we want to make in the business as we go forward.
Nitin Rakesh: I think your third question was around the Top 10 cohort and when do we see recovery. I think as I mentioned, I just gave a nuance on lines of business. I think as we've seen an uptick on the mortgage side that will definitely feed back into the Top 10 cohort because there are multiple clients where we do service them on the mortgage side as well as on the tech side.

Second, I think some of the large deal inflow will definitely feed in at an overall company level, but the large deal closures, the pipeline is fairly strong in BFS, as I mentioned, but I think the closures have to pick up a little bit more for us to start seeing that uptick. My sense is, there's probably a little bit of a lag between , especially in some of those banking heavy top clients, but the confidence on second half acceleration really comes from an uptick in the Top 10 cohort as well.
Moderator: The next question is from Manik Taneja from Axis Capital. It seems that we have lost line from Manik. We 'll move to the next question that is from the line of Abhishek Shindadkar from InCred Capital.
Abhishek Shindadkar: Congrats on the strong bookings. Just 1 question on the bookings. So I wanted to understand, if you can give a color whether these are wall et share wins? Or did we displace any competition? And second is, was there any change that you noticed in the closure timelines of these deals from the initial conversations to closure? What I'm trying to understand is, was there a bunching of closures or these were actually closed way before than you anticipated?
Nitin Rakesh: I think on the first question around displacement of competitors, I think I answered that in the context of competitive intensity. Given that majority of these were outside of Top 10, you can actually easily say that many of them are wallet share gain deals because we've constructed propositions and effectively eaten into somebody else's share of wallet because we've, in ma

ny
cases, bundle d change and run our transformation in these deals. There are deals, for example, the likes of Canada that are pure greenfield, new client acquisition deals where we were able to really construct a proposition and create an opportunity. I think that's kind of, I mean, whether we call it wallet share or new customer acquisition, and I'll leave it to you to decide.
There is obviously an element of, as I mentioned, a fairly high degree of complexity that is involved in getting a deal from origination to conversion, not just closure but conversion. And I think while there has been some uptick in that, it is very specif ic to certain segments that I think we would like to see that spread across other segments as well. Given that there is a significant portion of these deals that are also outside of BFS, I think some of that did play in.
And we've called out deals in heal thcare. We've called out deals in hi -tech. I think all of those continue to really help the overall strategy of diversification, as well as creating new engines of growth, both from a deal standpoint, and of course, subsequently on a revenue standpoint. Di d I miss anything from your question?
Moderator: Abhishek, does this answer your question? Sir, we have one last question that we received over the webcast. That is from the line of Haresh Alamchandani from Smart Money Financials. The question is, sir, I trust your leadership, vision and enterprise. However, can you please plan to deliver 15% growth in net marg in by increasing revenue and cutting on opex ?
Manish Dugar: Haresh, thanks for the confidence. We have stated the philosophy of maintaining margin in a narrow band and investing for growth. We believe that, that delivers a better return to our shareholders , given the growth multiplied by EBIT eventually is the EPS. We will continue to

look at the avenues for investing while making sure that the margin remains in a narrow band.

Having said that, as the scale happens and as we grow, we believe operating lever age gives us a northward bias to the margins, and that's what's reflected in the expanded reported margin this quarter and the confidence of reporting an expanded margin as we go forward.
Moderator: Thank you. Ladies and gentlemen, that would be our last q uestion for today. I now hand the conference back to Mr. Nitin Rakesh for closing comments. Thank you, and over to you.
Nitin Rakesh: Thank you all for your interest in Mphasis and your questions this morning. While the macro environment continues to remai n uncertain, we are very pleased with the record breaking TCV as well as the large deal wins this quarter. And we continue to be cautiously optimistic. And at the same time, we'll continue to update you through the remainder of the year and look forward to seeing you all on the next calls.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to the Mphasis Investor Relations at investor.relatio ns@mphasis.com. Thank you for joining us, and you may now disconnect your lines.
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Call: Oct 2023

26 October 2023

The Manager, Listing
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001
The Manager, Listing
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. c/1,
G-Block, Bandra-Kurla Complex,
MUMBAI 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

Further to our intimation dated 20 October 2023, please find enclosed the transcript of the Investor(s)/Analyst(s) call which is hosted on the website of the Company at https://www.mphasis.com/content/dam/mphasis-com/global/en/investors/financial-results/2024/transcript-of-earnings-call-q2-2024.pdf

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking you,

Yours faithfully,

For Mphasis Limited

Subramanian Narayan
Senior Vice President and Company Secretary

Encl: As above

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Q2FY 2024 Earnings Conference Call
October20, 2023
MANAGEMENT : MR.NITIN RAKESH CHIEF EXECUTIVE OFFICER
MPHASIS LIMITED
MR.MANISH DUGARCHIEF FINANCIAL OFFICER
MPHASIS LIMITED
MR.GIREESH SONNAD CHIEF EXECUTIVE OFFICER
SILVERLINE

Mphasis Limited
October 20, 2023

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Moderator: Good morning, ladies and gentlemen, and thanks for joining the Mphasis Q2 FY 2024 Earnings Conference Call. I am Zico Pereira, your moderator for the day. We have with us today Mr. Nitin Rakesh, CEO of Mphasis and Mr. Manish Dugar, CFO. As a reminder, there is a webcast link in the call invite mail that the Mphasis management team would be referring to today. The same presentation is also available on the Mphasis website, www.mphasis.com, in the Investors section under Financial and Filing as well as on both the BSE and NSE websites. Request you have the presentation handy.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to state that some of the statements made in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q2 results release that has been sent out to all of you earlier.

I now hand over the floor to Mr. Nitin to begin the proceedings of this call. Thank you, and over to you, Nitin.

Nitin Rakesh: Thanks, Zico, and good morning, everyone. Thank you for joining us today. As you may have noticed in the opening slide, Mphasis has just turned 25 last month. A lot of you have been following us since the early days. On behalf of the management and the Board, I would like to thank you all for your interest, investment and camaraderie over the years. We look forward to the next 25 years of being a hi-tech, hi-touch, hi-trust organization. Thank you again.

I understand you may have had lesser time than the previous quarters to go through our MD&A. Hopefully, this call will help with the deep dive in answering any questions you may have. As we begin the second half of FY '24, I would like to start by discussing a few macro trends before double-clicking on Mphasis' performance numbers.

There are a few themes playing out in the market right now, namely, varied growth trends. There is a duality in growth across segments. BFS and Insurance are moderating, while health care, utilities and travel continue to have tech spends.

On the discretionary client spend, clients want a transformation partner and consolidation and cost takeout plays are dominant themes. Adoption of AI continues to be a strong theme. GenAI is automating, augmenting and accelerating multiple areas across service offerings.

Additionally, we see relentless prioritization in the market.

There is this construct of digital duality playing out. On one hand, there's extreme focus on spends, especially discretionary. And on the other hand, there's a healthy desire for continuous transformation and innovation, especially in application of AI across enterprises. Forward-thinking enterprises are strategizing to streamline their operations, scale their processes and find means to conserve cash. As the deck gets reshuffled, transformation partners are likely preferred

over traditional vendors. Tech budgets are focused on quick wins even as executives tend to be more pragmatic in these uncertain times.

McKinsey's AI survey report states that leaders are automating most data related processes which can both improve efficiency in AI development and expand the number of applications they can develop by providing more high-quality data feed into the AI algorithms. In the past year, early adopter high performers have become even more likely than other organizations to follow certain advanced scaling practices such as using standardized tool sets to create production-ready data pipe

lines and using an end-to-end platform for AI-related data science, data engineering and application development that they've developed in-house.

Since we were founded 25 years ago, we've been relentless in our commitment to design and architecture, combined with an engineering DNA, allowing us to create a portfolio of cutting-edge offerings and services, combined with domain expertise. This is reflected in our build- buy-partner strategy as well. We have built -Vectors of our growth strategy are aligned around technology capability expansion, vertical focus and geography expansion axis, increasing our repeatability of deal archetypes using the Tribe and Squad model, which we have discussed before. Additionally, we have been consistently building our leadership teams. We've added new leadership across geographies such as Canada as well as in select verticals such as insurance, while continuing to strengthen our coverage in our strong verticals like BFS. We are very happy to welcome Ayaskant Sarangi, who joined us earlier this week as our CHRO.

We have partnered with several hyperscalers as there are specialized market-leading AI platforms and solutions companies such as Kore.ai, WorkFusion, Databricks, etcetera. We expect additional deal archetypes as we expand on these offerings.

While you already know of our past acquisitions, this quarter, I would like to tell you a bit more about Silverline and invite the CEO, Gireesh, to share his perspective in a few minutes. Silverline is a Salesforce Summit Partner, the highest Tier in Salesforce partner program.

Silverline's deep Salesforce expertise and scale, combined with our execution muscle and reach, will not only assist us in designing next-gen digital capabilities, but will also help establish us as a dominant player in the Salesforce ecosystem. This acquisition will complement our key strategic initiative of driving the intersection across customer experience transformation, contact center modernization and conversational AI-enabled automation, thus enabling tech transformation to meet the evolving and dynamic needs of our customers.

With that, I invite Gireesh to share details on the company he has founded and built.

Gireesh Sonnad: Thank you, Nitin. The Silverline team is very excited to now be a part of Mphasis, and we are already hard at work aligning our teams to create value and drive innovation for our mutual clients. As you have mentioned, Silverline offers digital transformation consulting services on the Salesforce platform. We are a U.S.-based consultancy and a Salesforce Summit Partner, which is currently the highest tier in the Salesforce partner program. With over 400 consultants around the world, we guide clients through every stage of their digital transformation journey with consulting and advisory services, implementation and managed services and specialty

platform capabilities. We are known for our expertise in the full suite of Salesforce technology and for our deep industry knowledge.

Together, these capabilities allow us to help organizations take a data-driven and technology-focused approach to better connecting with and serving their customers. With nearly 15 years of performance history, we have delivered thousands of successful transformations and bring to Mphasis deep Salesforce ecosystem relationships, a talented team that is globally recognized for its Salesforce expertise and expansive industry knowledge in key verticals, including financial services, retail, health care, life sciences and media and entertainment, many of which naturally align with the industry focus at Mphasis.

Our positioning in the Salesforce ecosystem is particularly powerful. In addition to operating at the highest level of partner accreditation, we were part of the Salesforce Ventures investment portfolio for over 10 years and have built strong, long-lasting executiv

e-level relationships.

These deep connections to Salesforce power our growth and extend our influence in the ecosystem.

We are a close partner to Salesforce in its industr first strategy, and Silverline has been one of a select group of product launch partners for Financial Services Cloud, Health Cloud and Media Cloud, and are a preferred partner to several key ISP industry solutions. All this manifests in benefits such as enhanced pipeline generation through joint client pursuits, strong delivery partnerships with Salesforce and product development insight through our involvement as partner advisory board members.

For Silverline, as the Salesforce ecosystem continued to grow and the opportunity for AI and data-driven innovation increased, we saw an opportunity to accelerate our own growth journey. Mphasis was the natural place for Silverline to do that. As part of Mphasis, we immediately expand the breadth of Silverline's capabilities and the global reach of our insights. And together, we align complementary capabilities that will help us build even more compelling digital experiences for our combined set of clients.

Silverline's digital transformation approach with Salesforce matches well with the service transformation approach of Mphasis.

With this combination, Mphasis now has access to the fast-growing Salesforce ecosystem for continued growth. Specifically, we see 3 vectors to drive growth through our combined capabilities. First, we will accelerate Silverline's core growth current strategy and we continue to support our current clients and engage more organizations in digital transformation work. Second, we will bring our Salesforce services to the impressive roster of marquee clients at Mphasis.

And third, Mphasis and Silverline will explore new growth opportunities as we go to market together in this AI-led revolution. As we look to the future, we feel the possibilities are endless. Our teams have a shared vision for success and are already hard at work making this a reality. I'm excited for our people, for our combined set of clients and for the continued growth at Mphasis. Thank you, Nitin.

Nitin Rakesh: Thank you, Gireesh. I'm personally thrilled with the opportunity of artificial intelligence to maximize business outcomes. At Mphasis, cloud and cognitive-led solutions have been central to our unique Front2Back approach to transformation. The Mphasis.ai business unit delivers various benefits to enterprise clients that include offerings that drive business outcomes, starting with the AI Advisory unit to help assess and identify key AI interventions to complete archetypes such as contact center transformation, customer experience transformation, etcetera.

Further, our clients have access to an array of Mphasis-patented AI assets with over 250 ready-to-use models available on the hyperscaler marketplaces and frameworks created at the Mphasis Next Labs. These frameworks can be seamlessly integrated into existing systems and processes. Access to state-of-the-art conversational AI platforms powered by generative AI technology and large language models transform customer experience management, employee engagement as well as to drive operational efficiency and increase NPS scores.

We've also turbocharged the Mphasis Sparkle Innovation Ecosystem which has enrolled over 50 domain-specific startups, including those that are AI-focused and can accelerate the co-creation of robust, go-to-market solutions for enterprises. Examples from the business unit's suite of intelligent service offerings are now being created as additional deal archetypes in true Mphasis fashion. Contact center and customer experience transformation is a solution that helps enterprises, for example, deliver great customer, agent and employee experiences, reducing digital leakage and delivering operational efficiencies by introducing AI-based inte

rvention into
the ecosystem.
In addition, our early investments and partnerships in AI are bearing results. We see 29% of our TCV being AI-led as of the first half of FY '24. We see AI influencing additional new archetypes in and around areas I just mentioned before, including productivity transformation and delivery efficiency, expanding our addressable market further into these services.
Almost all our pipeline continues to be tribe-driven, archetype-led and is up 2% sequentially and 33% year-over-year despite record conversion from pipeline to new sold TCV in the first half of FY '24. Our pipeline is also well distributed across verticals. BFS continues to generate a high share of pipeline at 38%. However, the other verticals have also increased their share now to 62%, suggesting that our investment in growth diversification is working. We've also seen a shift towards large deals in the pipeline, suggesting that digital transformation and accelerating digital adoption continue to be core themes for our clients.
Our pipeline generation in some of the smaller verticals such as health care has been particularly robust with pipeline in this vertical being 3x on a Y-o-Y basis. More than 2/3 of our pipeline continues to be application-centric, further reflecting the strength of our application transformation and modernization engineering process. Pipeline is also well distributed across key themes such as data, modernization, cybersecurity, Agile Ops and platforms. Expertise in these themes continues to be resident in our tribes, as we've discussed with you in the past.
As I mentioned earlier, our TCV for the first half is at USD961 million, one of the highest levels. There are a few things that I would like to highlight further on this aspect. TCV wins in the first half include 10 large deals, of which 3 of them were won in this quarter. Six of the large deals

in the first half are in verticals outside of the BFS, which shows that our vertical cohort strategy is working across the board.
This quarter, we are also pleased with the deal momentum revival seen in the mortgage business after several months. Notably, significant TCV wins also continue to be from beyond our top 10 accounts and are well distributed between our various service lines. More than 70% of our deal wins continue to be powered by next-gen technology adoption.
We've mentioned on our previous calls that we are seeing lengthening of sales cycle in converting pipeline into TCV and TCV into revenue due to greater scrutiny of the tech spends. While the conversion of pipeline into TCV seems to have normalized, we note that TCV revenue conversion cycle is still elongated and somewhat sluggish in a few deals. We expect further improvement on this during the course of FY '24.
We continue to push for revenue growth, which is anchored in our strong client mining model and tech-led offerings. Our second quarter FY '24 revenue came in at USD398.4 million, marginally high over previous quarter in constant currency terms. We continue to be impacted by overall macro environment, of course, as well.
Our Direct business accounted for 95% of our overall revenue in second quarter '24. The mortgage business declined sequentially by about 7% in this quarter. The contribution of Digital Risk, our mortgage BPO subsidiary, now stands at approximately 6% of overall revenue in Q2 versus 11% a year ago in Q2 of FY '23.
As mentioned, we see incremental stability in this segment based purely on the market share gains from new and existing clients who are increasingly looking at best-in-breed solution providers for a combination of cost takeout and transformation programs, giving us visibility to an order book that signals the bottoming in this segment without calling for a change in the macro conditions. While we expected some of these deals to be revenue accretive in Q2, we saw so

me -- we've seen a pushout of conversion due to transition in ramp-up timelines towards the later part of Q2, and we're now expecting to see that revenue to pick up in Q3.
Our direct revenue increased by 0.3% sequentially in constant currency terms and declined by 8.9% Y-o-Y in Q2 FY '24. Direct ex mortgage increased by about 1% quarter-over-quarter in constant currency terms, continuing to reflect relative tightness in discretionary spends in some of our clients and the macro overhang.
Our anchor geography, U.S. declined 11.9% direct Y-o-Y and declined 2.2% sequentially as remnants of macro overhang in the banking sector persist. The EMEA region and the Rest of the

World grew Y-o-Y basis as well as sequentially. We've seen good client wins and traction there. Our core service line of enterprise applications consisting of 70% of revenue marginally declined by 0.3% sequentially in constant currency terms in the direct business impacted by tightness in discretionary spending in some of our clients and select pockets in BFS.

The BPO segment, which has suffered from the downturn in the mortgage segment over the last 4 quarters declined 26% Y-o-Y, but grew 4% on a sequential basis. We see further potential for AI-led gains in this service line.

Moving to vertical performance. Our mainstay vertical, BFS, was down 20.5% Y-o-Y on an overall basis, weighed down by the mortgage business, excluding the impact of DR, BFS declined 11.4% Y-o-Y.

We saw good growth in the TMT vertical with our client wins in recent quarters ramping up well. Similarly, our smaller verticals in direct, such as healthcare are growing quite well, as reflected in the 6.5% Y-o-Y growth in Q2 in the others segment.

Pursuant to a merger between 2 of our top 10 clients, the client metrics of previous periods have been accordingly restated. Our top 10 accounts declined 9.3% year-over-year on an LTM basis, going down by the mortgage business pressures in the past few quarters and tightness in discretionary spends.

Note that our top 10 clients, ex the mortgage business remained flat Y-o-Y despite the pressures from regional bank crisis earlier this year. Our 11 to 20 client segments marginally increased at 0.3% Y-o-Y in a tough macro environment.

As mentioned earlier, the contribution of Digital Risk now stands at 6% of overall revenue in Q2 versus 11% a year ago. To ensure scalability and facilitate the next phase of growth, a realigned vertical GTM structure was implemented in April '23 to align the GTM organization and drive better sales synergies and enable scalability, repeatability with the vertical focus.

Results of this are bearing fruit as we see our clients from 21 to 30 at a healthy pace, 22.5% on a Y-o-Y basis. Our new client acquisition revenue continues to grow double digits as well. Client mining stats remain steady, both sequentially and on a Y-o-Y basis.

The Y-o-Y movement in clients in the 75 million and 100 million plus categories is purely due to market softness on a Y-o-Y basis. We expect this to come back as the mortgage spends resume. We're using this opportunity to continue to consolidate our wallet share gains and our market share with our mortgage clients.

Coming to our financial metrics, our margin philosophy affords us the flexibility to manage our profitability in the face of revenue headwinds. This quarter, our EBIT margin stood at 15.5%, within the stated margin guidance band of 15.25% to 16.25%. Reported operating profit declined 5.8% Y-o-Y due to revenue headwinds and improved 1.4% sequentially. Losses in cash flow hedges impacted margins in Q2 by 60 basis points.

Our EPS of INR20.8 for this quarter is a decline of 1.1% sequentially despite higher operating margin mainly due to reduction in other income due to lower investible surplus on account of dividend payout. Cash flow generation for the first half of the year was USD120 milli

on, which
is 100% plus of PAT for the half year.

We generated highest ever quarterly operating cash generation of USD86 million in Q2, which is 180% of our net profit. Adjusted for the one-timers of USD21 million of delayed Q1 collections, the cash generation in Q2 would be USD65 million, which is 137% of our net profit for the quarter. Our DSO also improved by 8 days to 70 days at the end of Q2 '24.

While many of the deals we saw last quarter have converted, there are still some deals that are taking time from a conversion standpoint. In Q2, we remain focused on ensuring revenue stability with margin expansion theme. I'll leave you with a few points.

Macro-driven overhang continues in select verticals while we focus on the micro and account-specific efforts.

Despite multiple pressures, we saw stability in sequential revenues, driven in part by the visibility from the highest ever TCV closure in the first half at USD 961 million. Further, we saw continued stability of DXC segment, while making gains in the mortgage business order book, setting us up for subsequent quarters.

Our efforts towards diversification of TCV and pipeline beyond BFS and non-top 10 clients continues to bear results, while BFS pipeline also grew by 21% Y-o-Y. AI-centric deal propositions are paying off, accounting for nearly 29% of the total TCV in the first half, driven by continued acceleration in the Mphasis .AI business unit as well as continued investments in capability building across categories including the recent acquisition of Silverline as well as our strategic partnership on professional services at WorkFusion.

Our market share continues to be robust with continued wallet share and consolidation deals in play with most of our top clients. We've delivered expanded margin despite revenue challenges-sustained focus on utilization productivity and offshore leverage have been the key drivers of this space.

As we come to the remainder of the year outlook, we continue to take a forward leaning stance on our tech-led positioning. We have a strong pipeline entering the second half of the year led by AI, cloud and transformation deals. We expect sequential revenue growth through the remainder of FY '24, driven primarily by the fact that the mortgage segment has bottomed out with signs of order book pick up.

And while there continues to be an overhang from the regional bank crisis, we also have seasonality trends and tighter macro conditions driving slower uptick in revenue in Q3. Our revenue diversification of non-BFS outside top account continues to bear results.

On the margin front, we retain our message of margin stability, excluding M&A charges, operating margin will remain in the 15.25% to 16.25% throughout FY '24 with a continued focus on operational rigor, giving us increased confidence in the trajectory of our performance.

On that note, moderator, let's open it up for questions, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Also for the quarter, if you could, one, characterize the weakness that you saw during the quarter, was it a surprise? So that's one. Second, is the -- you have sort of restated the top client contribution numbers. So, some context on that.

And finally, from an H2 perspective, do you think the leakage on the book will still be high and revenue accretion from the deals -- or do you think that revenue accretion from deals can sort of compensate and H2 can actually be reasonably stronger than H1, right? So, those were the three questions.

Nitin Rakesh: So, I think on your first question on the -- whether it was a surprise. I think there were a couple of deals that we thought would pick up sooner than they are

, primarily driven by either additional scrutiny or in some cases ask from the clients for a longer ramp-up period, given just the transition timelines that we estimated versus where they want us to be. That actually was very evident in a couple of deals, including one in mortgage.

No loss of revenue, no loss of share. I think it's just a timing phase-out issue. What should have ramped up in August, September is probably going to ramp-up in October, November, December timeframe.

So, from that perspective, I think the timing of that push out definitely had a little softer impact on the quarter. But as such, we still made up and more for some of the other discretionary spend cuts, the leakage, as you called out.

I think the -- select pockets, as I called out in BFS, that tightening is fairly evident across the industry. We do believe, as we continue to convert order book into revenue, which means sold deal for the first half, we should be able to make up for a fair bit of that. Keeping in mind the seasonality effect in Q3, I think we are still reasonably confident that we should be able to deliver sequential growth, but we believe it will actually pick up as we get out of the seasonality impact and accelerate further in Q4.

In terms of client restatement, as I mentioned in my script, 2 of our top 10 clients merged. So, we had to restate that with our top 10 client metrics and we've gone back 4 quarters and given you the analysis for you to be able to do a like-to-like comparison. And from that perspective, I think, that's probably the best we could do to give you a very similar feel to -- so you can actually compare numbers. Second half I think already answered that in Q3 and Q4.

Nitin Padmanabhan: Yes. Sorry. So essentially, second half should, on a progressive basis, be better Q3 obviously furloughs but...

Nitin Rakesh: Yes.

Nitin Padmanabhan: Do you think furloughs are -- compared to last year, how does it look? The last year was bad. Do you think this time it's better or there is more...

Nitin Rakesh: Hard to predict comparatively. We definitely know that this has been a tougher year. Segment-wise, last year, the furlough impact was in different segments, than I think it's going to be in this year because last year, high tech was the first one to call a furlough. This year, BFS seems like this is probably the leader in the pack, when it comes to having some impact.

I think we are, at this point in time, focused on making sure that we are able to minimize that impact. We've taken certain estimates in our current visibility, and we'll hopefully be able to manage that through additional business ramp-up as we talked about and still show sequential growth.

Nitin Padmanabhan: Sure. Perfect. That's helpful. And just one last one. In the last quarter, we spoke about capacity build-up in the home equity business. And that should sort of lead to growth in Q3. So for that business, if you look at the numbers, it doesn't look like the head count has sort of improved. So just wanted your thoughts there. Is that the one that you mentioned is sort of pushed out or...

Nitin Rakesh: Yes, that's kind of what's driving that than one particular program that we talked about. But what's happened since further update is that, we've seen actually pretty good deal closure in that segment in Q2. That should result in some uptick in Q3 as well. Obviously, as I mentioned that, there is a certain transition and ramp-up time line that will also go into Q4. So Q3, Q4 definitely look better sequential quarters for the mortgage business.

Again, I want to reemphasize that, this is not a call on the macro. We are not saying volumes will pick up or we think the interest environment has bottomed out. This is purely based on the fact that we've gone and we've been able to open new opportunities, close deals with customers that are now starting to think abou

t a best in breed provider who can actually give them a transformation plus a cost lift.

That's kind of -- this is really a pure market share. Our biggest competitors in the space are either not able to provide that same level of transformation and cost play. And in some cases, they are still captive to our customers, and hence, we are a pretty credible alternative for them to be able to use in a downturn like this. So it's purely based on our deal wins and our order book versus being based on the macro. So I just want to make sure that was clearly understood as well.

Moderator: Thank you. Our next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: Yes. Hi, thanks for taking my question. So I have three questions. So first is on the banking. Nitin, just wanted to understand, how are we internally thinking about it, especially within the top 10 customers? When do you think things will start recovering? I know there are multiple moving parts. But given there was some excess supply created at some of the banks and there's a discretionary cut, which is offset by some of the deal wins that are happening. So just trying to understand, in your internal estimates, how are you thinking about the banking, especially from a top 10 perspective?

The second question is on the supply side. There's a moderation in head count, but a much sharper decline in utilization despite organic revenue not declining as much this quarter. So just trying to understand, how should one look at that?

And the third question is on the outlook piece. So this progressive growth -- sequential growth in Q3 and Q4, would that hold true on an organic basis also? And what's the impact of M&A charges that we are thinking about, given that guidance has some update excluding M&A charges?

Nitin Rakesh: Okay. So let me take those in that order. I think you talked about growth view for banking top 10 customers, and you already called out for a couple of the answer items that I was going to talk about, which is discretionary spend cut primarily driven by overcapacity at the banks. That's definitely playing out through 2022 and -- later part of '22 and most part of '23.

Hard to call when that will shift or change, except that this concept of an annual budget exercise that has started at the banks didn't quite hold true for '23 because many of them, given the uncertainty in the macro and the promise of recession that we are still waiting for, has kind of given a lot of pause to that budgeting exercise, and many of them went into a monthly budget model itself.

So it's very hard to call what happens in that segment. We can't control the macro, so we are focused on the micro, which is account specific actions, not just in top 10 accounts, but also in accounts that we acquired in the last two years or three years where we are more of a challenger, a lot less to lose and we can be a lot more disruptive with our deal archetypes.

So net-net result is, of course, seasonality of the quarter will definitely play up there, but we do expect -- we do think that, we continue to focus on account-specific actions. Hopefully, the regional banking headwinds have kind of stabilized. So we should definitely see stability in that

segment this quarter and potentially growth in the next quarter given the order book, again, and I called that out as well.
On the supply metrics, head count utilization, revenue correlation, given that more than 50% of the revenue is really managed outcome of some form, there are certain milestone-based deliverables that lead into the revenue number. And of course, the head count metrics also -- our head count revenue correlation also gets impacted by on-site and offshore.
If you see our offshore percentage, it's up 4% yoy. But at the same time, we've seen some pickup in these transformation deals that definitely p

layed into that revenue to head count model. I think
utilization dropped marginally driven primarily by, as I mentioned, late quarter actions on the head count and the billability.
So from that perspective, not too much to read into or call out into that. In a way, it gives us a little bit more room to grow with the current head count and ramp-up as we start some of these deals from a delivery standpoint. So we'll continue to keep a very close watch to see how much room we need. We are still fairly forward leaning on fresher adoption and pyramid corrections.
So I think that, we are fairly well equipped to handle that change of supply-demand dynamic.
On the outlook, if we look at the organic number, we definitely think, we'll be able to eke out growth in Q3. The extent of that will depend on how much seasonality plays in. But the outlook we gave you was not inclusive of the inorganic actions. Of course, the inorganic number will

show up in the reported numbers and that will definitely give a boost to the overall number as well.
Manish Dugar: The last question, Sulabh, on the M&A charges. Since we just concluded the transaction, we are going through the purchase price allocation discussion. And it will govern how much is the cost of amortization other than the transaction costs that will come into the P&L and the retention bonuses, plus the synergy expenses. Excluding the acquisition charges and M&A charges, our belief is that the margin will be sustained or expanded.
So if you were to look at the margins without the M&A charges, it will look as an expansion in the coming quarter as well. Currently, the estimate of the M&A charges is in the zip code of 0.7% to 0.8%. But we will get the confirmations once the purchase price allocation discussions are over and we'll be able to communicate that once that is done.
Sulabh Govila: Sure. So just a quick follow-up, Manish. If I understood this correctly, the estimate of purchase price allocation impact is 0.7% to 0.8%?
Manish Dugar: No. The current estimate of total charges, excluding what is the transaction cost, is 0.7% to 0.8%, which includes the cost of retention bonus, the synergy investments that we will make in the initial period plus the amortization of purchase price allocation. However, that will get fructified once the PPA is complete.
Sulabh Govila: Understood. Thanks for taking my question.
Moderator: Thank you. Our next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Hello and thank you for the opportunity. First of all, with a clarification question, trying to understand the contribution of the HP subsidiary that we had acquired at the end of last quarter.
And if that is -- and if that number is still driving the strong sequential growth on the TMT side?
That's question number one.
The second question was with regards to getting some qualitative commentary in terms of the revenue growth trends that we've seen for us in the logistics and the transportation business, along with that also on the BFS business, ex of DR?
Manish Dugar: So Manik, on your first question on the eBECS transaction, as we spoke about it last quarter, the idea was to acquire the capability that we can utilize for all larger customers at Mphasis. A lot of the client and the revenue that we acquired were not necessarily something that we intended to continue with.
So while you would have seen an LTM basis reported number of the entity that has been acquired, what has actually got consolidated in our books does not have any significant material impact. And obviously, since we have consolidated full quarter last quarter, this quarter anyway is having no impact of any growth of that over the previous quarter. And so, if you want to talk about the logistics part?

Nitin Rakesh: Yes.

I think on the question on our logistics and travel, I think there's a tale of two cities. While the travel piece has actually done fairly okay, especially the airlines business has actually grown quite well. There is obviously more work to be done from a macro perspective for us to see growth come back. We've seen signs of stability. The part of the reason why we are making in some forward-looking estimate on our sequential growth is also coming from the fact that we've definitely seen I would say, there is good order book buildup in that segment as well including the logistics and both logistics and travel sites. I think sequentially, things will probably look better as we go forward. The pace of growth will depend on how quickly we are able to convert those to revenue as well. But at this point in time, I think stability to cautious optimism is the best way to look at the logistics and travel segment.

Manik Taneja: Sure. And the last one was a clarification with regards to segmental margins that is reported for the TMT vertical. They've gone up to almost 39% in the current quarter. Is there some element of both onetime revenues that's driving the strong uplift there? And are these segmental margins sustainable?

Manish Dugar: So Manik, as you would have noticed in our financials, we have disclosed that there has been a contingent consideration that has been reversed. So as you would expect, there are bonuses that are planned and they are dependent on delivery of certain numbers. Since, we believe that, we are going to fall short of what potential opportunity of 100% payout was, we did a re-take on what that payout will be and the excess that we were carrying has been reversed. So, a large part of that actually was in the TMT vertical and that's what's reflected in the margin up lift.

Moderator: Thank you. Our next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Hey, thank you. Hi, Nitin Manish. Just a quick question on the visibility of growth and where the confidence is coming from. If the macro conditions remain unhelpful in terms of banking budgets and pricing rates, do you think that your comments or the performance in the period might change. There's a risk to, what you expect in terms of growth recovery. That's part one. Second part, if you can talk about, how you feel the budgeting conversations on the monthly or quarterly budgeting cycle is happening with your top customers on the banking side? And any early indications of how CY'24 will pan out? Will it be similar to this year? Or do you think there's a chance of it being better or worse?

Nitin Rakesh: Ankur, on the first one, as I mentioned, right. We are not taking a call on the macro when we talk about outlook on the business because this is a very micro bottoms-up account-by-account pipeline, TCV, order book view. It is very hard to take a call on the macro. If the macro worsens like it did in the middle of last quarter, then of course, there's always going to be an uncertainty because we are definitely in a time where it's hard to have a forecast. I think the best of central bankers are struggling to figure out next moves on the macro front. The 10-year spike has obviously surprised everybody this week as well. So, I think it's very, very hard to take a macro call and we are not taking a macro call.

We are based on what we see today, based on the visibility we have from our, not just top customers but also other segments, we are kind of giving an estimate. I spent through fairly

detailed analysis of what's going on in the mortgage business. That's a good example of how we are making the visibility from an order book perspective versus from a macro perspective. There is definitely at least some level of visibility on the fact that there is work to be done that cannot be pushed out for long periods of time. End-of-the-year bud

gets will obviously get extinguished and rebudgeting of 2024 will kick in. So we are seeing, at least in some pockets, customers taking decisions to actually execute programs. I wouldn't quite call it a year-end flush, it's not that prominent, but it's definitely some level of decision-making has moved on, especially for programs that require them to move because that will help them take the cost out of integrated program -- integrated platforms that they don't need to carry into next year.

On the budgeting front, too early to call, also a little bit more nuanced, especially on the banking side. I think if you think about multiple segments of banking and I think I talked about it last time as well. Very highly capital market focused businesses- I don't think there will be an uptick in spend. If anything, they'll continue to watch, the environment very closely. Watch the deal close, watch the M&A activity, capital market activity and that will drive a lot of the incremental decision making.

On the consumer front, on the consumer banking and wealth management front, things are a little bit better because I think there is continued investment from almost every bank making a pivot into annuity-based businesses, wanting to go away from transaction-based businesses to fee-based businesses. So that's where we are seeing continued interest from banks in helping set up those platforms for wealth and asset.

So I think it's a little bit more nuanced than just having a singular view of banking budgets for next year. I think the -- in general, the larger universal banks probably are better place to weather

this. Of course, individual bank ratios will determine what budgeting they will carry in.
But, I think, from the point of view of the monthly versus quarterly versus annual cycles, I think it's hard to say what each of them will do given just the uncertainty they are themselves dealing with. Expecting spiking interest rate that already has happened to lead into deterioration of consumer , obviously provisioning plays in and if it doesn't play out, reversal will happen and budgets will open up again. So there's a lot of moving parts to that equation.
Ankur Rudra: Thank you. Appreciate the color. A quick question on the signings. While first half is very strong, if I just look at the quarter, this seems to be slightly on the softer side compared to what we've been used to seeing from you for the last six, seven quarters. And slightly in contrast with many of your peers have reported relative to this improvement in momentum this quarter. Is this a function of timing? Or is this a function of maybe a lack of signing in banking, which is a much bigger exposure for you?
Nitin Rakesh: So, Ankur, just to give you some color, almost half the deals this quarter are in banking. The lumpiness of large deals is what is driving the 700 million to 250 million swing. Also, as you can expect, there is a certain tenure a deal has to stay in the pipe for it to actually go from origination to conversion.

And because we converted a bumper quarter in Q1, which we're very pleased with because that gives us visibility into a good order book. I think the -- as we normalize and come back in, I think you will see the trailing 12-month number will continue to actually be a good indicator of that versus just the quarterly number.
Ankur Rudra: Excellent. Just last question on Silverline. It looks like an interesting acquisition, best of luck. Maybe elaborate a bit more on the cross-sell opportunity here? Is this more on your banking customers? Or is it for the rest of the portfolio? And if you can comment, Manish, on the impact on margins and earnings accretion, etcetera, over the next -- this year, next year, etcetera?
Nitin Rakesh: Ankur, I'll address the first part. I think the impact is definitely synergy opportunities with almost every segment of our custome

rs because given the strength that Silverline brings in and Girish talked about it in great detail around the product -- visibility into the product council, more importantly, the role they've had in the vertical cloud strategy at Salesforce, this actually makes it very interesting for not just banking, but even nonbanking customers for us.
Especially health cloud, also we don't do a lot of media, so this definitely gives us a tip of the spear on the media side and you've seen we've acquired some decent customers along with the acquisition in the media space. Tier 1 media companies are in the client roster there. So definitely capability acquisitive, accretive and it's definitely leadership accretive.
We are pleased with the level of leadership and the calibre of leaders that come along with this.
We will definitely try to make sure that it continues to be growth accretive because we're opening a TAM that we were not really that well positioned in. We had an existing Mphasis Salesforce business but it was not quite not as-deep-as what Silverline brings to us.
And finally, I think there is a very large ecosystem on the customer experience transformation side that this can unlock as well. And if you include what we've done over the last two years between Blink, the whole contact center modernization approach, conversational AI embedded into it and Salesforce, the portfolio platform, there's actually a pretty strong synergy there from a large deal creation as well.
Manish Dugar: So from a P&L impact perspective, Ankur, Manish here. There are, as you would expect, three things that need to be considered. One is the intangible and amortization of the intangible that gets frozen once we have the purchase price allocation done, which is in progress.
Second is the investment that we would make in the first 90 and 180 days to make sure that the integration program runs perfectly smoothly for the synergy benefits to get realized, revenue synergies as well as cost synergies. And third, cost that has been incurred for the transaction, including some of the retention bonuses that we want to make sure keeps the management and the leadership team of of Silverline excited.
Current view of all of these expenses put together is in the zipcode of 0.7% to 0.8%. However, we will know once the PPA is done in terms of exactness of what that number is.
Moderator: Our next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: So implication, I think you indicated 2 of 10 clients merged. So if you can help us understand implication of this thing from near term to medium term, from growth potential perspective

because their tech spending might be now combined and it has some implications. So if you can provide some sense about it, integration initial benefit in the medium term some kind of negative implication?
Second question is about the -- if I look, we used to give correlation between deal intake and revenue. It used to be fairly high for us. If I look for last few quarters, it is not playing out that way. Your TTM deal intake is 30% as higher. Revenue growth is still in the negative territory. So if you can help us understand how one should think about it? Thanks.
Manish Dugar: So Dipesh, Manish here. I'll take the second question first, which is the correlation between the deal closures and revenue. As you would expect the correlation coefficient also signifies renewal of the business and no runoffs. Two primary things that has been impacting the renewals. One is what's happening in the mortgage business. And there, while it does not so much reflect in TCV closures because most of the revenue growth comes from volume increases, the same thing happens on the negative side as well.
And that volume decline has had a significant impact on runoff, causing the mortgage business to come down from 11% of revenue

last year same quarter to 6% this quarter, and that has a big impact on the correlation coefficient other than the fact that a lot of small discretionary budget spends that were being -- that were coming in has stopped coming in or has significantly reduced because of all the uncertainties that are in the environment, especially in the banking segment because of the regional banking crisis as well as the bank sitting on larger than required head count and that also means that the renewal rates are much lesser.
The same thing will reverse and reverse to maybe more than 1% -- more than 1 correlation coefficient once we see these volumes come back. But as Nitin mentioned, we are not factoring in any macro changes or any changes in interest rates for us to give that guidance at this point in time. But if and when that happens, it should start reflecting in the correlation coefficient as well.
Nitin Rakesh: And on the first question, Dipesh, on combination of customers and budgets going forward. I think we are not thinking out that far because right now, we are focused on monetizing the opportunity that this current merger presents to us because there is a fair amount of integration spend that will be unlocked.
As we obviously get through the integration program over the next few quarters, I think we'll continue to reassess how we stack rank and what our wallet share is and how we can unlock the visible markets. But I think at least for the short to medium term, I think there is a little bit more of an opportunity than a threat purely given just the fact that the programs are now starting to begin.
Moderator: Our next question is from the line of Sandeep from Equirus Securities. Please go ahead.
Sandeep: Nitin is it fair to assume that there could be a sizable growth push from 3Q to 4Q because of a lot of TCV in the order book, which is waiting to convert from TCV in the revenue. Is it fair to assume that?

Nitin Rakesh: Yes, I think that's part of the reason why we are talking about acceleration in growth as we see through Q3 and Q4. Definitely, some of it is linked to the order book and some of it is linked to the conversion. And as the sluggishness eases off based on not again any macro call, but based on just the fact that we stay very focused on converting that to revenue, some of that will definitely aid in this tailwind.
Sandeep: Okay. And, Manish, just wanted to understand how to model the hedge losses in the revenue line? How does that look like entry in Q3? And I do agree, eBECS has been immaterial to the revenue, but if you can still quantify the revenue contribution in second quarter.
Manish Dugar: So Sandeep, we have been watching the premium that exists in the hedges as we go forward. As you would know, it used to be in the 4% to 5% range, and it is now at 1% to 1.9%. And that essentially means that we have been relooking at our hedge book. We have reduced it from, what we would have had around 75%, 80% covered to around 50%, 55% covered.
Every quarter, we are getting the benefit of higher exchange conversion rates. For example, this quarter, we were able to convert at INR82.5. But because the closing exchange was at INR83, which was almost INR1 higher than the previous quarter, we still ended up having hedge loss in our books. So it's an opportunity loss. We could have gained more if we had not hedged at all.
We still believe from a principal and philosophy perspective, certainty of cost currency and a sustained policy of cover of exchange at least for next 4 quarters and then the following 4 quarters on a reducing percentage basis, is the right strategy to adopt. We might be having a negative hedge loss at this point in time because of significant volatility and depreciation of rupee. But if it continues to be at the current levels, we expect that maybe in another couple of quarters, we should be back to hedge profit

s with reducing hedge loss on a quarter-on-quarter basis.

Your question on eBECS, like we said, it is not a material number, and we would prefer not to give a number in terms of what it has actually come into the books. But it has been consolidated for the full quarter, and we have taken calls on what of it we want to continue and what we want to take haircut on.

Sandeep: Okay. And likely consolidation date for Silverline in the October or maybe starting November?

Manish Dugar: So based on the principle of convenience accounting, while the signature happened and the closing happened on the 12th of October, we would consolidate effective 1st of October.

Moderator: The last question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.

Abhishek Shindadkar: Just two questions. The first one, Nitin, we had called out strong traction in Canada, both from a deal win and a pipeline perspective in the first quarter. Given the recent challenges, do we -- any early indications in terms of potential impact of processing Visa or delaying transitions?

And the second part to it is, it seems like the acquisition Silverline has a subsidiary based in Toronto. Any color in terms of what's the exposure to public services or to the business of Canada in terms of geography? That could be helpful. Thank you for taking my question.

Nitin Rakesh: So I think you're absolutely right. We've seen massive expansion in both TCV wins and pipeline coming out of Canada. I think we talked about the fact that we sold more business in a quarter there than we had for eight quarters in terms of revenue. I think that deal momentum has continued, both in terms of pipeline, and we expect that to also continue in terms of closure as we go through the remainder of the year.

Given that at least from an Mphasis standpoint, our exposure to public services, public sector is fairly minimal. That hasn't really shown up in any major dislocations of existing ongoing deals or conversations. Also, given that sensitivity will be higher if there is a pause or stoppage in immigration services in Canada. So far, that hasn't happened yet either, but we are keeping a close watch on it.

So I think at this point, no major red flags to call out. And based on what I'm hearing from Girish, I don't think there is any major impact coming out of the same issue in Silverline's Toronto subsidiary either.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Nitin Rakesh for closing comments.

Nitin Rakesh: Thank you all for your interest in Mphasis and your questions. While the macro remains uncertain, we are cautiously optimistic, focused primarily on converting our TCV, our pipeline and partnerships, and we are very, very focused on execution. Happy Navratri to all of you and your families. Have a great weekend.

Moderator: Thank you. On behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to the Mphasis Investor Relations at investor.relations@mphasis.com. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

9 February 2024

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Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001
The Manager, Listing
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. c/1,
G-Block, Bandra-Kurla Complex,
MUMBAI 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

Further to our intimation dated 18 December 2023, please find enclosed the transcript of the Investor(s)/Analyst(s) call which is hosted on the website of the Company at https://www.mphasis.com/content/dam/mphasis-com/global/en/investors/financial-results/2024/transcript-of-earnings-call-q3.pdf

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking you,

Yours faithfully,

For Mphasis Limited

Subramanian Narayan
Senior Vice President and Company Secretary

Encl: As above

"Mphasis Limited
Q3 FY 202 4 Earnings Conference Call"
February 02, 202 4

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER – MPHASIS LIMITED
MR. MANISH DUGAR – CHIEF FINANCIAL OFFICER - MPHASIS LIMITED

Moderator: Good morning, ladies and gentlemen, and thanks for joining the Mphasis Q3 FY 2024 Earnings Conference Call. I am Rico, your moderator for the day. We have with us today Mr. Nitin Rakesh , CEO of Mphasis and Mr. Manish Dugar , CFO. As a reminder, there is a webcast link in the call invite mail that the Mphasis management team would be referring to today. The same presentation is also available on the Mphasis website, www.mphasis.com, in the Investors section under Financial & Filing as we ll as on both the BSE and NSE websites. Request y ou have the presentation handy.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star t hen zero on your touchtone phone. Please note that this being recorded.

Before we begin, I would like to state that some of the statements made in today's discussion may be forward looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q3 results release that has been sent out to all of you earlier.

I now hand over the floor to Mr. Nitin to begin the proceedings of this call. Thank you, and over to you, Nitin.

Nitin Rakesh: Thank you, Zico, and thanks, everyone, for joining us today. As we begin this calendar year 2024, Happy New Year to all of you. I know it's been a busy day with the Indian budget announcement s. We appreciate your interest in Mphasis, and I trust everybody has had a chance to review our earnings release document.

I would like to start by discussing macro trends before double -clicking on Mphasis performance numbers. As we have been calling out for a few quarters now, the market is characterized by duality. Macro duality continues to play out. While we are still in t he midst of macro headwinds, clients are also accelerating towards newer sources of value such as AI to stay ahead.

We continue to see relentless prioritization in the market. Organizations are dealing with specific macro issues and spending is not yet back to levels seen previously. There is focus on spend, especially discretionary, and on the other hand, there is heal thy desire for continued transformation and innovation. Our conversations show that while cost savings is still an important topic in tech budgets, companies are also looking at new sources of value to stay competitive.

Gartner, in their latest IT spend report in January '24, forecasts that while '23 was largely influenced by change fatigue, momentum should begin in 2024. IT services spending should see enterprises investing in organizational efficiency and optimization projects as well. Balancing

the macroeconomic conditions with clients ’ big hurry to innovate will be the key space for transformation partners.

Since we went public 25 years ago, we have been relentless in our commitment to lead with design and architecture, combined with our engineering DNA. We continue to work on supercharging our archetype s powered by AI. Additionally, we have been investing to evolve and stay ahead to realize our archetype approach. Our prominent partnerships extend across platform and niche AI and data providers.

Our network ecosystem has several hyperscalers as well as specialized market -leading AI platforms and solution companies s

uch as Code.AI, WorkFusion and Databricks . We expect additional key archetypes as we expand on these offerings.

We are constantly focused on continuous investment in areas that are strategic to our clients, especially for their transformation and tech adoption journey. This investment has taken many shapes from building organic capability in our tribes to investment in partner -driven capabilities to acquisition -driven competency buildup in areas such as AI, cloud, design and the more recent Salesforce and CRM solutions .

People are our greatest assets. Infusing the right talent in key areas will help us move with growth. To that effect, let me summarize a few new leadership additions to the company: Ashish, who joins us in the Executive Council of Mphasis, as the Head of o ur Europe business He brings with him over 2 decades of experience in this geography. Claudio leads our Microsoft Business Services delivery team based out of London. He is highly experienced leader with over 20 years of expertise in spearheading global tr ansformation programs across diverse industries.

On the capability side, Alexey was a Chief Customer officer at WorkFusion and brings extensive experience to execute our digital workforce vision as a GTM leader for our AI business. With the acquisition of Silverline, we not only added a team of Salesforce experts to the Mphasis family but also the leader ship team headed by Gireesh.

Our insurance vertical, which is a key area of focus, is further strengthened by the addition of Ravi who brings 32 years of leadership experience across BFSI and is complemented by Surej in the Insurance Delivery leadership team. The leadership boost validates our commitment towards driving innovation -led growth and operational excellence for our clients. We are confident of delivering exceptional value to our clients and further str engthening our global position.

As a testimony to our AI focus, we are pleased to announce that Mphasis has been named as the 2023 ISG Star of Excellence Award in the Emerging Tech segment for Artificial Intelligence. The award recognizes Mphasis for consistently upholding the highest standards of customer service excellence throughout the past year as reflected in their feedback provid ed by the enterprise customers.

As per the report, Mphasis was recognized for its dedication to client centricity and service excellence following a recent success story with the leading US -based home healthcare equipment and services provider. Based on intricate technology challenges, t he clients sought

our expertise, resulting in an astounding 49.5% reduction in manual issue remediation through implementation of an automation and AIOps platform that serves as an AI -driven orchestrat ion layer alongside ServiceNow.

This success highlighted our ability to address complex challenges in the US tech landscape, showcasing innovation and client satisfaction while adopting new technologies. You will further find details of this in our press release from yesterday.

We are pleased with the pipeline growth outside of the top 10 accounts at strong double digits.Both BFS and non -BFS pipelines have grown well on a year -on-year basis even after the strong deal wins over the past 12 months. Proactive deal pipeline is strong as well, with about 81% of our deals from proactive pursuits. A healthy composition of large deals in pipeline also underscores that digital transformation and accelerating digital adoption continue to be core theme for our clients.

Almost all of our pipeline continues to be tribe -driven, archetype -led, and is also well distributed across verticals and key themes such as data, modernization, agile IT ops, and platforms. Our deal wins for the quarter were at $241 million, making our YTD TCV at $1.2 billion USD. Deal wins a

re stable and there are a few things I'd like to highlight.

TCV wins on a YTD basis include 14 large deals. We have won four large deals this quarter in Q3 FY24. Notably, significant TCV wins continue to be from our beyond top 10 accounts, and are well distributed between our various service lines.

Almost 85% of our deal wins in this quarter were powered by NextGen Technologies adoption. Our deal archetypes are further strengthened by capability acquisitions made during the year, enabling us to offer larger breadth of services. We continue to be stru cturally forward -leaning, making investments where we expect demand.

As I mentioned earlier, pipeline remains strong and conversion has been steady, though still slow given the impact of seasonality and the macro factors. Large deals continue to show up in the pipeline, even as uptick is seen in smaller deals too, providing clearer visibility to some revival in discretionary deals, while also boosting pace of revenue conversion. We continue to push for revenue growth, which is anchored in our strong client mining model and tech -led offerings.

Our Q3 FY24 revenue came in at US$402.3 million, a growth of 1% of a previous quarter in CC terms. Our direct business accounted for 95% of our overall revenue in the third quarter.

Mortgage business remained stable this quarter, driven by the new deal wins from previous quarters.

The macro cyclical trends are yet to reverse, though we have seen the softening of the 30 -year interest rates on the mortgage side over the last few weeks, but that still hasn't translated into any notable volume pickup. The general expectation is that mortgage rates will g radually decline through 2024, providing a platform for us to benefit from that cycle. Our clients continue to look for best -in-breed solution providers for a combination of cost takeout and transformation programs.

We are expecting to see that pace of revenue pickup, especially in transformation deals through

the year. Our direct revenue increased 1.3% Q-O-Qs in constant currency and declined by 5% Y-O-Y in the third quarter. Direct revenue growth in the quarter was affected due to seasonality trends in some of our clients.
Our anchor geography US declined 6.8% indirect on a Y-O-Y basis and improved 2.7% sequentially. EMEA region and rest of the world grew Y-O-Y basis. We have been seeing good client wins and continue to see traction here.
Our core service line - enterprise apps constitute about 71% of our revenue. We grew 1.6% sequentially in constant currency terms in direct application business. The impact of seasonality was of course seen in a few clients.
The BPS segment was impacted due to mortgage declines on a Y-O-Y basis. We expect this segment to see stability ahead. Moving quickly to the vertical performance, our mainstay vertical BFS was up 0.3% sequentially on overall basis, weighed down by seasonality in a few clients.
We saw sequential growth in insurance, logistics, and other verticals driven by client and deal wins in recent quarters. Similarly, our Others vertical in direct is growing quite well as reflected in the 20.7% Y-O-Y revenue growth in Q3. We see good ramp up in new customers added across segments, including in healthcare in the last few quarters.
Top 10 accounts, ex mortgage decline d 7.5% Y-O-Y, mainly impacted by macro conditions, seasonality, and the regional banking issues earlier in 2023. Our top 11 to 20 clients ex mortgage increased 11% Y-O-Y. Our 21 to 30 clients ex mortgage also grew 26.8% Y-O-Y. New client acquisition revenue continues to grow well, sustaining its double digit growth trajectory. Client mining stats remain healthy, Q-O-Q and Y-O-Y. The Y-O-Y movement in clients in the 50 million plus category is purely due to mortgage declin es on a Y-O-Y basis. We expect this to

come back as mortgage spends resume. We're using this opportunity to continue to consolidate our wallet shares and gain market share with our mortgage customers.
Coming to our financial metrics, our margin philosophy affords us the flexibility to manage our profitability in the face of revenue headwinds.
In this quarter, the reported EBIT margin stood at 14.9%. This was our first quarter with consolidation of Silverline, which impacted the EBIT by ~1.1% negatively. Despite seasonality, our EBIT margin for the organic business improved over previous quarters through various operating leve rs. Reported operating profit declined 7.1% Y-O-Y on a reported basis and declined 1.9% sequentially.
Losses in cash flow hedges impacted margins in Q3 by 40 basis points. EPS for the quarter at Rs.19.8 was a decline of 4 .7% sequentially, impacted primarily by the silver line acquisition.
Cash flow generation for the year to date was at $182 million, which is 100 plus percent of PAT for the period.
Adjusted cash generation in Q3 was $70 million, adjusting for one times. DSO improved by one day at the end of Q3 '24. This quarter, we continue to retain our focus on the micro and on ensuring operational stability amidst the duality in the macro environment.

I'll leave you with a few points. We continue to focus on building for growth and have been steadily investing in leadership as I called out in the previous few minutes. We both built and bought capabilities and have made investments in areas where we are seeing and expect demand. We're structuring to capture market opportunities as demand conditions pick up. We see a resilient pipeline with steady deal wins across archetypes. Though macro -driven overhang continues in select verticals, we saw stability in revenue ex seasonality factors. The mortgage business was also stable in Q3 over Q2, led by new deal wins in previous quarters. We are pleased with the execution rigor in delivering expanded adjusted operating margin despite seasonality impact. Updating on the Silverline integration , our synergy realization is on track and we remain focused on the same.
As for outlook for Q4, 24, few key messages for the quarter. We'll continue to focus on integrating our capabilities and will execute to capture growth opportunities. Our focus is on converting deal wins to revenue based on the healthy wins that we've seen in the first three quarters of the year.
We do expect to deliver growth beyond seasonality factors and growth will be led by BFS and TMT. We do expect to see continued stability in the mortgage segment and end FY24 with a strong Q4. With a resilient pipeline and healthy order book, we expect to drive revenue diversification outside of our top ten accounts.
On the margin front, we retain our message of margin stability. Excluding the acquisition impact, our operating margins will remain in the stated band of 15 .25% to 16 .25% in the upcoming quarter with a continued focus on operational rigor, giving us increased confidence on the

trajectory of our performance. On that note, moderator, let's open it up for questions, please.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Hi, Good morning, Nitin, Manish, wishing you a happy new year. I had three questions. The first is on the seasonality aspect. The information technology vertical or the Hi-tech vertical actually saw a sharp decline this quarter. Was that purely furloughs? And should we anticipate a recovery in furloughs going into next quarter?
Because some of our peers have been sort of suggesting extended furloughs and so on and so forth. So, just wanted your thoughts on that. The second is on the margin skew. So

we have seen
margins sort of improve significantly on the insurance vertical and BFS as well. So is there any one-off there because utilization has come up quite a bit and should that be near -term headwind?
So that wil l be second one.
And finally, the deals that we won in Q1, have they largely ramped up? Or is it still in flight? I think those are the 3 questions.
Nitin Rakesh: Thanks, Nitin. I'll take the first one and the last one, and then I'll have Manish talk a little bit about the margin status. So I think on Hi-tech, there was a combination of 2 factors. One, there were some milestone revenues in the previous quarter. And definitely, the seasonality and the

furloughs impacted the third quarter. As we go into Q4, we already called out that growth will actually be led by BFS and the TMT vertical. And the primary driver for that is, one, of course, reversal of furloughs.
At this point, we are not seeing extended furloughs in our portfolio into Q4. And of course , at the back of certain recent deal wins, 1 of the 4 deal wins that we are announcing in Q3 is actually -- impact that as well. So I think, from that perspective, we do believe that we are back on the growth path in hi -tech starting Q4.
On the deals that were won in Q1 and Q2, I think the deal conversion to TCV has picked up, at least especially in the recent few weeks. And we still have order book to consume coming out of those deal wins earlier in the year. And hence, despite the obvious focus on the headline number of the recent TCV in the quarter, I think the confidence that we have in continuing to consume this already won TCV gives us visibility into, I would say, picking up growth in Q4.
Manish, you can take the margin question.
Manish Dugar: Hi, Nitin. Good morning and Happy New Year to you too. So this quarter, margin has had quite a few impacts. First of all, Silverline acquisition had a structural impact because Silverline comes with higher gross margin and higher sales, and general and adm inistrative expenses. So that has an impact on both SG&A as well as on gross margin.
And at the same time, Silverline acquisition came with charges, which are amortization of goodwill -- sorry, amortization of intangibles and the retention bonuses. And that is reflected in EBITDA remaining constant. If you see 18.2% of last quarter, remain s at 18% this quarter.
Outside of that, furlough had an impact on revenue, and slight adjustment to what Nitin said, there is no expected continuation of furlough beyond the quarter. However, there are a few clients who have a quarter, which is different from ours, so October, November , December versus August, September, October. So that may have slight impact in Q4 of ours and Q3 of ours, but majority has come in Q3.
Having said that, that impact of furlough does not have an impact on margin because of all the measures we took to align our lea ves and our subcontractors to avoid most of the charges. We -- if you look at the furlough and the Silverline impact adjusted, the net impact is 1.1% on EBIT as we had guided earlier. And despite that, we expanded the margin by 0.5.
Manish Dugar: Not sure, Nitin, where I lost you. But effectively, what I was saying is that despite Silverline impact of 1.1%, we would have been at 14.4%, but we came out at 14.9%, primarily driven by operating metrics and the focus on execution. And we believe some of that will be retained and some of that we might like to invest back as we go forward, continuing with the philosophy of investing for growth and being in that range of 15.25% to 16.25%.
Nitin Padmanabhan : Thank you so much. All the very best.
Moderator: Thank you. Our next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: I have a question similar to what Nitin raised with regards to the margin performance in the current quarter. We've seen our gross margins being the highest since third quarter FY '21. If you could talk about some of the factors that have driven such a str ong performance in the current quarter, given the fact that we also saw a step -up in terms of our on -site revenue mix and also face revenue headwinds because of furloughs.
Manish Dugar: There are puts and takes. There are structural changes like I mentioned, Silverline benefiting gross margin and increasing SG&A. There were benefits that came in because of exchange rate gains, losses coming down as we have already articulated in MD&A and our press releases. And I think the primary driver was our focus on execution like we have maintained earlier.
We had operating levers. I know that utilization looks low, but utilization carried the impact of furlough, so it's not furlough and utilization in addition. Furloughs are already baked in utilization, and that is what is reflecting in the margin as well.
So at an overall level, we have focused on making sure that we align our costs with the revenues. And our clients help us in doing that, right, because these are all planned activities. But generally speaking, what I would recommend we look at is the EBIT movement, which is what we have always maintained, right, that, at an EBIT level, we were expecting 1.1% decline, but we are able to ensure that we deliver 0.5% higher than that.
Nitin Rakesh: I think if I can, Manish, just add a little bit more qualitative color to that. I think we've maintained two things over the last few quarters quite consistently. One, we continue to invest in taking a forward -leaning position towards growth. And at the sa me time, we have enough operating levers available in the business to find ways to keep the margin line stable.
We plan ned for the Silverline integration acquisition months in advance of closing the transaction. And we put in place those actions from the day we actually announced the transaction. So that -- while it gave us the opportunity to expand the reported GM, at the same time, we already had actions in place given tha t most of these factors around seasonality, furlough and the impact of acquisition were known to us well in advance.
So I think from that perspective, I'm really glad with the way the team has executed. Some of this will stay in our P&L going forward; and some of it obviously will go back into the business as we expand these GTM efforts. And of course, we still have work to do from an integration execution perspective with the acquisition that we announced.
So I think the execution rigor of what we can control, which is our P&L and the profitability, very, very strong. Of course, we can't control the seasonality of the macro, hence, we are very focused on micro on that.
Manik Taneja: Sure. Second question was for you, Nitin. Basically, over the course of last 18 months, you've had challenges across our top client portfolio. Some of them because of macro. Some of them also because of customer -specific situation, and because of which, so me of the deal wins that we have won since we haven't ramped up or converted into revenues. If you could talk about your outlook for the next 6 to 9 month time point on that front and also talk about the potential risk from insourcing or capi tal expansion at one of your large logistics customers.

Nitin Rakesh: So Manik, there are 3 separate issues that you're raising in that 1 question. The first one is around just the top client -- top 10 clients' performance in terms of the impact of macro. I think there's definitely squeeze in discretionary spend that has led to som

e softening in spend, and we've seen that play out across more than one top customer.
We are very, very focused on our wallet share and expansion of addressable market when it comes to taking a very, very bottoms - up approach to these customers. So very happy to report that we've not lost wallet share in any of our top 10 customers from tha t perspective, very good execution as a team and staying very focused and sharp despite the challenging macro.
Second, there was definitely an impact of mortgage declines in some of our top clients because we have multi -tower businesses in many of these customers. I think we've called that out consistently over the last 4 to 5 quarters. As we see stability, we'll probably see that reversal happen, and we will now benefit from the cycle as it turns on the other side over the next few quarters.
Hard to pinpoint whether it's going to be this quarter or the next quarter, but we pinpointed the bottoming out purely based on our bottoms -up deal wins and wallet share gains. But as the market turns, we will definitely see the impact of that on a go -forw ard basis. When it will happen, again, we'll have to wait and watch and see how that plays out.

Some client -specific issues coming out of the regional bank crisis that we've talked about, that definitely was an unexpected big blow to our top client category. And I think we seem to have kind of mostly washed that through our quarterly numbers as we sp eak. Now we are focused on really monetizing the opportunity that, that provides us.

And the final one is the one you're raising, which is how do we operate in terms of competitive environment with clients' captives. I think we've been used to that for many of our top customers. Almost every -- each and every one of our top clients has a v ery large presence in the captive. We will not be competitive if we only provided cost arbitrage solutions. And hence, if you go through the themes for the last many, many years, especially the last 3, 4 years, the thematic approach has been building capability, competency and differentiation. And hence, we are very comfortable working alongside the captives.

While it may seem like a headwind in the short run because headcount movement definitely favors the captive in the short run, but at the same time, with these same customers, we've actually seen expansion of our transformation deals and large deal pipeline as well. So I know it doesn't -- we focus more on aligning and partnering with the captives versus seeing them as a threat in competitive situations.

Moderator: Thank you. Our next question is from the line of Sulabh from Morgan Stanley. Please go ahead.

Sulabh: So my first question is more of a clarification. So I just wanted to understand that versus the last conference call when we were sort of expecting a growth in Q3 and Q4 and now ex of seasonality, we've seen stability in Q3. So is there any new headwind or challenge that has come in versus our expectation in Q3 ex of higher -than-expected furloughs that you talked about?

Nitin Rakesh: I think there are 2 primary things to call out. One, definitely, the impact of furloughs was a bit higher than what we've normally seen in the business. And this is kind of an across -industry phenomena.

The second area really has been what we've been calling out, which is ramp -up of existing sold business. And I think some of those deals have taken longer. We have seen the pace of conversions pick up in the last, I would say, 3 or 4 weeks, but definitely, there were some pushouts in Q3 that will probably flow back into the business in Q4 and Q1. I think those are the 2 primary reasons. And hence, it was important for us to call out the fact that we've seen stability at an organic level.

Manish Dugar: Yes. So Sulabh, as we had discusse

d, right, we were expecting some improvement in the conversions, and that was based on conversations that we were hearing from the customers, which was kind of driven by what the macro indicators were, right? And there was an indication that there will be a rate change by Fed. And while it has not happened, but it was indicated that there will be. There were some murmurs around change in that sense and as we look at it, the recent announcement that it will not happen until March.

So I think it's more about being cautious on how the customers look at the environment, what does it do to the economy and stuff like that.

From a deal closures and conversion from deal to revenue perspective, not much has changed since the last earnings. And as we had mentioned, in the last earnings also, furlough was the biggest impact in Q3, and a large part of that will come back in Q4. Cu rrently, we are hopeful that we will be able to be positive beyond the reversal of the furlough impact. But how big it will be will depend on how the conversations go.

Sulabh Govila: Understood. Very clear. And just a quick follow -up. Most of your peers who have reported, they have been talking about conversion of deal wins, one in the past 6 to 9 months happening on time and converting to revenues. So I just wanted to understand from our deal wins perspective in the past 6 to 9 months, I mean what could be happening differently in these deals? Is this the nature of work, which is different? Or what could be driving this?

Nitin Rakesh: Yes. Again, I think , coming to us, it seems like a pretty industry -wide phenomena where the conversion has been slow. And as I mentioned, it seems to have, at least starting to get moved towards normalization in the last 3 or 4 weeks. I think there's still way to go for us to consume the TCV wins from Q1, Q2, Q3.

So I mean, to me, I don't think it is -- we have an exception o r a standout in that phenomena. It seems pretty industry -wide. But having said that, there's definitely an element of the fact that a lot of our businesses, a lot of our wins are proactive. So that does bring in a slight nuance to the type of work and the r amp-up times that we take. But I think it's not something that we are not planning.

Sulabh: Understood. And then my second question was on the margins were. I just wanted to understand, Manish, that out of this 1.1% impact that has come in...

Moderator: Sorry to interrupt sir. May I request you to use your handset, sir. There's a little disturbance from your line, sir.
Sulabh: Is it better now?
Moderator: Yes, sir, please go ahead.
Nitin Rakesh: Much better. Thank you.
Sulabh: Yes. So with respect to margins, I just wanted to understand, Manish, that this 1.1% impact of Silver line. Does that have some onetime impact because of transaction costs involved? And what could be the going forward run rate impact of this?
Manish Dugar: So in the acquired balance sheet, Sulabh, there were some positives and there were some one - timers. And that plus the impact of amortization and what we believe we can generate a s synergy with the integration plans. I think all of that combined is the 1.1%, which is the indication we have given. And some of this 1.1% will go away in quick time and some of it will happen over a period of time as the amortization runs off.
Sulabh: Understood. Those were questions. Thank you for taking my questions.
Moderator: Thank you. Our next question is from the line of Sudheer Guntupalli from Kotak Mahindra AMC.
Sudheer Guntupalli: Hi. Thanks for the opportunity. First question, Nitin, weak macro has been the lowest common denominate for most of the companies. However, some of our comparable peers have been delivering almost 20 percentage points higher growth. Even the Tier 1 compani es with much

larger revenue base seem to be outperforming us on growth.
So when we introspect about this growth differential, is there any internal or structural issue that bothers you? Or is it just a portfolio mix differential wherein we are sort of exposed to more pronounced cyclical headwinds than others due to the mix iss ues.
Nitin Rakesh: I think the -- so let me answer that in three different ways. Firstly, part of it is what you said, which is the portfolio issues. When I say portfolio, it's really the exposure to certain segments. And within that, obviously, the higher than industry expo sure to just a cyclicality of the mortgage business.
Second, I think the impact that we saw in the middle of the year coming out of the regional bank crisis, and we gave you some disclosure on the exposure. That definitely was -- I mean, it's a little bit unusual, especially from a peer group perspective. An d while we pride ourselves in building deep long-term large relationships, sometimes that doesn't go your way when you have out of the ordinary issues that hit you.
And thirdly, on the structural side, I think we've taken -- we've constantly done a pretty deep evaluation of how we need to structure the company, both from a GTM perspective, from a capability solution perspective and, of course, from a delivery perspect ive. We did announce a re-org earlier in 2023 around the vertical -based cohort GTM structure, while we still stay very

focused on each account. That is definitely showing signs of synergy and growth pickup, especially as you look at the data I shared with you around 11 to 20 and 21 to 30. And I think that will continue to play out as we diversify away from top 10. And I think that's -- so that's one. Two, I think on the structural side, we did believe we needed to make some changes in some of our industry verticals and we announced that as well over the last few months, and we called it out today again on the insurance side as well as on the AI side.
So I think it's a constant work in progress. We will constantly continue to evaluate things that we need to do, changes that we need to make in both structure and our leadership as well as augmentation of capability, again from a -- either from a buildup -- organic buildup perspective or from an acquisition perspective. So I think we've been very busy in the last 12 months across all of these fronts. We're not standing still waiting for the macro to turn. We are driving a lot of these actions, and you can s ee those play out through the last three or four quarters.
Sudheer Guntupalli: So what you are highlighting is that internal execution issues or any company -specific issues, you don't see at this point. Rather, it's only going in the positive direction. Is that the correct way to understand?
Nitin Rakesh: Yes. And I think we are giv ing you transparency on that as well as to how we are driving that.
Sudheer Guntupalli: Sure, sir. That's very helpful. And second there's a quick clarification. What you're saying on Q4

outlook is growth -- there will be growth ex of seasonality. So are you expecting positive seasonality from Q3 to Q4 or maybe negative seasonality? I mean, j ust a clarification on what do you mean by seasonality, positive or negative?
Nitin Rakesh: Yes. I think what Manish meant was that there will be some reversal of the furlough. So if we took an impact in Q3, we will not have the same impact in Q4. So that will give you some growth. But what the guidance that Manish was giving on that answer was t hat we expect growth to be more than just a reversal of the furlough.
Sudheer Guntupalli: Okay. Understood. So irrespective of that reversal tailwind, on top of it also you will have growth in the portfolio. That's what you are saying?
Nitin Rakesh: Yes, because we are focused on executin

g that TCV to revenue conversion that we called out.
Sudheer Guntupalli: Thank you, very much sir. All the best.
Moderator: Thank you. The next question is from the line of Girish Pai from Nirmal Bang Equities Private Limited. Please go ahead.
Girish Pai: Yes. Thanks for the opportunity. Nitin, if you can give us an outlook on various segments of your business into 2024 from a demand recovery perspective, the mortgage part -- the non - mortgage BFS part and the non -BFS part, how would that look like?
Nitin Rakesh: Yes, I can give you a little bit colour. I think let me give you the nuance on all the three, and then probably a couple more double clicks. We basically think that the mortgage business bottomed out for us over Q2, Q3, which is kind of what played out in the last quarter. And not

because we called the bottom on the macro cycle or the interest rate cycle, but because we focused on what the volume projections were and how much more new business we were able to win as we consolidated our peers out. And in some cases, even took over new business from customers outsourcing to us. That -- while that played out, it hasn't yet fully played out because we still expect that to play out and actually become a growth driver over the next four to six quarters. Some of it was cyclical, some of it is purely based on as we see expansion of those deals going into those customers.
On the BFS side, I think it d's a little bit more nuanced than just one big block of BFS because there are still segments of BFS that are stressed, especially market making, investment banking, deal volumes, IPO volumes are still not -- nowhere near where in a normalized year where t hey would be. I mean, the IPO market is pretty much dry.
So I think that segment is probably going to be a lot harder to recover, and it will only recover once the real activity improves in the market. Where we have seen a lot of investment going is consumer banking, asset and wealth management and governance an d risk areas. In those areas, I think the spend actually started to trickle back up.
We've seen a fair amount of activity in areas like infusing AI into customer experiences. And that's why you've seen that play out even with companies like Salesforce. We're seeing initiatives around using data to drive their customer experiences and custo mer segmentation. Again, you've seen that play out with players like Snowflake and Databricks.And of course, the Hyperscalers have started to report an uptick in consumption because clients have resumed their transformation efforts in moving towards a refr esh of the new tech infrastructure pretty much across the board, including banking. On the non -banking side, I think we have, of course, set ourselves up with three or four new verticals. I think the travel business continues to boom quite well.
And we are doing everything we possibly can to expand our footprint in travel and logistics, especially travel and transportation and to position within that sub -segment. And then health care for us is purely a wallet share gain. It's pretty much a noncyclical business anyway, but for us I think it's really about continuing to expand our wallet share with the customers that we acqui red in the last two years in that segment. It's still one of our smaller businesses.
And I think insurance is a lot more about us executing better. And that's why we reset that business over the last six months. We started to see some early results, and we're happy to just continue to execute that because the need for that business are pre tty similar to the needs that the kind of follows from a BFS trend perspective.
And I think we talked a little bit about our TMT business. We are pleased with the progress that we are making, not just in hi -tech, but in telecom. We had a large d

eal in telecom this quarter
that gives us an entry into a new sub vertical within TMT. We s till don't have a lot of media in there, but I think one step at a time, continue to focus on expansion of h i-tech as well as the newly won deals to be converted.

So I think it's -- as I said early days, we are seeing some uptick in activity. We have called out for some green shoots. We have to wait and see how the macro turns out, how the geopolitical environment shapes up. And also remember, this is probably one o f the heaviest election years in the history -- in the recent history with almost 50 elections across the world.
So there is some element of that, that we'll keep an eye for as well. But broadly bottoms up, very focused on just executing to these trends that I talked about.
Girish Pai: My second question Nitin is more industry related, not so much Mphasis specific. We've seen a lot of the cloud players announce results recently. And if you look at the last 24 months, we've seen the cloud players deliver anywhere between 10% and 30% kind of Y-o-Y growth. 10% -- maybe 10%, 12% for AWS and the others have delivered 20% to 30% growth. This could probably a naive question, why is that not translating into IT services demand because the cloud players seem to be doing fairly healthy revenue growth?
Nitin Rakesh: So I mean there's -- this is a very nuance d correlation between expansion of compute spend versus spend in IT services. And the reason for that is once you've actually moved your environment or the infrastructure to a hyperscaler, for incremental consumption of compute, you don't really need any mo re services work, because you've now made your infrastructure variable.
And as you see volumes go up or down, there is no new tech services required to do that.
And so the biggest lift in consumption is in consumption of compute, which is getting the infrastructure and the application estate up onto the cloud. And from there on, yes, there is a run element but it's a fraction of what it used to be. And that's why you've seen a pretty large reshaping of the industry from an IT operations perspective. It's not what it used to be. And hence, the infrastructure line of business has completely been renovated as well.
Second area where you see growth, once the client is on cloud is in areas such as adoption of data platforms, and/or adoption of all things AI. You can't really create an AI strategy unless you clean your data pipelines and you have all data available in a manner that it can be consumed on the cloud. So I think the next phase of growth for tech services will really come out of providing these solutions to applications and customers that have already embraced the cloud.
And in many cases, of course, they will continue to build new applications. And again, going back to this theme, hence, the focus for us at -- almost at a maniacal level is how do we continue to build capability that brings us closer and closer to what the customers will need to do in terms of deploying these solutions even after they get on the cloud side. Just by itself, having cloud capability is not a long -term g rowth formula.
Girish Pai: Thank you.
Moderator: Thank you. The next question is from the line of Abhishek Bhandari from Nomura. Please go ahead.
Abhishek Bhandari: Nitin, I have two questions. First, if you could quantify the furlough impact for this quarter? I'm just trying to get a sense of the kind of growth what you could get in to.

Manish Dugar: Abhishek, Manish here. As you know, we don't specifically call out numbers. What I can tell you is that furlough is significantly higher than what it was last year as we have been talking about it b

efore we got into the quiet period. And because there is a difference in the calendar quarter of us and the client, some of it is going to spill in Q4 but majority of that has come in Q3.
And as that reversal happens in Q4, we will get that number back. But at a very high level, we would have been, and as we have mentioned in our presentation as well, we would have had a stable quarter without Silverline if the furlough had not happened.
Abhishek Bhandari: So that's the next question, sir, how is Silverline progressing in terms of revenue metric and margin metric for you? I know it's very early for you. But when we acquired, I think the annualized run rate of revenue was around $84 million. So let's say $20 million, $21 million quarterly revenue run rate. Where are we tracking on that number?
Nitin Rakesh: I think we disclosed out that the revenue -- in-quarter revenue from Silverline was a little over $15 million, and that's obviously based off of the fact that we acquired them from a competency standpoint and of course, from the ability that the capability brings to us, and that capability includes the ability to work with the Salesforce channel.

We've done a fairly thorough analysis of which of those customers we are likely to r etain , because we operate in slightly different market segments from a size of customers' perspective. We are more focused on the enterprise segment, and they had a combination of enterprise and mid-market.

And the next big area of focus for us really is driving synergy into our customer base, and of course, making sure that from a cost and margin standpoint, we're able to actually create cost synergies as well. I think as I mentioned in my previous answer, w e began on that -- planning for that well in advance.

We executed some of those actions already, especially on the cost side. And we are very pleased by the early adoption of some of those capabilities with our current customer base, including early wins in our portfolio. So I think that's kind of -- to me, t he thesis of the investment is playing out quite nicely.

Still early days, and we will give you another update over the next quarter or two. But to me, the thesis of introducing AI -led transformation and customer experiences is really the art that we've been building all the way from design services that we acqu ired through Blink, plus the partnership that we did on conversational AI, plus the hyperscale r partnerships around things like AWS Connect and the refresh of the contact center infrastructure and combine that with the AI-led customer experiences through S alesforce. So I think it's the stitching together of the entire archetype is the way to think about it.

Abhishek Bhandari: Got it. Thanks, Nitin, and all the best.

Nitin Rakesh: Thank you.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Okay. So a couple of questions. First, just want to understand the way we report deal intake. If you can help us understand because I think earlier you used to give net new. I just want to reconfirm the deal intake what we report is net new number? Or is t here any change in the definition we used to give?

Nitin Rakesh: No, no. We have not changed any definition. It is consistently net new.

Dipesh Mehta: So in a way, it doesn't contain any renewal of the existing business, the way we report?

Nitin Rakesh: No, it does not.

Dipesh Mehta: So when I look at it, let's say, last 9 months, 1.2 billion net new deal intake, in a way even if assume 5 -year kind of period 240 million kind of incremental revenue will flow into revenue line item, right way to understand it? And like as I'm assuming be cause you said we maintain wallet share and all those things. So renewal rates assumed to be reasonably high?

Nitin Rakesh: The only fallacy there is runoffs and discretionary spend cuts. And of course, in some cases, destruction of volume around mortgage business itself.

Manish Dugar: And in some cases, there are -- we think in the portfolio of the client in terms of how much is in-sourced, outsourced, even though they may be temporarily as they sit on higher headcount because of them having hired more people. This may impact the total spend and renewal rates even though wallet share may not change.

Dipesh Mehta: Understood. Second question related to is, now you indicated some kind of delay in revenue conversion from the already signed deal. Now can you help us understand what factors driving the delay in revenue conversion? Now macro factor is known in 9 months, nothing has changed. So I don't expect clients will relook some of those decisions, which we took in last 9 months. So I just want to understand why they are d eferring once they've signed deal. Second thing is what gives you confidence some o f it will change?

Nitin Rakesh: Yes. So Dipesh, again, let's look across the industry. There have been instances of clients actually having cancelled deals. We have to work really hard to make sure that sometimes what happens is a program may be funded, and 3 or 4 months into the program , they either get deprioritized or get refunded or the deal gets deferred to 2 quarters out. So I think a lot of that played out across the industry. We've seen recent cases of some of our peers announcing cancel deals for a number of variety of reasons. This is something that we have to just deal with as the cycle plays out.

And the reason why our confidence is what it is, is because we are in constant -- many of these are existing customers. We have a pretty good idea of how their priorities are planning out for the current year. In many of these cases, the spend may have bee n deferred or in some cases, the spend might actually get converted. And we have -- we may have had an overall spend agreement

with them and they can spend in areas that they may not have intended to spending to begin
with. So we get priority and preferences because of the commitment that they made to us.
Dipesh Mehta: Understood. So broadly, whether we have seen any cancellation because you indicated a couple of examples where industry players might have seen some of our peers...
Nitin Rakesh: No, we haven't.
Dipesh Mehta: We haven't seen any such? Okay. Understood. And last question is about, I think 2 questions rather. You indicated top 10 client performance on Y -o-Y basis got impacted by seasonality, largely you're referring to higher -than-usual furloughs or anything -- any other element?
Nitin Rakesh: Yes. Higher than usual and also the impact of some of the regional bank issues that we play out in the Y -o-Y number as well.
Dipesh Mehta: And last question is Others. If I look Others is doing reasonably well from a vertical perspective. Can you help us understand what is driving growth there, even though it is small, but consistently, it is growing well. So if you can provide some sense aro und it. Thanks.
Nitin Rakesh: It's primarily health care, Dipesh. Because, I mean we will start reporting that out separately perhaps in FY'25. But I think we've called that out is primarily driven by the growth in our health care business.
Dipesh Mehta: Understood. Thank you.
Moderator: Thank you. Our next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Based on whatever replies you have given, is it fair to assume that the conversion of deal wins in the first 9 months, especially the first quarter is not materially happened in Q2, Q3 revenue and may start happening in an incremental fashion from the fourth quarte r? Is it rig

ht way of
looking at it?
Nitin Rakesh: Not necessarily, right. I think you're drawing a straight line from quantum to revenue. As I mentioned in the previous question, there is a clear variable, which comes into play, which is either ramp down or project closure or discretionary spend cut . So I think -- and of course, as we talked about the ramp down and client specific issues coming out of the region al bank crisis as well.
So I think it's a combination of all of those things. I don't think it's fair to assume that none of those deals converted. Some of them converted pretty quickly. Even as we were reporting in Q2, those deals got converted and some of these have taken a lit tle bit long. So I think it's a mixed bag. I don't think there is one clear straight -line trend that you can draw from that.
Just the last point. Having said that, we do still have some backlog to consume from the deals that were won in the first half of the year.

Sandeep Shah: Okay. Okay. And just any update on any of client -specific issues within top 10 are you worried about? Or you believe stability is emerging on a going forward though may not give you any turnaround growth prospects, but leakage and the ramp downs may be slightly behind, especially in the top 10 cli ents?
Nitin Rakesh: I think, again, I addressed that earlier as well when we talked a little bit about the concern that was coming out of the captive and such. I think we've seen -- we still have some ways to go when it comes to turnaround because some mortgage effect will pl ay out over the next few quarters as I said, some of those clients do sit in our top 10 business because they're a multi - tower customers. Almost all of our top clients in banking especially are multi -tower where we do work across multiple ser vice lines, including mortgage.
I think from a leakage standpoint, to me, it doesn't look like there is any large risk to call out. We are still obviously focused on ensuring that other category, these customers grow as well. Not for a minute, I want you guys to assume that we are saying that the top 10 clients will not grow. It is very much still a very growth -- very power leading growth stan ce because there are still wallet share gains, there are still addressable market expansion and they are still investing in transformation program.
I think the issue is can we constantly grow other segments around these clients faster, while continue to grow these clients, it's the stance that we're taking. And that's how we expect 2024 to play out as we go forward. And I think if you are calling for Q4 growth to be led by BFS, then definitely means that some of our top clients will see growth coming back.
Sandeep Shah: Okay. And Nitin, Q2, Q3 new business TCV wins were $240 million, $250 million versus our

earlier average being $300 million, $400 million. So is it the deal wins are as per your expectations? Or there is -- could have been better because of macro issues. T hese deals have been right shifted and the deal win pickup can improve on a going -forward basis?

Nitin Rakesh: Yes. I think, again, the way the business works is that there is a certain time line from the time you originate the deal to the time you convert it to closure to the time you convert it to revenue. We tucked in a lot of closures in Q1. And of course, that meant that we had to work through the pipeline over the next 6 months to bring additional views upfront.

So I think the right way to look at it is to look at a slightly longer -term average basis, maybe a four quarter average is a good measure versus a quarter -on-quarter number because this is only net new deals. We are not including renewals in the year, so t hat there's no -- there's no run rate effect of renewals coming into these numbers.

Secondly, I think the real me

tric to focus on is pipeline. And I think we got a new pretty detailed pipeline analysis of where we are both in BFS and non -BFS and of course, by breakout by archetypes or tribe.

A couple of things to note there. One, pipeline is actually double -digit growth even on a sequential basis pipeline is up. Some of these deals are still early stage. Some of these are very large deals. So we'll have to just focus on making sure that we go through the pipeline and continue to convert that through the next 2 or 3 quarters.

And of course, we would like the TCV number to be higher this quarter as well as the last quarter, but it's just -- the focus really has to be moving the deals through various stages in the pipeline and therefore, we continue to drive as we go through.

Sandeep Shah: Okay, okay. And the last question to Manish. In one of your earlier comments, you said if furlough would not have been there, the organic business ex of Silverline would have been flattish. Is it what you tr ied to say?

Manish Dugar: That's right, Sandeep.

Sandeep Shah: Okay. Thanks and all the best.

Moderator: Thank you . The next question is from the line of Ashwin Mehta from A mbit Capital Private Limited. Please go ahead.

Ashwin Mehta: Three questions. One, in terms of offshore utilizations, we are almost 14% below peak. So as you go forward, how are you thinking -- you've historically talked about that you would want to keep the margins within a stable ba nd. Is there a scope to kind of compensate through margins in a period where the growth is lower?

Manish Dugar: Ashwin. Hi, Manish here. Large part of the utilization is freshers and furlough in the quarter. And some companies choose to report furlough in price, we report in utilization. So our math for utilization is b illed hours divided by available hours, and we don't reduce it from the available hours. So from that point of view, some of this will get corrected as the furlough goes away. But having said that, is there an opportunity in utilization? Absolutely.

And we are currently focusing on ensuring proper pyramid rather than pushing the pedal on upping the utilization number. And as we go forward and as the volume picks up, some of this will translate into tailwinds to the margin.

Ashwin Mehta: Okay. Fair enough. The second one was on DXC, where we had signed an MRC. But over the last 3 quarters, we've seen decline here. So what's the outlook here in terms of coming back to that 14 million run rate that we agreed to?

Manish Dugar: So Ashwin, we are working with DXC, and we are making sure that we are part of their GTM and we work together to figure out how we can be useful to them and how do we pick up good quality business. It's not necessary that every quarter we will meet the num bers. And like we did last time, there are ways and means to kind of work together to figure out the commercials in a longer -term basis.

0.5 million or 1 million quarter -on-quarter movement at an overall level is not that significant. We should take any measures, which are not what one would like to take. I would say that our guidance on DXC is what it has been before. It's not a segment th at we are investing behind. We are working to make sure that we leverage relations hip to the extent it is beneficial for both. And sustain an experience that our end customers have , many of whom we have been working for a very long period of time.

Ashwin Mehta: Okay. And the last one, where Nitin addressed the questions on the top 10 clients, but if I look at your cohort, the top 6 to 10 clients, there was almost a 17% decline this quarter. And from a 3-quarter perspective, almost a 40% decline. So is it largely rel

ated to the regional bank issue and this quarter largely related to furloughs. So there are some of the other issues that you highlighted in terms of client spend coming off also affecting. So what's the outlook here? Is there any client expectation to go about that?

Nitin Rakesh: I think it's primarily related to 3 factors. One is, I think if you look at the Y -o-Y number, there will be a pretty decent impact of mortgage declines. There is also an impact of regional bank issue on a Y -o-Y basis, even as well as on a sequential basis. And the remainder is really primarily driven by -- I mean besides furloughs the remainder is driven by the squeezing of the discretionary numbers -- discretionary spend numbers.

But again, as I said, there is no structural issue that we can see at this point in time. And we are, at this point, taking a forward approach and saying every segment of category top 5, next 5, next 10, and the 21 to 30 as well as the new client acquisiti on business should be contribut ing to growth. Some of these clients will take a little bit longer to turn around, depending on the segment of business they're operating in. Some of them we've already got the signs of turn around.

Ashwin Mehta: Thanks, Nitin. All the best for the future.

Nitin Rakesh: Thanks, Ashwin.

Moderator: The Last question is from the line of Nitin Jain from Fairview Invest. Please go ahead.

Nitin Jain: I have a couple of questions. The first one is around deal wins in AI. So when the overall deal wins have increased 20% Y -o-Y, but after the first quarter, have you seen any pure AI-centric deal wins? And how has been the ramp -up in the AI specific deals we have already won?

Nitin Rakesh: I think if you go back to what I called out earlier, almost every archetype and every solution is getting AI -enabled. I'll give you a very simple example. If you think about IT, agile IT operations, as we call out in our tribe, what that really is, is to r un business. Production support, L1, L2 -- L0, L1, L2, service desk, customer experience, employee experience. Almost all of that has suddenly gotten a big boost because you now have the ability to embrace and adopt zero touch, high tech plat forms. And we called out the AI award that we won.

There is not in building a new data science -driven platform. That is actually taking an age -old problem of incident resolution and applying machine learning and shi ft left to it. So the way I see it, there is highly unlikely that there will be any deal that will not have some element of adoption of one of these capabilities as we actually go through current quarter or the next year. So to me, I think this has become like the foundation of the business very, very quickly, and will actually even get more embedded into the business across the industry over the next couple of years. And if you don't embrace and adopt it, then we have seri ous issues from a relevance and capability standpoint.

Nitin Jain: Okay. Great. And just a follow -up on that. Like how has been the ramp -up in the deals that we have already won -- AI-specific deals?

Nitin Rakesh: I think, as I mentioned, right, across the board, while there is still some backlog, some of those deals are very quick to ramp up because those were here and now needs for the customer. So I think nothing much else to call out for that what I already answ ered on the TCV consumption.

Nitin Jain: Next question is on Silverline. So the benefit to revenue this quarter seems lower than the quarterly run rate it had when we acquired it. So what would be the reason behind it?

Manish Dugar: So Nitin, as Nitin Rakesh mentioned when he was talking about the acquisition, we acquired it primarily for capability and competence and the run rate you are referring to is probably calculated based on the

trailing 12 months numbers at the time of acquis ition, which was not reflective of the run rate that was there when we acquired.

So a combination of that and our choices of which customers we would prioritize and work with. We believe that the number that we have got is what we had indicated when before the quiet period happen. So -- and in the interest of transparency, we wanted to make sure that it gets communicated as a specific number. So we are not surprised by the number that we got with the Silverline acquisition.

Nitin Jain: Okay. And the guidance for the margin impact of this Silverline acquisition was around 0.7% to 0.8%, but it's coming higher than that. So if you could elaborate a little more on that, Manish?

Manish Dugar: Nitin, the guidance when we had the earnings call was that the current estimate was 0.7% to

0.8%, which will get kind of firmed up as the auditors go through the purchase price allocation. And during the quarter, as the numbers got firmed up, the final imp act of amortization and all the other charges came to 1.1%. So the guidance you're talking about was an indicative one, as I had mentioned when we discussed in the last earnings call.
Nitin Jain: Okay. Great. And one last question, if I may. So the finance costs, they seem to have jumped significantly from Q1. So from 240, we are somewhere around 500 plus. So if you can clarify this a bit?
Manish Dugar: So for the purpose of acquisition, given -- there was an arbitrage and given we were able to benefit from the interest rate differential, we decided to borrow to fund the transaction. Also, the transaction happened outside the country, and we wanted to lev erage the banking benefits we could get by borrowing outside. We do have cash in the balance sheet. We could have chosen to fund it with that, but it was a treasury call in terms of what made more sense.
Nitin Jain: Okay. So we see this paring down going forward, right?
Manish Dugar: Yes.
Nitin Jain: Okay, great. Thank you so much.
Moderator: Thank you. With that, we hand over the call to Mr. Nitin Rakesh for closing comments.

Nitin Rakesh: Thank you all for your interest in Mphasis and your questions. And I know we ran over time, so we appreciate your patience. And finally, I think as I mentioned, while the macro continues to remain uncertain, we are slowly and surely turning cautiously optimistic. We're pleased with our execution and the rigor that we showed over the last few months, and we hope to continue to build on that as we get through Q4, and we l ook forward to seeing you all on our next call. Thank you.
Moderator: Thank you. On behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to Mphasis Investor Relations at investor.relations@mphasis.com. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

2 May 2024
The Manager, Listing
BSE Limited
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Dalal Street,
Mumbai – 400 001 The Manager, Listing
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G-Block, Bandra -Kurla Complex,
MUMBAI – 400 051
Dear Sir/Madam,
Sub: Transcript of the Investor(s)/Analyst(s) call
Further to our intimation dated 15 March 2024, please find enclosed the transcript of the Investor(s)/Analyst(s) call which is hosted on the website of the Company at https://www.mphasis.com/content/dam/mphasis -com/global/en/investors/financial -results/2024/transcript -of-earnings -call-q4-2024.pdf
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Thanking y ou,
Yours faithfully,
For Mphasis Limited
Subramanian Narayan
Senior Vice President and Company Secretary
Encl: As above

"Mphasis Limited
Q4 FY 202 4 Earnings Conference Call"
April 26, 202 4

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER – MPHASIS LIMITED
MR. MANISH DUGAR – CHIEF FINANCIAL OFFICER – MPHASIS LIMITED

Moderator: Good morning, ladies and gentlemen. Thanks for joining the Mphasis Q4 FY 2024 Earnings Conference Call. I'm Zico Pereira, your moderator for the day. We have with us today Mr. Nitin Rakesh, CEO of Mphasis; and Mr. Manish Dugar, CFO. As a reminder, there is a webcast link in the call invite mail that the Mphasis management team would be referring to today. The same presentation is also available on the Mphasis website, www.mphasis.com, in the Investors section under the Financial and Filing as wel l as on both the BSE and NSE website. Request y ou have the presentation handy.
As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to state that some of the statements made in today's discussion may be forward looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q4 results release that has been sent out to all of you earlier.
I now hand over the floor to Mr. Nitin to begin the proceedings of this call. Thank you, and over to you, Nitin.

Nitin Rakesh: Thank you, Zico, and thanks, everyone, for joining us today. I appreciate your interest in Mphasis, and I know its early morning. I trust everyone has had a chance to review our earnings release documents. I'd like to start by discussing macro trends as always, and then we'll double click on the Mphasis performance numbers.

As we've been calling out for a few quarters now, the market continues to be characterized by duality. On one hand, the global business world is dealing with an unprecedented situation of high interest rates, supply chain w oes, labor market dislocations, record inflation and a fragile geopolitical environment.

Consequently, the level of uncertainty in the environment stays high, leading to a high degree of indecision on investment decisions, keeping pressure on discretionary spends. On the other hand, further technological advancements and increased focus on sustainable practices are some trends that have the potential to change how businesses operate.

Worldwide IT spending is expected to total $5 trillion in calendar year '24, an increase of 6.8% from 2023, according to the last forecast by Gartner, who also states that IT services will continue to see an increase in growth in 2024, becoming the largest segment of IT spending for the first time. This is largely due to enterprises investing in organizational efficiency and optimization projects. These investments will be crucial during this period of economic uncertainty.

We now are seeing new pockets of spend opening up in organizations that are looking to invest in modernizing legacy systems, leveraging AI and automation to improve operational efficiency.

Efficiency and cost optimization players are gaining traction as organizations look to find short - term wins to fund longer -term technological priorities. As Gen AI dominates discussions on tech spend, it's increasing adoption will spur additional growth. I n our conversations with customers, we continue to see them trying to balance cost savings priorities in the current macro environment with the need to stay relevant, tech forward and competitive.

As we advise our clients, we also continue to evolve internally to stay ahead of the curve as technology adoption rapidly changes. The market continues to evolve and at a rapid pace. There is a need for service providers to go beyond the current and not ju st apply AI. Our ability to orchestrate the ecosystem by bringing in technology and people

together to solve our customer needs strongly positions us in this tech -first environment. At Mphasis as every tribe was getting AI-enabled, we now see our solution and deal archetypes getting rapidly supercharged. We have been investing to stay ahead through an AI -led archetype approach.

Our prominent AI partnerships across hyperscalers and the overall ecosystem is seeing rapid growth and solid for customer needs. To quote a few examples, we've recently engaged in an AI-driven IT production support engagement to improve reliability and upt ime for a top three US bank. We helped accelerate claims processing efficiency by 85% for a large benefits admin provider using an AI -driven approach.

We also helped set up an AI security platform based on Zero Trust principles for a Canadian health care provider. If you recall, Mphasis was one of the first to create an AI business unit called Mphasis.ai. We've been working with our customers to build a point of view and helping them think through their AI journey on productivity and consumer experience, and we've now evolved to modernization as well.

Modernization is one of the biggest opportunities and we have developed an archetype that is now enabled by Gen AI -centered platforms. We are starting to see every archetype from customer experience transformation to productivity, modernization, our zero -cost transformation being AI -enabled. Tech providers in the market is moving rapidly. We are investing in continuous development of the ecosystem to stay ahead of the curve in our ability to orchestrate tech, people, services especially in the ecosystem of the market with AWS, Microsoft and Google.

We recently announced a Strategic Collaborative Agreement with AWS focused on Gen AI in financial services. Mphasis will also set up a Gen AI foundry to develop POCs for industry - specific use cases. Similarly Google recognized us for our deep engineering capabilities. We recently built a hybrid multi -cloud operating platform that will leverage AI using Gemini Code Assist to accelerate the software development life cycle. Mphasis has also launched Gen AI blueprint on Microsoft's Azure Marketplace in collaboration with Microsoft and OpenAI. This will help organizations seamlessly integrate and adopt Gen AI solutions to boost efficiency and scale operations.

For instance, we've been building Gen AI platform for automating and reimagining complex processes, including reverse engineering, application relearn and reengineer, things that have traditionally been manual. Consequently, we have introduced two new platforms, as part of our

Mphasis.ai business unit, Modernization and Developer Experience Acceleration. Recently, we have introduced an AI adoption framework, which enables our customers to move beyond POCs and adopt AI within the business.

The Modernization platform helps in modernization of legacy applications written in languages like COBOL and Java, using Gen AI LLMs and LAMs, with the objective of reducing the relearning time by over 50%. Building on the foundation led by the modernization platform, the Developer Experience platform takes the next step while generating the target step for the modern application, accelerating this phase by 40% to 50% as well.

Moving on to the AI adoption framework, enterprises today are doing lots of POCs, but struggling to adopt Gen AI at scale in their businesses. Our comprehensive framework simplifies adoption by bringing people, process and technology together. We are extre mely excited about the capabilities that these platforms and solutions will bring to our customers.

Looking back at our journey through this past year and where we were versus where we are indicated at the beginning of FY 24. We entered 2024 with a strong pipeline in cloud transformation and consolidation. Our TCV closures in a challenging year reflected our ability to see pipelines through to deal closure. We had indicated that we would achieve revenue stability in DXC. And to that effect, DXC is now roughly 3% of our revenues.

In keeping with our message to drive the non -BFS and the non -US markets growth, we have built strong verticals in health care and TMT and continue to consolidate wins in these verticals. The share of our emerging verticals such as insurance, TMT , logistics and transportation and others has increased from 49% to 52% of revenue.

In Canada, we started with a set of financial services focused customers, and we now have a well-diversified clientele across verticals, and we recorded a 42% year -over-year increase in revenues in FY 24. We continue to be driven by innovation -led growth and operational excellence for our clients. We invested in our nearshore model and increased head count by 27% in regions such as Taiwan, Mexico, Poland, Costa Rica, Canada, etc.

On technology, we made strategic choices to invest in capabilities and skills. In 2024, we were able to quickly acquire and rapidly integrate our AI, sales force and other capabilities with our tribes and archetypes and deliver a more well -rounded suite of services to our customers. Our top 11 to 30 customers ex mortgage grew 13% in FY24 versus the previous year. The large deal wins outside of our top 10 customers grew by 73% in FY24 versus the previous year.

Specifically on revenue growth, in April '23, we called out Q1 '24 softness in the BFS segment, which unfortunately lingered through the first half of the fiscal year. We indicated in April last year that mortgage segment was close to bottoming out and tha t we expected incremental stability throughout the later part of '24. Though the interest rate environment hasn't changed as we anticipated, the mortgage segment has broadly stayed stable, especially over the recent 2 to 3 quarters through FY24 .

We also indicated that direct is likely to be -- growth in direct is likely to be back ended, with sequential growth starting second half of FY24 . And while the growth came in later and slower

than expected, however, investments have been in place to drive and capitalize on green shoots as they emerged.

We are pleased with the pipeline growth outside of the top 10 accounts, which has grown by 10% year -over-year as well as 19% growth in our BFS pipeline. Our proactive deal pipeline is strong with about 76% of our deals from proactive pursuits. A healthy composition of large deals in the pipeline underscores th at digital transformation and accelerating digital adoption continue to be core themes for our clients, which are now getting supercharged by AI adoption as well.

Almost all our pipeline continues to be tribe -driven, archetype -led and is well distributed across verticals and key themes such as data, modernization, cyber, agile ops and platforms. We see AI-enabled opportunities in several of these archetypes and especially in areas that are opening up new addressable markets for us such as Agile IT Ops, Next Ops and further acceleration in data engineering and modernization.

As I mentioned earlier, our pipeline remain s strong and conversion has been steady, though still slow given the impact of seasonality and the macro factors. Large deals continue to show up in our pipeline, and we've also seen an uptick in smaller deals as well, especially in Q4, providing clearer vi sibility to some revival in discretionary deals while also boosting the pace of revenue

conversion with shorter duration, quick burst deals.
We continued with a higher share of proactive deal wins as we stayed focused on deal -making in a challenging year. We saw broad based TCV wins across verticals and across the client pyramid with several strategic customers. We closed the year with new TCV wins at $1.38 billion in FY24 and closed deals worth $177 million in Q4 '24.

Notably, significant TCV wins continue to be from our beyond top 10 accounts and are well distributed between our various service lines. 77% of our deal wins in this quarter were powered by next -gen technology adoption.
We saw 15 large deal wins in FY24 , including 1 large deal in Q4, and we remain focused on ramping these for revenue. We are seeing conversion to revenue pace pick up, and our deal archetypes are further strengthened by capability acquisitions made during the year, enabling us to offer a l arger breadth of services. We continue to be structurally forward leaning, making investments where we expect demand. We continue to push for revenue growth, which is anchored in a strong client mining model and tech -led offerings.
Our Q4 FY24 revenue came in at USD 410.7 million, a growth of 2.1% over previous quarter in constant currency terms. For the full year, we closed FY24 at revenues of $1.61 billion, a decline of 6.5% over previous year in constant currency terms. Direct business accounted for about 95% of our overall revenue in Q4 '24 and for the full year. The mortgage business remained stable this quarter, driven by new deal wins from previous quarters.
Our clients continue to look for best -in-breed solution providers for a combination of cost takeout and transformation programs. We expect the pace of revenue and deal conversion to pick up, especially in transformative deals through the remainder of -- through the coming years.

Our Direct revenue for the quarter increased by 2% sequentially in CC terms and by 0.4% Y -o-Y in Q4 FY24 . For the quarter, our anchor geography, the U.S. improved 2.9% sequentially and grew by 0.4% in direct Y -o-Y in Q4 '24. EMEA region also grew on a year -over-year basis. We have been seeing good client wins and continue to see traction there. Our core service line, enterprise apps constitute about 71% of revenue. We grew 2.8% sequentially in c onstant currency terms in Direct apps. The BPO segment grew 1.8% sequentially and stayed flattish on a Y-o-Y basis. We expect this segment to see stability ahead as well.
Moving to our vertical performance. As guided in Q3 earnings call, growth was led by BFS and TMT. BFS was up 2.6% sequentially in Q4, and TMT and logistics were up by 4.5% and 2.2%, respectively, driven by client and deal wins in recent quarters.
Similarly, our others vertical in direct is growing quite well as reflected in the 21.6% year -over-year growth in Q4 FY24 . We see good ramp -up in new customers added across segments, including in health care in the last few quarters in this segment.
Our top 10 accounts declined 10.8% Y -o-Y on an LTM basis, mainly impacted by macro conditions, seasonality and the regional banking issues in the early part of the year. Our top 11 to 20 clients increased by 10.5% Y -o-Y, and 21 to 30 client segment grew by 17.3% Y -o-Y on an LTM basis.
Our new client acquisition revenue continues to grow well, sustaining its strong growth trajectory at 27%. Client mining stats remained steady, both sequentially and year -over-year. Our wallet share with key clients continues to be stable, and we are well positioned with consolidation opportunities and share of gains. This is particularly visible in the recovery in growth in BFS in Q4 revenues for us as well as our pipeline growth in BFS.
Coming to our financial metrics. Our margin philosophy affords us the flexibility to manage our profitability in the face of revenue headwinds. In this quarter, our EBIT margin stood at 14.9% and Silverline acquisition costs impacted our margin by 0.8%. Reported operating profit for the quarter declined 1.4% year -over-year and grew 2.2% sequentially. Losses in cash flow hedges impacted margins in Q4 FY24 by 10 basis points.
For the year, our reported margin stood at 15.1%. Our EPS at INR20.8 for this quarter represents a growth of 5% sequentially. F

or the year, our EPS stood at INR82.4, a decline of 5.3% annually.
Cash flow generation at USD 55 million for the quarter was 116% of net income. Year -to-date cash flow was at about USD 237 million, continuing the trajectory of 100 -plus percent of net income and a growth of 56% year -over-year.
Our DSO of 66 days was better by 3 days over the previous quarter by 5 days over the previous year. The Board of Mphasis also recommended a final dividend of INR55 per share to be placed before shareholders for approval.
In summary, we've continued to retain our focus on the micro through FY24 and on ensuring operational stability amidst the duality in the macro environment. I'll leave you with a few points

on the summary chart.

We continue to focus on building for growth and have made investments for a tech -led, strategically diversified and transformative growth. We exit FY24 with a resilient pipeline across TCV archetypes, including in our anchor BFS vertical. We grew capabilities through our strategy of build, buy and partner with the launch of Mphasis.ai platform and business unit, continuing strengthening of partnerships e cosystem across hyperscalers as well as specialist players such as Kore.ai and WorkFusion. We also expanded our Salesforce capabilities with the acquisition of Silverline.

We continue to diversify our revenue and pipeline beyond BFS and our top 10 clients. We've revitalized our leadership in core geos, verticals and technologies and have expanded our addressable market with new and enhanced capabilities. We're starting to see early signs of TCV to revenue conversion pickup as reflected in the perfo rmance in Q4.

FY24 margin stayed expanded to the upper end of the guided band on a normalized basis, coming in closer to 16% towards the second half with our continued focus on productivity and operating levers. We had strong operating cash flow through the year and showed continuous improvement in DSO with operating cash 56% higher than FY '23.

Coming to the outlook for FY '25. There are a few key messages that I would like you to take away. Firstly, we continue to integrate our capabilities and execute to capture growth opportunities as provided by the new environment, as I mentioned in the prev ious few minutes. We're also very focused on converting our past and current deal wins to revenue. Despite uncertainty in spend and sentiment, FY '25 outlook is better than the previous year. We expect that in FY '25, we will be at above industry growth wi th visible gains from tech -led and account focused strategy, including share gains, consolidation and continued active mining of clients, especially in the 11 to 30 and the NCA categories. We will continue to execute in areas of growth and invest across capabilities and verticals.

On margins, we retain our message of sustainable and steady margins in a narrow band while investing for growth. Our operating margins will remain in the stated band of 14.6% to 16% in the upcoming year with a continued focus on operational rigor, giving u s increased confidence on the trajectory of our performance.

On that note, moderator, let's open up for questions, please.

Moderator: Thank you very much. We will now begin the question and answer session . The first question is from the line of Nitin Jain from Fair View Investment Private Limited.

Nitin Jain: Thank you for the opportunity. And I wanted to delve a little deeper on the TCV wins. So despite the strong positioning of the company on AI and the sequential improvement in the BFS industry, the TCV wins have been sequentially declining over the year. So how do we see this trend going forward? How are we abl e to leverage our positioning in AI in terms of deal wins? And the next question is also related to deal wins. So a lot of industry players have started providing numbers in terms of their TCV -- their AI d

eal pipeline and revenue generated from AI. So would you also be in a position to share any quantitative data ? Thank you.

Nitin Rakesh: Sure, Nitin. I can take the -- both the questions, actually are pretty linked to each other. Firstly, I think we had a very bunched up early part of the year with some very large deals getting bunched together in late Q1, early Q2. And we guided that we'll have to continue to move deals through the pipeline through the remainder of the year. And that's the reason why the pipeline is up 5% sequentially just Q4 over Q3. A large part of the growth came obviously from the rebuilding of the pipelin e in BFS as we've seen opportunities open up.

There are two nuances to think about the TCV number. One, I think the -- on a full year basis, we've still grown the TCV wins by about 5% in a challenging year. Second, a lot of these deals are, as we guided, especially in the early part of the year were multiyear deal s, have not yet fully ramped up and we continue to monetize the opportunity provided by those deals to ramp up. So that's one thing to keep in mind because the linkage between order book and revenue growth is much clearer for us given that we only report net new deals.

Secondly, especially in Q4, we've seen a number of short burst deals. These are typically -- while we are reporting TCV, they're typically even shorter .. the duration is even shorter than 1 year in many of these deals.

I think the $0 million to $10 million category deals for us the contribution, even on a dollar basis, is actually very high this quarter. And that gives us the ability to ramp up these deals very, very shortly -- quickly. And hence, you've seen some of tha t already show up in Q4 numbers, and we expect that to also show up in the following couple of quarters. So I think that's one thing to keep in mind when it comes to the shape and nature of the TCV.

Your second question around how we're using capability and how we're driving that competitive advantage. I think the ability to orchestrate the tech ecosystem, ability to provide a solution that leans on application of tech versus pure capacity or T&M basi s, I think, is really where the market is headed. We have -- we broke out the overall TCV, and we basically said about 28% of that was AI -led. Combination of examples I gave you in the presentation are all pointing towards those AI -led deals.

I think it's a little bit too early to start creating a metric that we can report every quarter given that we are heading to a point where almost every archetype, every solution will have some element of tech orchestration. But I think we'll continue to wo rk towards figuring out what's the best way to represent growth in that business.

I mean it's not just us, even the hyperscalers are having the same challenge with the 2 earnings calls that I heard -- listened to today between Google and Microsoft. I think it's not very easy to differentiate how much is AI -led and how much is cloud -led.

So we'll continue to find ways to give you a representation. But for now, I think the takeaway message is that lead indicators are pipeline. Pipeline in AI -led deals is directly linked to the 4 archetypes I talked about, which is Agile IT Ops, Next Ops, Data engineering and modernization . Those are the four very, very large pockets of opportunity, and those are the four biggest buckets of our pipeline at this point as we speak. We do expect the TCV conversion rate to show a much healthier number as we start FY '25 as well.

Manish Dugar: On the reporting of the numbers, Nitin Jain , we did talk about winning TCV of AI business being one third of our $700 million TCV win, and wherever relevant, we will provide that information. At this point in time, we are not calling it out separately in the revenue split.

Modera

tor: Thank you. The next question is from the line of Mohit Jain from Anand Rathi.

Mohit Jain: Sir, one question. In margins, was there some benefit that you guys received during the year from unknown reversal or other things, which gets accounted for an EBITDA? Or how should we look at it for 4Q and for FY24 ?

Manish Dugar: So, Mohit, there are investments and programs that are created to drive growth. And some of them fructify with the costs actually getting paid out. And in some cases, since the performance does not match up, those monies don't get paid out. There's nothing which is out of the ordinary from a business as usual perspective. And the reporting had to happen because technically how the accounting works for some of these transactions.

But think of it as some portion of the incentives that were planned did not get paid out. And as that got reversed, given our philosophy of puts and takes and investing when there is an opportunity, we found other areas where we could invest it in. So it s hould not be seen as something which is either a directionally positive or negative from an EBIT perspective.

Mohit Jain: So we need not adjust EBITDA for the INR200 crores kind of figure ?

Manish Dugar: No. There will be -- see, a lot of these investments are onetime, like we said, right? Short -term savings go into short -term investments, long -term savings go into long -term investments. So has that saving accrued being invested in equivalent areas. So there is nothing that will upset the guided range. As you would have seen over the last 16 quarters, we have ensured that we maintain the margin to a stable range. And any upside or downside is adjusted through either dialing up or dialing down the investments.

Mohit Jain: Okay. And second, as a follow -up on the previous, like, when should we expect TCV to start growing again because that number is coming off quite sharply, started with $700 now, we are below 200.

Nitin Rakesh: Yes. But I think, again, as I said, right, Yes, as I said, right, large deals by definition will be lumpy. I think when you consume such a big number and there is a windfall quarter, you will see rebuilding of the pipeline through the phases, and that's wh at we are focused on. I think on a steady -state basis, the LTM average is something we are very confident that we'll reach back as we get through FY '25.

Mohit Jain: So your LTM average will take us to industry -leading growth for FY '25? You don't think we need to pull up on TCV?

Nitin Rakesh: Above industry growth is what we're calling for right now. I didn't say industry -leading yet. If we get through the next couple of quarters as planned and expected, then we will definitely update that guidance. But at this point in time, what we are saying is if we get back to -- given

the nature and duration of some of the deals that we are starting to see, we do think that if we get back to our LTM average, we should be in a good place for FY '25.
Moderator: Thank you. T he next question is from the line of Dipesh Mehta from Emkay Global.
Dipesh Mehta: A couple of questions. Starting with medium term, you indicated about increasing TAM by 57%, 58% in last 3 years. If I look our performance, our revenue growth trajectory will be broadly in line with industry. We are not seeing any benefit from TAM expansi on. So if you can help us understand how one should reconcile these two numbers which is fair ? Second thing is about the margin range, you indicated fairly wide range now. Sorry -- yes, you look at a fairly wider range for EBIT?
Nitin Rakesh: Yes, Manish, why don't you take the EBIT question first, and I'll address the 3 -year revenue question.
Manish Dugar: Sure. Yes. So Dipesh, as you know, means, last year, our guidance on the margin was 15.25% to 16.25%. And the primary reason why we maintain that range is because of th

e uncertainties.
We are, as we speak, at 14.9%, while we are driving to a range of 14.6% to 16%. And the only reason for that is we believe there are some one -timers in this 14.9% like last quarter, and we had called it out specifically.
We do believe that as we go forward, we will have opportunities both from an operating leverage perspective and from the perspective of all the productivity and operating levers that we are working on, which should help us further move towards the top end of the margins, other than the fact that some of the impact of acquisitions will get utilized.
However, given the uncertainty, we wanted to make sure that our guidance does not get breached either at the bottom end or the top end, and hence, the guidance of what the normalized margins are. We expect that unless something drastically goes wrong, we should be more towards the middle or the top end of the margin range.
Nitin Rakesh: So, Dipesh, to answer your first question around the 3 -year revenue growth rate versus TAM expansion, again off the top of my head, FY '22, FY '23 and FY24 . FY '22, direct revenue growth was around 35%. Industry revenue growth in that year was probably around 16% to 20% range.
FY '23, direct revenue growth was 1 2%. Industry growth in that year was prob ably in the 6% to 8% range. FY24 , direct revenue growth is minus 2.3%. Industry growth is probably in the 0% to 2% range.
If you do a CAGR analysis, you will actually see that we probably grew 2x the industry on a 3 -year CAGR basis. . And by the way, this includes the impact of DR on the mortgage business because obviously, that included -- that was included in FY '22 and '23 numbers as well.
So I think it's -- if you do -- the longer -range CAGR analysis you do, the better the performance will actually look. Obviously, this performance is getting muted by the impact that we've taken on two large hits in the last 12 months, mortgage and regional bank. But I think coming out of that, the CAGR -- the TAM expansion is actually working in our favor as also driven by the

large deal wins and the fact that we had a record 15 large deals in FY24 . Happy to share more data as you wish.
Dipesh Mehta: I have a few follow -ups. First about, let's say, data -wise, depreciation has inched up sharply this quarter, whether this would be new normal or there is any one -off in this quarter, which one should be aware of? Second question about if I look at New -Gen TCV which was always a focus area for us rather than total TCV.
Now New -Gen TCV, if I look on TTM basis, it is showing Y -o-Y decline? So if you can provide some context to it, how one should read it? And lastly, let's say, vertical -wise, if I look at it, if you can provide some strength about how you expect growth trajectory to be led by in FY '25.
And if any percentage you would like to highlight across vertical?
Nitin Rakesh: Manish, you want to take the depreciation question and then I can address the vertical outlook.
Manish Dugar: Yes.
Nitin Rakesh: I didn't understand the second question, which was around the...
Manish Dugar: TCV trailing 12 months, Nitin.
Nitin Rakesh: Yes, okay. You can take that too.
Dipesh Mehta: New -Gen TCV. I'm not referring to total TCV, New -Gen.
Manish Dugar: Okay, New -Gen TCV. So on the depreciation, Dipesh, as you would have seen, the EBITDA expanded from 18% to 18.7%. And while the margin -- EBIT margin remained at 14.9%, the primary reason for that is some of the savings that we accrued were in the nature o f non -cash

and some of the savings, that onetime -- the depreciation increase that you are seeing is not normal. You should expect it to be in the range as it was in the prior quarters. Nitin, you want to take the New -Gen TCV?

Nitin Rakesh: Yes. I'll take the other two. I think the New -Gen number in the 75% to 80% range is kind of the averag

e. The rest of it is actually comes from organic. As I mentioned, existing programs get ramped up, ramped down. And hence, you will see a tail of 15%, 20% that will reflect. I wouldn't read too much into the New -Gen number.

I think as we go forward, as I mentioned, given the tech orchestration, people plus platform play, if anything, I think that will become the primary source of deal construction and deal wins. On outlook by vertical, I think we mentioned in the last quarter call that at least for the short term, we expect growth to be driven by BFS and TMT. And I think that is still the case, at least in the very short run.

We do think that the worst is behind us in the logistics business. Travel business already actually been growing well for us between airlines and railroads. And I think even insurance business has grown well on a Y -o-Y basis, and we do have a pretty good v iew into trajectory for that business. I think, most of the businesses are pointing towards a pretty decent picture, purely

based on the in -account actions and the bottoms up work that the teams have done across all geographies.

Moderator: Thank you. T he next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities.

Chirag Kachhadiya: Yes. Nitin, I have one question on margin front. So the margin road map which we still -- as an outlook in FY '25, are we going to drive that? And what is our outlook on hiring as well?

Manish Dugar: So I'll take the question on margin. Chirag, the constant philosophy for Mphasis has been that of investing for growth while maintaining margin in a narrowband. The narrow band, we believe will have a northward bias as the revenue scales and that is demons trated in us continuously increasing the margin delivered on a year -on-year basis.

Even the range this year, if you see is -- the lower end of the range has gone up if you normalize for the acquisition, means our reported margin is 14.9%. If you take the impact of acquisitions, the new one and the earlier ones. Adjusted for that, the margin is about 16%. And the range that we have called out will eventually look like 15.7% to 17.1%.

So -- and most of this is driven by the philosophy that as and when we have opportunities in terms of short -term investment capability or long -term investment capability, we will invest in ideas and areas that help us broaden our spider chart, which we pre sented in the Investor deck, which are all the dimensions in which we want to continue investing to prepare the business for the future and for a long -term growth.

And if and when there are some constraints, we have the ability to dial those investments down. So that enables us to ensure that the delivered margin remains in a stable range. And that is how we will continue doing it. And based on what we see today, 14. 6% to 16 % delivered margin is something that we believe we will be able to deliver in the coming year.

Nitin Rakesh: On the head count front, I think still a little bit unclear picture as to where the immediate term discretionary demand will end up. So we are not really building any large capacity at this point in time given that we do have the ability to apply multiple levers. Just like you saw in Q4, we were able to actually show a pretty decent revenue ramp -up. Of course, we ate into some of the utilization and we got the benefits of seasonality back in as well.

But I think the -- my -- at least the short -term view on hiring trends is that we will have to really be in lockstep with the demand forecast and we are very focused on doing a rolling 90 -day forecast at this point. We still obviously have utilization that can further be improved. But at this point, I think we are sitting pretty comfortable with the capacity required for us to grow.

And this will really have to be a very dynamic in -quarter decisions to be made arou

nd how much to invest in a ramp up capacity. However, a significant investment is already going into upskilling of the people, especially around some of these Gen AI platforms, both internal and third -party platforms. So I think there's a bit of a revolution or evolution going through in t he supply chain as well. Supply chain will have to be very much in lockstep. And in a way, highly automated way of operating, so we can make quick moves with short term -- short heads ups.

Moderator: Thank you. T he next question is from the line of Manik Taneja from Axis Capital.
Manik Taneja: So I just wanted to get your thoughts on two things. In the past, you have spoken about on the -- from a financial services standpoint, you've spoken about strength on the retail side, strength in wealth management and retail banking, while pressure in inv estment banking, given the lack of deal activity.

Even what we are seeing in the more recent past in terms of new IPOs coming up in the developed markets, do you think this part of the business segment starts to do well for us? And if you could provide us some broad context of your split of business acros s some of the i ndustry segments within banking?

And the second question was with regards to the org structure or the GTM change that we did last year. If you could help us understand where are we in terms of settling down of the new GTM structure and also talk about the progress on the new client acquis ition-led growth ?

Nitin Rakesh: Sure. I think on the first one, interestingly, the reference I made to some shorter -term quick burst deals is actually a direct reflection of a little bit of the improved landscape when it comes to capital markets. We've seen some bank earnings, and we've seen the impact of trading and capital markets businesses actually surprise on the upside to The Street. Some of that is translating into actions that they're starting to take because the belief is that The Street is in the early stages of capital markets reopening. So I think some of that is definitely good news for the capital markets segment.

Consumer banking, I think a lot of transformation work around experience transformation for customer experience, the cost takeout from operations, both business ops and IT ops as well as -- the capital markets and consumer bank are talked about. Asset and wealth is actually an area of investment because a lot of large firms have strategically decided to diversify towards asset and wealth given the annuity nature of those businesses. There, I t hink a lot of work is going on around data as well as adoption of Gen AI in the way they think about research and trading as well.

So I think the -- obviously, the consumer lending segment is still a little bit stressed. The direct linkage of that to mortgage and auto loans. Both of those are either -- there's not enough volume or the delinquencies are higher. So those are actually a little bit of hot spots that we haven't yet found a full answer to. So that's kind of on the -- within the BFS segment, what's going on.

Insurance, since BFSI is kind of typically talked about, I think there is decent demand for modernization solutions across life and annuities players. P&C guys are a little bit more class specific stories given the -- that their own internal dynamics are v ery different. And the brokers are also very rapidly refreshing their tech platforms, consolidating them and driving forward. So that's the reason why we've started to see some decent activity both in deals and in revenue on the insurance business as well on a Y -o-Y basis. Can you repeat the second question?

Manik Taneja: My second question was r egarding the org structure, GTM?

Nitin Rakesh: Yes. GTM structure. I think the structure is fully settled, Manik. I think we -- it's been 4 qu arters now. We are starting to reap the benefits of these go -to-market account cohorts by vertical in the U.S. That was kind of the only change we made, I think, in our regional structure in Europe and emerging continues.

I think the synergy benefit of having a set of accounts run by the same leadership team is what is driving our rapid expansion outside of the top 10 accounts -- outside of the top 5 accounts actually. I think there is a very interesting set of logos that w ere acquired in the last 3 years that are actually supercharging the overall book of business in BFS, and that's partly also one of the reasons why we are fairly confident about the short -term prospects in that business.

Same thing for things like travel and airlines, same -- a very similar outcome that is being derived through the synergy that is generated in that unit as well. So I think we achieved the objectives that we set out to achieve. Obviously, FY24 was a head -winded year for the industry and for our clients. But I think as we are seeing this uptick and recovery in growth, I think that structure will probably become a fairly strong go -to-market pivot for us -- pillar for us.

And not to forget that there is a very strong layer of solutions and tribes that actually cuts across all units, all markets, all geographies. So that continues to provide that consistency and scalability in deal archetypes. So I think everything is well s ettled in, given the ability to take a new capability and bundle into a deal archetype is well established at our end as well.

Moderator: Thank you. T he next question is from the line of Rahul Jain from Dolat Capital.

Rahul Jain: Yes, thanks. So basically, I have a couple of questions. One is to, I know there's no easy answer to this, but just to understand what is the industry growth benchmark for you? Is it more around the Gartner IT services forecast number? Or this is more to do with what the average of top 10,

15 players in Indian market may potentially do for this year?
Nitin Rakesh: That's an easy answer. It's the latter. It's not the Gartner number. It's the -- it's really the NASSCOM forecast of the top 20 players average.
Rahul Jain: Understood. And -- to the same point, if we see the number that Gartner is producing, in their forecast looks much better than what NASSCOM did last year and what they are expecting now.
So is it more to do with corporates investing in AI where probably at this point Indian sales have less role to play or maybe some other technology we have lesser play at this point, which explains the difference of Indian IT growing slower than Gartner, which has never been the case historically.
Nitin Rakesh: Yes. I think I would take the Gartner number for what it is. It's a forecast. It is not -- even in -- into calendar '23, I don't think there was that level of growth as they forecast. They started the year with a 9% forecast. They ended the year with the 3% forecast. So I think they will revise it based on how the market evolves and develops.
At this point, I do believe though that Indian IT is actually going to grow faster than global SIs. You can see that with some of the larger global SIs numbers and their forecast or consensus or

guidance for '24, you'll still see that, that number is actually lower than the average of the Indian SI growth number.
And that has been the case for the last 25 years. I think the value migration in favor of India - centric IT delivery is continuing, and of course, the gap has narrowed. It used to be a pretty big gap. But given that the overall industry growth has come off in the last couple of years, that gap has, of course, narrowed.
So I think the right way to think about the growth rate is as we go through the year, where we end up with the forecast. Of course, that is a line in the sand that we follow because that's a benchmark that

gets set at the beginning of the year. Some of tha t is also, by the way, consumed by the hyperscalers because of the early consulting services work that needs to get done before it turns into execution deals that actually come to SIs, both global and India.
Rahul Jain: Right, right. And just last bit, since we've been early into this AI theme, is there a way to understand the precise TAM within the or [SAM] within the $40 billion, $50 billion AI market that is defined, which would be more related to the kind of work whic h we may eventually do?
Nitin Rakesh: I think the short answer is that there are wide -ranging forecasts of the size of the AI market, depending on what segment of AI you're talking about. If you look at machine learning, different estimate; Gen AI, different estimate; conversational AI, differ ent estimate. Still very, very early days. So I think it's like the '95, '96 time frame with Internet. I don't think it's -- anybody has a clear handle.
One thing though is very clear that things are moving very rapidly, and evolution is very fast, at least in the tech landscape. So I don't think it's going to take 5 years. Within the next couple of years, it will be pretty clear.
The way I see it is, as we talked about during the commentary that I gave over the presentation, I think there is potential for almost every archetype, every service type to get enabled by some adoption of tech. Not all of it will be Gen AI. But if you loo k at something like Agile IT Ops, production support, service desk, there is a pretty significant combination of conversational AI and machine learning, pattern recognition, predictive, preventive self -feeling mindset that is actually driving a lot of adop tion of tech platforms and AI in those service lines.
So I think to me, just like digital was in the early days, there was a lot of tagging and retagging and redefinition. I think this is a phase we'll have to go through. Painful, but we'll have to go through it over the next few quarters. And then to me, alm ost everything you do must be touched by some form of tech, otherwise, it's going to get completely disrupted or it will disappear as a service line. And we've seen that with many, many past service lines. One really good example is stand -alone testing. It 's pretty much non -existent today.
So I think it's a refresh , almost every service type, every drive, every archetype and effectively approach the business as if almost everything will get touched by some element of tech. Now again, Gen AI is a high cycle issue. So I'm staying away from saying everything will be Gen AI, but almost everything has the potential of getting converted into a tech play.

Moderator: Thank you. Th e next question is from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah: The first question, Nitin, wanted to understand. I think you are the first one to highlight that the

small tenure, small size deals are also forming part of the deal pipeline and the deal wins. So is it concentrated with a few clients in 1 vertical or it h as been widespread across many verticals?
Nitin Rakesh: I think it's -- I wouldn't say it is concentrated in 1 vertical, but given the outsized share of BFS for us, I think it's most visible there. And remember, the banks are almost always power gaining and early adopters of almost all new tech. So some of that is playing in there as well as they are starting to think about how these new tech platforms are in going to impact their overall programs.
Many of them are already in the journey for cloud migration or transformation. Now this gets -- gives them another lever to not just accelerate their journey, but actually fund that journey. So I think it is more broad based than just 1 or 2 verticals, but at the same time, I'm very enthused by the fact that the level of activity in BFS at least for us, is pre

tty strong right now. And that gives me a certain degree of confidence for the short term.
Sandeep Shah: Okay. Fair enough. And, Nitin, is it fair to believe now most of your client specific issue, large accounts across many verticals, which has impacted your growth in the last couple of years, are largely behind, especially in the top client within your BFSI vertical?
Nitin Rakesh: Yes, I think not commenting on any one particular customer. I think I did call out when we talked about the vertical outlook. Most of -- I wouldn't say all, but most of client -specific issues seem to be -- the worst seems to be behind us. As capital market activity recovers, I think whatever i s left will probably get addressed through that. Then the only thing left to recover will be the interest rate sens itive business around mortgage.
There, I still don't see any pickup in volumes. I think whatever sustainable revenue we are generating is being generated through either the fact that we are a lot more efficient than our clients operations or we are actually gaining share from some other providers and new customers. So I think it's a -- barring that segment, I think the large account issues seem to be -- at least seems -- the worst seems to be behind us.
Sandeep Shah: Okay. And just clarity in terms of your earlier comment FY '24 TCV is not fully reflected in terms of the conversion into revenues. So do you believe the first quarter FY 24 TCV which might not have been converted fully into revenues may -- now may not delay going forward and start looking in terms of conversion to revenues in the coming quarters. So despite the fourth quarter TCV being low, one cannot judge the softer reve nue growth. It could be a vice versa where earlier quarters deal wins are converting into revenue and the growth could be better.
Nitin Rakesh: Absolutely. I think I called for that. It's not just the first quarter TCV. I think we had $1.38 billion in the last 4 quarters. A lot of that, we are consuming through. Some of the earlier deals are still not fully ramped up, and we've been calling for th at delay happening over two quarters -- last two quarters. This quarter, we've seen some pickup in activity, and it's still not fully ramped up. So I think we'll continue to consume what order book we have as we also focus on closing the order book.

Sandeep Shah: And last clarification, Manish, just wanted to understand this G&A cost has gone down materially on absolute basis by 24%, what has led to this and what would be the normalized run rate?
Manish Dugar: So Sandeep, the real metric that we kind of track and look for is the EBIT number. And when you have some onetime reversals and onetime charges, it may come in different buckets. So we do have a disclosure that there is a reasonable amount of money that we reversed in this quarter. A large part of that actually came in as a reduction in the G&A cost and the gross margin line item, while the investment that we made corresponding to that saving actual ly went in S E and gross margin.
So you would see a reduction in the G&A number because of that while the S E looks higher. However, the real way to think about it is a longer term trend. And there, I think the number is a little higher than the 5% that we reported, and that is what the the normalized G&A will look like going forward.
Sandeep Shah: 14.9% as a reported margin does not have any one -off to call out, right way to understand?
Manish Dugar: So 14.9%, last quarter also we had said that there is some bit of upside because of onetime and so is the case this quarter and which is why we have guided a lower end of 14.6%. However, the endeavor and the view is that if things remain stable and we are able to get operating leverage, we should be able to deliver 14.9% or higher.
Moderator: The next question is from the line of Vi

bhor Singhal from Nuvama Equities.
Vibhor Singhal: Maybe my question was on BFS direct, excluding DR. What is the -- I mean, of course, in this quarter, it was down 9% Y -on-Y as we can see for the presentation, but I'm sure there's a

sequential improvement in the business as we have seen. So what is -- if you could just basically give some idea to what is happening in that segment, what are our key trends , which we should look at? And going forward in the next 2 to 3 quarters, how do you see that segment playing out?

Nitin Rakesh: Yes. I think, I actua lly addressed in a couple of different ways, both through my comments and through the previous questions. But just to kind of sum it up, the ability of enterprises to look at how they can redesign operations and technology using some of the newer capabilities that have been made available in the last 12 months is driving one pocket of conversations and deals. Not many of those deals are fully supersized yet because somebody will roll out a certain number of POCs or pilots or certain teams will actually adopt that first and then they will scale it. So that's one pocket of opening that we are seeing. That's why we've been very power leaning on, for example, the AWS around FS in the U.S. with a foundry approach.

Second, I think the ability to -- for us to create deals, I gave an example of a production support COE for a large U.S. bank. That was not something that we would have been able to win 18 or 24 months ago because that was a scale game , per ticket pricing, how many different locations do you have people in, what's the per ticket reduction you can commit over the next 12, 24, 36

months. Any how many thousands of people are in that operation for you will drive your ability to win that business?

Today, that playing field has been level set because client is not focused -- or at least our approach to the business is to not get the customer to focus on the per ticket cost, but to focus on reduction in overall ticket volume because you can actually a utomate a lot of that intervention by using AI -led ops or machine learning combined pattern recognition combined with self - learning . So that's a completely asymmetric opening of TAM.

I don't know if that is – that places everybody in the same position. The answer is probably not because that market by itself is going to get very heavily disrupted with automation and AIOps. But for us, that's definitely adding both to pipeline and to deals.

And third, I think I talked a little bit about green shoots of activity coming out of this, the short - burst deals. Some of it is linked to the capital markets recovery. Some of it is just linked to the fact that 1 quarter into the year, I think there is a little bit of change fatigue. They didn't really do much last year. They have to do a certain number of programs this year. Question is, what does the macro do to that spend on a 6 -, 9-, 12-month basis? The answer is we don't know. We just have to focus on in-account action and bottom -up driving off wallet share gains.

And I think given that we've also added a number of marquee logos in BFS in the last 18 to 24 months, 36 months, that's a massive opportunity for us to gain share. So I think it's really a combination of all of these things. None of this is macro dependent for us because we re ally can't take a call on that.

All of it is dependent on our actions and what we control, and that's what's driving our confidence in the fact that at least for the next -- for the first half of the year, we have decent visibility. We'll update that visibility as w e get into the next quarter or two because that will give us a little bit more sense of whether these green shoots on short -burst deals are sustainable.

Vibhor Singhal: Got it. But on the demand side, just to wrap up with clarifications on my side. On the demand side, I mean, how are the BFSI customers, again -- excluding mortgage that I'm talking about, how are the BFSI customers reacting to the interest rate scenario be ing pushed out further and further? Is there any dependency of the -- on the tech spend on this thing o r do you think we are well past that and now tech spend hit the bottom end a nd from there we should recover?

Nitin Rakesh: Yes. I think some of it is kind of just baked into the acceptance that higher for longer is here to stay. Question is whether July happens, September happens, I don't know any -- I don't think anybody knows. I think at this point, obviously, I mean, you sa w the bank earnings, there was very little to call out there saying higher interest rates are hurting ba nk earnings. Yes, they are paying more for deposits, but their NIMs that have expanded for the last couple of years.

So I think it's in a way kind of an uncomfortable equilibrium, so to speak. Question is, can that equilibrium be tipped in favor of higher spends? I think it's too early for us to call. That's why we're really, really focused on in -account actions.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over to Mr. Nitin Rakesh for closing comments.

Nitin Rakesh: Again, thank you all for your continued interest in Mphasis and your questions. And I know it was early in the morning. We are very, very pleased with the way we've executed over the last few months. Very focused on continuing to execute, as I mentioned, on a bottoms -up micro basis. And while the environment stays unc ertain, we are cautiously optimistic. Thank you again, and I'll talk to you all in the next quarterly call.
Moderator: Thank you. On behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to Mphasis Investor Relations at investor.relations@mphasis.com. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

31 July 2024

The Manager, Listing
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
The Manager, Listing
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. c/1,
G-Block, Bandra -Kurla Complex,
MUMBAI – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

Further to our intimation dated 28 June 2024, please find enclosed the transcript of the Investor(s)/Analyst(s) call which is hosted on the website of the Company at https://www.mphasis.com/content/dam/mphasis - com/global/en/investo rs/financial -results/2025/transcript -of-earnings -call-q1-2025.pdf

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking y ou,

Yours faithfully,

For Mphasis Limited

Subramanian Narayan
Senior Vice President and Company Secretary

Encl: As above

"Mphasis Limited
Q1 FY 202 5 Earnings Conference Call"
July 26, 202 4

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER – MPHASIS LIMITED
MR. MANISH DUGAR – CHIEF FINANCIAL OFFICER – MPHASIS LIMITED

Moderator: Good morning, ladies and gentlemen, and thanks for joining the Mphasis Q1 FY 2025 Earnings

Conference Call. I am Dorvin, your moderator for the day. We have with us today, Mr. Nitin Rakesh, CEO of Mphasis; and Mr. Manish Dugar, CFO.
As a reminder, there is a webcast link in the call invite mail that the Mphasis management team will be referring to today. The same presentation is also available on the Mphasis website, www.mphasis.com, in the Investors section on the financial and filin g as well as on both the BSE and NSE websites. Request you to have the presentation handy.
As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' th en '0' on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to state that some of the statements made in today's discussion may be forward looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the Q1 results release that was sent out to all of you earlier.
I now hand over the floor to Mr. Nitin to begin the proceedings of this call. Thank you, and over to you, Nitin.
Nitin Rakesh: Thank you, Dorvin, and thanks, everyone, for joining us today. I appreciate your interest in Mphasis. I know it's early. I trust everyone had a chance to review our earnings release documents, especially the IR presentation that I will refer to today. While there are some challenges, economies continue to be resilient , with customers still spending , and there's an increasing consensus around a soft landing. There is also a growing imperative for businesses to drive growth and streamline operations while making AI the driving force to automate repetitive tasks, improve decision -making processes , and create personalized customer experiences. All of these are expected to increase efficiency, reduce costs and improve customer satisfaction.
As we have been stating in the past few quarters, the market continues to be characterized by duality. In our interactions with customers, what we have seen so far, tech remains a top priority for our customers as they seek to operate amidst this duality a nd a cautiously optimistic environment. Investments are slowly inching up, especially in transformative technologies. Gen AI is very much an imperative , both for short -term efficiency gains as well as for long -term business rearchitecture.
Growth needs best -in-class technology landscape, with resilience and agility built in , to escape limitations forced by legacy technology estates. There is a need to go beyond just cost takeouts. While undoubtedly efficiency and cost optimization plays are strong themes, organizations are looking to find short -term wins to fund long -term tec hnological priorities.
As we help our customers navigate this environment, we see the following imperatives. There is a strong focus on resilience and growth. We see this theme across sectors and geographies. While discretionary spends haven't changed vastly compared to the prev ious quarter, there has

been a gradual pickup in client engagement. We called out the bottom towards the end of 2023 , and in our last quarter, we said we are seeing some green shoots, and that trend continues.
AI will trans

form experience and lead to efficiencies across enterprise customers, employees and partners. The potential for AI and Gen AI is getting realized as we move from concept to application across multiple domains within an enterprise. This is now visible in the deal discussions and the pipeline buildup. Modernization and data continue to be the main anchors for our customers an d resonate in deal activities as well.
Savings Led Transformation TM, a theme we launched earlier this year, and AI led solutions are the way forward. Our customers are seeking to balance cost saving priorities in the current macro environment with the imperative to stay tech forward and competitive. This is a step forward from Zero cost transformation or cost -led deals as clients look for realizing immediate value for enabling AI across the enterprise while adopting new ways of working in an AI -augmented fashion, such as copilot or digital work ers, complementing human effort. We see this trend to be a forebearer of more outcome -based deals , with a strong focus on ROI and value generation.
At Mphasis, we were early to spot the AI opportunity over the last 5 years, starting with our machine learning and AI labs at N ext Labs , as well as the unique market -leading presence of these algorithms on the hyperscaler marketplaces since 2018. If you recall, Mphasis was also one of the first to create an AI business unit called Mphasis. AI. Consequently, we've kept you updated regularly on our progress on the same, and I will expand on that today.
We've been working with our customers to build a point of view, help them think through their AI journeys on productivity, customer experience and modernization and the like. We infused

all our tribes and deal archetypes with AI and have been investing to stay ahead through prominent AI partnerships across hyperscalers and AI leaders. We are now entering the phase where platforms are getting adoption at scale and AI is beginning to seep into almost every solution .

We see the AI impact on enterprise IT is huge, and modernization and efficiency are synchronous themes. AI is an end -to-end opportunity which requires a forward -thinking, holistic approach requiring a business and a technology architecture redesign.

Gen AI is delivering efficiency and enhanced customer and employee experiences. AI, more broadly, including Gen AI, is being democratized rapidly and at scale.

To extend our tech -led and account -led positioning and to align with these mega trends, we have continued to sharpen our solutions stack and are today announcing the launch of two market - leading platforms. We are launching an industry -first modernization platform called Mphasis NeoZetaTM, which is a platform for transforming legacy applications, written in languages like COBOL, Natural or legacy Java, using Gen AI LLMs and LAMs to reduce relearning time by over 50%. This is unlocking a large addressable mar ket for applications that are either considered too complex and expensive for modernization. We're already live with this solution and some early beta plan engagements and expect our investments with partnerships like AWS Gen AI foundry to get rapidly boosted by these solutions.

We are also launching Mphasis NeoCruxTM, an industry -leading platform designed to improve software engineering productivity by streamlining the software development life cycle processes and integrating Gen AI functionalities. This is the first such platform in the marketplace available as an integrated development environment extension, or an IDE extension, and is in production at 2 live clients in our application service line. Additionally, Mphasis NeoZetaTM e-learning agents converse with Mphasis NeoCruxTM agents to provide an even faster time to build next - gen solutions.

We have seen that Savin

gs Led Transformation TM is an imperative for our customers and further extends zero -cost transformation that we've already implemented. Solutions like Mphasis NeoZetaTM and Mphasis NeoCruxTM will enable higher developer productivity and faster software velocity, which means clients achieve quicker transformation. So, you are transforming your soft ware engineering lifecycle while actually creating savings opportunity through higher developer productivity and reduction in dev costs.

Last quarter, we announced a unique strategic partnership with AWS, bringing Gen AI services for financial services customers. Let me share with some progress reports with you on this. We are currently partnering with several clients within the foundry for solutions such as: KYC, or Know Your Customer; Know Your Businesses for a large European bank ; a Gen AI enabled Intelligent Document Processing, i.e., IDP, for insurance clients servicing FSA and HSA claims as well as IDP solutions for mortgage clients; L ive Call Analytics for a large global bank to provide sentiment analysis, compliance check, etc; Gen AI for modernization for large financial institutions, where Mphasis will be leveraging our modernization platform Mphasis NeoCruxTM on AWS as mentioned earlier in my remarks . AI-led developer efficiency for a large banking platform company, where we were able to take this solution from the foundry into a large deal in the first quarter of FY25. The last 2 solutions I just spoke about leverage both Mphasis NeoCruxTM and Mphasis NeoZetaTM.

AWS and Mphasis are also involved with clients in providing architecture review, solution support and guidance in ensuring faster completion of POCs and accelerating Gen AI adoption.

Mphasis is also helping clients in Microsoft , to improve adoption of the Microsoft Copilot stack, ensuring data governance and security, employee productivity and extending functionality with third -party and custom integrations.

We're also proud to share that Mphasis won the NASSCOM AI Gamechangers Award 2023 -'24 in the Healthcare & Pharma category for Enterprise at the NASSCOM AI Conference earlier this week. We will issue more details on the same in the coming days.

We've rebuilt the pipeline to a strong level after healthy TCV closures in the previous year. Our overall pipeline is up 22% year -over-year and 17% sequentially. All pipeline metrics are green, with broad -based pickup in deals across sectors such as top 10 accounts, non -top 10 accounts, BFS, non -BFS, all geographies as well as across large deals. We are pleased with the pipeline growth in the top 10 accounts, which has grown by 31% sequentially, pointing to a recovery in this segment in the quarters to come as well as our non -BFS pipeline sequential growth of 25%.

BFS pipeline is also up 7% Q -o-Q after a large deal conversion in Q1 and up 15% year -over-year.

Our proactive deal pipeline is strong, with about 78% of the pipeline from proactive pursuits. Healthy composition of large deals in the pipeline underscores th at digital transformation and accelerating adoption of AI continue to be core theme for our customers. Almost all our pipeline continues to be tribe -driven, archetype -led and well-distributed across verticals and key themes such as Data, Modernization, Agile IT Ops and Platforms.

One-third of our pipeline is AI -led. We see opportunities in several of these archetypes, especially in areas such as Agile IT Ops, Next Ops and Data engineering and Modernization. As I mentioned earlier, pipeline remained strong, and conversion has been steady.

We continue d with a higher share of proactive deal wins in our TCV wins of $319 million in the first quarter of FY25. The quarter saw 3 large deals, including one large deal of over $100 million in our BFS vertical. Our

strong win rate with proactive pursuit continues, with more than
90% of the wins being proactive deals.

We saw broad -based TCV wins across verticals and across the client pyramid with several strategic customers , as well as new customers. Significant TCV wins continue to be from our beyond top 10 accounts and are well distributed between various service lines. 84% of our deal wins in the quarter were powered by next -gen technologies adoption. Conversion from TCV t o revenue also continues to improve. We continue to be structurally forward leaning, making investments where we expect demand.

Coming to performance by segment. We continue to push our revenue growth, which is anchored in our strong client mining model and tech -led offerings. Our Q1 revenue came in at $410 million, a growth of 3.1% Y -o-Y in constant currency terms and a decline of 0.1% sequentially. Our Direct business accounted for 96% of our overall revenue in the quarter.

Our clients continue to look for best -in-breed solution providers for a combination of cost takeout and transformation programs, as I mentioned earlier. We expect the pace of revenue and deal conversion will continue to pick up, especially in transformativ e deals through the remainder of the year.

Our Direct revenue for the quarter increased by 0.3% sequentially in constant currency terms and grew by 4 .1% year -over-year in the Q1 FY 25 quarter. For the quarter, our anchor geography U.S. improved by 0.2% sequentially and grew 3.5% in Direct business year -over-year basis. EMEA region grew its Direct business at 10.4% on a Y -o-Y basis. We've been seeing good client wins and continue to see traction here.

Our core service line , Enterprise A pps, constitutes about 71% of our revenue. We grew that business 0.6% sequentially on constant currency terms in the Direct business. BPO segment declined by 2.1% sequentially as certain projects were completed and new projects begin to ramp up and grew at 3.1% on a Y -o-Y basis. We expect this segment to see stability ahead, and we're also seeing early signs of recovery in the mortgage business unit.

Moving to our vertical performance. As guided in the previous call, we saw fairly secular growth across verticals. At an overall company level, BFS was up 1.1% sequentially in Q1, and

specifically in Direct Ex -DR, BFS was up 0.9% sequentially. Overall, Insurance grew 2.4% sequentially. TMT and Logistics, up by 0.6% and 0.2%, respectively, driven by wins in recent quarters.

Others segment declined sequentially after a good Q4. This was primarily led by project completions in the Healthcare vertical after a strong enrolment season in Q4 '24. We see stability in this segment with new client and deal wins and the healthy pipeline across segments, including Healthcare in the past few quarters.

One of the large deal wins in Q1 is in the Healthcare vertical and is led by a platform -based transformation using the Javelina platform, implementing Agile IT Ops and Everything as a

Platform tribes . Performance in our Direct business in these segments on a Y -o-Y basis was also healthy, with revenue ramp -up in new customers across segments.
While our top 10 accounts declined by 10.1% on a year -over-year basis, mainly impacted by macro in the past few quarters . Seasonality and regional banking issues in the preceding quarters also played a role. Our top 11 to 30 customers increased 10.2% on an LTM basis. Sequentially, on a quarter -on-quarter basis, top 10 accounts grew 1.2% and accounts 11 to 30 grew 3.4%. Client 6 to 10 also sequentially grew at 1.6%.
Our new client acquisition revenue continues to grow well, sustaining its strong growth trajectory at 22% year -over-year. Client mining remains steady Q -o-Q and Y -o-Y. Wallet share with key clients continues to be stable, and we a

re well positioned with co nsolidation
opportunities and share gains driven primarily by Savings Led Transformation TM thesis. This is particularly visible in the recovery growth in BFS in Q4 and Q1 FY25 revenues as well as the pipeline metrics I shared earlier across multiple segme nts.
Coming to our financial metrics, our margin philosophy affords us the flexibility to manage our profitability in the face of revenue headwinds. In this quarter, our EBIT margin stood at 15%. Silverline acquisition costs impacted our margin by 0.8%. Reporte d operating profit for the quarter grew by 2.8% Y -o-Y and 1.1%, sequentially.
Gains in cash flow hedges increased margins in Q1 by 5 basis points. EPS at INR 21.4 for the quarter represents a growth of 2.8% sequentially.
Cash flow generation at $53 million for the quarter was 110% of net income. DSO of 68 days increased by 2 days over previous quarter and improved by 10 days over the previous year.
In summary, this quarter, we have witnessed the fact that we continue to retain our focus on operational stability and building for future amidst the cautious optimism in the macro environment. I'll leave you with a few data points.
We continue to focus on building for growth. We have had good progress in rebuilding and extending the pipeline. We have a well -diversified pipeline with non -BFS and top 10 contributing very broadly. We recorded healthy TCV closures in Q1 at $319 million.
Wins are broad -based across verticals, strategic customers as well as from non -top 10 accounts.

We saw second quarter of sequential growth in direct revenues and a portfolio well positioned for growth. We see sequential stability in all key verticals and geos, improving the trajectory of TCV -to-revenue conversion.
We recorded margin stability within the stated band with a continued focus on productivity and operating levers and posted consistent operating cash flow and improvement in DSOs.
Coming to the outlook for Q2 and beyond. Few key messages for the upcoming quarters as we look at driving steady and sustainable growth. Despite multiple challenges, tech spend continues to be seen as a strategic priority.
Steady recovery is visible across client segments, especially in BFS, which is our anchor vertical.
With the early signs of gradual recovery in the mortgage business segment, though we have not baked in major gains from this segment yet , in accordance with our philosophy of focusing on micro in an uncertain macro with respect to interest rates . We continue to expect to be above industry growth for the full year, gaining from the tech -led account focused strategy I talked about.
We continue to target sustainable EBIT margin within the stated band of 14.6% to 16%, and we will maintain this while investing for growth, with focus on productivity, efficiencies and operating leverage. We will continue to execute in areas of growth and invest across capabilities and verticals.
On that note, operator, let's open the line for questions, please.
Moderator: Certainly, Sir. The first question is from the line of Nitin Padmanabhan from Investec.
Nitin Padmanabhan: I had a couple of questions on the Gen AI piece. So, I think we have done a fair bit of work there. From a cost savings perspective for the client, what has been your experience across application services, people and infra?
The second is, do you think deal sizes led by Mphasis NeoZetaTM can be large, although it will start small with smaller applications and all that? Do you think that the overall opportunity there can be reasonably large? And in which kind of modernization areas are you seeing a lot of traction?
And finally, on the Mphasis NeoCruxTM, just wanted your thoughts on - how is this actually sold? Because there are 2 parts. One is for an FPP or a T&M, is

this sold as an additional? And
how much of the productivity benefit on existing projects are we able to retain? And can that be retained longer term?

And the last one is, I think as an industry, we have always talked about de -linking revenue growth with headcount growth. Do you think this time it looks like a little more of a realistic thing over a 4 -year, 5 -year period. So those are the broad questions on Gen AI.

Nitin Rakesh: So, Nitin, that's quite an exhaustive and good list of questions. We can probably spend an hour talking about these, but I'll take a very quick stab, and you will probably hear more on these over the next few quarters, especially as we plan to host the next I nvestor Day.

But starting with the question around infusion of Gen AI across service lines, I think the way to think about it is not so much service lines per se, but really to think about what service are you delivering . And that could be in applications or in infra. But for example, if you are in run the business, you're running production support, maintenance, service desk, remote infra, you're typically benchmarking your price to the customer to some widget or some outcome, and the outcome could be a ticket that you resolve or an incident that you handle.

I think the opportunity and the threat, which is kind of hand in hand there, is that you will actually move away from pricing per widget to taking on a different outcome, and it could be availability or reduction in ticket, for example. So, I think there is a potential for volume destruction in some of those service lines because you're eliminating people -based services that are capacity driven and are staffed based on a certain volume of tickets because if you eliminate half those tickets, you obviously do n't need that many people. And that's kind of where the Agile IT Ops or remote infra is kind of headed.

I think that has been well understood by many customers. They're obviously figuring out what's the best way to implement some of those solutions, What's the stack needed? What's the tool chain needed? Where do you go from reactive to predictive, preventive , self -healing? Think of this in a very simple terms, think of this as instead of people running software, software running software. And we will be needed as an industry to actually build that orchestration and the software layer and then use that in an a ugmented manner with people to deliver that service.

So, again at a very high level, without going into too much technical detail, that's the way to think about it. That is definitely showing up in the pipeline. That is also opening up areas for us from an addressable market perspective, where we were not co mpetitive before because we were not necessarily the lowest -cost provider of per -ticket pricing because that was a scale and volume play.

On your second question around Mphasis NeoCruxTM and Mphasis NeoZetaTM, these are definitely not meant to be starting small type of solutions. There are some estimates between 40% and 50% of the applications are on cloud today, but the other 50% are not. And the reason they are not on the cloud is not because the business case doesn't stack up from data center to cloud, but the bottleneck or the stumbling block is the complexity of these applications, the mission -critical nature of these applications , and m ost importantly, the effort required to rearchitect and restack them for them to be truly cloud native.

A lot of customers tried the migration factory approach using containers or some other technology to rehost . That turned out to be very expensive as they learned during '21 -'22 time frame. So, they pulled back on that initiative.

This is actually an attempt to unlock the ability , to disentangle the complexity using Gen AI. So, in a way, we flipped the

tables, and we are using Gen AI to relearn and extract rules. This has

been an initiative that was underway for the last 18 months. We obviously ran it in alpha and beta mode. And the reason to launch it really is to unlock those large deals that are modernization -driven deals. And potentially, if you bundle the Savings Led Transformation TM, then that gives you the opportunity to supersize the deals. That's probably one of the reasons why we are seeing a massive expansion in our TCV just on a quarter -over-quarter basis.

In terms of your question around how do you sell the platform , and potentially what that does to productivity and pricing and margins. Early days. Number 1 reason we are going down this road is because this is the best way for us to create value for customers. These are problems that need to be solved. There are poten tially no straightforward solutions to some of these complex problems. Even on the engineering productivity side, SDLC transformation is not an easy task, especially because they've invested ov er the last 10 years in building their ID Es, adoption of copilot is a very complex job alongside the whole DevOps pipeline, CI/CD automation. So , our idea is to first find the best way to solve those problems and orchestrate the tech platforms that help them solve the problems.

We are definitely, at this point in time, looking to just to create a bundled service offering versus anything that is stand -alone and separate. And absolutely, if you play this right, and I think there is an element of change management, both internally a nd externally, then there's an opportunity for us to get some nonlinearity.

So I tr ied to cover all the questions you asked me in a very quick manner. As I mentioned, these are all complex subjects that we can spend a lot more time on, but hopefully, it gives you an idea.

Moderator: The next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management Company.

Sudheer Guntupalli: So for December and March quarters, it looks like we are seeing some green shoots and building up on a steady recovery trajectory. However, this quarter performance, even in Direct business, even in Direct ex of DR sort of questions that hypothesis especially in the backdrop that many of our peers reported very strong performance in BFSI. And we have a BFSI -heavy portfolio. Should we think of it as a mere blip on a steady recovery pa th? Or is there any unanticipated headwinds that we are facing again which so rt of resets that recovery trajectory?

Nitin Rakesh: Yes. We did call a bottom in December. We delivered 2 -plus percent sequential growth across the business and in BFS last quarter. On top of that, we've delivered another 1%, 1.2%, 1.3% growth in BFS. I think the way to think about it is we are right now in a phase of recovery. We had 2 big headwinds last year, BFS and I'll come to that separately . BFS and mortgage and top accounts ; within BFS - mortgage was another headwind for us for almost 4 quarters.

I think the way to think about it is that the direction of travel is definitely in the right direction. We have seen sequential growth for 2 quarters in a row in the overall business as well as BFS. I think the Direct business performance in Q 1 was impacted primarily by the project completions I talked about in the other segment within the Healthcare vertical, which we do believe will come back to growth. All the other metrics around pipeline, TCV, large deals are all fairly green. So I

think with that backdrop, we do believe that if we continue to execute conversations to pipeline, pipeline to TCV, TCV to revenue, then I think we are on the right trajectory from an

overall
growth perspective.

Sudheer Guntupalli: So, when you say above -industry growth, post this quarter, the industry growth benchmark itself would have gone up. And with a comparatively modest June quarter, the ask rate for the subsequent 3 quarters to remain above industry growth also increases. What gives you that confidence? Of course, deal TCV this quarter was good, but I think previous couple of quarters, it was relatively modest. What gives you confidence in the overall backdrop that you will still be above -industry growth f or the full year?

Nitin Rakesh : I think fair question. But again, if somebody declined 2.5% last quarter and grew 2% this quarter, you're kind of back to square one, right? So, our guidance is not based on Q -o-Q numbers, it's obviously based on CQGR and full year number. And much of the confidence is coming from visibility into a very short term as well as the lead indicators around pipeline that we broke out quite well in detail.

By the way, t he other headwind that we had last year was top 10 accounts, which again, on an LTM basis, it looks more murky , and I've seen some commentary where there's confusion around what was the growth in top accounts, what was the growth in top 5 accounts and what was the growth in next 5 accounts. I'm very happy to confirm to you that all the 3 metrics grew on a Q -o-Q basis, top account, top 5, next 5.

Sudheer Guntupalli : Yes. So just since you are on the topic of top accounts, is it fair to assume that none of the top 5, top 10 accounts have any continued challenges in the June quarter? On an LTM basis, though it comes out with a different picture.

Nitin Rakesh: I mean it's hard for me to give you an individual account view because in the end, you have to

look at the cohort that we report, and we are reporting top 10. Within that, we are breaking out top 5, next 5. And I'm additionally confirming because we break it out that top accounts, top 5 accounts, next 5 accounts all grew sequentially in the June quarter.
Do we expect any additional challenges on a go -forward basis in that segment? Answer is no. But that also doesn't mean that every account is going to grow at the same trajectory in the top 10. That's the reason I'm telling you it's a cohort or a group outl ook versus an individual account outlook.
Moderator: The next question is from the line of Nitin Jain from Fairview Investments.
Nitin Jain: Yes. I have an observation as well as a question. So last quarter, the commentary was we should see above -industry average growth, in FY 25, and which we have said today as well. But the growth has been below -industry average, and it has been lower than last quarter's sequential growth as well. So my question is, in the remaining 3 quarters, should we see growth that is significantly above -industry average, so that by the end of the y ear, by FY 25, we end up falling in line with the guidance of above -industry growth?

Nitin Rakesh: So Nitin, I think the way to think about it is that what we are basing our guidance on is based on the forward -looking guidance that the industry has published. If you look at the weighted average guidance from the industry, we are looking at a full year n umber and saying, what do we need to do to get to that number? And at least, our math suggests that that's a goal that we will continue to forecast. So whether it is x percent in next quarter, y percent in third quarter and z percent in the fourth quarter, I think that's a little bit more nuanced that I cannot answer because I give full year guidance, not a quarterly guidance. That also necessarily doesn't mean that every quarter will be the same because remember, the run rate of Q4 does help in the full year of FY 25, which was a little bi t different for peers versus us.
Moderator:

The next question is from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah: Thanks for the opportunity. The first question is, Nitin, is it fair to say even first half deal TCV of FY '24 is not fully converted into revenue and it could be the trigger going forward? Or that base plus the new deal wins which are happening in the first quarter will also trigger a ramp up of growth in the coming quarters.
Nitin Rakesh: I think it's both, to be honest . Because we've been monetizing the $1.4 billion of deals from FY '24. Not all of them are fully ramped up. As we mentioned, ramp -ups were slow in 2023. Pace has improved, but there is still more to come.
Sandeep Shah: Okay. Okay. And what are the hurdles which you have seen in terms of lower pace because some of your peers had also seen these hurdles but that got behind starting from 1Q. So, do we expect even the hurdles to convert into revenue for us will get over by Q2 or coming quarters?
Nitin Rakesh: I think it's a gradual normalization phase that we are going through. To be honest, I don't think it's any one trigger event. Some deals have been fully ramped. Some are still not fully ramped. Some are still more to go from the basis of the second year of the deal because every deal doesn't flatline year -over-year. So, there is a different number for the second year. I think it's a mix of those nuances. But it's fair to say that out of the $1.4 billion, there is a fair amount to be consumed in FY 25.
Sandeep Shah: Okay. And second question in terms of margin. Is there any one -offs in this quarter margin and how margin will shape up in the coming quarters because there could be wage hikes quarter -after-quarter?
Manish Dugar: Sandeep, Manish here. There are some onetime upsides but not significant. The primary movement that you see across segments on Sales and G&A is because we had onetimes last quarter. There are quite a few tailwinds on the margin as we go forward and revenue growth being the biggest one. And we expect the margin to remain in the band, and we don't see any challenges in maintaining the margins as we go forward.
Sandeep Shah: Okay. Is it fair to assume, Manish, there would be an upward bias on the margin on quarter -after-quarter?
Manish Dugar: If the macro supports and if you get the revenue uplift, there could be northward bias. However, we are not calling that out, and which is why the guidance remains in that 14.6% to 16% range.

Moderator: The next question is from the line of Dipesh from Emkay Global.
Dipesh Mehta: First question is on the AI, I think partly you alluded, but just want to get more sense about, what would be the client expectation as well as what we experience in our ongoing project? What kind of productivity improvement we have witnessed across segment, if you can give some sense? And so that is first question.
Second question is on about mortgage. You indicated early signs of pickup. If you can give more detail about whether it is a across segment, in terms of home equity origination and servicing, whichever bucket and whether the pipeline is also seeing some ki nd of improvement and whether it is volume -led, if you can give more detail.
Last question is about, if I look at your New gen deal, which you reported as a percentage. And if one calculates, obviously, last year, Q1 had some implication in some of these arithmetic. But on a TTM basis, it is still down, and it is not seeing any mat erial acceleration. So, if I look from incremental growth perspective, what gives you confidence about growth recovery? And related to that is about BFSI, like say last couple of quarters, we are seeing some green shoots. Are you confident about growth acc eleration playing out on BFS in coming quarters compared to where we are today?
Nitin Rak

esh: So Dipesh, I think the BFS question , I answered. We called out for BFS to lead growth in December. I think we've delivered 2 quarters of growth, and we still believe that it has the potential to continue to lead the growth back, which is one of the reasons why we are relatively comfortable i n talking about the next couple of quarters purely from that perspective.
In terms of your question around Gen AI and what level of productivity. The business case can be built with a 20%, 25%, 30% productivity depending on what you're trying to optimize. If you're trying to optimize a customer contact center operation by infusi ng Tech and CCaaS modernization embedded with Gen AI then, of course, the business case is large. Realizing that is time -consuming and a serial effort. We've seen uptick in many of those initiatives that is also leading to some client pipeline, both in exi sting clients as well as in new customers. I think it will be slow and gradual, but those business cases are getting more solidified .
We talked about Agile IT Operations where it is very much feasible to reduce 50% of the tickets and hence, you can see a 30% reduction in cost of ownership or the overall price and cost to the customer. So , it is very business case dependent on the exact application of Gen AI.
A little bit more foundational work will need to get done before some very significant gains can be forecasted or baked in. While we are very forward leaning on application of this tech, we are also trying not to add a level of risk that may be unknown at this time. So, in areas like modernization, I think there's a lot more confidence purely based on the relearn and the platform that we talked about. So I think it's a little bit more nuanced than in general what Gen AI can deliver because you would probably see a lot of analyst reports on the ind ustry analysts talk about multiple different numbers ranging from 20% to 50% as well. But it is much more nuanced depending on the type of activity you're in.

Now again, as I mentioned earlier, it is definitely an opportunity, but you know that well ahead and take a forward -leaning stance than, for example, if you don't transform what you deliver to the customer than somebody else will. And hence, we are taking a very forward -leaning stance in going to the customers proactively in bundling these together with the current service lines.
Nitin Rakesh: New gen deal win s. Again, new gen deal wins typically are in the 75% to 80% range. It's more a reflection of the overall TCV. I think what you're referring to on an LTM basis probably holds true on a Y -o-Y basis. But as we mentioned, the expectation is that we will continue to deliver healthy TCV , and , an early indication of that is the data points I've given to you around pipeline expansion. And in Q1, that number is 84%. I think you've already done the math on that.

Your final question was around mortgage. I think it is too early to call. Calling a bottom on the macro has been a very risky endeavor last 2 years.
We are seeing some uptick in volumes. Mostly a combination of some origination volumes as the rates have come off by about 50 basis points, but they're not meaningful enough. The spring home buying season was a very dull season this year. But I think as the 30 -year mortgage comes closer to 6% or 5.5%, that volume pickup will happen. Whether that happens in September or

November, I don't really know because I don't have a good handle on what the Fed action will be to drive it.
In expectation of a cut rate later this year, the 10 -year has obviously come off by about 50 bps. But that's the best indicator I have. Based on client conversations and expectations of volume ramp -ups, they're all waiting for some of these metrics to show up. And we do believe that we have v

isibility into those pipelines getting built up as soon as we hit some certain milestone that I talked about.
Moderator: The next question is from the line of Mohit Jain from Anand Rathi.
Mohit Jain: Sir, first is on revenue growth for the quarter. I think last quarter, we spoke about some impact from furloughs, which was continuing in Q4. I was expecting a little better growth assuming that furloughs would have got over by now. So that was one. Was th ere any benefit during the quarter or not?

And second was from TCV standpoint. It appears that our revenue growth could still be slow on the Direct business side. So your thoughts on the same?
Nitin Rakesh: I kind of guided to you that furlough is not necessarily a reversible event, which was the false assumption that everybody made last quarter, that furlough coming back, so growth coming back. Because furlough is an industry phenomenon. And you didn't quite see that kind of growth in many peers, purely based on just furlough going away. So, yes, there was some impact last quarter. I don't think Q1 or Q2 is a furlough discussion unless something extraordinary happens, like it happened with Hi -Tech in '22. But as such, I think most of this growth – we have broken it down by various parameters, by vertical, by geography, by business line. So, on the overall numbers, obviously, the decline came through DXC. On a Direct level, I think the decline came through the Healthcare segment in the others vertical. And that's really what I can call out in

terms of what dampened the growth. But again, we can control what we can, which is deal activity and pipeline and conversion, and that's what we are focused on, both at a pipeline level and a TCV to Revenue level.
Mohit Jain: Are you expecting a meaningful pickup in TCV like during the year? Or should we assume this is the new normal rate for us?
Nitin Rakesh: Very hard for me to give you a guidance on that. Again, I will guide you back to the lead indicators that we talked about in great detail in the presentation. Y -o-Y metrics, Q -o-Q metrics, top 10 metrics, BFS, non -BFS, geography . Canada has actually shown us a lot of growth in both TCV and in pipeline. I think that's another way to think about where we are headed with it.
Again, remember, we had a bumper Q1 last year in terms of TCV. It took us some time to build back up the deals through the various stages. Healthier conversion in Q1 is definitely a good sign for things to come.
Mohit Jain: Okay. And one for, Manish, our utilization went up sharply but there was practically no benefit on the margin front. And I think you spoke about no one -offs being there in Q1. So how should we see margin trajectory given utilization is inching up quite sharply?
Manish Dugar : So last quarter, we had called out, Mohit, that we had onetime, and after that onetime, we had delivered 14.9%. Because of operating leverage and utilization improvement and a little bit of benefit coming from reduced exchange gain losses, the margin has been at 15% and despite the last quarter onetime not being there. So, a large part of what you see in this quarter is a sustainable margin versus a lot of onetime that we had in the previous quarters.
Mohit Jain: Margin range does not change because some of the operating parameters are turning favorable, like growth coming back possibly and then utilization is going up a does not move the target margin range?
Manish Dugar : So, Mohit, with the stated philosophy for us is invest for growth while maintaining margin in a narrow band. And last quarter, we had called out that the range is 14.6% to 16%, while we delivered 14.9% because we had some onetime upsides. While we did not hav e those onetime upsides this quarter, we still delivered 15%. And I think this is after us bein

g able to make the
investments that we wanted to make. So, there is an upward trajectory.
And like Nitin called out in his speech, we had a 0.8% impact of Silverline acquisition. So if you combine the 2, we are effectively at 15.8% versus the 15.5% that we were at 2 quarters back. So there is definitely an expansion in the margin that has happe ned. For it to completely reflect in

reported numbers, the acquisition charges has to go away, and that should happen over a period of time.

Mohit Jain: Directionally, we should expect it to be in the range going ahead?

Nitin Rakesh: Yes, I think at this time of the year, the range is a little bit broader than you would like it to be, but we are keeping the flexibility primarily because we want to be able to take those calls on a quarter -by-quarter basis in terms of how much leverage t o take back in and how much to plough

back in the business. I think that's the reason why Manish is keeping the flexibility with a slightly broader range.

Moderator: The next question is from the line of Manik Taneja from Axis Capital.

Manik Taneja: Looking a couple of clarification questions. First of all, Nitin, should one be linking the decline on the Healthcare side with the decline in BPS given you spoke about some volumes on the Healthcare enrollment cycle through the second half of the year? That's question number one. The second question was since we get your sense on the onsite , offshore mix, while I understand there is some element of the acquisitions that you've done over the course of the last 12 months. But we've seen our onsite revenue mix go up meaningfully over the course of last 12 months. And especially in the backdrop of the fact that mortgage business has continued to come off etc., so how should we be thinking about some of these internal s?

Nitin Rakesh: I think the answer to your first question around Healthcare and BPS is yes. The second question was onsite , offshore . Remember, we talked about Savings Led Transformation TM deals . Much like the digital projects or Agile Dev projects early phase design architecture, a lot of it is fairly onsite -centric. As we scale and ramp up teams to deploy, that will normalize as well.

I don't think the onsite , offshore ratio is an objective function for us. It's more an outcome of what's needed to be delivered. What's definitely an objective function is the profitability. So, if I can generate a level of profitability and that business needs to be onshore, we are very happy to support that. It's really what we call best shore to support it from where it's needed to be supported, time zone coverage, nearshore, Canada, Costa Ric a, Mexico, Poland, India. Within the U.S., we have locations a s well in multiple locations. I think it's not an objective function, it's more an outcome of the type of deals and the type of work that we do.

The third question was on the mortgage side. We talked about the fact that it's hard for us to predict the macro. We are really taking a micro , bottoms -up view on the accounts. What I can confirm is we've consolidated our wallet share and our market share because we want to make sure that as the market turns back, we are ready for gaining that share.

We've also made some early investments in Gen AI -led mortgage operations. We'll talk more about that in the coming quarters, but that's definitely an area ; we already have a market -leading position as one of the providers for origination, refinance home equity and diligence services, and we think we can enable that through Gen AI. We'd probably unlock a lot bigger market that sits within the client's captive operations today .

Manik Taneja : Sure. And just clarification, some of the nearshore delivery in terms of Mexico, in terms of Canada, does that get accounted as part

of our onshore proportion of business?

Nitin Rakesh: Yes. Offshore basically is only India in our disclosures.

Moderator: The next question is from the line of Girish Pai from BOB Capital Markets.

Girish Pai: Nitin, I just wanted to have your thoughts on the total incremental IT services spend of BFSI or non -BFSI customers considering the significant discussion on productivity gains being

passed back to customers. So in 2024, are you seeing the total IT service spend go up? Or are you seeing them flat or going down?

Nitin Rakesh: What you mean is total IT services, not just third -party spend because I know it's difficult for me to break down the third -party spend. I think the total IT services spend projection for the year is about 2.5% at a global level. That also means that there will be share of wallet gains and transfers, both in terms of market share and wallet share. Wallet share being within a customer, market share being if you have a market -leading solution, for example, in modernization, then you should be a ble to capture a large share of that addressable market as well. So I think there is both . Let's just take a look at banks . A lot of you asked me this question last quarter that most banks are showing increase in tech spend s – "Why is that not flowing to you? "

And the short answer is - that is slightly starting to open up and flow in as they look for partners to deploy those solutions that they have budgeted for. So, it's a combination of what your portfolio is, how you're positioned with your tech stance and what segment s you play in.

Girish Pai : Okay. And my second question is around GCCs. Obviously, in the past, they've waxed and waned in terms of impact on the IT service industry outsourcing. Are you seeing any difference on the GCC side because the seem to be more critical to clients today than they were in the past? So , is insourcing a more structural problem now compared to the past?

Nitin Rakesh: I think this is a little bit like the debate of return to office versus remote work. I think the right answer is hybrid. This approach we have learn t, not just how to survive alongside , but how to thrive alongside. Because the reality is that they're here to stay. They are an integral part of every customer's operation . But if the only thing we are taking to the customer is offshore delivery capability, then we really don't have a business to defend as an industry. If what we are taking to th em is more than just offshore delivery capability, then there is no threat to us.

Girish Pai : Okay. My last question is regarding the others, which is your, I think Healthcare , Manufacturing and Retail. It declined about 8%, if I look from an INR perspective, why is that happening? Because I thought that goes to the growth sector because of these others vertical you're incubating?

Nitin Rakesh : I addressed that. It was one of our fastest -growing segments FY '24. We had certain projects that got completed. Some of them were linked to the enrollment season in Healthcare in Q4. That's really, I would say, kind of an outlier event that is causing that sharp decline you're seeing on a Q -o-Q number. Again, lea d indicators, we closed one large deal in Healthcare this quarter and we have a bunch more in our pipeline that we expect to close in Q2, Q3. So I think there are early signs and pip eline activity -wise, it's pretty stable. We have a very differentiated offering with a platform -based approach in Healthcare player market, and that definitely is seeing good adoption.

Moderator : We have the next question from the line of Ashwin Mehta from A mbit Capital Private Limited.

Ashwin Mehta : Two qu

estions. Manish, one question in terms of depreciation. We saw almost a 70 -bps decline in this quarter. So, what was this related to? And is this the run rate that we are looking at going forward?

Manish Dugar : Ashwin, last quarter, we had some of the amortizations accelerated as the previous acquisitions are now got over . And we have called out that we had onetime pluses and minuses. So if you see, the adjustment is across sales expenses, G&A and depreciation and amortization. We had called out that 18.7% EBITDA was not the normal and there was onetime upside there. We are now back to our 18%, 18.1% EBITDA levels, which is what the normalized levels are.

Ashwin Mehta : Okay. Fair enough. So the second question is in terms your utilization, including and excluding trainees and offshore, it seems to have equalized. So given that we've had a 7% cut in headcount over the last 2 quarters, is it that the rationalization is happening more from a lower experience perspective?

Manish Dugar : From an operations perspective, Ashwin, what we do is we look at the demand and the supply. And obviously, there is a certain amount of attrition that is voluntary, and there is a certain amount of attrition that is performance based. So a combination of al l of that determines what the final outgo will be. It's not a concerted effort to only let go junior people, means we would obviously make sure that the profile that is needed to service the demand is taken care of. And then there is invest ment in training, etc, so that we can fulfill the new -gen capabilities. So to your question, the outgo maybe junior or senior but it is not at the cost of what we need for service.

Nitin Rakesh : Yes, I think the only way I would close this, Ashwin, on this topic is the pyramid is actually fairly healthy compared to our last 3 -4-year trends. And that's a very conscious effort to make sure that we have the right level of skilled folks across the pyr amid. So the decision about reduction or addition is almost always based on right skill across the pyramid.

Ashwin Mehta : Okay. Fair enough. And then the last one. So given that we still have scope versus our peak in terms of utilization, do you think for our growth over the next 3 quarters, will we have to do any material hiring or the bench itself is sufficient?
Nitin Rakesh : I think we talked about it last quarter as well. We try to run a fairly ; I wouldn't say just -in-time, but a fairly linked to pipeline , market view -facing , supply/demand projection. That gives us what kind of skills in what locations at what levels we will need. And utilization is actually not an objective function. Again, it's more an outcome of where we see demand and where we see supply. Is there opportun ity for us to optimize utilization even more? The answer is yes, but that is going to d epend on what we are seeing in terms of demand/supply trends in the pipeline as well.
Moderator: Ladies and gentlemen, we will now take the last question, which will be from the line of Nitin from Investec.
Nitin Padmanabhan : In the current quarter, I think at least for me, the negative surprise was on the Healthcare side because of the project completion and we not being able to replenish that. From that

perspective - 2 questions. So one is, do you see the deal wins that we have already done there immediately ramping up and we see no further headwinds from that particular segment ? And second, are there any such large things from a project closure perspective that one should worry about near term, which is difficult to sort of replenish? So just 2 questions there.
Nitin Rakesh : Nitin, despite the best efforts, sometimes timing doesn't always work out in your favor, and this is one of those things. We do believe we will see sequential growth in the

Healthcare
business going forward, partly based on what we sold, partly based on what we will sell. And to me, the effort will be to continue to focus on building longer term mo re sustainable programs. But of course, sometimes you need to stand up what clients need for help on a short - term basis as well. This is one of those cases. But broadly, I think the focus and the strategy is very clearly around platform -based services in the Healthcare side.
Moderator: I now hand the conference over to Mr. Nitin Rakesh for closing comments.
Nitin Rakesh : Thank you, moderator. I think one last update I want to give before I close. As always, we hold fast to our commitment to CSR, including helping create a stronger, more inclusive and greener world. I'm happy to announce that Morgan Stanley Capital Internat ional, MSCI, has recognized these efforts and upgraded Mphasis's ESG rating from ‘BBB ’ to ‘A’. This upgrade is due to considerable improvements in parameters like corporate governance practices and data security programs, notably the adoptio n of encryption protocols. The significant improvement reflects Mphasis commitment to sustainability and ethical business practices. You can find details of that on our website. And once again, thank you for your continued interest in Mphasis and your questions, and we look forward to seeing you all on the next quarter call.
Moderator: Thank you. On behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to Mphasis Investor Relations at investor.relations@mphasis.com .
Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

"Mphasis Limited
Q2 FY 202 5 Earnings Conference Call"
October 17, 202 4

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER –
MPHASIS LIMITED
MR. ARAVIND VISWANATHAN – CHIEF FINANCIAL
OFFICER – MPHASIS LIMITED
MR. VINAY KALINGARA – HEAD INVESTOR
RELATIONS – MPHASIS LIMITED

Moderator: Good morning, ladies and gentlemen, and thanks for joining the Mphasis Q 2 FY 2025 Earnings Conference Call. I am Dorvin, your moderator for the day. We have with us today, Mr. Nitin Rakesh, CEO of Mphasis; Mr. Aravind Viswanathan, CFO, and Mr. Vinay Kalingara, Head of Investor Relations.

As a reminder, there is a webcast link in the call invite mail that the Mphasis management team will be referring to today. The same presentation is also available on the Mphasis website, www.mphasis.com, in the Investors section on the financial and filin g as well as on both the BSE and NSE websites. Request you to have the presentation handy.

As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to state that some of the statements made in today's discussion may be forward looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q 2 results release that was sent out to all of you earlier.

I now hand over the floor to Mr. Nitin to begin the proceedings of this call. Thank you, and over to you, Nitin.

Nitin Rakesh Thank you, Dorwin, and thanks, everyone, for joining us today, and appreciate your interest in Mphasis.

There is a lot going on all over the world. I thought I would begin by shining light on a few key highlights, from our vantage point and then discuss our industry.

To start with the macro, in mid-September , the Fed commenced monetary policy easing with a 50-bps cut. There seems to be an increasing consensus that the economy is heading towards a soft landing. That said, geopolitical tensions are still elevated, and the U.S. elections next month continue to create a climate of caution.

As mentioned in our previous call, in this cautiously optimistic environment, tech spend is still viewed as a strategic priority. The gradual but steady recovery seen across our client segments continues, with client sentiments showing an uptick. Overall, we characterize the spending environment as moving steadily in the right direction.

A major portion of this is driven by the increasing focus from enterprises to implement AI at scale. Across industries, businesses are aiming to maximize value from transformation , while staying focused on costs and ROI from their investments. As we see an 'at scale' adoption of AI powering this transformation , we also see clients progressing towards becoming an AI -first business by: (1) Re-architecting to incorporate an AI -first tech stack , (2) Rethinking processes to incorporate AI -led services , (3) Moving towards an Operating model driven by AI -augmented services. In the long run, we believe this will lead to an AI -led economy that transforms how enterprises operate and thrive.

In th is era of AI, particularly GenAI, there is a significant shift expected in how tech -services, and consequently, value to the clients is delivered. While we see that AI projects are moving

from PoC or pilots to broader implementations, we also see emergence of AI -led solutions employing digital workers or AI agents.
These Agentic AI systems function autonomously as collaborators capable of decision making and actions. With little assistance from humans, these systems can evaluate situations and execute actions to meet predetermined objectives.
As we discussed on our last call, this leads to a potential for disruption of services delivered in the traditional labor arbitrage model and a shift from a model where 'people run software', to 'sof

tware running software'. A shift from Labor -led arbitrage to Technology -led arbitrage.
Our NeoZetaTM and NeoCruxTM platforms use the powerful combination of GenAI and Agentic AI to augment human capabilities with Intelligent AI agents.
Software -led services like NeoZetaTM and NeoCruxTM completely change the economics of modernization costs. With the emerging economics of such 'tech arbitrage -led solutions' the business case of modernization becomes more attractive – as it reduces the labor -intensive approach and removes the bubble cost. With this, we are able to help clients rapidly and efficiently progress on their modernization journey while delivering savings in the process.
Our Savings Led TransformationTM theme is principled on this approach.
We are already able to deliver productivity through WorkFusion and other new platforms of AI agents acting independently o n unrelated tasks or in concert like humans with different subpopulations fine-tuned to excel at particular tasks. Some examples of this in deals include -
Transforming business operations, for a leading global asset management firm & a leading Canadian Bank . Mphasis is delivering an AI -enabled platform implementation to transform operations, delivering 70% digital containment and improving agent productivity by 25 -30% while also improving the quality of service .
Expanding AI adoption in customer experience, for a leading global pharmaceutical company .
Our services revolve around managing, supporting and enhancing AI agents who answer external product queries from doctors, field reps and patients, as well as internal queries for HR, service desk etc.
Expanding AI adoption for developer productivity . The NeoCruxTM platform built by Mphasis, has cut the manual effort by 50% for code quality while fixing security vulnerability issues, for a multinational finance and insurance company .
Our pipeline continues to reflect this expanding AI adoption, with 35% of our pipeline being AI led. We see opportunities in several of these archetypes, especially in areas such as Agile IT Ops, NextOps & areas such as Data Engineering & Modernization. Our overall pipeline is up 23% YoY. All pipeline metrics are green, with broad based pick up in deals, across sectors and geographies .

Proactive deal pipeline is strong, with a majority of our pipeline from proactive pursuits. Healthy composition of large deals in the pipeline underscores that digital transformation and accelerating digital adoption continue to be core themes for our customers. Almost all the pipeline continues to be tribe-driven, archetype -led and is also well distributed across verticals and key themes such as Data, Modernization, Cybersecurity, Agile Ops, and Platforms.
As I mentioned earlier, the pipeline remains strong even after 3 large deal wins this quarter and conversion has been stead y and both our BFS and non -BFS pipelines continue s to grow.
Q2 saw a higher share of proactive deal wins, as we stayed focused on deal -making. TCV for the quarter was $207 Mn . H1 TCV wins now at $526 Mn; 3 large deals in Q2 FY25 and 6 large deals in the first half of the year. We had broad based TCV wins across verticals, our client pyramid, and strategic customers . Conversion to revenue pace has picked up through Q2 . And we continue to be structurally forward -leaning, making investments where we expect demand.
Looking at the quarterly view of performance by segment , we continue to push for revenue growth, which is anchored in our strong client mining model and tech -led offerings. Q2 FY25 revenue came in at $421 million, a growth of 2.4% sequentially in constant currency terms and

5.4% YoY . Direct business accounted for about 96% of our overall revenue in the quarter. Our clients continue to look for best in breed solution providers for a combination of cos

t takeout
and transformation programs. We expect the pace of revenue and deal conversion to continue to pick up through the year, propelled by the themes that we mentioned earlier today.
Our Direct revenue for the quarter increased by 2.4% sequentially in cc terms and grew by 6.2% YoY in Q2 FY25.
For the quarter, our anchor geography, U.S., grew 2.4% sequentially and 8.4 % in Direct YoY . EMEA region showed a sequential decline of 1.3% in constant currency terms, but we have been seeing good client wins and will continue to see traction here as we build the business through the remainder of the year.
Our core service line, Enterprise Apps, constitutes about 71% of revenue. We grew 2.2% sequentially on a constant currency basis in Direct Apps . The BPO segment grew 3.5% sequentially and 2.6% on a YoY basis as projects continue to ramp up. We continue to see signs of recovery in our mortgage business.
Moving to our vertical performance, as guided in the previous earnings call, we saw fairly secular growth across verticals. At an overall company level, BFS was up 3.0% sequentially in Q2 FY25, and specifically in Direct BFS was up 3.3% sequentially . Overall, Insurance grew 1.1% sequentially and TMT led the growth with 5.4% driven by wins in recent quarters. Others grew sequentially by 1.6% and we see stability in this segment with new client and deal wins, with a healthy pipeline across segments, including in healthcare over the last few quarters.
Performance in our Direct business in these segments on YoY basis was also healthy with revenue ramp -up in new customers leading the way.

Looking at our client pyramid, our Top 10 accounts grew 2.1% sequentially and o ur Top 11 -30 clients grew 11.2% sequentially . New Client Acquisition revenue continues to grow well, sustaining its strong growth trajectory at 14.3% YoY. Client mining stats remain fairly steady both sequentially and YoY.
Coming to our financial metrics. We delivered to our philosophy of maintaining margin in the stated band, while making investments for growth . In this quarter, our EBIT margin expanded sequentially by 40 bps to 15.4%. Reported operating profit for the quarter grew 6.0% sequentially and grew 7.4% YoY. Gains in cash flow hedges increased margins in Q2 FY25 by 20 basis points. Our EPS of Rs 22.4 for this quarter represents growth of 4.6% sequentially . Cash flow generation of $51Mn for the quarter was at ~100% of net income. Our DSO of 73 days increased by 5 days over the previous quarter mainly due to delayed collections in the last week of the quarter.
In summary , this quarter, we continued to retain our focus on execution and building for the future with AI adoption. I'll leave you with a few points.
We have been executing with a focus on the micro amidst a busy macro environment . We continue to gain from our Tech -led, Account -focused strategy and we are seeing stability in key verticals and geos, while at the same time see green shoots trend across our portfolio . We enter the second half of the fiscal year with a strong pipeline reflecting consolidation opportunities and modernization deals driven by Savings Led TransformationTM thesis . Focus on this thesis is helping create enterprise -wide adoption of AI across our customers .
We also reported broad based wins across verticals and client pyramid and continued higher share of proactive deal wins . We are seeing i mproving trajectory of TCV -to-revenue conversion; pace of ramp -ups and steadily improving monetization of order book . We also saw steady growth across our verticals and client cohorts; with BFS and TMT driving the growth . We delivered expanded sequential growth in margins within the target ed band of 14.6% to 16% .
Coming to outlook, few key messages for the upcoming quarter s as we look at driving steady and sustainable growth .
We will be l

aser -focused on execution in an environment that is steadily moving in the right direction . However, we are focused solely on the micro. We do expect Q3 to reflect normal seasonality and growth to still be led by the BFS vertical as well as continued recovery in our mortgage business. We are maintaining our sustainable EBIT margin band of 14.6% to 16% while also maintaining our revenue guidance for the full -year FY25.
On that note, let's open it up for questions, moderator.
Moderator Certainly, sir. Thank you very much. The first question is from the line of Nitin Padmanabhan

from Investec. Please go ahead.
Nitin Padmanabhan Good morning. Thanks for taking my questions. So , Nitin, this quarter has been pretty solid. I think it's been the best in the last 10 quarters and pretty much in line with what we suggested as a bottoming out, which we have seen. The only standout here is that if we look at the client

buckets, it looks like there is one drop off, if you give some context to that. And in the context of things bottoming out, is there anything that worries you in terms of any broad client specific issues on a going -forward basis that you would really worry about? That's the question from that perspective. And then I have one more. I'll get back.
Nitin Rakesh Sure. So, Nitin, I think you're referring to the client bucket in the second category. That is normal fluctuation quarter -to-quarter, nothing major to call out in that segment , because this is a trailing 12-month data. And I won't be surprised if that reverts back to where it was a quarter ago in the next quarter or two as well. So, I don't think there is any specific thing to call out on that front.
In terms of your corollary question around anything else to call out from top client s segment, I think category of client wise, if you look at the top 10 customers, they've grown sequentially by 2%. The next 20 have grown at 11% sequentially. So , our focus on driving growth through the next set of accounts, we call it, the Focus 20 accounts, is actually really paying off.
From top client s perspective, clients will go through their cycles of businesses and spends. I think our goal is to work with every client to ensure that they meet their goals as well as we meet ours. And we continue to retain, maintain, grow wallet share. Not all of them will grow at the same pace, at the same time, but as a cohort, I think at this point we are fairly well positioned and that's the reason we've reiterated our full year guidance.
Nitin Padmanabhan Got it. So, there is no specific worry on any large loss of share or any such thing on any of the se, so that's a fair understanding?
Nitin Rakesh If there will be, then we will call it out. I think at this point in time, as I said, we don't know what will happen in the future. At this point we are very focused on executing to the focus that we've driven with both Top 10 as well as the Focus 20 list of customers.
Nitin Padmanabhan The second thing I wanted to understand was around the mortgage business. There's some dichotomy here. So, when interest rates have come down, you did see mortgage rates come off and then it's risen back up quite a bit. In that context, how are you seeing that business in terms of the shape of recovery over the next maybe 6, 12 months? How should we broadly think about it? Do you think that it will be gradual, or do you think of the historical spikes? How would you think about it broadly, directionally at least? That would be second one.
And finally, from a deal wins perspective, we have historically been above the $300 million and this time we're slightly lower. Are you seeing any impact because of elections in terms of decision making or anything getting picked up? So those are the two q uestions.
Nitin Rakesh Sure. I think on the mortgage side, I think , the market got to

o excited, and the 10 -year declined
by about 80 basis points or 90 basis points even before the first Fed cut happened. So, Fed cut short -term rates by 50 bps and the 30 -year climbed by 50 bps after that. I think , definitely two things have been established. One, the cycle has peaked, and we are in a direction of travel that is easing off the monetary policy. Second thing that is established is there is a lot of uncertainty around t he pace of that direction. I think we've seen some uptick in mortgage business in Q2. I

think we called for it. We also cautioned that we don't expect a rapid recovery. That was not the base case and that's how it's played out.
And if you look at the lines of business in mortgage, I think the first expected recovery was going to be in the diligence business and that's where it happened in Q2. Volume uptick is barely noticeable. I think there is some uptick in volume. But , especially in the last 30 days since the interest rate cut, I think there's a lot of pickup in conversation with customers around the expected pickup in refi volume in calendar Q1. So, I think we do expect that things will gradually improve, but I don't think we're expecting a rapid recovery until the rates fall a lot more. But that definitely means that there will be some tailwind in that business.
Can it go back to previous levels? Answer is absolutely yes. When it will go back? It all depends

on how quickly the rates recover. Because remember, the mortgage business, real estate market, housing is a big portion of the economy. It will have to unlock at some point. I think we' ve seen the first phase of unlocking with the diligence business and the secondary market volume of MBS securities. I think we'll see more activity on refi and origination because there is a pent -up demand there.

On your second question around TCV and the numbers . I think two trends have emerged in the pipeline. First, there are still a lot of transformation deals. The sales cycle there is a little bit elongated on two counts. One, clients are still fairly ROI focused, is this program still delivering the ROI, what's the timeline expected on the ROI? Two, is there an element of AI infusion, which basically means that more stakeholders get involved and the cycles become longer. So that's def initely at play. We saw some key decisions getting pushed into Q3. Obviously, we are focused on executing. That's the reason pipeline is up 23% YoY . It's up sequentially as well in low-single -digits. So the pipeline is strong. Decision making on transformation deals with additional element of AI infusion, definitely creating a little bit elongation on the decision cycles.

Second trend that we've seen emerge in the last three months, and I think this is something that was called out by ISG yesterday in their quarterly release, is that there is an uptick in IT operations deals . And that is led predominantly by a desire by clients . Some of these deals in our pipeline are actually out of cycle deals. They were not due for renewal. We've seen another provider was running App Maintenance. We were doing App Dev. IT Ops, Service desk - there's a bunch of deals like that where the desire from the client is maybe I need to actually see if the AI Ops proposition gives me an exponential savings opportunity of 30% to 40%, and hence I can redeploy those savings into my new initiatives around AI.

I think you will see an emergence ; I think it's still early days there, but that's definitely causing an uptick in deal activity . Especially in IT Ops, Infra and Applications Management deals. That is creating an interesting opportunity for us . Because that's a segment of the market where our right -to-win was low given that there was always a scale play with shared services models and widespread global distribution of talent . If you're dealing that with pure peopl

e -based services,

I think players like us have a pretty strong right -to-win in that business as well. So I think those are the two big trends to call out on the pipeline on the TCV.

Nitin Padmanabhan Thank you so much, Nitin. Very helpful, very clear. Thanks a ton. All the very best.

Moderator Thank you. The next question is from the line of Sudheer from Kotak Mahindra. Please go ahead.

Sudheer Guntupalli Thanks. Hi, Nitin. Congrats on a good quarter. So just double -clicking on some of the questions asked by the previous participants. Logistics and Transportation this quarter, there is a bit of a decline, while most other segments have seen a good recovery. So, any specific thing to call out, especially around the top accounts within this vertical, Logistics and Transportation?

Nitin Rakesh Sudheer, there's a marginal decline. I think it's a million dollars that's creating that, I think that's the only red on that chart. As I mentioned earlier, clients will go through their own spend cycles and business cycles. We just have to stay focused on executing and staying very close to where we can add value. There will be potentially put s and takes. It's not a one client vertical. So, I would stay very focused on executing to the cohort of clients there between Logistics, Airlines, Railroads and Transportation. Nothing else to call out at this point.

Sudheer Guntupalli Okay, Nitin. So just re -confirming, there is no major loss of wallet share or loss of client in this segment either, right?

Nitin Rakesh Nothing to report at this point, Sudheer.

Sudheer Guntupalli Okay, thanks, Nitin. Thank you so much. That's it from my side.

Moderator Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal Good morning, everyone. Thanks for taking my question, and congrats, Nitin, on solid execution in this quarter. Two questions from my side. One is on the banking segment. We saw good recovery in this quarter, and I want to talk about banking segment, excluding the mortgage part. What is the traction that we are seeing in that segment given that we've had the first rate of the Fed, the results that have been declared by the clients like Wells Fargo and other pl ayers as well over the past week ? Also, we have been quite upbeat about the prospects and more things are coming about, possibly a soft landing in the US. So, what are overall client conversations with the BFSI segment around and how do you see this vertical playing out over the next one, two - and-a-half years?

Nitin Rakesh Firstly, thank you for the execution comment. It's definitely taken a lot of effort to get the business to where it is, especially with all the macro action that I talked about. If you look at

BFS, we actually called for bottoming in BFS business about nine months ago in the December quarter. We saw uptick in BFS in the last two quarters. And this quarter, obviously it's picked up base, aided by both the non -mortgage and of course a little bit of the mortgage side also helped this quarter, but majority of the growth came outside of the mortgage business in Q2.
Three things to think about. Firstly, I think the reason we were able to call a bottom in that business nine months ago was purely based on uptick in small deal volume, in -year spend, ACV versus TCV uptick. And I think we called that six months ago and we are seeing some of that even in this quarter, both in terms of TCV, and more importantly, the revenue conversion has picked up as well. So even if a deal was sold 12 months ago, 18 months ago, consumption

definitely has picked up in the last three to six months, and that's good news, and that's what's helping us deliver the revenue growth in the very short -term.
Then, if you look at segm

ents of BFS, I think the consumer banking was pretty stable, the NII expansion helped a lot, but there were parts of the business that were either market -linked . Wealth management was a little bit stressed for a period of time because of high interest rates and the RIA platforms were struggling to make money. And then we obviously looked at the CIB segment, which is the corporate investment banking segment, was very , very stressed until about three or six months ago.
We've seen gradual reopening of capital markets, not quite on the IPO side yet, but definitely on the secondary side, M&A activity, trading activity, and that's what's reflecting in almost every bank earnings in the last one week as well. So, I think banks have at least called for victory in terms of soft landing. Obviously, there is still not a lot of consensus around it, even though increasingly people are assuming that that's where we are headed. And that actually bodes well for the next at least two to three quarters. Some issues still have to be worked through. Pace of activity, pace of recovery, interest rate decline. I think all of that will go back into this element.
Good news is, because of soft lending, the health of consumer and the losses on cons umer credit are going to be well contained. We are also seeing increased spend coming out of regtech, KYC, AML, fincrime continues to get a lot of news flow and a lot of investment from banks, given just the amount of work that they have to do to keep up w ith the sanctions and the activity on that front as well.
So, I think overall there definitely is a trend , three quarters of growth in BFS sequentially. Obviously, it's starting to show up in YoY as well, and we do expect that to continue. Obviously, you have to keep in mind the seasonality issue for Q3, but in general I think that trend is well established on the BFS front. On the Insurance side, for us, it's a little bit more of a micro , bottoms up play. I am happy it grew 9% YoY this quarter. We've seen sequential growth in that as well and I think deal activity there is pretty good fo r us to continue to look for growth in the coming quarters as well.
Vibhor Singhal Got it. Thank you so much. That was really helpful. My next question was on your opening commentary in which you mentioned about the GenAI adoption, and GenAI -led pipeline and specifically on the NeoZetaTM platform that we have. So, I think in the last discussion, we discussed a lot about how legacy code modernization is an opportunity that we are kind of approaching via these platforms. So , basically speaking about in terms of client conversations . Are the clients opening up to the legacy code modernization part? What is the kind of projects , is there any uptick in projects going from POC stage to live stage? Just some color on that would be really useful.
Nitin Rakesh I think the short answer is yes. That's why 35% of the pipeline right now ; and the pipeline is sitting at a record number, 35% of the pipeline is AI -led. A lot of that is a combination of modernization deals. Also, a lot of it is a combination of infusing NeoZetaTM and NeoCruxTM in an ADM construct, for example, because what NeoZetaTM is doing is actually helping map the entire application landscape and convert that into a knowledge graph that actually becomes the foundation for your applicati ons on a go -forward basis. And that becomes a very powerful nerve

center or a dashboard for an enterprise to then maintain applications, enhance them, test them;

when they onboard a new customer, what changes need to be done, simulate the test points, simulate test cases, create user journeys.
I think this is early days yet, but good initial adoption in the pipeline, good initial alpha and beta customers. We've infused that into the AWS foundry as well already. So I think , as I mentioned, these are

early days. Adoption at scale is definitely on every enterprise's mind, and we're trying to see what's the best role we can play and take a forward -leaning approach on becoming a partner of choice for AI adoption at scale, somethi ng we saw actually on the cloud side as well over the last five years. I think it's a similar trajectory, but a faster adoption cycle, in my view.
Vibhor Singhal Got it, got it. Just one last question from my side , it's a bookkeeping question. Our DSO days jumped sharply Q oQ from 68 to 73 days, and our cash has also come down from June to September quarter. Any color on that would be really helpful.
Aravind Viswanathan So, the cash has come down largely due to two reasons. We made a dividend payout of about $124 million, and we also repaid some of the loan we had taken for one of our acquisitions of about $67 million. If you look at cash flow generated from business, the operating cash flow was about $50 million, which is 100% of PAT. So, to that extent, I wouldn't say cash has come down. Yes, the cash flow generation was a little lower, but it's just a good benchmark to start from. DSO went up a little bit in this quarter, marginally up YoY, up by about 5 days sequentially, largely because some of the collections slipped through to the first week of October. So, I do think we will get that in the coming quarter.
Vibhor Singhal Nothing to worry about that. It's just a time factor thing and we should recover it in the next quarter.
Aravind Viswanathan We are generating 100% of PAT . So, that can't be a concern, right?
Nitin Rakesh Yeah. I think there's nothing to call out specifically on that issue.
Vibhor Singhal Sure. Great. Thank you so much. Thanks, guys. Thanks for taking my questions and wish you all the best.
Moderator Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah Thanks for the opportunity and congrats on a good execution. Just wanted to understand, Nitin, some of your large peers are calling out increasing demand from cost takeout as well as vendor consolidation. So are we also witnessing such things, especially on vendor consolidation? And are we worried about the same, or are we looking to capture increasing wallet share through vendor consolidation in some of our top accounts as well as the new accounts from other vendors?
Nitin Rakesh So Sandeep, I'll answer it in two ways. I mean, I'm always worried about vendor consolidation in my top accounts, and hence we have to always be very, very focused on protecting our wallet share. We have to protect the core motion in every account. And the re always will be puts and

takes depending on the cycle of a customer, their spend pattern, what they're going through and so on and so forth, but broadly, the focus is to make sure that in our top accounts, we constantly gain wallet share and stay very vigilant.
As I said, top 10 cohort grew 2%, pretty much in line with the company, but the next 20 grew at 11% and a large portion of that growth is a combination of two things. One, we are using some of our tech -led offerings to get a foot in the door , tip of the spear. And then very quickly we are expanding our wallet share in those accounts, obviously consolidating either a smaller player or, in some cases, even taking share from a larger player because a lot of clients are at a point where they're al ways looking for a challenger mindset. One of our top 30 clients to ld us that they have too many champions and they're looking for a challenger, and that's part of the reason why we were able to actually consolidate our position and actually grow that account pretty rapidly in the last 12 months. So that's very much part of the next focus 20 account growth.
Even within Banking, for example, we have a number of customers where we only acquired t

hem in the last three years. We talked about it quite often in the last couple of years. We went from having five out of the top 10 banks to actually having 15 out of the top 15 ban ks in our client portfolio. A lot of that really is wallet share gain because it's not like they're spending a lot of net new money. Yes, spends are going up, but a lot of that is coming from us gaining share from incumbents , small or big.
I think consolidation will always be a play. It becomes an even bigger play at times of pivot. We've seen that a few years ago, 2020 -21. We'd probably see some of that play out again in '25 -

26. I think I mentioned this when I talked about the trend that we are seeing in the pipeline where some clients are already starting to look for AI -led IT operations. That will actually create another opportunity for players like us to create new wallet share through consolidation of those service types as well. So, it's not just a cost play. It's almost always a proposition and can you deliver a service better, can you deliver it in a different way, can you deliver it in a more tech -led way.
Sandeep Shah Okay, thanks. And just the commentary about the deal pipeline across key markets, key verticals has been bullish in the 1Q call as well as bullish in 2Q call. So do you expect the TCV win, which had been slightly sluggish and tapered in the 2Q versus 1Q, c an pick up in 3Q and 4Q?
Nitin Rakesh I mean, I would love to tell you yes. The reality is it all depends on conversion of some of the large deals. Do we have the deals in the pipe to get to that trajectory? Answer is yes, but we are also very, very tactically focused on ensuring we take every deal. I mean, a $0.5 million deal that can be consumed within the quarter is actually very valuable, as is a $100 million deal that will be consumed over three years or five years. So , it's a combination. I did mention that some of these dea ls did slip into Q3 purely because the client scrutiny on ROI and AI infusion is a little bit high right now. This number of stakeholders you have to deal with have increased. I mean, there used to be a CIO, then there was a CDO, then there is a Chief AI Officer now. So, I think the stakeholder management on the client side is going through a little bit of a transition and change, and that's leading to a little bit elongation in cycles, especially around transformation. So , as we convert those, definitely opportunity exists for us to have a pretty robust set of wins in the second half.

Sandeep Shah Okay. And in your opening remarks, you call out furloughs to be normal. So, to achieve an industry -leading growth, the growth momentum needs to be maintained in 3Q, 4Q. So, are you worried the seasonality may impact the growth in 3Q, 4Q?
Nitin Rakesh I think we modelled it. I said we will follow the normal seasonal patterns. We modelled that. We still have obviously 10 weeks to go in this quarter to manage it, so do all of our peers. And then I think we have enough of a visibility into the remainder of the year to maintain where we are in terms of our FY25 guidance.
Sandeep Shah And the last question, how do you see margin outlook in the second half? Are we also still believe that the margin will have an upward bias in 3Q, 4Q over Q2 levels?
Aravind Viswanathan So we've been talking about our range between 14.6% to 16%. We delivered 15.4%. If you look at the upward bias kind of happened already from Q1 to Q2 as we improved about 40 basis points in the quarter. So, I think we will stick to that range, and I think we are quite confident we will operate . I mean, obviously there are puts and takes and seasonalities around Q3 being historically weaker than Q2, but I think we are very confident to be in the range that we have kind of talked about.
Sandeep Shah Okay. Thanks, and all the best.
Moderator Thank you. Th

e next question is from the line of Nitin Jain from FairView Investments Private Limited. Please go ahead.
Nitin Jain Yeah. Thank you for the opportunity. So, I have two questions. First one is on the TCV. The deal wins, they have stayed consistently between $200 million to $250 million for the last, I think, five or six quarters. Although you have indicated that you are seeing better conversion from TCV to rev enue, but with the Fed going through an interest rate cut scenario, do you believe this will pick up going further? And the second question is, you spoke about sequential growth. So I just want to double -click on that. How should we read into this quarter's sequential growth, given that last quarter we had seen a revenue decline? So, if you can elaborate. Thank you.
Nitin Rakesh So Nitin, I don't think we had a revenue decline last quarter. I think we had about a 0.5% sequential growth in Q1, around a 2% in Q4, and then this is a 2.4%. It's probably one of the better ones in the last few quarters. So, I think we talked about executing the order book, consuming the sold book of business, consuming the in -year short burst deals that we've been talking about for the last six months, and that's what's leading to the Q2 growth that you've seen that is prett y broad -based ac ross verticals.
As we look at sequential growth on a Q3, Q4 basis, it's fair to assume that Q4 will be better than Q3. And I just leave it at that and then we can do the modelling on what that will mean for us to continue to deliver to the guide that we've given . Not to forget that we've seen consensus uptick already in the last 60 days or so purely based on the industry outlook as well.
On TCV, I think I answered that in detail in the previous question as well that the deal making pace is definitely elongated cycle purely based on multiple stakeholders and scrutiny, additional

scrutiny even from sectors that are now starting to open up . But we are compensating for that

through, as I mentioned, the consumption of TCV that was already previously sold, especially in some of our top accounts. For example, we don't really have to go sign a new SOW because we have unconsumed spends that we haven't fully consumed over the last 12, 18 months. And similarly, as we convert some of these larger deals, that can change very quickly with one or two deals coming into closure, just like we had a $170 million deal in last quarter s, and even this quarter, we have $80 million plus deal in our clients in TMT vertical . So, I think it's the lumpy nature of large deals will continue to influence the overall TCV number metric, but we are baking that into our current order book and then kind of looking at what Q3 and Q4 look like.

Nitin Jain Sounds good. Thank you.

Moderator Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta Yeah. Thanks for the opportunity. A couple of questions. First about, if I look BFS growth and adjusting for top client, it seems it makes this , major of the growth this quarter. So if you can provide some color. It seems it is more participating kind of growth. So,if you can call out some more details around it. Second question is about transaction which we announced framework agreement. Whether the strategic customer is existing customer or it is a new customer, and if you can provide more d etail about vertical and overall thought process around the transaction. And last question is about productivity improvement, which you highlighted in the presentation, from AI -led kind of thing. Now, it is a fairly high number, 30% to 70%. Do you expect i t to have a deflationary pressure over medium term growth trajectory for sector as a whole? Thank you.

Nitin Rakesh The first answer is pretty straight forward. You are not able to see that growth broad basing because

you are looking at LTM data, and that's why if you look at the QoQ data, it's 2.1% QoQ top 10 and 11.2% 11 to 30 growth sequential. By definition, that means that it's not just one or two accounts. It's actually a combination of accounts, especial ly in the next 20 layer that is driving this growth. Especially in BFS, we've seen that play out actually for us. That's a simple data point I will g uide you to. It's mentioned in the deck as well.

Second, the transaction is a vendor consolidation transaction where we've taken out an existing vendor at an existing customer in the TMT vertical, and the deal has been structured on a long - term basis. And the accounting wise, it's probably showing up in the footnot es because that's how the best way to account for the deal is, but it's really a large deal sold on a vendor consolidation basis in an existing customer that is a relatively new customer but has grown rapidly in the last four quarters.

And the third one around deflationary impact of productivity. I think it will definitely have an impact, especially for service companies that have a large book of operations businesses, especially around IT Ops, Infra Service desk and some elements of Contact Center or Customer Service. Those are the early hotspots when it comes to applying AI productivity. And I think I mentioned that in the comment around deal pipeline and the shape of that pipeline as well. So, for players like us, we see that as a righ t to win in an area where we were not very competitive

earlier. We didn't really have a right to win in a large five -year AMS deal that was purely based on a per ticket price. Now we think we have a right to win because we can really take a 50% effort reduction point of view on it or through the per ticket cos t point of view on it. So, I think there will be a redistribution of wallet share for those who get it right, and there will definitely be pain for those who are already sitting on a big book of business that is susceptible to challenging through this tech -led disruption.

Dipesh Mehta Understood. Just on the first question, now if I look, let's say, BFS added $7 million, top client added $6 million, and that was I was referring to from a sequential perspective, but broadly, you are indicating growth is relatively .

Nitin Rakesh There is an LTM impact. You look at the LTM data, because - I don't know if that's , I'm reading it right, but maybe Aravind, you can check it.

Aravind Viswanathan Dipesh, what is the hypothesis that ?
Nitin Rakesh $7 million added in top account. But that's an LTM return . Concern is it's not broad -based.
Dipesh Mehta Maybe we can take it offline. Both numbers are for the quarter one and quarter two I am comparing. So, that is the QoQ numbers. It is not TTM, but maybe I can take it offline.
Moderator Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja Hi, thank you for the opportunity. I actually wanted to pick your brains around the deal win numbers. Do you think given the current backdrop where we have spoken about some of the flow through deals emerging in terms of smaller transactions and thereby, we continue to see large deal TCV to be modest while revenue growth continues to improve. That's question number one.
The second question was with regards to the onsite/offshore revenue mix both for us as well as for the industry. Over the course of last two, three years, more specific for the industry, we had seen this move towards higher India delivery. Do you think now with a lot of focus on AI -related engagements as well, projects are starting small, we could see a reversal on that trend for the industry as a whole?
Nitin Rakesh I think I'll take the second one first. I mean, at least for us, onsite/offshore is not an objective function. We don't manage the b

usiness with onsite or offshore. We manage the business with best shore. Wherever we need people to service that customer at the right profitability of the business, we will actually service it from that geography.
Also, for us, there is a little bit -- and we've discussed this in the past . Anything that is not in India sits in onsite for us. Even if I add people in Mexico, Costa Rica, Taiwan or Canada or Dallas or Florida, that will all show up in onsite. And hence I think some of that near -shoring split is not showing up, which I think we should correct. Over the next couple of quarters, we'll see if we can report out the near -shore segment separately.

I don't think that's a trend. Again, it's a question of how some of these deals get structured. If I create an AI Ops, App Management deal and that requires 100 people, traditional model was 80 of them should be offshore, 20 of them should be onshore. We may get to a point where I need 60 people; 30 onshore, 30 offshore, but the deal will actually make a lot more sense. So, I think it all depends on how this evolves. I think the labor ar bitrage model will still be relevant because we are not shifting away f rom that model . But I don't think it's going to be an objective function. I think it will be more an outcome of what's the best place to deliver the services from. But broadly, if you look at headcount mix, I think it's not changed that dramatically for us or for the indus try, and I don't think that will change going forward, but the direct linkage from headcount to revenue will definitely be a focus area for most companies in the industry.
On your first question around TCV, shape of TCV and revenue growth, I think there will potentially , depending on size and nature of deals, it is likely that you may see TCV growth that may not seem very large, but you may still see revenue growth purely based on the fact that if I am able to consume either order book until it lasts or short duration deals, then I'll be able to show growth . But reality is to grow sustainably over the next 12, 18 months, we have to obviously convert some of the large deals in the pipeline as well, and that's the focus right now.
Manik Taneja Sure. And if I can dwell further on that particular aspect, this quarter's presentation once again focuses or highlights the account focused selling strategy. Is this a return back to our original thought process? Because in between, we were talking more a bout a vertical oriented approach rather than account -based selling that we have, that has delivered very good results for us in the last few years.
Nitin Rakesh What we've tried to do is balance the account -based focus with a vertical cohort mindset. So, it's not that we went away from being account focused. We actually created a combination of accounts that sat in the same vertical to create a cluster approach or an account cohort approach and create scalability, fungibility and repeatability across those solutions.
The account -based focus never really went away. That was almost always , the pivotal focus for us was to create N equals one, which is every account is a unit of P&L , and that's when it gets the most attention . And that's what really works for us in super -scaling and super -sizing these accounts as well. But attempt has been from a scalability and a repeatability perspective to create these account cohorts or clusters that we can then manage as P &Ls.
Manik Taneja So thank you and all the best for the future.
Moderator Thank you. The next question comes from the line of Aayush from B&K Securities. Please go ahead.

Aayush Rastogi Hi. Good morning.
Nitin Rakesh Aayush, you're not very clearly audible. If you're on a phone, please pick up the handset.
Aayush Rastogi Sir, just wanted to understand a couple of things. On the top account side, a

re you seeing any
kind of a pressure from the top account? Because if we see, trajectory in this quarter, definitely

it has grown, but the last few quarters have been a bit of a pain on that side. Can we also understand that Logistics will be on the growth trajectory going forward?
The second question is that this is the very first quarter that we have seen broad -based growth, but how confident are you that this broad -based growth would be kind of getting sustained for the next couple of quarters or going forward for the full year?
Third question is on margins. So, this quarter, definitely we have given improvement in margins, but we have the wage cycle that is being divided across the period. So, is it linked to that we haven't given the wage hike in this quarter that has led to the margin expansion? Because if I see, the employment expenses have come down sharply on the quarter -on-quarter basis as a percentage of revenue. So, these are the three questions.
Nitin Rakesh I addressed the first two questions already, but I'll reiterate. We said we modelled our sequential growth based on which we are guiding at least for FY25 to be where it is. We do believe Q3 will be seasonally weak, but we do believe that we have the ability to continue to deliver to what the full year should look like. And that, as I sai d, right, three quarters of sequential growth. We do believe that we bottomed the business in December, and we've continued to execute on the order book, the pipeline and the sol d business.
On your specific questions around Logistics . Again, as I said, the view right now is baked into what we believe is likely to play out. I think there is not much delta between Q1 and Q2, or even Q4 and Q1, Q2. So that business, at least this point in time, seems pretty stable. And if we do see anything else to report, we will report that. At this point, our focus is to execute across all verticals of L ogistics & Transportation . And I think we've done a pretty good job in building out new verticals there, esp ecially Airlines, Railroads. We'll continue to execute on that as well as we go forward.
On the last question, Aravind, you want to take the question on expenses.
Aravind Viswanathan So if you look at salary ; two, three things kind of played out, right? One is that we saw a lot more onsite -centric growth. And therefore, you saw onsite utilization go up, which meant that the overall cost did not go up as much. Secondly, like we had talked about some amount of pickup in DR, and that again becomes a non -linear kind of growth. So therefore, there are a lot of puts and takes, but Aayush, but this is broadly how the cost kind of played out and resulted in a margin expansi on of 40 basis points.
Nitin Rakesh I don't think there's anything to call out on wage hikes per se. I think it's pretty much BAU on that front.
Aayush Rastogi Thank you. But just extending on the margins, if I can ask. So going forward, if I like to reach the 16% high band of the margin, it would be a tall ask for the 3Q and 4Q, whereas for 14.6%, it would be on the lower side of currently what we want to be reporting. So where are we like most comfortable , what are the margin levels that we are having that can lead to on the upside of the margins, guidance that we have that is of 16%? If you can just also quantify for the same.

And the very last question on adding to this is on the headcount addition. What sort of trajectory are we eyeing for the headcount? Because headcount addition, still it's not positive for us, whereas for the peers it has been positive for the past couple o f quarters, plus they are also commenting that they are hiring for the freshers as well as few of the laterals also. Thank you.
Aravind Viswanathan We have given a range, Aayush, right, s

o it's between 14.6% and 16%. And , in the quarter gone
by, we've delivered probably higher than the midpoint of the range, right? So, it's not 16%, it's not 14.6%. I think it's a range that we are comfortable with. I think we will operate in that range in the near term . There could be a little bit of ups and downs, but largely we are comfortable

where we are. So that's the point on margin.
On headcount, I think we've kind of shown growth keeping headcount flat, which I think is a positive . It obviously depends on the nature of growth. We obviously have flexibility in our supply chain to increase our headcount. I think we will take a very prudent call based on the line of businesses we see growth, the amount of infusion of AI that we can do on delivery and take a conscious call.
Nitin Rakesh Also I think from a peer group standpoint, Aayush you mentioned, that some of them have added headcount, especially on the freshers side. I think our utilization was actually much lower than theirs. They optimized utilization about 18 months ago. We contin ue to operate at a much lower utilization because of whatever supply chain metrics we had at that point. We've improved utilization even this quarter, which basically tells you that we are converting headcount to billable, and we'll continue to do that as much as we need to. And then at some point, if you see a net addition of headcount, that's going to be an outcome, not an objective function per se.
There is a pretty rigorous rolling 90 -day headcount forecast that gets baked into by service line, by geography, by skill set, and that's what drives the headcount metrics. But it's not a vector function. We're not working backwards from how many people should we hire from lateral or campus. We're working forwards from how many people do we need in the next 90 days to be able to deliver to the customer.
Aayush Rastogi Sure. Thank you so much. I'll join the queue again.
Moderator Thank you. We have the next question from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain Thanks for the opportunity. Congratulations, Aravind, on the new role. My question, of course this has been asked in many ways . I'm just trying one more way. The way you are talking confidently about the deal with the number being weak, is it a way to look at it that the TCV data on a YoY basis is much better that gives the confidence? Is that the way to measure it? Or it would be like a continuous win and sprint, so that is how you get the confidence that things should continue to stay better year-round ?
Nitin Rakesh Yeah, I think there are two ways to look at it. One is definitely, there is a higher proportion of short of burst deals , that basically means that I may be able to consume that within the year. So, yes, the percentage of ACV to TCV is probably higher in 2024 than it was in '22, '23. Second,

we're coming off a down cycle. There is still unconsumed SOW spend that we are consuming right now, for which I don't need to go sell new TCV. I think we mentioned this maybe a year ago that a 30 million one -year deal got converted into a 30 million two -year deal, and we are consuming some of those deals as we speak for which I don't need to actually go sell a new deal.
So elongation of TCV to revenue conversion is actually paying dividend right now because we are actually able to consume that TCV as the cycle turns back. And that's kind of what we are seeing in actually many accounts.
Rahul Jain So, in a way, what you're trying to say, your unexecuted order book continues to remain high. That is the metric that is giving comfort.
Nitin Rakesh Yes. Unconsumed order book. Because we did say that TCV to revenue conversion was actually stressed for almost four or five quarters.
Rahul Jain Right. Fair. Thanks.
Moderator Thank you. The next question is from t

he line of Chirag Kachadiya from Ashika Institutional Equities. Please go ahead.
Chirag Kachadiya So I have just one question. Yeah, so I've just one question. Other than BFS, with which vertical you are more comfortable that it will support the growth and all in the second half as well as in FY '25?
Nitin Rakesh I think we basically called for BFS and TMT to be leaders. Almost three quarters in a row they've been delivering on that promise, and we still believe there is upside left. We called for stabilization in others, i.e., Healthcare, which also has kind of stabilized and shown growth this quarter. We talked about Insurance being a YoY growth story as well because we have been working on recovering that pipeline. So , pretty much broad based led by BFS and TMT, and I think we have some more work to do to get it a lot more broad -based across regions as well, and that's also underway as we speak.
Chirag Kachhadiya So some of our peers have been struggling in TMT vertical. So, what differentiation we are providing that we're more comfortable with the TMT
Nitin Rakesh I think the tech-led, account led , challenger positioning that we are taking with some of those established large accounts for our peers is the reason why we are able to replicate some of the

success that we've had in other verticals, in TMT as well. And obviously, we've invested over the years in building domain expertise, whether it is embedded engineering, R&D, software engineering, device validation, product engineering . And all of those are helping right now to expand not just the number of logos, but wallet share in those logos. And I think I gave the example of a TMT customer where we signed a large deal with a consolidation play this quarter.

Moderator Thank you. Ladies and gentlemen, that will be our last question for today. I would now like to hand the conference over to Mr. Nitin Rakesh for closing comments. Over to you, sir.

Nitin Rakesh Thank you all again for joining us early in the day. I think we covered a lot of ground in the last 60 minutes. Thank you, again. Wishing you and your family a wonderful upcoming festival season and looking forward to speaking with all of you in the new ye ar.

Moderator Thank you. On behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to Mphasis Investor Relations at investor.relations@mphasis.com. Thank you all for joining.

“Mphasis Limited
Q3 FY 202 5 Earnings Conference Call”
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MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER –
MPHASIS LIMITED
MR. ARAVIND VISWANATHAN – CHIEF FINANCIAL
OFFICER – MPHASIS LIMITED
MR. VINAY KALINGARA – HEAD INVESTOR
RELATIONS – MPHASIS LIMITED

Moderator Good morning, ladies and gentlemen, and thanks for joining the Mphasis Q3 FY2025 Earnings Conference Call. I am Do rvin, your moderator for the day. We have with us today Mr. Nitin Rakesh, CEO of Mphasis; Mr. Aravind Viswanathan, CFO; and Mr. Vinay Kalingara, Head of Investor Relations.

As a reminder, there is a webcast link in the call invite mail that Mphasis management team will be referring to today. The same presentation is also available on the Mphasis website www.mphasis.com , in the Investors section under Financial and Filing as well as on both the BSE and NSE websites. Request you to have the presentation handy.

As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘ *’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to state that some of the statements made in today's presentation may be forward -looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q3 results release tha t was sent out to all of you earlier. I now hand the floor over to Mr. Nitin Rakesh to begin the proceedings of this call. Thank you, and over to you, Nitin.

Nitin Rakesh Thank you, Do rvin, and thanks everyone for joining us today. Hope you had a great start to 2025. We appreciate your interest in Mphasis.

As our AI thesis is starting to play out, over the past few years, we've spoken about Savings -Led TransformationTM, AI platforms such as Mphasis NeoZetaTM and NeoCruxTM as well as Agentic AI.

We are now implementing many AI projects that are fast -moving beyond pilot or POC stage. It is starting to scale and accelerating primarily due to paradigm shifts based on the following few factors .

Ability to supersize deals , because we can now bundle ADM, AMS and IMS together with Savings -Led TransformationTM and also presenting vendor consolidation opportunities using the same approach.

Second, we are able to augment AI with human capabilities , which changes the ROI economics of many deals. Clients are able to achieve quicker transformations which leads to unlocking of modernization opportunities , for example, that were previously prohibit ive for clients to undertake.

Our ability to compete and win in more opportunities leading to an expansion of our total addressable market is also helping pipeline expansion.

And finally, the infusion of platforms and productivity gains offered earns us a seat at the transformation table. The infusion of platform -led approach is increasingly table stakes for many programs especially around modernization, ADM and AMS deals.
We have multiple implementations for large scale financial services customers. Mphasis NeoZetaTM platform accelerates relearning productivity much faster and more broadly than was previously possible, completing relearning in a matter of days versus weeks. NeoCruxTM on the other hand is an integral part of all NeoZetaTM pilots to do forward engineering from relearn ed business rules, data dictionaries and business capabilities.
We've completed two implementations with nine more in the works. We've seen productivity gains of 30% to 60% across different phases of the SDLC, including improvement in code quality, generating unit test cases and code documentation, thereby accelerating implementation and reducing project risks. Our clients who have signed up for this exciting journey are spread across all our target industry verticals.
As called out in the last quarter, there is significant visibility in pipeline growth and we are increasin

g the number of AI Ops deals . I'd like to highlight a few things on the TCV chart.
BFS pipeline is up 58% YoY and non -BFS pipeline is up 44% YoY . Large deals pipeline is up 49% sequentially. Significant ly increased traction in AI archetypes including AI Ops and modernization, including Kore . We have over 20 large deals where NeoZetaTM and NeoCruxTM are in play as well.
Q3 saw a high share of proactive deal wins as we stayed focused on deal making. TCV closure for the quarter was $351 million, which is the highest in the past six quarters. We have five large deals in Q3 FY25 and 11 large deals for YTD FY25 as well. TCV wins are across verticals, client pyramid and archetypes. There is also an increasing pace of conversion of TCV to revenue and we continue to be structurally forward -leaning, making investments where we expect demand.
In addition to Q3 TCV wins, we have closed an additional $100 million deal in the BFS vertical in January of 2025. This will reflect in the Q4 FY25 TCV wins.
A few of the large deals that we won in Q3.
A large wireless network operator in the US selected Mphasis to provide scalable and differentiated multi -year services across design, experience and quality engineering. Mphasis leveraged its strong capabilities in diverse areas like UX, research and quality engineering.

Second, a technology major engaged Mphasis to contribute to digital experience innovations, architecture and the technical roadmap. The client engaged us because of our strong capability to support their future projects in AI and Salesforce/ Agentforce integration with their existing systems. Third, a large BFS client engaged Mphasis for application development and cloud transformation across product lines and business lines. Just a few examples of the large deals we signed in this quarter.
We have also made significant investment in GTM , including talent acquisition , and we appointed Head of our Strategic Engagements team Mike Meyer as we announced earlier during Q3. Mike will spearhead strategic deals in collaboration with various business units, enhancing overall growth, alignment and effectiveness. He's also responsible for pipeline development along with the end -to-end sales cycle management to optimize market opportunities for high -value contracts.
In addition, we also inaugurated a Cyber Fusion Center in Bangalore which is a state-of-the-art facility representing significant milestone in our commitment to enhancing cybersecurity solutions for global clients across industries. The center

is providing 24/7 advanced threat detection, incident response and continuous threat monitoring, leveraging cutting -edge AI, ML and automation capabilities. This will not only improve our efficiency in responding to cyber threats by over 50%, but also reduce the attac k surface by 45%, ensuring high visibility of threat landscapes across Information Technology (IT) and Operational Technology (OT) platforms .

Going to performance by segments, we continue to push for revenue growth which is anchored in our strong client mining model and tech -led offerings. Our Q3 revenue came in at $419 million on the spot basis, with a growth of 0.2% sequentially and 4.6% YoY in constant currency terms. Our Direct business accounted for about 96% of our overall revenue in the quarter. We expect the pace of revenue and deal conversions to remain strong, propelled by the Savings -Led TransformationTM themes I just talked about.

Our Direct revenue for the quarter increased by 0.2% sequentially and by 5.1% year-over-year in Q3 FY25 in constant currency terms. Our growth momentum in Direct continues despite the seasonality impact in Q3.

For the quarter, our anchor geo graphy US, grew by 0.6% sequentially and 6.3% YoY in Direct. EMEA region declined sequentially by 5% in constant currency

terms, following primarily the seasonality impacts. Rest of the world grew 3.3% sequentially and 14% YoY in constant currency terms. Our core service line, Enterprise Apps constitutes about 72% of revenue, and the revenue contribution

from this service line continues to grow. We grew about 0.7% sequentially in CC terms in Direct Apps. The BPO segment grew 0.4% sequentially and 3.7% on a YoY basis as projects continue to ramp up and we see continued uptick in our mortgage business as well.

Going to performance by vertical, our BFS and TMT verticals continued the growth momentum. At an overall company level, BFS was up 1.6% sequentially and 8.6% year -over-year in Q3 FY25 and specifically in Direct, BFS was up 1.8% sequentially and 9.5% year -over-year. BFS growth has largely been driven by wallet share gains in existing accounts and strong execution in new account wins, including the accounts that were opened in the recent few quarters. Insurance vertical grew 4.4% sequentially. TMT vertical grew 2.9% sequentially with Direct TMT growth at 15.7% YoY, driven by continued deal wins and conversion of recent large deal wins to revenue.

Our client pyramid continues to improve across the board. Sequentially, we've added one client in the $75 Mn+ plus range and two clients in the $20 Mn+ and $10Mn+ categories, respectively. One of the new BFS clients we signed last year has already ramped up to a $20 Mn+ account. Also on a quarterly an nualized basis, we have a BFS client crossing $100 Mn+ as well.

New accounts in TMT are also showing good traction. With the recent large wins in the last three quarters, we ramped up a high -tech account to approximately $50Mn annual revenue run -rate account. Top 10 accounts declined 0.8% sequentially and 11 to 30 accounts grew 0.6% sequentially. On an LTM basis, 11 to 30 accounts grew at 3.1% YoY.

Coming to our financial metrics, we delivered to our philosophy of maintaining margin in the stated band while making investments for growth. Despite the seasonality impact, our EBIT margin remained stable at 15.3%. Reported operating profit for the quarter grew 0.2% sequentially and 9.7% year -over-year. EPS of INR22.6 for this quarter represents a 1% sequential growth and a 14.1% year -over-year growth. Operating cash flow generation continues to be strong at $55 Mn for the quarter, 110% of net income. DSO o f 72 days improved one day sequentially , aided by better collections.

Summarizing our Q3'25 performance, we are seeing broad -based pipeline growth driven by large deal opportunities. We've had traction in the AI archetypes including AI Ops modernization, continued high share of proactive deals as we've been calling out. Improvement in TCV closures across the verticals and continuing to gain across the client pyramid with our tech -led, account focused strategy. The growth has definitely been led by BFS and TMT verticals and execution rigor delivered stable margins within the t arget band of 14.6% to 16%.

Coming to the outlook for the remainder of the year, few key messages. We continue to execute in an environment steadily moving in the right direction, focusing on the micro as the AI -led opportunities play out. The macro continues to turn in a favourable direction for BFS while there are still some things to be sorted through. We see some recovery in discretionary spend continuing while there are signs of uptick visible in the mortgage business despite the uncertainties. We've seen visible momentum in pipeline conversions and expect to be above industry growth for the full year, gaining from improving TCV to revenue conversion and strong TCV wins while at the same time targeting sustainable margin within the current band of 14.6% to 16%.
On that note, let's open the call

for questions, operator.
Moderator Certainly, sir. Thank you very much. We have the first question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.
Sudheer Guntupalli Nitin, thanks for the opportunity. Good morning. So, to remain above industry average growth for FY25 and industry average can be broadly assumed to be in the range of around 4.5% to 5%, so we should be able to clock 3%, 3.5% kind of growth or thereabouts in March. So, what gives us the confidence on that run rate apart from the deal wins? My question is broadly is there any other leakages that you're worried about? Or the portfolio can be assumed to be largely stable with incremental TCV to revenue conversion becoming faster?
Nitin Rakesh So, Sudheer, I think the math is the math. You've done the math already. I think we do expect Q4 to be, I would say, the best quarter in the last three years from a sequential growth perspective. And I think you've already displayed some of the math skills. From the point of view of the portfolio, I think we are fairly forward - leaning, as I mentioned, to making sure that the pipeline continues to convert to TCV. We've seen , a six -quarter high in TCV in this quarter. In addition, we've signed a large deal al ready in Q4 within the first two weeks. So that actually gives us some boost to converting some of that into in -quarter revenue as well. So, all things put together, puts and takes, there's always going to be portfolio approach. At this point in time, I think we are fairly comfortable with where we stand especially as it relates to the remainder of the year. As we get into FY26, we'll probably give you more color. There is always work to be done, whether it's in some client segments, some verticals, some geographies. We called some of those things out in the script as well. But more importantly, I think staying very focused on conversion of both pipeline to TCV and TCV to revenue.
Sudheer Guntupalli Got it, Nitin. And the sharp decline in Logistics vertical that we are seeing this quarter, is this one client led, or this is more broad -based and industry vertical

specific? And a related question is, any update on the logistics client where there is a bit of speculation that we may have lost this client and so on?
Nitin Rakesh So, Sudheer, firstly, this is not linked. The decline you're seeing is not linked to any one customer. Some of it was expected but it's not just one customer led . I don't think it is constructive to over -index the conversation on “a customer ”. As I said, right, we are aware of all the speculation and the rumours . It's very difficult to address each one of those , especially unfounded , or ability to name customers and discuss them gets very limiting from a management standpoint , given the broader context of competitive intensity, customer relationship, confidentiality contract s and so on and so forth. So, take it for what we are giving you : which is the ability to drive growth through the remainder of the year, the ability to focus on pipeline and conversion and the confirmation that the decline you're referring to in Q3 is not linked to any one single large decline. Again, if you triangulate it , you have all looked at the numbers . If that was the case, the US would have had a

bigger decline than Europe. Just to give you some context. So, I think sometimes it's good to triangulate data points versus focusing on the narratives that you hear from the market or from our competitors.

Sudheer Guntupalli Got it, Nitin. And just last question, what might be the impact of furloughs this quarter, if you can call out?

Aravind Viswanathan So, it's pretty similar to what we experienced last year. The number is around 2% is what you can consider as the furlough impact for the quarter.

Sudheer Guntupalli Sure, Ar

avind. And most of it is expected to reverse in the March quarter. Or are you seeing any peculiar impact of extended furloughs or something of that sort?

Nitin Rakesh There are two parts to that answer. Firstly, I mean, the nature of the business is such that there is no automatic reversal of furlough in the following quarter. So, we have to make sure that we continue to work at a client level and at an account level to recover as much as we can recover back because there's a logical reason for that year -end action, right? You look at budgets getting closed at the end of the year and that also leads to certain action in Q3. Seasonality comes from furloughs and some of th ose actions. Because if reversal was automatic, then almost every peer of ours would report growth in Q4. And you know that's not the case. So, we are expecting to recover a portion of it back for sure. I would say a good healthy portion of it back. We are not seeing any material extension of the furlough into Q4. We probably saw some of that over the last two years. This year seems to be a little bit better, and hence that's also going into the confidence that I gave you on our Q4 performance.

Sudheer Guntupalli Thanks, Nitin and Aravind. All the very best for the future.

Moderator Thank you. We have the next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan Hi, good morning. Congrats on the solid deal wins. Nitin, two questions for you and one for Aravind. So, one is that I think your peer basically talked about how they've had to pass on a lot of AI -led productivity benefits to a very large customer. Are you seeing that and how are you thinking about that in terms of how much you'll be able to relatively retain? So that's one.

The second is, I think if I look at the portfolio looks like BFSI, TMT, all of those are leaning towards high single digit year -on-year growth rates. But the only drag is from a Logistics and Transportation perspective. Now here, if you think about it, is the current quarter a more furlough driven impact and do you expect that to come back? And second, when you look at the deal pipeline and the order book within that vertical you see things improve ? So those are the two questions for you, Nitin. And there's one for Aravind which I will ask later.

Nitin Rakesh Yeah, you get to Aravind once I'm done because otherwise I'll forget my questions. I think the first question around AI -led productivity, It's a fairly nuanced answer because if the expectation is to implement it in a current portfolio where you're either doing a large dev program or a large run program and you have to protect your turf, then you obviously have to be fairly sharp about how much of that can you retain and how much of that you have to give back. But I think if you move the conversation away from just efficiency and cost savings to a Savings -Led TransformationTM approach, then the ability to bundle either a multi -tower , or AD with AMS , or run with change, for example, you take on an existing application portfolio with a very strong modernization story linked to it, then I think you have the ability to not only protect margins but actually grow your wallet share. And that's kind of what we are seeing .

I can't comment on what somebody else said in terms of what they had to do. But in our case, we are not seeing this as any major headwind to either wallet share or margin. In fact, where we need to be, we will be very forward -leaning on supersizing deals using this. And that's what I called out in the commentary. A little bit of that definitely is playing out in the fact that pipeline is up 50% YoY because we are able to bundle a larger construct because that provides efficiency, certainty of outcome and ra pid deployment of some of these solutions as the thre

e
key levers besides just cost. If the focus is going to be over -indexed on just cost saving, then it'll be very hard to convince the customer why they can't take all of that back into their P&L. So that's kind of on the first one. I'm happy to take more questions on that if you have.

On the second item, I think the pipeline is actually very, very broad -based. Some of our largest deals are spread very well across all the verticals including L ogistics & Transportation. So, we do expect good deal activity. I don't think this is a very large furlough component. Some of it may be in there. This is definitely more a question of certain client -related project items or in some cases year -end related budgeting issues. But we do expect uptick in dealmaking in that vertical. I think the 'Others' vertical has also been contributing to a decline a little bit. It's been a little patchy in Healthcare. We had a couple of good quarters and then there were certain other payer -related headwinds that came in. So there's work to be done for us in Healthcare as well. And again, from a pipeline standpoint, from a deal closure standpoint, I think there is good activity in that vertical also. So I think, as I mentioned, a little bit more consistency needed across segments. That's very much the focus. But good news is, there's visibility in the pipeline very much there for all the verticals that need some work.

Nitin Padmanabhan Perfect. That's helpful. Aravind, is there any one -off within the D&A line item? There's a marked increase this quarter and any specific s on revenue from tsQs that could accrue in the next quarter?

Aravind Viswanathan So, there are no one timers per se, right? Typically, some marketing events that we've done and spends around that, that has come through. But I think if you see a three, four quarter trend, it kind of oscillates a little bit. So I don't think there is nothing much to read into it.

Nitin Padmanabhan I was referring to the depreciation amount.

Aravind Viswanathan So, on the depreciation side, as you know, we had won a deal last quarter on one of the large telcos . And as part of that deal , it was a consolidation deal , for which there was a money paid for rebadging employees and as part of that while the accounting followed M&A accounting, there is no goodwill or assets taken over. The entire amount paid is amortized into the P&L as depreciation of intangibles. And that is the amount that has kind of come in. I expect that it will normalize. But you have other transactions that we do, and we will have to see how that comes. But it is largely driven on the back of a new deal that we announced in October . On tsQs, we're not giving details on breakout.

Nitin Padmanabhan Should we take this as a steady state?

Aravind Viswanathan Actually , it will oscillate, right? I don't want to get into a quarter -wise forecast on this. But as we do deals like these , because we won another deal which we have talked about this quarter also as part of the consolidation. So maybe the previous one will little bit taper down and the new one will have an impact. So, I would say

that right now you may not see a very big difference in Q4 vis -a-vis Q3 on that line item.

Nitin Rakesh So, Nitin, what Aravind is explaining is the accounting treatment. But from a philosophy standpoint, wherever we see an opportunity to do tail consolidation or take on contracts that might be with non -strategic vendors or that gives us an opportunity to structure a large five-year deal, we would actually do that even if that means that we have to structure a transaction where it works for both the customer and us. So, some of these will continue to be one -offs that you will see primarily driven by the fa

ct that we see opportunity, we take it and we invest in the business and with the customer. And that's how we are getting these clients to progress through the client pyramid as well.

Nitin Padmanabhan But would we need to worry about headwinds to margins with these transactions or it should be accretive over its life cycle? How should we think about it?
Nitin Rakesh
These are highly accretive deals if you look at the nature of the transactions, the tenure and the profitability. So, you don't need to worry so much about the accounting impact -related headwinds. Otherwise, we'd have called it out and you should have seen that -- you should have seen that in Q3 and in our guidance for Q4. I don't think that's the case.
Nitin Padmanabhan Yeah, sure. Perfect. Thank you so much and all the very best.
Moderator Thank you. The next question is from the line of Abhishek Kumar from JM Financial Limited. Please go ahead.
Abhishek Kumar Yeah. Hi, good morning. Two questions, Nitin, both on TCV. First, you said in the presentation that TCV to revenue conversion is improving. Now two parts here.
One, what was happening earlier? Was it just the slow conversion that was impacting the headline growth number or was it slightly elevated leakage because of mortgage and some of the other stressed top 10 accounts? And second, what has changed that is giving you the confidence that TCV to revenue conversion will be better going forward?
Nitin Rakesh Both great questions. There was definitely churn in the business. I mean, we've talked about at peak what the contribution from mortgage was to at bottom what the contribution was. And there was a pretty big swing within four or five quarters. That stabilized definitely at the end of 2023 when we called for a bottoming in the business. Now this is the fourth quarter where we've seen sequential growth. I think we need a little bit more consistency in that number from a quarter -on-quarter perspective, which is what we are all focused on.
From what has changed, I think some of the uncertainties that at a macro level started getting addressed , whether it was peaking of the interest rate cycle, middle

of 2024, it was clear that cycle has peaked. But it took another three months till September for the cuts to start. Between September and December, we had 100 basis point cut that definitely had some upt ick to not only volumes, but more importantly confidence in the cycle and the soft landing. Secondly, if you look at the outcome of the elections, there is some degree of certainty on the fact that the tax cuts will get definitely extended which means that enterprises can now plan budgets with that assumptio n in mind versus an uncertainty around how that goes and where that goes. That definitely leads to higher enterprise confidence when it comes to committing to larger programs.
The issue earlier was, they would commit to a program, but it was one step forward, one step backward because the data points were so commingled and confusing that it was hard for them to take a two -year, three -year view as to whether they can commit that kind of budget for that duration. So, there was a very high scrutiny on projects and spends . Still high scrutiny , it's not that there's free money available, but at the same time, there is more confidence and the ability to commit to some of these larger p rograms has definitely upticked in the last, three months or so. So that's kind of where we are seeing the business and the approach and the confidence arriving from.
And that also if you can see we've closed $450 Mn in the last three months , including the January deal. That's a six-quarter high, probably more than the last two quarters put together. Pipeline is up. In addition to these big closures, pipeline has actually not just inched up, but it's actu

ally jumped up to a number where we
are 50% higher. It's a record number. 23% sequential growth in pipeline is not something that I've seen often in the business. Obviously, we've been investing in the large deal framewor k. We've talked about adding a new leader and very much, and as I said, forward -leaning on it, purely based on the qualification of the deals in the pipe, as well as the ability to continue to originate deals as well.
So, all put together, environment looks to be improving further from where we were definitely this time last year. There was a little bit of a tentativeness in the recovery. And obviously, for the first two quarters of calendar '24, there was a fair amount of scepticism around whether the recovery will take shape. We've seen that

across the industry now in the last two , three quarters. So, I think it's just a continuation of that trend.

Abhishek Kumar Great. Just a follow -up on what you said towards the end. You've hired a new leader, you're looking at some of the large deals and we just discussed some of the rebadging, et c. So is that a conscious strategy to go after these consolidation deals, those sort of $100 Mn+ kind of consolidation deals which we were probably not participating as much, given higher exposure to apps, et c. Is that a conscious

strategy that has changed recently and therefore we should expect slightly more larger deals going forward?

Nitin Rakesh The answer is, this is very much a deliberate effort to balance risk reward as we look for opportunities and deals. And the reason I say that is that just because we are doing these consolidation deals which require some element of structuring or investment, doesn't mean that we are throwing caution to the wind and doing deals that shouldn't be done right. So, I just want to make sure that I articulate that very openly. Of course, we've focused on large deals. We've been reporting the number of large deals, for over five years now. We used to do one to two a quarter. We are now between three and five a quarter. Average deal size has gone up slowly but surely. We had a mega large deal quarter about six quarters ago. So this is very much a deliberate attempt at building muscle that we think is required. And by the way, not only is it required to get scale, but there's an opportunity to use the capabilities that we've been inves ted in. And I talked a fair bit about that in the script as well. So, I think this is very much a deliberate conscious attempt. Unfortunately, in business, you can't really have a subconscious confidence -driven winning strategy. So, we are focused very much on consciously driving growth through this.

Abhishek Kumar Great. That's helpful. Thank you and good luck.

Moderator Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal Yeah, hi, thanks for taking my question. Nitin, just want to delve a bit more on the Logistics vertical. I know we've delved a lot on it already. I mean, it stands out as a sharp contrast to all the other verticals which actually reported quite handsome growth in this quarter. So, what ails this vertical, particularly if you can delve a bit more on this? Is it that the vertical itself is facing tech spends which are coming lower? Is it some clients who are actually ramping down or is it loss of wallet share or something like that? And can you provide some trajectory as to when do you think this vertical could bottom out for us in the coming quarters?

Nitin Rakesh So, l et me first break down the vertical for you. It is called Logistics and Transportation because it has a combination of Logistics, Airlines, Railroads in there. Logistics isn't just what you think it is. There is a supply chain element to it. There are shipping companies in there, airlines

is well understood. It's a new vertical we created over the last two and a half years. We've announced multiple wins in that area, including the recently won AWS Industry Partner of the Year award for Airlines in 2024 that was handed to us at the re :Invent. And then of course there's the Railroads element. So, if you look at all of these three have a different dynamic and a growth trajectory. The Airline business has grown well for

us. Obviously it's a very small base. We expect that to become a much more meaningful portion of this business over the next 18 to 24 months. A large number of deals and the activities that we are talking about actually do sit there. Same with some of the other segments of this vertical. The decline, as I mentioned, is not related only to one large customer or any one single customer. It's a combination of things that happened. And again, as I mentioned, there are seasonality factors at play, not just the c yclicality of the business. The non-airline business is also something that is exposed highly to global macro and supply chain headwinds. There is definitely work to be done there. And again, not every customer in every segment will grow at the same pace, either on a sequential basis or on an annual basis. So, this is kind of the puts and takes that we are dealing with. Fairly focused on driving growth through deal wins and of course making sure that we continue to protect what we can with existing customers as well as acquiring new customers.

Vibhor Singhal And any timeline that you could provide that when you think with the effort that we are making in terms of Airlines and other sub segments when this vertical could bottom out for us, we could start seeing positive sequential growth in this quarter? Any kind of a subjective direction itself also would be helpful.

Nitin Rakesh So, Vibhor, I can give you an answer, but the answer can change within like one deal being signed up, righ t. Th is is not a vertical, the size of Banking for us. So, the shape of the vertical can change very, very quickly. So, I think what I will tell you is, the portfolio visibility that we've given you for Q4 assumes a certain set of actions. That could change as we announced or as we try to close deals, and we announced activities there. So instead of giving you a timeline by which this will bottom out, I would just tell you that we'll continue to update you as we progress our actions because there are some really interesting actions that we're trying to execute.

Vibhor Singhal Got it. That was helpful. Also, just to quickly pick your brain on the Insurance vertical, how do you see the outlook for that vertical going forward? I think BFS, I think we've spoken a bit about that. I think that's quite clear. On the Insurance any key puts and takes that you would probably want to share ? The growth has been quite good through this year, in fact, through the last six quarters. Do you expect the momentum to continue?

Nitin Rakesh Again, we started talking about stabilization in that about a year ago and we've seen a pretty decent growth in that business sequentially this quarter. Some of it is linked to new client acquisition and expansion of our wallet share in that business. That business obviously is across both sides of the Atlantic. So, there is a UK , European element and then there's obviously a US element. I think at this point it looks like that it will continue to give us sequential improvement. We have

visibility into existing clients where we won wallet share and deals that will continue to convert. So, I mean, from the point of view of leading the growth, I think it'll still probably be led by Banking and TMT, but Insurance definitely is a contributor to growth from an overall company s

tandpoint as we go over the next few quarters. And again, caveat that with the fact that deal activity can change all of that pretty quickly, right? So that's the focus on from a pipeline conversion standpoint.

Vibhor Singhal No, got it. That's really helpful. I think the deal conversions have been quite good and fingers crossed that that continues to change the momentum for us.

Vibhor Singhal Great. Thanks for taking my questions and I wish you all the best.

Moderator Thank you. We have the next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah Yeah, thanks. Thanks for the opportunity. Nitin, just wanted to understand, any client conversation in the Insurance segment because of the California fire s? Do you believe the growth momentum can disrupt going forward?

Nitin Rakesh I think it's still a little bit early days. We have not at this point seen that conversation reach our offices or desks or interactions. I think it's a very complicated state as well as a federal subject. Maybe some clarity will emerge now that the administration is in place. There's definitely going to be some impact on some large carriers, especially that cover home and auto because both of those will take an impact. But I think there is probably a realization that there is a dollar limit to that given the backstop that was given by the government in California. So, at this point, no thing to call out. We'll keep watching it. I don't think the incidents are behind us yet because there seems to be some more activity this week. So, I think nothing to call out on that front. We probably will know more about it as they report their current quarter earnings and make some disclosures. On the flip side, though, I think it gives us an opportunity to sharpen our pencils and go to them with some propositions. So that's something that we've already started to think about.

Sandeep Shah Okay. And in terms of large deals, with a conscious effort to increase, is it fair to assume that these large deals will also be at a company average or there could be some investment which may lead to some compromise on the margins going forward?

Nitin Rakesh Very, very good question. I think the stance that we've taken is, and we've talked about it for the last, I would say, a few quarters, maybe even few years is we continue to prioritize growth and hold the margin steady which means, if we have the ability to drive operational efficiencies, we'd love to invest that back into

growth. Growth can come from , I mean, investment requirement is in three or four different buckets. First one is definitely capability. We've been investing , we've actually upped our investment in capability , competency , as we built these AI platforms over the last few years, especially over the last 18 months. Second investment required is in GTM which, for example, setting up the large deals team, expanding our coverage on accounts, going from just the top 10 to the next 20 accounts, expanding into newer verticals and newer geographies. All of that requires investment in GTM. And the third investment is at a deal level, within a large deal construct, what investment is required and how much of that can be absorbed. And that's why I think Aravind was explaining earlier, as we've looked at some of these large deals, we felt we could absorb that level of investment without disrupting our overall margin profile. So, we do expect these deals to obviously be either at or above the overall company average if we ha ve to hold our margins steady. So, I think that's the approach and the philosophy with which we are approaching the market. Again, the ability to use discontiguous opportunities using some of these platforms gives us confidence that we have line of sight to what's the art of the possible, wha

t's the size of the prize is . Of course, competitive intensity in the business is always high. There are peers who are in a way punting the savings percentages in the outer years to get into the deal in the earlier year s. We have to just be very careful that we have the level of confidence that we can actually execute to those programs. And I think given that we've been executing these large deals over the last few years already, I think we do have a pretty good idea what the guardrails should look like.

Sandeep Shah Okay. And just a last book -keeping question. The 9th January deal which we have signed with tsQs Inc., is it the deal construct like M&A or the deal construct is similar to what we have signed in EDZ and that may keep the amortization cost higher for a foreseeable future?

Aravind Viswanathan It will be identical, Sandeep , to EDZ . It is another vendor consolidation deal, right, with people take over. So, it will be identical to that. And again, at a deal level, these are, I would say, accretive to the company margins, even post the amortization. So that's the way you should look at that.

Sandeep Shah Okay. So, amortization line as per you, Aravind, may not materially decline in the fourth quarter, but may come down starting next financial year?

Aravind Viswanathan Yes. Unless we win more deals which necessitates such line items to come through .

Sandeep Shah Okay, thanks. And I will come back in the queue.

Moderator The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala Yeah, thanks for the opportunity. Nitin, if we look at, say, our revenues over the past three years, including the down -cycle of FY24, we are up 5%. If we look at headcount during the same period, it's down 15%. And even in the last one year now, as of 3Q YoY basis, our revenues are growing 5%, our headcount is down. Just wanted to understand, and you've talked a lot about the contribution of AI into some of the deals that we are winning. I just wanted to understand how much the non-linearity is getting played out in the new business that we are doing and whether is it fair to assume that even going forward , for the revenue growth that we might achieve, the non -linearity is potentially going to expand and as a result could be a margin lever.

Nitin Rakesh So, Rishi, great question. I was waiting for someone to ask the question because I knew this was going to be an item for discussion. If I look at the metrics you shared, especially over the last 12 months, I think there are three components to it that you should think about when it comes to revenue to headcount correlation. The very first component very evidently reported is utilization. We were running at a lower - than-industry utilization because of the infusion of pyramid. We've talked about construction of the pyramid in '22 -'23. That doesn't happen in one or two quarters. It actually takes multiple quarters to do. So, the shape of the pyramid definitely changed and that meant that we had to actually lower our utilization. And now we've been eating into that utilization over the last four quarters. Still work to do. We'll probably see some infusion again at the bottom of the pyramid. We'll continue to work on those actions based on the rolling 90 -day headcount requirement plan that we run. Second element of the headcount revenue correlation is onsite versus offshore. If you see in the same period, onshore headcount has actually gone up at a billable level. And that's because as we do some of these deals that have been talked about, they start o nshore , and then we transition them over a period of one or two or three quarters. And that I think has distorted a little bit of the revenue to headcount correlation purely for the last four quarters. Nothin

g

alarming because in the end the thesis will always be 30 -70, 20 -80. That's the reason why clients look for savings. Our ability to infuse right -shoring with tech is important. We've already talked about centres outside of India that don't count in the offshore locations, so that's all sitting in there . Third element of that is the AI or non -linearity that we talked about. We are definitely seeing some of that, especially in areas that require AI -led Ops, for example , production support, enhancements, QA, the ability to drive 30%, 40% of the manual effort is definitely driving conversations. Again, I mention the fact that not all of that has to be in a T&M construct. So, when we do some of these in a managed outcome basis , even in the mortgage business, we have the ability to drive efficiency using some of the same constructs. That is starting to play out. It's a little bit early days for that, but

it's definitely very much in that equation in the last four quarters and will probably be more in the equation over the next four quarters because some of the deals we've sold very recently will require us to strengthen that muscle. In the longer run, the correlation between revenue growth and headcount growth will not go away, but it won't be as high as it used to be in the last 10 years.

Rishi Jhunjhunwala Understood. And just one confirmation. You made a comment earlier in the call that 4Q could potentially be the strongest 4Q you have seen from a QoQ growth perspective in the last three years. I'm just confirming the last three years, you mean 4Q FY23 /4/5, because 4Q FY22 was 4.3%?

Nitin Rakesh Yes, you're right. That was the previous peak. Since then, is what I meant when I said last three years.

Rishi Jhunjhunwala Yeah, just wanted to confirm. Thank you.

Nitin Rakesh Yeah, absolutely. Thank you

Moderator The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta A couple of questions. First about the $100 Mn deal which we subsequently announced in the current quarter. If you can provide some more detail about the contour of the deal in terms of whether it is existing client, new client , vertical. If you can share whatever additional detail you can share.

Second question is about the top 20 client s. Considering because now budget cycle is getting finalized and if one wants to get confidence about growth considering the concentration which we have, are we seeing any, let's say, signs of concern area in any of the top 20 clients which can lead to, let's say, issues and derail growth momentum which we likely to see in Q4, entering into FY26? And last question is, we give new -gen TCV numbers. Surprisingly, it fell below 50 % this quarter, which we have not seen i n at least recent past. If you can provide, because the way we are suggesting deal construct kind of thing, then these components would be higher. Surprisingly, in Q3, that number is the lowest which we have ever seen kind of thing. Thank you.

Nitin Rakesh Sure. So, I think the first one is around the new deal in Q4. It is in the Banking domain, and it is a new customer. And the nature of work is application and infrastructure transformation using public and private cloud. That's the deal , the execution timelines are pretty clear, well defined and it's definitely a 2025 calendar year execution initiation as well. It's a multi -year deal. Second question was, do we see any clients in the top 20 that can contribute to growth, if I'm understanding correctly, right?

Dipesh Mehta Yeah, it is reverse , whether it can create headwinds?

Nitin Rakesh Headwinds. Again, it's very difficult to call a client in the top 20. Again, you can ask that question with a different context of top 10 or verticals. So, I think puts and takes will always be there. There are always clients that are declining sequentially or YoY. Our effort is to make sure that the net positives are higher than the net negative. So, from that perspective, the top 5, top 10, top 20 anyways is a dynamic list. It's not the same static list. There are clients in the top 10 today that were not in the top 10 a year or two ago and that's very much the focus from a pyramid growth standpoint. So, nothing to really call out at this point. We will continue to monitor the portfolio both at a geo, vertical and a client segment level and report it. And the third question was around new -gen. It's a good question. We've been a little bit conservative in taking some of these vendor consolidation opportunities and not reporting them as new -gen and that's what's driving the lower percentage . Because the large deal that Aravind talked about that we've done with an existing customer with a consolidation play, we so far have not applied any new -gen or AI muscle to it. So that's something that we will do during execution. But from a reporting standpoint that's probably what's distorting the new gen percentage. There's definitely going to be infusion of tech -led capability besides just right - shoring to make sure that the deal is executed for what we committed to the customer

Dipesh Mehta Just harping more on the top 20 which I said, it is more from the growth perspective. Let's say, we will see good momentum picking up for us in Q4 . If any of those issues again crop up, we will see deceleration considering we have fairly high concentration in top 5, top 10, top 20 and that's why I try to get sense do you see, let's say, considering puts and take which we know in the portfolio of top 20 client s, can provide any big headwind to our growth acceleration momentum, which we have started to see?

Nitin Rakesh So, Dipesh, again, difficult to give you. I mean, I really don't have a way to calibrate as to what the exact response should be, except tell you that there will be hotspot accounts. There are hotspot accounts in the top 10, top 20, because as I mentioned, not every account, not every vertical will grow at the same pace consistently. We will take a portfolio approach and continue to report it. We definitely have work to do where we think we can plug some of these headwinds. There are two ways to grow. One is everything grows. Other is you grow around all the issues that you have. So, we try to do both of them and wherever possible look for opportunities to grow around issues as well. And we've done that in the past. You looked at our concentration to one large customer five years ago used to be almost 26%, 28%. We are down to 2%. We've also looked at concentration or risk coming out of the mortgage business. So, we've grown around that as well. So, I think we'll continue to just apply the same playbooks that we know how to and

in a way, the lead indicators will always be pipeline, pipeline to TCV, TCV to
growth.
Dipesh Mehta Understand. Thank you.
Moderator Thank you. The next question is from the line of Shradha from AMSEC. Please go
ahead.
Shradha Agrawal Yeah. Hi, Nitin. Two questions from my side. (not audible).
Nitin Rakesh Shradha, your voice was breaking. Can you please repeat the question ?
Shradha Agrawal Yeah. So we've been operating at 74%, 75% utilization since last two, three
quarters. So how do we read the trajectory of utilization from here onwards?
Aravind Viswanathan So I think we've had a sharp improvement in utilization over the last four quarters,
right. I think it is safe to say that we would be around similar levels. But I think
one of the points that we've at least been very focused on, right, pivoting towards
growth. And I think a lot of our supply chain is determined by

how the growth
materializes. Now, if you really look at even the data that we share, you've seen a
sharper increase in on -site over the last three, four years and naturally that lends
itself to a better blended utilization because on -site always operates at higher
utilization. So I would say that directional ly I don't see a major shift in utilization
from where we are. But utilization , supply chain are frankly input parameters to
manage demand, right? And if there is a change in the nature of demand which we
don't see currently, but if there is, things will change, but otherwise it should be
along similar lines.
Shradha Agrawal Right. And just couple of questions from me …..(not audible)
Moderator Sorry to interrupt, Shradha, but your line seems to be breaking in between once
again. Maybe request you to please move to an area with better network or
reception?
Nitin Rakesh Or if you don't mind just send that question on the chat window. I'm sure there is
one way to do that.
Moderator Thank you. The next question is from the line of Manik Taneja from Axis Capital.
Please go ahead.
Manik Taneja Hi. Thank you for the opportunity and congratulations for the steady performance.
Nitin, while you mentioned about the fact that we should probably see the
correlation between revenue growth and headcount reduce going forward, it will
be great to understand your thoughts as to do you think some of these transitions
towards almost like a platform business can drive margin gains for us given in the
past we've seen the industry compete the way the margin gets back to customers?
That's question number one. The second question, with the way that you see

demand playing out across different industry segments, do you think our
concentration or proportion of business coming in from Banking once again grows
in the foreseeable future given the way one is seeing industry demand progress?
Nitin Rakesh So, I think the first question let me take that one. I'm not sure second one I
understand, but let's take the first one around transition to the platform model. I
think that is in a way the North Star. Question is, as you rightly said that industry
has competed away the gains from this model back to the customer. There are two
issues that we are very, very watchful of. Change management at the client level.
Will the client buying behaviour change from buying predominantly capacity -
driven contracts? Second chan ge, management behaviour will always be around
competitive intensity, the ability to construct deals that actually give you some lift
and some benefit. Early days, I think we are in the first innings of a baseball game,
so to speak. This will play out over the next few years definitely. All I can tell you
is there are existing instances of at least a handful of companies that have managed
to transition from a pure services or a solutions business to a platform -based
services business. We are very focused on learning the best practices and making
sure that, as we invest in some of the platforms, we will definitely take a
commercial approach that is value -accretive to the customer to begin with, but
most importantly also highly gives us a degree of differe ntiation and stickiness that

helps us beyond just looking at short -term margin lifts. So I think again, early days. This is a topic that will continue to be discussed over the next few quarters. We are again very deliberately and consciously driving a whole set of actions around it, and we'll continue to keep you updated. If you don't mind, can you repeat the second question, please? BFSI growth I understand, but...

Manik Taneja Sure. So, my second question was that in the post -pandemic demand upswing, we saw the proportion of revenue that we get from Banking go up given the strong spending in that segment. Do you see that o

nce again in ch up in the foreseeable future given the way you are seeing demand patterns play?

Nitin Rakesh Manik, short answer is, we will take the growth where we can find it , in the short run because there is only one colour of currency. If you look at our longer -term trajectory, let's take, a five-year, seven year view as well. Banking used to be 50% of revenue and it's still very much 50% of revenue at an overall company level, give or take a percent here or there. So I think the portfolio diversification approach of building the other enterprise verticals definitely has given us good rewards in the last three or four years. And TM T is a great example. The approach to very short term will always be over -index on opportunity and deal making. And the approach to long term is to continue to look at portfolio across verticals, geographies, and services. So, I wouldn't worry too much about getting overexposed. I think there is tremendous opportunity and by the way, this is

without the upside risk to business growth if the interest rate cycle truly plays out in some shape or form. And this is the first time we've seen in, I think, the history of financial markets that at least I've been following where after 100 bps cut, the 10-year has gone the other way. So, I think we have suffered a little bit in the last couple of years. We'll take the benefits in the very short run, and we'll continue to focus on driving in our core vertical the right to win and expand as much as we can with existing clients, new clients, new geographies in the BFSI segment.

Manik Taneja Sure. Thank you and all the best for the future.

Moderator Thank you. The next question is from the line of Abhishek Shindadkr from Incred Capital. Please go ahead

Abhishek Shindadkr Hi, thanks for the opportunity and accommodating me. Nitin, just one question on the headcount. Now, how should we read the decline in the headcount and corresponding change in the next -gen services TCV? So, it seems like a strategy to focus on managed services deal. Now, are we kind of planning headcount for the potential rebadging of employees that can happen associated with this kind of deals or it is the change of a pyramid where we are moving from the middle layer to more freshers and that's what is a reflection of it? Thank you.

Nitin Rakesh Yeah, I think I addressed the headcount issue that Rishi had asked. I don't have anything new to add except tell you that you can't plan for a rebadge deal until the deal happens. If it happens, you work, you plan around it and you see how to optimize your current pyramid and your current deliverable to the customer. So, I think the short answer is that we will continue to do headcount forecasting on a rolling 90 -day basis, look at how the demand environment looks like across locations and skill sets and then try to meet that with eithe r internal utilization or external fulfilment . And that's very much an operational rigor that is well built into the company and will continue to get optimized as we grow the business.

Abhishek Shindadkr Thanks. And just a follow -up question to it. As we move more towards managed services deal, has anything changed in terms of the revenue recognition for the managed services deals? Last year, we had heard of taking transition timelines up to six months. Anything changed on that count would be helpful. Thank you.

Nitin Rakesh Yeah, I think the revenue acceleration from TCV definitely has improved which means the transition timelines are not as long right now. When it comes to managed services, it's a combination of right -shoring and effort elimination as I mentioned earlier. So that will definitely play out into the aspect of the non -linearity in headcount to revenue correlation. Beyond that I think we will report and explain these numbers as we g

o forward. But we are looking actively for opportunities
where effort elimination i s very much part of the thesis of constructing a solution
and large deal around it.

Abhishek Shindadkr Great. That is very helpful. Thank you for taking my question and best wishes for the next year as well.

Moderator Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Nitin Rakesh for closing comments. Over to you, sir.

Nitin Rakesh Thank you very much. And on behalf of Mphasis, that concludes this conference call. If you have any further questions, please reach out to our Investor Relations team. And we thank you for your interest and look forward to speaking to you again in three months.

Moderator Thank you. Ladies and gentlemen, on behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to the Mphasis Investor Relations team at investor.relations@mphasis.com. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2025

29 April 2025

The Manager, Listing
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
The Manager, Listing
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. c/1,
G-Block, Bandra -Kurla Complex,
MUMBAI – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

Further to our intimation dated 3 April 2025, please find enclosed the transcript of the Investor(s)/Analyst(s) call which is hosted on the website of the Company at https://www.mphasis.com/content/dam/mphasis -com/global/en/investo rs/financial -results/2025/transcript -of-earnings -call-q4-2025.pdf

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking y ou,

Yours faithfully,

For Mphasis Limited

Mayank Verma
Senior Vice President and Company Secretary

Encl: As above

"Mphasis Limited
Q4 FY 202 5 Earnings Conference Call"
April 25 , 202 5

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER – MPHASIS LIMITED
MR. ARAVIND VISWANATHAN – CHIEF FINANCIAL OFFICER – MPHASIS LIMITED
MR. VINAY KALINGARA – HEAD INVESTOR RELATIONS – MPHASIS LIMITED

Moderator: Good morning, ladies and gentlemen, and thanks for joining the Mphasis Q4 FY 2025 Earning s

Conference Call. I'm Neerav, your moderator for the day. We have with us today Mr. Nitin Rakesh, Chief Executive Officer, Mphasis; Mr. Aravind Viswanathan, Chief Fin ancial Officer; and Mr. Vinay Kalingara, Head of Investor Relations.

As a reminder, there is a webcast link in the call invite mail that the Mphasis management team will be referring to today. The same presentation is also available on the Mphasis website, www.mphasis.com, in the Investors section under Financial and Filin g, as well as both the BSE and NSE websites. Request you to have the presentation handy.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * and then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to state that some of the statements made in today's discussion may be forward looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available on the Q4 results release that was sen t out to all of you earlier.

I now hand the floor over to Mr. Nitin to begin the proceedings of this call. Thank you, and over to you, Nitin.

Nitin Rakesh: Thank you, Neerav. Good morning, everyone. I'm glad to have you all on the call again. We are truly in interesting times. And as always, we continue to focus on the micro in an uncertain macro. As we close out FY25, let me recap a few areas that we've been calling out over the course of the year.

We called out that our growth would be led by BFS and TMT verticals , that we would be laser - focused on growing the pipeline and TCV , and with AI -led deals playing a bigger role, that we would continue to originate and close large deals led by our Savings -Led TransformationTM thesis to capture modernization and consolidation opportunities , we would continue to invest in our AI platforms and solutions , and all the while staying within our target margin band.

I'm pleased to report that we have executed on this strategy and have delivered on all these parameters in FY25 . We'll double click on these in the subsequent sections of this discussion.

In the Q3FY25 call in January, we indicated a few paradigm shifts on how AI was driving and redefining both opportunities as well as the nature of how services are being delivered, namely by, Supersizing deals with Savings -Led TransformationTM driving wins, Unlocking opportunities through reimagining legacy modernization, Expanding the target addressable market and driving pipeline growth, Infusing our platform s NeoZetaTM and NeoCruxTM creating tremendous efficiency, cost savings and minimizing project risk outcomes.

While our stakeholders continue to assess the potential impact of the recent macro uncertainties, there are certain tech imperatives that they're concentrating on Self -funding investments in their transformation, Modernizing, consolidating and simplifying their tech stack, Investing in AI to

enhance client experience while maintaining a low cost to serve, Integrating AI directly into business operations to improve client experience , and Continuing their investments in AI regardless of the macro environment.

This is evident in our performance in Q4 FY25 as we step into a new year, with AI -led transformation deals driving record growth in pipeline, especially large deals, Strong TCV wins across core modernization, AIOps, SDLC transformation, experience transformation, data strategy , and IT Value Stream transformation offerings gaining traction across the portfolio. Our

commitment to innovation as well as our long-term focus on investments in AI are paying off and driving success for the company and for our customers. We are uniquely positioned to lead in this era, because of our differentiated full stack approach to AI innovation, and we are now seeing this operate at scale.

We have a very structured, well -defined, four p hase approach as per our AI strategy. (1) B uilding a strong data foundation , (2) B uild enterprise -grade identity and access management for data security and privacy , (3) B uild AI technology foundation and finally, (4) D evelop an AI strateg ic roadmap based on the following design principles - LLM agnostic architecture, secure data orchestration and use of prebuild connectors.

Earlier this week, we were listed as the leader in the DABStep challenge, further validating our ability to design AI agents that perform complex data analysis using multi -step reasoning on real-world data.

I am also incredibly proud of the work we have done and the impact we are making. You may have read the news that Mphasis has been granted a U.S. patent for our innovative solution called 'System and method for optimized processing of information on quantu m systems'. The newly issued patent outlines a pipeline to improve the scalability and performance of quantum machine learning (QML) on near -term quantum computing systems including quantum simulators. This technology and the associated patent stand as a testament to our commitment to innovation and the advancement of next -generation technologies.

AI is becoming table stakes for us, whether it's in the context of new deals that are AI -led or AI -infused, existing clients or to increase their own employee productivity. This is both vertical centric, like for instance, insurance broker or for complianc e management solutions. In terms of tech platforms that run horizontally, the Mphasis NeoZetaTM platform is an intelligent GenAI -enabled platform that enhances the process of relearn, and through this platform, we can help enterprises extract context -specific information from code and documents regardless of their format or layout and integrate it w ith downstream actions for IT Value Stream modernization systems to generate actionable insights.

Our AI -led deal pipeline is significantly up from 25% in Q4FY24 to 55% in Q3 FY25 to 65% now in Q4 FY25 . AI levers continue to help create proactive deals, maintain competitiveness, especially on Run-the-Business spend and underscore our differentiation through the use of our platform -led approach.

Our overall pipeline grew 86% YoY and 26% sequentially at the end of fourth quarter. BFS pipeline is up 70% YoY and non -BFS pipeline is up 99% YoY . Our large deals pipeline is up 40% sequentially and 154% YoY , aligned to the efforts we've been making in that segment.

Notably, planned priorities to repurpose and modernize the existing tech estate are reflected in the biggest growth vector in our pipeline, the IT Value Stream propositions. These include our Value stream acceleration, Agile IT Ops and Moderni zation tribe -led solutions.

We continue to see a higher share of proactive deal wins as we stay focused on deal making . As our AI themes are reflecting in our deal wins, we're happy to report that 59% of the TCV in Q4 is AI -led. New TCV wins for the quarter were $390 million, the highest in the past 7 quarters. We w on two large deals in Q4 taking the total tally to 13 deals in the full year and we have cumulatively won 75 large deals since FY18 from the time we started reporting it. We had broad -based TCV wins across verticals, our client pyramid and archetypes.

TCV to revenue conversion pace remains steady. We continue to make investments in the right areas where we expect demand. To give you a sense of kind of deals we won, a large North America -based ba

nk has chosen Mphasis for its data center modernization. M phasis is helping them simplify their operations by consolidation, rationalization and modernization of platforms to reduce operational risk, increase resiliency and accelerate growth and profitability.

Mphasis is partnering with a North American Logistics and Transportation major in its transformation journey into a data -driven enterprise. We will be involved in multiple initiatives aimed at enhancing the data strategy, governance, analytics and operational effectiveness.

Mphasis also won a deal with a large Healthcare services enterprise that will utilize the capabilities of the Mphasis Javelina® platform, and the integrated Health Experience Framework to transform the user experience and back -end processing of enrolment in their products. We will deliver an evidence -based solution for evaluating customer acquisition, streamlining back -end processing and lowering the demand for contact center interaction.

In another example, a North American banking client has chosen Mphasis as a strategic partner for the modernization of its wealth services platform. The services will enhance growth, modernization and regulatory remediation priorities.

Coming to performance by segment. We continue to push for revenue growth, which is anchored in our strong client mining model and tech -led offerings. Our Q4 FY25 revenue came in at $430 million, a growth of 2.9% sequentially and 5.4% YoY in constant currency terms. This is our highest sequential growth in the past 3 years despite the impact of a decrease in revenue from our non-strategic ATM business which is reflected in the 'Others ’ secondary market segment in our MD &A.

Our Direct business accounts for 97% of our overall revenue in the quarter. We expect the pace of revenue and deal conversion to remain strong, propelled by our Savings -led TransformationTM theme . Our Direct revenue for the quarter increased by 3.8% sequentially and 6.8% YoY in Q4 in constant currency terms. Growth momentum in Direct continues to be strong and in our anchor geography, the US, we grew 3.7% sequentially and 7.1% YoY in the Direct business. EMEA

region grew at 0.9% sequentially and the rest of the world grew at 8.7% sequentially and 24.4% YoY in constant currency terms in Direct business.
Our core service line, Enterprise Apps, constitutes about 72% of revenue, and the revenue contribution continues to inch upwards. We grew 3.3% sequentially in constant currency terms in the Direct apps business. BPO service line declined by 3.8% sequentially and the ITO service line grew approximately 21%, both sequentially and YoY , driven by transformation programs around IT Value Stream modernization that we won in recent quarters. Our mortgage business remained stable.
Moving to our vertical performance. Both the BFS and TMT verticals continue the growth momentum. At an overall company level, BFS was up 5.6% sequentially and 11.8% YoY in Q4 FY25 in constant currency terms. Specifically in the direct business, BFS was up 7.2% sequentially. BFS growth has largely been driven by wallet share gains in existing accounts and continued strong execution in new account wins, including large deals. The Direct TMT vertical grew 9.6% sequentially and 22.1% year -over -year, driven by continued deal wins and conversion from recent large deal wins to revenue.
Insurance is also a growth engine now with an increase of 0.3% sequentially but a pproximately 9% increase in the Direct business YoY . The vertical is poised for strong growth in FY26 as well, on the back of strong TCV and pipeline as well as recently won deals.
Logistics and Transportation and Others verticals declined sequentially by 7.7% and 3.4%, respectively. These verticals have an outsized impact by the macro environment. Nonetheless we see significant opportunities in

the pipeline for both Logistics and Transportation and
Healthcare.
Our client pyramid continues to improve across the board. YoY, we added 1 client in the $75 million + category, 1 client in the $20 million + category and 3 clients in the $5 million + categories , respectively. A couple of new accounts we signed recently have already grown to over $60 million on a quarterly annualized basis.
You will note that we have seen robust growth across all customer bands . Top 10 accounts grew 5.8% sequentially, 11 to 30 grew 5.7% sequentially. On an LTM basis, Top 10 accounts grew 4.1% YoY, and the next 20 accounts grew 5.1% YoY.
Looking at quarterly financial metrics, we delivered to our philosophy of maintaining margin in the stated band while making investments for growth. EBIT margin remained stable at 15.3%, despite the macro uncertainties. We reported that operating profit for the quarter grew 3. 9% sequentially and 11.7% YoY.
EPS for the quarter was INR 23.5, the highest ever EPS in a single quarter and 4.1% sequential and a 12.9% YoY growth . Operating cash flow generation continues to be strong at USD 52 million for the quarter ; 100% of the net income. DSO of 75 days increased 3 days over the last quarter.

In summary, what we have witnessed is the highest quarterly growth in 12 quarters , with growth led by BFS and TMT ; Our highest ever quarterly and full year EPS , Pipeline growth at record levels with 26% sequential and 86% YoY growth, $390 million in TCV wins in Q4 ; the highest TCV wins in the past 7 quarters, and our execution rigor has continued to deliver stable marg ins.
To this effect, the board of directors has also recommended a dividend of INR 57 per share for the full year FY25 .
Coming to our outlook, we'll continue to focus on executing on the micro despite the uncertain macro. As we focus on investing in growth initiatives, we continue to strengthen and expand our AI-led offerings and propositions. We are sustaining our efforts on conversion of pipeline to TCV and TCV to revenue as evidenced in Q4 as well.
For the full year FY26, we do expect to be above industry growth on our revenue front , gaining from strong TCV wins and a steady conversion of TCV to revenue across the portfolio. Our target EBIT operating margin would be within the band of 14.75% to 15.75%.
With this, I would like to open it up for questions, please.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Sudheer Guntupalli from Kotak Mahindra AMC.
Sudheer Guntupalli: Congrats on great performance. Just a couple of questions. Firstly, towards the end of the quarter,

in March and April month. Have you seen any major drop off in the client conversation rate or deal bookings, pipeline conversion or clients trying to push out ramp -ups, so on and so forth, reacting to t he tariff volatility?

Nitin Rakesh: Sudheer, I think the answer is a little bit nuanced because if I look at the impact of tariffs or other uncertainties that came into for e in the last 30 days, there are certain industries that are in the direct line of fire, so they have the direct impact. For example, all global trade, logistics, supply chain, manufacturing, automotive, energy, railroads, fairly direct impact because there's a pretty significant impact of what happens across global trade flows, the flip -flop on tariffs hasn't helped them either because they've suddenly gotten frozen in some of their decision - making, not just on our businesses, but in their own business, right?

How do you make capex decisions, how do you make supply chain decisions, not knowing what's going to happen either on April 2nd or 90 -day pause after that. So that's the first segment of customers where the impact of indecision is a little bit higher.

Then there is a segment of custo

mers like banks, insurance companies, healthcare companies, where the impact is not direct impact because they're not in the direct line of fire of tariffs. The impact is a second order of impact because there the questions are more around economic outlook, interest rate outlook, health of the consumer, provisioning for customer credit losses and so on. What happens to deal making to Wall Street firms. On one hand, they're making higher trading revenues. On the other hand, d eals have dried up, IPOs have dried up again. I think in those segments, the impact hasn't quite shown up yet.

In the first category, the impact obviously is visible. And we've seen a significant, I would say, nervousness, not to a point where deals are getting cancelled but definitely decisions are getting pushed out because a 90 -day pause really doesn't mean much until we know what happens after 90 days. I would kind of break it down into a nuanced, customer by customer , segment by segment impact. And uncertainty definitely creates indecision, but it varies by which industry, and which segments you play in.

Given that 60% of our business is BFSI and another 7 %-8% comes from Healthcare and Others and if you include some of the other businesses that are not in the direct line of fire we are actually not in a bad place , on balance , relatively speaking.

Sudheer Guntupalli: Got it. And the decline in Logistics this time, is it more broad based or led by 1 or 2 accounts?

Nitin Rakesh: Yes, I think it's a little bit broader than just 1 account. So , linked in part to what I just answered. And I think client s, obviously, will have to go through their own journey of where they are in that global macro environment as well as in their own journey of where they are with what they're trying to accomplish with their own transformation agenda.

So, impacts are not just single customer based. But the good news is, if you look at the pipeline that we shared on the overall split of deals by vertical, you'll see a pretty healthy pipeline showing up in Logistics and Travel. And that's the one that we will absolutely focus on when it comes to the non -BFS jump of 99% , significant portion of that comes from that segment as well. So again, we are very focused on making sure that we get through this phase, and we bring that vertical back to growth through the year.

Sudheer Guntupalli: Got it, Nitin. And just one last question. There is no further update on any large accounts within this segment, right? I'm assuming.

Nitin Rakesh: Nothing more to call out, to be honest, at this point.

Moderator: Next question is from the line of Vibhor Singhal from Nuvama.

Vibhor Singhal: Congrats on the solid performance of both growth and the wins. Nitin, two questions from my side. I think our TMT vertical saw very good growth in this quarter. You alluded to a bit about it in your opening remarks. But what is exactly the driving force behind the revenue growth this year? And how do you see this getting impacted given the overall macro uncertainty that we are facing, especially with the tech companies also kind of under the hammer?

Nitin Rakesh: So, I think we've talked about this in the last couple of quarters as well when you guys had some questions around some large deals that we signed using consolidation. This is an outcome of the deals actually ramping up for revenue. And then we are actuall y further expanding the wallet share using those deals that we signed.

So, this is effectively consuming the TCV that we signed in the last 2 quarters and effectively growing a segment of the TMT customers into, as I mentioned in my remarks as well, the $60 million annualized quarterly run rate. One of those customers happens to be in TMT. So, it's, again, while the growth is not one-customer driven,

but that definitely helps when you have a customer that grows exponentially in the last 3 or 4 quarters.
We have obviously more opportunities in that segment. While there is some uncertainty that comes into the manufacturing part of the Hi -Tech segment, but I think our client base is broader than just being dependent on a manufacturing Hi -Tech business becau se of the combination of tech devices, med devices, ISVs and telecom in there.
So, we feel very good about where we are. We think we will see further growth through the recent times as we get through Q1, Q2. And then, of course, as I mentioned, pipeline is pretty broad -based and that we should continue to convert those over the course o f FY26 as well.
Vibhor Singhal: Got it. Which part of TMT are we growing , apart from the exceptional growth in the client? Which part of the TMT do you think we are more well placed , both from our own capability perspective and also from a macro point of view, which is where you'll see more opportunities in the coming quarters?
Nitin Rakesh: I think enterprise tech, engineering services, R&D services, cybersecurity, the whole IT Value Stream modernization I talked about using SDLC transformation. So, it's a combination of 4 or 5 things.
Vibhor Singhal: Got it. That's very helpful. Secondly, on the deal win front, another very solid quarter of deal wins. I think it's the second highest deal wins that's been done . Have the conversations around the deal closures changed in the last 10, 15 days? Do you see the momentum of deal wins continuing in Q1? Or do you think the tariff uncertainty is basically leading to delayed deal closures and clients kind of holding back the decision making , from what we see?
Nitin Rakesh: Again, as I said, in some of our big verticals, the impact is more second order, hasn't quite trickled down into saying, okay, we don't want to make a decision because of what's going on with tariffs . Because they're not in the direct line of fire. But there are segments where we have seen some hesitation in committing to a program . not knowing what happens to US - Canada or what happens to global trade. So, I think the answer is a little bit mixed. But on balance, as I mentioned, given the sp read of our business coming out of second order industries being a much bigger portion, the second order impact segment s, I think we feel good about the fact that we should at to see this momentum carry through in Q1 and Q2 as well.
Vibhor Singhal: Got it. Just one last question, if I could squeeze in on the mortgage business. I think we are at that crossroad again where there are talks about interest rate cuts potentially t rickling in. Do you see any uptick in the mortgage business leading to that? I know our refinancing business is probably going to take time. But in terms of at least the origination part, do you see some uptick happening maybe over the next couple of quart ers?
Nitin Rakesh: Very hard to call. I think what I can tell you, what we are seeing definitely is a deep desire by customers to say, is there an opportunity to induce AI into my operation and reduce cost of loan servicing or loan origination. That's one play that's definitely giving us some expanded wallet share.

I don't think volumes have gone up, and I don't know when they will go up because it's very hard for me to tell you whether the 10 -year will be 4.3 or 3.8 in the next 30 days. And who knows if inflationary impact comes through, y ou might actually even see interest rates go up, right? It's very hard for me to call that.
So, I think really a more a consolidation and an AI -infusion play right now that is driving the marginal growth or the stability in that segment. And we are pleased that segment actually grew quite well through FY25 despite having a very difficult FY24 .
Moderator: Next question is from the line of

Nitin Padmanabhan from Investec.
Nitin Padmanabhan: Nitin, a couple of questions. One is - even in the last quarter, you mention ed that there's an improvement in pipeline for Logistics, Transportation, etc. And are you seeing that the conversion for those will be a little delayed considering the uncertainties and conversion could take time. Or do you think that these are specific areas which actually help them in the current context and thereby you could see closures? So that's one.

The second is , directionally , considering that we are not in the direct line of fire, is it fair to sort of assume that from a revenue trajectory perspective, at least in the near term, it's unlikely that we see any specific headwinds for a large part of our portfolio and thereby, from a momentum perspective, it could sort of continue considering the deal wins? Or is it that there is a risk to ramp up s being delayed a bit?

And finally, just your thoughts on margin. So, you still do have a lower band margin at 14. 75% despite an exit at 15.3%. So just sort of curious about what are you worried about from a marg in perspective broadly?

Nitin Rakesh: So, let me take the first one. We did announce a deal win in the current quarter in the Logistics , Travel , and T ransportation segment . That definitely will help as we get through Q1 and Q2 as we convert that deal. So, it's not like decisions aren't getting done. Th at definitely is a stress segment because the level of impact on them is actually pretty high.

Will that lead to further decisions being delayed? I think it's a combination. It's very much an account -specific conversation versus a sector -specific conversation when it comes to a deal because there may be a deal that actually lines up to the value pr op where the uncertainty actually gives a trigger to the customer to make a decision or there may be a deal where they have do an outlay of spend that may get deferred because they want to see certainty of capital outlays.

So, I think it depends on what type of deal it is, what the value prop is. We use this concept of a client value framework. It all depends on what's the value framework with which we are going with that deal. So, again, going back to the comment I made around focusing on the micro, I think we are taking a very nuanced deal level, client level, conversation level approach versus a macro segment, industry vertical or geography level approach. So, it's a bit of both.

And I actually do feel good about the fact that there are a few deals in there that might actually give us a lift in Q1 itself, but we'll report on that as we come back to you in July. Finally, on the question around margins. I'll give you a very high-level answer, and I'll have Aravind elaborate .

I think the reason to keep that flex with us, and just like we kept 14.75%, we also kept 15.75% out there for a simple reason that as we get into some of these large deals, let's say, we end up signing a mega deal, that requires us to actually make some i nvestment in up -front ramp -ups, or technology , or orchestrating and working with the client for the first 30 to 60 days where we may need to make that investment, or if, anyway, we've actually made a pretty decent investment in building these AI platforms. That's just the reason we want to keep that flex with us.

But Aravind, maybe you can give a little bit more color.

Aravind Viswanathan: Yes. So, Nitin, we've kind of narrowed the range from before, right? It was 14.6% to 16%. We've reduced the range to 14.75% to 15.75%. I mean not much to elaborate beyond what Nitin has said. It just when you give a range, there is a reason that there are things t hat can happen in an uncertain environment, right?

Obviously, we've not really demonstrated a margin drop or a lack of focus on execution on margins. But there are circumstances where we

will make investments. And if those come to it, then we would still be within the range. So that's the purpose of the range. On a status quo basis, we don't expect to significantly deviate from where we are. But there are circumstances where either an investment or a deal may necessitate that, then we would still operate within this rang e. So that's how you should look at the range.

Nitin Padmanabhan: Sure, perfect. That's helpful. And I think the only thing you missed is, from a deal ramp perspective, are you quite comfortable? Or are you seeing customer behaviour in terms of delayed ramps or anything despite the strong wins?

Nitin Rakesh: The spectrum is pretty wide. For example, we announced a deal in the last January call, that deal actually ramped up pretty nicely because there was a sense of urgency and a time window for the customer to execute the transformation thesis. There's another deal in the same industry where it's taken us many quarters to actually get to the run rate that we wanted to get to.

So, it's, again, a little bit of a specific client -centric issue. But I think it's fair to assume, Nitin, that when there is this level of volatility in the environment, and when the stock prices are swinging between 3% and 5% at an index level, it's just very hard for many of our customers to stay focused on what may seem important to us , but may not be in their top 3 things to do given the environment, the volatility they're dealing with. So not that becomes an excuse for us or our field force, but that' s the reality that we have to deal with as well.

So I think it is a tough environment when it comes to getting clients to commit and put pen on paper, but I think the approach of being very focused on what value you're taking to the customer what problem are you solving, how you are aligning to the outcome of the business and how you're even sometimes able to repurpose what they may be doing today into a much more efficient and transformative approach, I think it's really what, in a way, stood out to us as a winning formula.

Moderator: Next question is from the line of Abhishek Gupta from Axis Asset Management.

Abhishek Gupta: Sir, just wanted to check on the levers of margin. As I see for the full year basis, the subcon seems to have increased overall…

Moderator: Abhishek, sorry to interrupt. Your audio is not clear. Can you speak through the handset, please?

Abhishek Gupta: So, the headcount for the last 4 years seems to have been decreasing. And that seems to be like switching to the subcon expenses as well as our utilization seems to at 86%. So , are we like kind of uncertain about the demand environment where we are like hiring, as per the deal basis? And will we continue to see in the FY26 also? Like will be not a margin lever going forward?

Nitin Rakesh: I don't think that's the way to think about the headcount metrics. I think sometimes what happens is, especially in the larger deals or transformation deals, you start with a certain headcount, or you take over a certain book of body and then you transform it. If you look at Q4, the offshore headcount actually went up. And I think that's natural when you take on a large deal and you start transforming it, you will also try to offshore higher component of it. The reason you may see a subcon ex pense go up is because you don't want to hire the employee because you may only need them for 6 months or 9 months as you transition that work out.

So, the way we are running supply chain is on a very dynamic basis given the level of uncertainty that exists in the business. We are not, we haven’t, and we don't intend to build a large bench. We will obviously onboard based on what we need on a rolling 90 -day basis, and I think I explained that in a couple of calls ago.

We are running a fairly dynamic process of what we call a rollin

g 90 -day forecast based on deal wins, availability of people internally, as well as the ability to onboard people quickly. So again , a headcount or utilization is a good outcome of the way we run the supply chain and the operations. We don't target a certain utilization level or a certain hiring level. I think it's all linked to what sits in the pipeline and the linkage between pipelin e and headcount supply chain.

Abhishek Gupta: Got it. And sir, at the lower end of the margin, does it build any deterioration or some revenue decline for the next year too? Or is it just because of investments or the incremental headcount increase will be impacting that margin?

Aravind Viswanathan: So let me take that . We've seen over the past couple of years, we have had a year where revenue has declined, and we have had a year where revenue has gone up, and our margin profiles hasn't changed too much, right? So, I think from an industry standpoint and from Mphasis standpoint, we've done a good job of managing our costs when we see a revenue headwind.

So, I don't think a simplistic revenue drop would require us to operate at lower levels of margin. Nitin talked about it from a customer standpoint, saying whatever the macro, there are certain spends that customers will do and Mphasis or enterprise s will also make certain investments, no matter what the macro environment is, right?

So, to that extent, we do not compromise on critical investments which have longer value because there is a near -term shortfall on revenue. I think you have to look at it from that perspective, I don't think a simplistic assumption that revenue decline will necessitate marg in drop , that would not be a fair assumption.

Nitin Rakesh: I think the counterpoint to that also is that sometimes you may actually see an impact on the short -term margin because of revenue growth because that means you're investing in a deal, and I explained that a few minutes ago as well. So, I don't think that there's a direct correlation that we are keeping the lower end because we expect revenue to decline. I think the implicit messag e here is that we are keeping flexibility with us to continue to invest for growth.

Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: Congrats on a good execution in a difficult macro. Just wanted to understand, Nitin, is there any large client -specific issue in any of the verticals when you are entering and FY 2026 outside of macro issues?

Nitin Rakesh: So, Sandeep, firstly, thank you for the comments. I think , as I mentioned, right, depending on which segment of customer you look at , and even within the segment, it's not like every top client in banking is operating in the same trajectory for us. Similarly, not every client in every other vertical is going to operate at the same trajectory. There may be client -specific issues, there may be clients ' own journeys. So, I think the right thing to do is to focus on the portfolio, the growth guidance on the portfolio, the outlook on the business based on the early indicators like pipeline and pipeline to TCV.

So, I think to me, the right conversation to have is, what's the plan for us to continue to convert at a clip that we've seen pick up in the recent couple of quarters. Can we increase the pace of conversion of pipeline to TCV and given the massive expansion we've seen in our large deal pipeline YoY , and again, it's very early days - we only set up that group 5 months ago. I think that's really what the focus of the business is. We will have to manage client -specific issues in every vertical, and that's no d ifferent from what we've been doing for years as well.

Sandeep Shah: Perfect. And just we are also entering 1QFY26 with a very healthy order intake, which was similar when we entered 4Q FY25 . So, if I'm not wrong, y

ou are trying to say the growth momentum of 4Q FY25 can be sustained in 1Q and 2Q, is it the right way of looking at it?

Aravind Viswanathan: You are trying to draw us into giving a Q1 guidance, Sandeep, that's really not what we are looking to do, right? Nitin kind of explained how the market and the macro is playing out, and we are watching, staying close to customers and trying to execute on the deal closures. I believe we will grow in Q1 as we stand, and that's what I would like to talk about from a Q1 standpoint.

Sandeep Shah: Okay. And just on the GenAI and the agentic AI, as clients are scaling up the investment s and we are also helping them to adopt the same, is there any increased instances where we have to pass on the productivity gains? Or are we in the phase where the demand is accretive rather than deflationary ?

Nitin Rakesh: I think it's a bit of both, to be honest, Sandeep, because there are certain segments of what the client does today, where they think that they can gain significant efficiency by introducing not just GenAI , but any other AI playbook as well. GenAI will be part of it , LLM can be used to train agents. I mean we talked about the Quantum machine learning model that we just announced and the rating we got.

So there is one segment of the client business, especially on the run the business side, whether it is Ops, IT operations, customer service, business operations, claims, underwriting ; all of those areas which require heavy human intervention can actually benefit from creating an AI or agent - assist to work alongside the humans in taking away the manual tasks and increasing the efficiency. There is definitely an element of AI -infused efficiency that the client will expect to get from that operation. Good new s is that they may be doing their operation themselves today. So that becomes a target addressable market for you to go in and implement the solution and sometimes take over the operation as well.

Then there is a segment where they're actually building out the GenAI or the AI infrastructure. We actually call it the AI superhighway, and we've talked about it in the past. That's a net new opportunity because new spend is getting diverted there. The t rick to playing in that spend is actually to have the right set of propositions.

And the value framework there is more around helping the client, build the chassis for AI adoption, data governance, data pipelines, data privacy. So, there's a big data element, right? Then there's a big AI infrastructure element , a big FinOps element. And of course, the ability to orchestrate all of this in a manner that you can actually do ethical AI and governance of AI and traceability of AI because many industries are regulated in that manner , is a net new opportunity.

Having said all of this, if you then look at the tech spends of most customers, we are not in an environment where the tech spend is going to go up by 8% or 9% or 10%. W e are in an environment that the tech spend may only go by 2% or 3%, if at all includ ing cost of inflation, whether it's people inflation or equipment inflation or the inflationary prices they get from software and hardware providers. So, in that environment, I think spends will get repurposed.

So yes, clients will expect to see benefits of AI in their services and providers will have to find a way to make money, by making sure that there is enough and more left on the table for the client to get and for the service provider to be able to actual ly make money in that transaction.

This is nothing different than what I called out earlier, which is Savings -led transformationTM.

So, the ability to bend the cost and quality and time curve using AI has to justify that Savings - led transformationTM. That's the way I would summarize the playbook of AI. And it's not unfathomable to see the industry slowly

pivoting away from providing people -based services to
actually providing us solution to a customer that drives a certain outcome and then getting rewarded for it.

Sandeep Shah: Thanks for the detailed answer . And the last question, if I can squeeze. On deal TCV and looking at your comments on the pipeline, is it fair to assume the earlier quarterly run rate of $350 million plus or minus , in terms of TCV can be maintained in FY26 unless the macro issues are really causing the concern?

Nitin Rakesh: I think that is a reasonable assumption at this stage. Again, we don't know what happens over the next 90 days or 180 days. But at this stage, given the strength of the pipeline, large deals, that's a reasonable assumption.

Moderator: Next question is from the line of Girish Pai from BOB Capital Markets.

Girish Pai: Nitin, do you think FY26 would be a better growth year compared to FY25 ?

Nitin Rakesh: For Mphasis, given where we sit today, we definitely feel that we have the opportunity and the potential to better the growth over last year. The only caveat I'll make is if the environment gets worse, whether it's macro or geopolitics or something else, t hen, of course, we'll have to come and tell you again. But at this point in time, as we stand today, we do feel like we are in a place to beat our own performance from last year.

Girish Pai: You also mentioned that you have a greater exposure to verticals which are probably susceptible to second order impact of the macro. So, would you say that the visibility on 2HFY26 is a little weaker as things stand today?

Nitin Rakesh: I'm not sure I can make that correlation between second order impact and second half of FY26 at this point. I don't know maybe if I'm missing something , you want to elaborate ?

Girish Pai: No. The second order impact is going to come a little later and then the cost cutting or the postponement is going to happen a little later down the road.

Nitin Rakesh: Yes. You're assuming that the second order impact means that the US goes into a big recession. I don't know if we know that yet. And that's why I said as things stand today. I think if that second order impact has to play out, then we have to see the macro deteriorate a lot more, which I don't know as we stand today. So very difficult to answer that question. Based on where thing s stand today, I think there's a bit of time and environment watching has to happen for us to get to that determination. Again, having said that, what we're really trying very hard to do is make sure that we go deal by deal , client by client, value framework by value framework and get those deals done.

So as much as possible, we decouple from the impact of either first or second order macro. Not easy to achieve, but that's what we are trying to do because that's the only way we can run a business with a forward -leaning approach. And effectively, it keeps us honest. It's hard work, but that's exactly what we're trying to do right now.

Girish Pai: Okay. My last question is regarding consistency of performance because the last many quarters, we've seen a strong quarter and you have a succeeding quarter, which is weak. Do you think we've reached a stage where we can deliver consistently strong performance quarter -after-quarter from here on because you said that we now have a large deal organization in place and stuff like that? So, do you think we are going to get into a certain level of consistency from here on from a growth perspective?

Nitin Rakesh: Yes. I think I hear you. As I said, right, we've obviously taken many knocks on the chin based on what we've dealt with in the last 3 years, portfolio -wise, macro -wise, direct versus non -direct, all of that put together. So, our attempt is to get a lot more consistent.

Again, what we are doing what we can control, which is, as I mentioned, deal focus

, drive
account action client by client. So that's definitely one of the reasons why we are focusing on

driving FY26 to be better than FY25. And if you do the math, you'll see that we'll probably need a lot more consistent sequential growth through the year for us to get there.

Moderator: Next question is from the line of Manik Taneja from Axis Capital.

Manik Taneja: Congratulations on a steady performance. My question is with regards to our segmental marg ins. So even while our logistics revenues have been declining for the last couple of quarters, we've

seen a bump up in margins. If you could talk about what's driving that?
And the second question was with regards to the strong growth that we've seen in top customers despite the decline in the single largest customer. If you can talk about how do you see growth outlook within some of your major customers that would have to be helpful.
Aravind Viswanathan: Sure. So Manik, maybe I will talk about both of these, right? So, I think one of the earlier questions was exactly this, right? When revenue were to go down, will your margins range kind of give you a cushion on that. And my point was that we have an ability to offset revenue drops by taking out cost, and that's exactly what has happened here, right? So, there is a certain amount of variability on cost as well from a margin standpoint. And this vertical historically has operated at diff erent levels of margins. So, we've kind of tightened the utilization and did a good job of allocating the bench and managing supply chain holistically to protect the margins .
That is something that we will continue to be focused on, and we'll continue to do. So that is one element. On clients, again, it's a complicated correlation that you're doing to say the top account has degrown, etc., because it's an LTM -to-LTM comparison, the way we report it. So, in this quarter, all I can say is we have strong QoQ growth in top 10, and we had a strong QoQ growth in 11 to 30 also . So, it's been a holistic growth driven across. Obviously, some customers would not have grown, and some customers would have grown. But I think it's important to look at it at a basket, right? So, we can't really micromanage metrics like that.
Manik Taneja: Sure. And if I can chip in with one more question. If I look at your longer -term performance on margins and Nitin has been at the helm for almost now 7 or 8 years, in the initial years when the transformation at Mphasis was playing out, we did see an improvement in profitability as the growth began to improve. And in the more recent past, through periods of high demand or stress that we've gone through in the last couple of years, our margins have been maintained . So would it be fair to assume that for us, margins will not benefit from any operating leverage even if growth improves. Is that the way to think about it?
Aravind Viswanathan: Not really, right? There is a range where we have given, and we think that we have an ability to improve. I think there are a lot of puts and takes, right? There are too much of variability from a demand environment standpoint.
I would rather reframe this question like this . I think our priority right now is to convert on our pipeline that we built, right, and convert the wins to revenue. And that's the biggest focus right now. We continue to stay focused and disciplined on margin. But if you ask me, margin improvement is not an independent drive that we are running as much as, let us say, driving the growth trajectory to be a lot more consistent in terms of our revenue growth.

Nitin Rakesh: Manik, if I can just add there, right? Just to add one last bit to that comment. I think the ability to drive margin growth is very much in our hands. We decide not to make a certain degree of inve

stments. Operating leverage will definitely come into play as we convert some of these larg e deals because that's how you actually build long -term , sticky annuity platform -based revenue. So, I think we are very aware of the opportunities that come with it. But in the current phase, with the environment and the competitive intensity and the shift in landscape with AI, the prudent thing to do is to focus on growth and not try to do growth and m argin expansion at the same time.
Moderator: Next question is from the line of Dipesh from Emkay Global Financial Services.
Dipesh: Nitin, just want to understand, earlier, we've seen pipeline to closure, and closure to a revenue conversion was impacted. Considering in the last 1, 1.5 months, whether you find any challeng es to some of those conversions? Second thing is about deal win s. Now if I look, let's say, our deal pipeline, very strong growth over the last many quarters we have reported in terms of the way pipeline is shaping up . Partly, it also starts getting reflected into deal closure. If I look at the last few quarters , deal closure also was very strong.
Considering some of the earlier deal to revenue conversion kind of narrative, the way you answer ed, do you expect this revenue growth momentum what we have started building i s more sustainable, more durable, barring 1 or 2 quarter year as well, but it will be more durable and sustainable. But in your overall narrative purpose, it doesn't come out. So, you just want to get overall thought process, how you see these things to play out?
Nitin Rakesh: Again, good question. I mean I answered parts of that already, Dipesh. So let me just give you a quick summary answer again. You're absolutely right, the deal conversion pace picked up , that obviously is translated to some revenue conversion pace that we've seen in Q4.
I think at this point; we just want to make sure that we continue to get the trajectory of bringing growth back and be a little bit more sustained and consistent about it. Not every quarter will be

the same. There will be things that we can see, and there will be things that we can't see. But having said that, that's exactly the direction of travel.

But instead of coming out of the gates and telling you all our challenges are behind us, and now we're going to grow consistently every quarter at a healthy clip, we're just taking an approach where we want to just make sure that we have enough and more m omentum built in and early indicators of our pipeline, which is very healthy, indicators of recent TCV wins also healthy. So, let's just give it a quarter or 2 for us to make sure that we have the ability to get consistency in our own execution, because we 're dealing with a lot of moving parts here. So, I think that's the way I would ask you to think about it. I don't think there is any debate in the objective o r the direction of travel, which is consistent QoQ growth from an organic standpoint.

Dipesh: Understood. And last question is on the win rate side, let's say, in last 6 to 8 quarters, can you comment - because pipeline is very strong. I just want to understand how win rate is changing or playing out for us?

Nitin Rakesh: Yes. I don't think we give that metric out per se. But I think, again, if you see the metrics around new gen deals, now we started talking about AI -infused or AI -led deals or even the proactive deals. The win rate has actually been pretty steady. We have work to do in certain segments. And in those segments, we do expect the strategic engagement team to come in and play a role, and that's how they started to do it. That's what they started to do. So, if anything, I think we would expect the wi n rate to improve. The pipeline has already improved. And hence, we gave the confidence that the TCV number, at least for the foreseeable couple of quarters should

be
healthy.

Moderator: Next question is from Ashwin Mehta from Ambit Capital.

Ashwin Mehta: Congrats on decent set of numbers. One question, Nitin, in terms of, say, if I look at your onsite contributions, it's up almost 8% over the last 6 quarters. And in absolute terms, your offshore revenues have fallen. So, one, I wanted to get a sense in terms of nature of these deals and when do we start to see say, the savings being given out to the clients in terms of moving them offshore? Or is it different?

And secondly, we managed margin s pretty well despite the fact that there has been such a high bump up in terms of onsite. So, as you go forward and try and give savings to clients, why shouldn't the margins improve?

Nitin Rakesh: The way I will answer that question is I think there are a couple of assumptions in your thesis that I would like you to revisit , because that's the shift we are going through in the industry. I talked briefly about it, but we are moving from a people -based services model to a tech -based solutions model.

That doesn't mean that cost -to-serve at our end is not important or location is not important. But that definitely gives us an opportunity to not be tied to a rate card that may have a lower margin for onshore and higher margin for offshore. That's the first assumption that is starting to get challenged, questioned, addressed, monetized. If we're going to infuse the tech platform, we have to find a way to actually make sure that the tech platform is giving us something more than just a differentiation, rig ht? And hence, the assumption that higher onshore revenue means lower margin, I don't think holds true, especially because of this migration from services to solutions.

Second, I'll just give you a data point. If you look at Q4 numbers, the offshore headcount has actually ticked up, which means the model today is right shoring, right solution, right tech stack, right tech infusion and then you continue to optimize and fi nd ways to not only expand what you can offer back to the customer but also try to keep some back with you.

In the longer term, and I'm not going to put a time frame on what longer term means, if the thesis and the migration plays out well, then you're right. You potentially have an opportunity to expand the margin. Now whether you keep it in your P&L or where you put it back in the business, it's a call we'll take if we get to that happy place.

Moderator: Ladies and gentlemen, we'll take that as our last question. Now I hand the call back to Mr. Nitin for closing comments.

Nitin Rakesh: Thank you, guys, for giving us the time. I know it was early in the day. And I'm energized by our progress on the opportunities ahead. We have a lot of work to do given that we are dealing with a certain set of variables that we necessarily cannot control, but we continue to be laser - focused on execution and growth, and our tech leadership and AI portfolios are helping us attract new customers, grow existing customers and win larger deals. On that note, we look forward to speaking to you guys again at the end of our Q1 earnings. Thank you again.
Moderator: Thank you very much. On behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to the Mphasis Investor Relations team at investor.relations@mphasis.com. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2025

29 July 2025

The Manager, Listing
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Dalal Street,
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The Manager, Listing
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. c/1,
G-Block, Bandra -Kurla Complex,
MUMBAI – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

In continuation to our intimation dated 1 July 2025, please find enclosed the transcript of the Investor(s)/Analyst(s) call which is available on the website of the Company at https://www.mphasis.com/content/dam/mphasis -com/global/en/investors/financial -results/2026/transcript -of-earnings -call-q1-2026.pdf

We request you to kindly take the above intimation on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thank y ou,

Yours faithfully,

For Mphasis Limited

Mayank Verma
Senior Vice President and Company Secretary

Encl: As above

"Mphasis Limited
Q1 FY 202 6 Earnings Conference Call"
July 25, 202 5

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER – MPHASIS LIMITED
MR. ARAVIND VISWANATHAN – CHIEF FINANCIAL OFFICER – MPHASIS LIMITED
MR. VINAY KALINGARA – HEAD INVESTOR RELATIONS – MPHASIS LIMITED

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Moderator: Good morning, ladies and gentlemen, and thank you for joining the Mphasis Q1FY26 Earnings Conference call. I am Neerav, your moderator for the day.
We have with us today, Mr. Nitin Rakesh, CEO of Mphasis; Mr. Aravind Viswanathan, CFO; and Mr. Vinay Kalingara, Head of Investor Relations. As a reminder, there is a webcast link in the call invite mail that the Mphasis management team will be referring to today. The same presentation is also available on the website of Mphasis i.e. www.mphasis.com in the Investors section under the Financial and Filing as well as both on BSE and NSE websites. I request you to have the presentation handy.
As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘ *’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to state that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. A detailed statement with regard to this is available in the Q1 results release that was sent out to all of you earlier.
I now hand over the floor to Mr. Nitin to begin the proceedings of this call. Thank you. And over to you, Nitin.
Nitin Rakesh: Thank you, Neerav. Good morning, everyone. Good to have you all on the call again.
The tech industry is evolving rapidly, driven by innovation, while global uncertainty, macroeconomic complexities, and geopolitical tensions shape a cautious business environment. Technology remains a top priority for enterprises navigating this environmen t while balancing growth with operational resilience. The rise of GenAI is driving a global shift toward AI -first, digital -native business models, enabled by the democratization of intelligence. Both legacy enterprises and digital -native companies are acce lerating investments in future -ready technology.
Over the past quarter, the demand environment has demonstrated some resilience, but only selective strength, despite sustained macroeconomic uncertainties. Decision -making continues to be more deliberate as enterprises navigate the current environment. With the overhanging threat of sophisticated cybercrime s and need to comply with legislation, it is an urgent priority for organizations to defend and protect.
Clients are reprioritizing their spending , focusing on must -have capabilities, and creating efficiencies and cost -savings through programs that demonstrate a clear ROI, while at the same time minimizing project execution risk. Business teams are wanting to move forward with at -scale AI programs, embedding AI into products, decision -making, and customer experience within tight budgets, since there is now an imperative to fund these AI programs from within the existing overa ll budgets. The demand for enhanced value at a reduced cost continues. At the same time, they seek continuous release of new

features, faster time to market, and the ability to quickly launch innovative products and services to stay ahead in a competitive environment .
Technology teams are looking for the means to modernize their legacy monolithic systems with disjointed data architectures, while

servicing the high technology debt that
has built -up over decades. At the same time, technology teams are under constant pressure to deliver enhanced value at a reduced cost, while moving forward with their transformation agenda. GCC is an evolving theme, with multiple models at play including carveouts, buildouts and managed captives.
Traditional people -based service models are under pressure to reinvent and survive. AI is recalibrating how IT services operate . By broadly published estimates, it is believed that to 25 -30% of all working hours could be impacted by Large Language Models. It is fast becoming an imperative for businesses to move beyond experimentation and establish the structures and processes needed to turn AI into tangible impact reality.
At Mphasis, we understand that differentiation and investments are needed to pursue large AI -led opportunities. We continue to drive deal making that needs planned

investments as rapid changes in AI tech are leading to 'Services being delivered as Software '. We continue to invest in areas where we see long -term demand. Even in the face of economic uncertainty, we remain committed to disciplined execution at a micro level, ensuring that every client's engagement is solutioned holistically to capture efficien cies, accelerate speed to market and reduce risk.

New developments in AI, particularly in Gen AI, are radically recalibrating the costs and benefits of modernizing legacy and reducing technology debt as part of a larger set of changes in how IT operates. This is resulting in opportunities where multiple i nitiatives are brought under a unified transformation program, leading to larger, outcome -driven deals with a 'self-funded ' approach to transformation. This is an integral part of our Savings -led TransformationTM thesis and platform -led constructs, that we discussed over the last few quarters.

As we drive our growth initiatives forward at Mphasis, we are expanding and deepening our AI -led offerings. Instead of applying broad strategies across entire industries or regions, we focus on the specific needs of individual clients, particular deals, and meaningful conversations. This clarity at the micro level, combined with our commitment to innovation and IP -led platforms, positions us to navigate today's challenges effectively and support our clients in successfully doing the same.

As AI -led deals take center stage, we are doubling down our proprietary next -gen platforms, Mphasis NeoZeta ™, Mphasis NeoCrux ™ and Mphasis NeoSaBa ™ to name a few from the Neo Suite of platforms. These solutions combine Generative and Agentic AI to boost human performance, modernize critical systems, and accelerate next -gen application development for business transformation. Through AI, we're shaping forward -looking deals and reinforcing the value of our platform -led strategy, which is clearly evident in ou r AI-led deal pipeline and TCV wins.

We are early adopters and implementers of AI -based solutions for our clients, which has positioned us well to help with their AI journey, create efficiencies, cost -savings and minimize project risks, while at the same time, accelerating our business. This is reflected in our highest -ever quarterly TC V win of $760 million, of which 68% is AI -led. Since the launch of Mphasis.ai, we have over 250+ of our AI/ML models available on Amazon, Microsoft and Google marketplace . As I said in my previous slide, clients are interested in 'seeing' solutions, and the value Mphasis.ai brings to our end -to-end expertise helps organizations to strategize, build & institutionalize these solutions. The timeline of milestones and our development of AI assets listed at the bottom of this slide are all a testament to Mphasis' long history of AI innovation and our unique positi

oning to deliver innovation to clients at scale.

To give you a sense of how we are making this real, as an example, we took on a Core Cards Platform Modernization for a Large Financial Firm. Our AI Interventions boosted overall efficiency by >40% .

• We took a big monolithic platform using COBOL , Assembler, VSAM and a growing MIPS environment in a high -tech debt situation and modernized it into a composable, business capability driven architecture that is cloud ready.

• We took a single code base platform built over 40+ years ago, with 50M n LOC using Complex Sysplex architecture and modernized it into a New Core design based on BIAN with ISO 20022 compatibility.

• We transformed 1.4B n accounts on file, 900+ APIs, 25B n authorizations processed annually, extremely low latency of <40ms and re -engineered it into an event architecture with real -time , event -driven streaming to replace targeted batch processing.

• In a sense, w e transformed bespoke implementations requiring specialized domain & mainframe talent into faster building of composable capabilities & value streams using modern engineering platforms.

On the back of this program approach and AI led delivery, this has been one of our fastest growing relationships in the company and has already crossed $50mn annual revenue threshold.

Since the launch of Mphasis.ai, our pipeline has grown 2.2x. We currently have the largest ever deal pipeline - driven by these platforms as well as largest ever TCV wins in

this quarter, led by large deals.
As I have previously mentioned, AI is table stakes for us. Whether it is for new deals that are AI -led, or AI -infused, existing clients or even for our own employee productivity.
We have solutioned what we call the 'Mphasis AI Superhighway ', which accelerates enterprise AI enablement and adoption of AI at scale, securely delivering models from experimentation to production with organizational guardrails. This enables 50% to 60%

faster time to market, upto 90% accuracy rates , and a 50% increase in productivity at times .
Mphasis AI Superhighway comprises of prefabricated AI strategies, methodologies, innovation lab, and operating models . It includes o rchestration of cloud, data and security platforms, plus our own proprietary accelerators . It delivers an a gentic workforce, integrated LLMs, predictive decisions and knowledge graphs , model testing for ethics, trust, explainability, security, end-to-end value stream observability and synthetic data creation .
It is no surprise that AI is supercharging our pipeline which in Q1 of FY26 was 68% AI - led with: BFS pipeline up 47% YoY and non -BFS is up 108% YoY , Large deals pipeline up 40% sequentially and 154% YoY , Traction in AI archetypes includ es AI Ops and AI Modernization as you can see on the chart.
We continue to see a higher share of proactive deal wins, as we largely stay focused on deal-making. As I said earlier, TCV wins for the quarter were at $760 Mn, our highest ever new TCV wins in a quarter . We won 4 large deals in Q1FY26 ; for a cumulative of 14 large deal wins in the last twelve months. Of the four large deals, three are $100Mn+ and one is a $50M+ deal. TCV wins have been led by BFS, Insurance and TMT verticals .
Our TCV to revenue conversion pace has remained steady . Customer propensity to s pend budgets on cost take outs, efficiency and vendor consolidation is increasing . And we continue to make investments in the right areas where we expect customer demand.
To give you a sense of the kind of deals we have won , I will specifically call out one large win .
A large North American life insurance company chose Mphasis as their sole provider to consolidate Application Development and Application Management v endors to achieve alignment to a new operatin

g model, managed outcome -based delivery, improve
performance and service quality , and predictable cost while driving significant savings.
Mphasis will be deploying its Neo Suite of AI platforms as a part of this transaction .
We have, in the recent past, called out the fact that AI is a great leveller , especially in areas where we did not historically see a right to win, such as large run engagements.
This deal is a testimony to that thesis starting to play out , and we expect it to repeat across multiple other deals as well.
Moving to revenue performance by Segment . We continue to push for revenue growth, which is anchored in our strong client mining model and tech -led offerings. Our Q1FY26 revenue was $437 million, reflecting a growth of 1.0% QoQ and 6.5% YoY in constant currency terms. We had an impact of a decrease in revenue from our non -strategic ATM business which is reflected in the 'Others' secondary market segment.
Our Direct business contribution continues to inch higher and accounted for about 97% of our overall revenue for the quarter. We expect the pace of revenue and deal conversion to remain strong, propelled by our Savings -led TransformationTM theme.

Our Direct revenue for the quarter increased by 1.6% QoQ and by 8.1% YoY in Q1FY26 in constant currency terms. Growth momentum in Direct continues to be strong.
Our anchor geography, the U.S., grew 3.2% sequentially and 10.3 % YoY in Direct.
EMEA region declined 15.5% QoQ in constant currency terms. The impact seen in EMEA

is due to a ramp down of a global customer in this region. In our RoW segment, we grew 6.8% QoQ and 30.0% YoY in constant currency terms in Direct. This metric also includes our increasing presence in the GCC play, since many of these deals are structured in the India geography. Our overall reported revenue for Q4FY25 and Q1FY26 for RoW includes the impact of decrease in our non -strategic ATM business.
The revenue contribution from our core service line, Enterprise Apps, has increased by 2 percentage points this quarter. We grew Application by 3.6% sequentially in constant currency terms in Direct. The BPO and ITO service lines for Direct declined 2.7% and 5.3% sequentially.
Moving to vertical performance, our BFS, Insurance and TMT verticals continue the growth momentum. Specifically in Direct, all the three verticals delivered a 20%+ YoY growth in constant currency terms. At an overall company level, BFS has grown 6.7% sequentially a nd 18.0% YoY in Q1FY26. Direct BFS grew 8.1% sequentially. BFS growth was largely driven by wallet share gains in existing accounts, ramp up of new deals won in recent quarters, including early in Q1 and continued strong execution in new account w ins.
As called out in our previous earnings call, our insurance vertical turned into a growth engine and is expected to continue the momentum in FY'26. The Insurance vertical grew 20+% sequentially and 27.5% YoY in constant currency terms. Direct TMT vertical grew by 2.4% sequentially and 20.6% YoY driven by continued deal wins and conversion from recent large deal wins to revenue. The Logistics & Transportation vertical was impacted by some customer -specific investments. We believe the impact from these is largely behind us, and we expect this vertical to gradually recover through the remainder of the year. We have significant new deals in the pipeline across a broad set of clients in this vertical and across a broad set of sub -verticals to support this growth. Overall, at a company portfolio level, our performance has demonstrated resilience and is in lin e with our expectations.
Our client pyramid continues to improve across the board: YoY we have added 1 client in $100M+, 2 clients in $75M+, 2 clients in $50M+ and 1 client in $20M+ categories respectively. We have succ

essfully ramped up a couple of new accounts we signed
recently into the $50M+ accounts category . With additions to multiple customer bands, the middle of the client pyramid has expanded, gaining from deal wins, and our keen focus on the next category of growth accounts. On an LTM basis, Top 10 accounts grew 7.6% YoY, and the next 20 accounts grew 7.4% YoY .
Moving to our quarterly financial metrics: We delivered to our philosophy of maintaining margin in the stated band, while making investments for growth. Our EBIT margin

remained stable at 15.3%. Reported operating profit for the quarter grew 0.7% QoQ and grew 11.2% YoY. Our EPS of Rs 23.2 represents an 8.5% YoY growth. Sequentially, there was an impact from higher ETR due to certain 'Minimum tax expenses ' in certain subsidiaries, which we believe will normalize through the remainder of F Y26.
Operating Cash flow generation was at $24Mn for the quarter. Cash flow for the quarter was impacted by a marginal delay in collections from one of our customers due to changes in their internal systems, which has since been resolved, and due to the annual incentive payouts, which are typical in Q1. Adjusting for these, normalized cash flow is around $46Mn for the quarter. As noted, the delay in collections has impacted our DSO which increased 9 days to 84.
In summary, w e are seeing growth momentum through resiliency and deal wins which was led by the BFS, Insurance and TMT verticals . We are also seeing ramp ups from our recent large deal wins playing into this outcome . We are focused on investing in AI - driven growth initiatives . As I mentioned, o ur pipeline is at record levels: 16% growth QoQ and 84% growth YoY growth in pipeline . We are very pleased with our highest - ever TCV wins of $760Mn; which included Three $100+Mn, and one $50+Mn deal . We also continued to deliver stable margins.
Coming to the outlook, we remain steadfast in our commitment to client centricity and technology -led transformation - an approach that has consistently delivered results for us. We will continue to focus on the virtuous cycle grounded in micro level execution - pursuing, winning and executing at the account level, while continuing to build the

propositions using our Tech Tribes & Mphasis.ai investments. This model has been instrum ental in driving momentum - evidenced by robust deal wins and consistent execu tion across quarters, even as the macro environment remains uncertain.

As we focus on investing in AI -driven growth initiatives, we continue to strengthen and expand our AI -led offerings and propositions. We will continue our efforts on conversion of pipeline to TCV, and TCV to revenue.

For FY26, w e expect to be at ~2X industry growth, on the back of our Q1 performance and steady conversion of TCV to revenue, and the steady ramp -up of large deals in ongoing quarters.

Our target EBIT operating margin would be within the band of 14.75% to 15.75%.

With this, I would like to open it up for questions pls.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Sudheer from Kotak Mahindra. Please go ahead.

Sudheer Guntupalli: Thanks for the opportunity, and Nitin, congrats on great deal wins and outlook. First question, it looks almost like 80% of your revenue seems to have grown at 20 % plus on an average, probably the highest growth rate in the industry on an organic basis. Now

that you are calling out that in Logistics and Transportation also will be growth recovery going ahead, do you think with the current very good order intak

e in this quarter, do you think we'll have a real shot at converging with the growth rates of some of our similar sized peers, where their growth rat e has been significantly higher in the last couple of years compared to us?

Nitin Rakesh: Sudheer, I think the way I would address that is that the direction of travel is absolutely in the right direction. I think we've recovered the business. We've had some headwinds to deal with in the last couple of years. Most of them, at least as we stand today, seem to be behind us. So, there's no reason to believe that this trajectory will not continue. The only reason why we are at this point guiding to what we are guiding to is that the environment hasn't really changed. There is still a bunch of uncertainties. There are still things that require a significant push. But at a micro level, I think we're very pleased with where we are. And as I mentioned in the last quarter call leading indicator of pipeline turned into a great quarter close for TCV. And if that execution continues, then I think we will potentially be in a better place this time next quarter. But we want to take that time to make sure that we have the same rigor and the same outcome to drive that confidence as we go forward th rough the remainder of the year. Still too early in the year for us to have a definitive view on what the next three quarters will bring, but the direction of travel is absolutely what you just mentioned.

Sudheer Guntupalli: Sure. And so, while you are guiding for a growth recovery in Logistics, are there any, weak spots in BFS or Insurance or TMT at this stage, where we are concerned that some of these macro uncertainties will push these weak spots into a slippage kind of a situation?

Nitin Rakesh: As we stand today, the answer is no, we don't see any of those weak spots. And I think our approach to dealing with any headwinds has been just sell our way out of that by actually creating deals using the propositions and differentiation and using that momentum to work around these issues. But as we stand, nothing is imminent .

Sudheer Guntupalli: Sure, Nitin. And $760 million kind of net -new TCV wins this quarter, almost 2x that of your run rate in the last two quarters. So, are there any signs of a fatigue in terms of deal booking or given that especially these two, three verticals, BFS, Insurance and Tech have been doing well in the last few quarters, any fatigue of client spending here that you're picking up or things are still going on strongly in these areas?

Nitin Rakesh: Sudheer, again lead indicator is pipeline. We've broken out the pipeline by BFS, non - BFS. We've broken out the pipeline by top 10, non -top 10. And I don't think we use the word fatigue in dealmaking in our lexicon because that's just not the way we can su stain the growth. Remember , when we bottomed our business in December '23, we called for BFS and TMT to lead growth. Then a couple of quarters ago, we called for Insurance turnaround visible, and as you can see, Insurance has grown 20% plus se quentially this quarter because we converted deals. I think pipeline is fairly active across multiple segments including Logistics, including Healthcare. So , all we have to do is just diligently work. Each of these verticals operates at a different rhythm. But I would not

say that we are at a point where despite converting $760 million in the quarter, our sequential growth in pipeline is 16%, which means our propensity of originating conversations, turning them into qualified deals and running them through the solutioning process continues to be fairly high. So that virtual cycle of originate, solution, sell and execute is something that we're very focused on.

Sudheer Guntupalli: Sure, sir. One last bookkeeping question to Aravind. So, what is this other a ssets increase? It increased very sharply during the quarter. Any color on this?

Aravind Viswanathan: Sure. There are two, three factors coming in, right? One is that under IFRS 15, where you have a fixed price project, where you have completed deliverable on a percentage of completion , until the deliverable is accepted, it comes as contract cost. And as you know, you've seen a sharp increase in our fixed price revenue. So that is one of the big contributors for this. This will get translated to unbilled as soon as the deliverable happens. Most of these are completed projects and we ex pect that to move to unbilled in Q2. The second element is some of the large deals requires savings to be kind of given upfront, which ends up being a contract acquisition cost. You've seen the kind of TCVs that we have declared in this quarter. So that ha s kind of come in, but there is not the similar level of cash outflow. So, if you really look at it, you would see the other liabilities also go up because it's more a balance sheet item in that sense both from an asset standpoint as well as the liability standpoint.

Sudheer Guntupalli: Yeah. Thanks, Nitin. Thanks, Aravind. All the very best.

Operator: Thank you very much. A request to all the participants, kindly restrict to one question per participant and one follow -up question. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi, good morning. Congrats on a solid quarter. It looks like a very tightly executed quarter and quite impressive at that, because if you look at EMEA sort of declined, we have had the top customer decline , we have the ATM business has declined and still we sort of delivered this solid growth. Just if you could just contextualize the growth that we saw in both BFS and Insurance. All of these are just closures of the earlier wins, or they were something that incrementally came through the quarter, which surprised positively? And just as a follow -up is from a deal win perspectives overall, I know you said this in different tids and bits over the quarters, what's driving this change for us structurally ? Wherein our deal wins are extremely solid, our pipeline still continues to grow. So, from an organizational perspective, if you could just quickly summarize the changes that you made that's sort of really driving this in a quick short summary would be very helpful .

Nitin Rakesh: Thanks, Nitin. Both great questions. On the first one, as I mentioned in my script, it was expected that we should be able to mitigate any headwinds because we saw the momentum of deal closures even in Q4, early in Q1 and some of that's definitely played into the conversion of revenue. Now every deal is not the same. Some deals convert quicker than the others. If there's an element of large -scale transition, you will see that

deal will have some element of one to two quarters of conversion. If there is an element of taking over an existing asset i.e. a set of applications that move to you as a provider or you consolidate a bunch of providers out, then the revenue impact is much quicker. So, I think that's played into the revenue impact that you've seen in all the three verticals that grew more than 20% YoY.

The only correction I want to make to your comment is that the large client decline and EMEA decline are actually linked. That's really what's driving the EMEA because we classify geos by origin of contract. So, it could be a global customer, but if there is a bunch of work that we do for them out of Europe, it will go under EMEA. It's an anomaly, but from a consistency standpoint, that's just the way we've continued to report. So in net-net, the reason we were fairly comfortable in giving you a certain out look three months ago and all through th

e quarter was based on the fact that we had a visibility into the pipeline and the deal conversions and we did execute it very tightly as you rightly said through the quarter.

The second question that you asked me around what's changed and what is driving the growth . The reason I geeked out a little bit on this call when I explained to you what we did with a large financial services customer was to give you a peek of what kind of technical expertise is driving these kind of opportunities. I think gone are the days where clients had a need, you would meet that need through potentially a series of engagements that were in one shape or form, a combination of capacity, right -shoring, and even if it was a fixed price or a managed services contract, it was really P times Q plus margin pricing. Today I think we are bundling a fairly sophisticated technology solution into every proposition. This doesn't happen overnight. It's taken us sev en or eight years using our Tribes and Squads construct starting 2018, 2019, infusing our Next Labs starting 2017, 2018, and then 2023, we announced Mphasis. ai. I think they're all coming together combined with the extreme account -based focus that we've be en talking about for many years now, where we have a three -in-a-box model at every account. We have a high touch model; a high -tech model and we make sure that we have to deliver to what we commit to the customer as well. So , there's a high trust aspect of that as well. So, bunch of things that we've done over the years, bringing them all together, making it real for the customer in solving a problem that sometimes a customer didn't see or many times we co -created or co -ideated into creating the right set of problems to solve for.

So, the shift left that we talked about with Front2BackTM is actually playing into our strengths today. And the proactive dealmaking is what's really driving a change and a differentiation. There is a certain degree of fatigue with customers, where they have incumbent providers, large providers, the quote -unquot e Tier 1 providers, who have really in a way started to become a lot more stale because they haven't kept up with the level of investment and the level of high touch and intimacy required for transfo rmation programs. I gave you a long answer but it's a bunch of things that have come together. But at heart , it's the tech depth and the ability to bundle that tech capability into a proposition that the client sees value in.

Nitin Padmanabhan: Perfect. That's helpful. I have a lot of questions but if I can just slip in one more. From a margin perspective, I think this quarter has been pretty solid. We have had utilization move up like 400 basis points and then we also have these large deals coming through. So, is it fair to assume that one should, at least from a modelling perspective, assume the lower end of the band or do you think you still have room to sort of deliver on margins as well?

Aravind Viswanathan : See, we've given a range, Nitin, right? And we've largely operated in the midpoint of the range . I think there are always puts and takes, right? We had utilization go up, but we had made some investments with clients, which kind of set each other off, right? Growth is good, if you hear what Nitin talked about, there are a lot of investments that we are also doing on areas, which are important for growth, right? We built a large deal team. We've done a lot of investments in our platforms. So, I think , it will be range bound, is what we think at this point of time.

Nitin Rakesh : The philosophy doesn't change, Nitin. The prioritization for growth by holding margins, that's the kind of the North Star that we're still following. So that philosophy doesn't change.

Nitin Padmanabhan : Got it. Very helpful. Thanks

, Nitin, and all the very best.

Operator : Thank you. Next question is from the line of Rishi Jhunjhunwala from IIFL Capital. Please go ahead.

Rishi Jhunjhunwala: Yeah, thanks for the opportunity. Two questions here, Nitin. Firstly, on the deal pipeline, right? So we have won $760 million this quarter and still we are talking about pipeline swelling up on a QoQ basis. I know we formed a large deal team and there's been a lot

of focus around that. But given where the macro is and what the other peers are suggesting in terms of deal pipeline as well as conversion, what do you think is specifically driving this significant growth for us?
Nitin Rakesh: So, Rishi, again, I think Nitin asked a very similar question. Answer is not very different except that at this point in time, at least for the last four to six quarters, we've been trying to focus on individual account -based activity, highly contextualized solutions, while making sure t hat at a broad level, we continue to invest in areas where we think there's going to be broad adaptability . Themes like application transformation using cloud - native tech, legacy modernization, mainframe exit, infusing AI into the way you run operations, b oth IT and business operations, right, predictive, preventive, self -healing. So I think investing in broad themes that we think will cut across segments and customers, but then customizing those very highly into the account using our account CTO model, I t hink that level of intimacy and customized solution to the customer is very attractive . Combine that w ith the fatigue that they have with some of the legacy providers, that actually makes it a very happy, fertile hunting ground for us. And the role that th e large deals team has played really is in institutionalizing the process of ideation, deal origination, deal qualification, deal solutioning, pricing, price benchmarking and then of course, the deal dynamics of how you actually run the deal through a proc ess

including reactive deals. So, we've seen an uptick in win rate on the reactive side as well, where we participate in RFPs because not every segment or every industry or every geography is conducive to proactive only. You may originate a deal but that will go to RFP. So, I think it's the culmination of all the work that we've done over the quarters and over the years. And we finally kind of managed to get that virtual cycle going and we want to just keep feeding it as much as we can. And by the way, what you 're seeing in the pipeline growth is the qualified pipeline, right? We obviously have a top of the funnel pipeline that we start the deal discussions with. So, I think that's the best way for me to explain it to you. I know it's a little bit of a qualitative answer, but our business is services, our product is trust and we are expanding that product by actually infusing platforms and repeatability and execution capability into it.
Rishi Jhunjhunwala: Got it. And second question, if you look at last three, four years, right, I mean, we've had issues around DXC, DR, SVB and then this overhang around the Logistics client. Is it safe to say that as things stand today, we do not have any major risk around any parts of the businesses and from here on growth would be normal and completely based on how we are executing on our overall business?
Nitin Rakesh: Yeah, I think that's fair to assume. I think I answered to Sudheer also earlier. As we stand today, we don't see any of that. Again, that's a point in time today. And part of the reason why despite this kind of deal wins, we are still focusing on executin g in Q2, Q3 and Q4 is because of the environment. So, it's not like there's any tailwind in the environment at all. It's really we have to go and create those opportunities and run them through. And as more

and more clients adopt these kind of solutions, we just have to make sure that we keep refreshing our existing contracts and engagements with them as well.
Rishi Jhunjhunwala: Got it. So, I guess from next quarter onwards we don't have to look at business ex of any other concern?
Nitin Rakesh: No, we never looked at it that way, but I guess so.
Rishi Jhunjhunwala: We did, sir.
Nitin Rakesh: I know, I know. I said we don't.
Rishi Jhunjhunwala: All right. Thank you. All the best.
Operator: Thank you. Next question is from the line of Sulabh from Morgan Stanley. Please go ahead.
Sulabh Govila: Yeah, hi, thanks for taking my question and congrats on the strong deal win number. My first question is on the revenue conversion of these deal wins, the ramp -up schedule that you expect on the deals that you won. So, should we expect the best -ever deal win reflecting in a strong bunched up quarter in the coming quarters or would you say that the benefit of these deals would be spread out through this year in FY26?

Nitin Rakesh: Sorry, I didn't catch your name, so excuse me for that. But the way to think about it is that it depends on the type of deal. There is a nuance to certain deals can ramp quick, certain deals require a period before they can ramp. And I think this is a fairl y balanced set of deals that we won. If you look at the four large deals, not all of them will have the same trajectory of ramp -up while some of them already actually contributed to Q1 as well. So, it's fair to assume that on an average one to two quarters is a decent assumption to take for conversion from this TCV to revenue.

Sulabh Govila: Understood. And then my second question is with respect to some of the operating metrics. So, your headcount seems to be largely flat on a sequential basis and the utilization levels have sort of inched up quite a bit and which is sort of a level which we've not operated in the last many quarters. So, in the context of the deal wins, which are very strong, how should one think about the divergence between the two?

Aravind Viswanathan: We've been kind of talking about the increasing divergence between headcount and revenue growth, right? If you look at there are a couple of shifts that have happened. One is that we've seen a significant shift towards fixed prices, right, compared to what used to be only T&M.

Operator: Sir, sorry to interrupt you. Your audio is not coming clearly.

Aravind Viswanathan: One second. Is it better now?

Operator: Yes, sir, go ahead.

Aravind Viswanathan: So Sulabh, if you look at it, like I said, this is not something that is new in terms of a divergence between revenue growth and headcount. If you've seen our business, we've seen a significant shift towards fixed price, which kind of lends itself towards more productivity and ability to drive revenues with lesser headcount. Supply chain parameters are a little different than how we have historically looked at, right? It is a little more nuanced. It's not a single strategy of just hiring freshers and you pl aying the entire pyramid in that sense, right? So, you may have to invest in very differentiated skill sets, but that may not be at scale. And so, to that extent, it's a pretty dynamic approach that we take to supply chain. So, I don't think our growth will be limited from a headcount. It's no longer a lead indicator. We will do what it takes on the supply chain to deliver what our customers need at the most efficient cost price.

Nitin Rakesh: And also keeping in mind the environment from a supply standpoint, I think it's fairly conducive for us to run this rolling 90 -day plan on supply chain with a certain element of internal rotation combined with just -in-time onboarding. I don't think we nee d to run a large bench as we used to do

historically because the model itself is shifting from just being people -based services to platform or technology -induced services. So that gives us a little bit more operating leverage.

Sulabh Govila: Understood. Very clear. Thanks for taking my question.

Nitin Rakesh: Thank you.

Operator: Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Hi. Thank you for the opportunity. I actually had a clarification question on the Logistics segment, while you talked about expectations of recovery from here on, there was some large transaction that you are chasing outside of the large customer or the top customer there. If you could talk about progress on that front? And the second qu estion is how should we be thinking while you alluded to the change in our hiring or the delivery models? But given some of the newer opportunities that we are essentially t rying to target to a combination of AI and the legacy modernization piece, should we probably be thinking about our utilization rates being sustainably better compared to what we've seen in the past? So that's the question.

Nitin Rakesh: Yeah, On the first one , I don't recall that we talked about any specific deal. Normally we don't talk about deals before they actually close. So maybe there is a little bit of confusion as to whether it was us or somebody else. But reality is that pipeline continues to be

pretty robust, and we have visibility into deals that exist in verticals including Logistics and Travel. Part of the reason why we believe that we will see a gradual recovery through the remainder of the year is because we t hink we should be able to move the needle with some of these deals that are in the pipeline, and they have been for the last few months.
On the second question, I think it's fair to assume that utilization will probably be elevated compared to the last three -year average. But as I mentioned earlier, it is not a control metric for us. It is actually an outcome of the actions we take on how we onboard and how we manage the supply chain. We typically don't manage to a utilization. We manage to the visibility of deman d on a rolling 90 -day basis. And between internal rotation, reskilling, upskilling and external hiring, we try to meet the 90 -day rolling basis through our supply chain teams. So again, utilization is a metric that has been important for the last 25 years, but I think it's not going to be as important. Not that we will not have people or we will not add people but it's just that it's not going to be a linear correlation between utilization and revenue growth.
Manik Taneja: Sure. Thank you.
Operator: Thank you. Next question is from the line of Abhishek Gupta from Axis Mutual Fund. Please go ahead.
Abhishek Gupta: Congratulations, sir, for the strong quarter. Just wanted to get clarification on the deal wins. Like what were the components from the new clients or from the existing clients or the GCC's part in the deal . What is the nature of this deal win? Just some clarification over there.
Nitin Rakesh: Actually, we have called out the four deals in our press release as well. And they are quite widely spread between existing customers in the top 10 category, customers that we acquired over the last two years, and potentially, the pipeline also is fairly widespread across BFS and non -BFS as well as top 10 and non-top 10. So, it's not one vertical, one

customer or any specific item. I think it's been an attempt for us to broad base that over the last many quarters and that's kind of what's playing in, right? But again, given that BFS, TMT and Insurance have led it, you can assume t

hat that's kind of been the growth drivers from a deal win perspective as well. And we'll hopefully, as I said, expand that to other segments soon.
Abhishek Gupta: Got it. And sir, lastly, like you might have answered this question, but we saw huge uptick in the Insurance vertical in this quarter. So, what led to that growth? If you can just clarify that. Sorry.
Nitin Rakesh: You know, it's okay. Our business is very simple here. You sell more, you b ill more, you bill more, you grow more. So, we've sold more deals and we managed to convert them to revenue over the last three months, and I think we have a lot more in the pipeline that we'll continue to focus on closing in that segment as well. Both combination of existing client giving us a lar ge deal as well as new logos that being signed, which again give us the confidence that we will see some more growth in the coming quarters. And of course, the quantum of growth on a sequential basis may not look as much because now we're already at the new baseline for Q1.
Abhishek Gupta: Got it. Thank you so much. Operator Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Thanks. Thanks for the opportunity and congratulations on a great execution especially on deal wins consistently. The first question is on the logistics sector. I think, Nitin, your initial remarks indicated we have made some investment in few top clients within this segment. So that could have resulted into a gross margin decline in this sector versus gross margin improvement in the others. So just wante d to understand with this investment, do you believe the worst in this segment and our top client is beh ind not just in the near to medium term but beyond one to two years in the terms of longer -term outlook?
Nitin Rakesh : I broadly answered it. Fortunately, or unfortunately, long -term is very difficult to call given just the dynamic nature of the environment and every customer going through their own journey of change and transformation. But I think it's fair to assume that bulk of the impact is behind us. A nd I think your assumption around gross margin and investment is fairly concise and reflective of what the status is. So again, we'll take it quarter by quarter. We'll continue to operate in every account wi th a view that we should be able to

grow, create those opportunities that I talked about in terms of adding value and showing the value to those customers, and that approach doesn't change for this vertical and all clients in this segment.
Sandeep Shah : Okay. And just a question in terms of your outlook growing 2x the industry. So if I look at the large peers, they may be growing at 3% to 4% and for us the kind of deal wins to go to 7%, 8%, we just require 1.8% to 2.2% compounded QoQ . So that number looks conservative looking at the deal wins, or you believe the deal wins will have a greater impact next year rather than this year because it may take some time to transition?

And Aravind, just wanted to understand in the margin, despite a gross margin decline being massive in Logistics, margin has been stable. So, is there any one -off which we should be aware? And there are some investments which we highlighted on 3rd July as per the notes to the accounts. Can you brief the nature of these investments?
Nitin Rakesh : So let me take the first one which is your question around CQGR growth. Again, I think we are just trying to make sure that the fact that we had to thread a needle this quarter and have pretty tight execution, we just want to make sure that we continue to find ways to keep that execution up, especially in an environment where things change on a daily basis. So, as this visibility improves over the next quarter or two quarters, you will get a

pretty good idea of how this ramp -up is happening. But it's also f air to assume that not every deal will convert very quickly just because some of those will require setup time, transition time, ramp -up time. So, we're just baking all of that in an environment where most of our peers are seeing pressure either on top line or on bottom line or on both as well as deal decision times. We just want to make sure that we don't go out on a limb and try to be brave. We ju st want to make sure that we continue to execute. And as execution -led visibility improves, you will see that. On the margin and other questions, Aravind.
Aravind Viswanathan : So, Sandeep, we've seen a drop in gross margin at the Logistics level but we've also seen improvements in every other vertical in many ways, right? So, one of the things that has happened is while there has been some kind of investment in the vertical, we've been able to, on the back of growth, kind of use our internal talents to fulfil a lot of the project -based growth, right? So effectively you've been able to offset that impact through better utilization in rest of the BUs. And given that some of those has come in , at a whole, you've seen higher revenue at marginally higher cost, right, which means margins are effectively flat. There is no one -time in nature. There is no reversal of sort which is other than the usual anomalies that happen, but not meaningful at a collective level.
Sandeep Shah : Okay. And just the investment on 3rd July, though those are small, but just wanted to understand the nature.
Aravind Viswanathan : So that is an investment of a capital nature, Sandeep. It's not a P&L kind of investment.
Nitin Rakesh : Let me take that one. So, Sandeep, we made a strategic investment in a venture called ‘Aokah ’ which is essentially a GCC advisory firm being setup by the ex -founder of the Neo Group. He still is a shareholder in the Neo Group, but they've decided to set up a separate venture to advise enterprises in the global GCC space. We made a minority investm ent. We put in $4 million for a 26% stake, with a view that we will essentially have an opportunity to shift left in helping shape deals as clients s tart thinking about GCCs and the various shapes and forms that it takes. That is not a business that we think will fit well if it was within Mphasis. So, we decided to take a strategic investment approach and use that opportunity to create new client engagements, not just in the GCC advisory, but then in the follow -up execution of those deals as well. I think we made a detailed press release on that earlier today. You should be able to find more details in the press release.

Sandeep Shah : And there was a second investment in Locate Software. So, is it M&A ?
Aravind Viswanathan : So that is one of the other consolidation deals, Sandeep, that we've done as a customer.

It's a very small deal, right?
Aravind Viswanathan : It's not an acquisition. It's basically a vendor consolidation initiative where we have taken over the people and the contract has been given by the customer to us . So of course, the accounting treatment and the disclosure follows an M&A accounting . Typically , we don't take over an entity. We are not even rebadging. We are hiring people, and the contract comes with the customer. And there is a contingent consideration for the person who used to run that business. And therefore, it takes the nature of M&A accounting. There will be no goodwill. It all flows through the P&L, and the deal economics factors this cost which gets amortized and meets the margin threshold. So, it's something that we've done in the past and it's one more of that.
Sandeep Shah : All right. Thanks. Thanks. Congratulations again and all the best.
Operator: Thank you. The next questi

on is from the line of Kawaljeet Saluja from Kotak Securities.
Please go ahead.
Kawaljeet Saluja: Congrats on fantastic deal wins here . My question is for Aravind. Aravind, is the INR12 billion increase in the current quarter in other assets entirely deferred contract costs?
Aravind Viswanathan: So, like I told Kawal, there is a split between what I would call will go into an unbilled revenue, right? Because it is unbilled revenue of the fixed price projects, which goes into contract cost right now and the rest of it would be a combination of some of the investments we have made on building IP as well as contract acquisition cost .
Kawaljeet Saluja: And Aravind, what will be your receivables if you i nclude the contract costs as well for the quarter?
Aravind Viswanathan: The only point I will make with respect to that, Kawal, is there is also a liability against contract acquisition because these are accounted but not paid, okay?
Kawaljeet Saluja: So, let's basically take on a net basis, gross and net basis .
Aravind Viswanathan: Well, actually it doesn't change, to be honest, because you will see the same kind of increase on the liability side with respect to contract acquisition cost.
Kawaljeet Saluja: And the third thing is, Aravind, there is a massive increase in contract other assets in the noncurrent part, which means that there are certain fixed price contracts in which maybe it will remain unbilled or remain in contract assets for more than 12 mon ths. So, what's the nature of engagements which is causing such a big shift on a one quarter basis?
Aravind Viswanathan: So typically, the fixed price unbilled that I talked about, that comes in the current assets. Typically, a contract acquisition cost comes in non -current assets. So, these are deal savings which gets spread over the term of the deal, and therefore, that gets into non -

current. The fixed price kind of example is much more the contract cost and not the contract acquisition cost. So, the nomenclature is a little similar, both come in other assets, but what was in non -current is more what is the amount tagged to , which will get recovered over the deal value as a contract acquisition cost, the other one will be more on the current side.
Kawaljeet Saluja: Right. And the other financial liabilities is just the other part of the, what I would say, revenue in which there are unearned and etc, lying in presumably. Is that correct?
Aravind Viswanathan: Yeah. That would be correct.
Kawaljeet Saluja: Okay, fantastic. Thank you so much. Yeah. And congrats once again on great deal wins.
Nitin Rakesh: Thanks, Kawal.
Operator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I now hand the conference over to Mr. Nitin Rakesh for closing comments.
Nitin Rakesh: Thank you again for another interactive call and your interest in Mphasis. We really appreciate the early login, and we do believe that we had a good start to the year and that sets the stage for the year ahead. Our achievements are a direct result of the dedication and talent of our incredible employees and leadership team and the continued trust of our clients and shareholders. I'm deeply grateful for their unwavering commitment to excellence. Thank you again and we look forward to talking t o you next quarter.
Operator : Thank you very much. On behalf of Mphasis Limited, we conclude this conference. If you have any further questions, please reach out to the Mphasis Investor Relations at investor.relations@mphasis.com. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Nov 2025

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The Manager, Listing
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 526299
The Manager, Listing
National Stock s Exchange of India Ltd
Exchange Plaza, Plot No. c/1,
G-Block, Bandra -Kurla Complex,
MUMBAI – 400 051
Scrip Symbol: MPHASIS

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor(s)/Analyst(s) Earnings Conference Call held on Friday, 31 October 2025 .

The transcript is also uploaded on the website of the Company and can be accessed at the weblink: https://www.mphasis.com/content/dam/mphasis -com/global/en/investors/financial -results/2026/transcript- of-earnings -call-q2-2026.pdf

The above intimation is also available on the website of the Company at: www.mphasis.com .
We request you to kindly take the above intimation on record .

Yours faithfully,

For Mphasis Limited

Mayank Verma
Senior Vice President and Company Secretary
Membership No.: ACS 18776

Encl: As above

"Mphasis Limited
Q2 FY 202 6 Earnings Conference Call"
October 31, 202 5

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER – MPHASIS LIMITED
MR. ARAVIND VISWANATHAN – CHIEF FINANCIAL OFFICER – MPHASIS LIMITED
MR. VINAY KALINGARA – HEAD INVESTOR RELATIONS – MPHASIS LIMITED

Mphasis Limited
October 31 , 202 5

Moderator Good morning, ladies and gentlemen, and thank you for joining the Mphasis Q2 FY 2026 Earnings Conference Call. I am Nirav, your moderator for the day. We have with us today Mr. Nitin Rakesh, CEO of Mphasis; Mr. Aravind Viswanathan, CFO, and Mr. Vinay Kalingara, Head of Investor Relations.
As a reminder, there is a webcast link in the call invite mail that the Mphasis management team will be referring to today. The same presentation is also available on the Mphasis website, 'www.mphasis.com ' in the Investors section under 'Financial & Filing ' as well as on both BSE and NSE websites. Request you to have the presentation handy.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
Before we begin, I would like to state that some of the statements made in today's discussion may be forward -looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q2 results release that was sent out to all of you earlier.
I now hand over the floor to Mr. Nitin Rakesh to begin the proceedings on this call. Thank you. And over to you, Nitin.
Nitin Rakesh Thank you, Nirav. Thanks every one for joining today. Hope you have had a great festive season.
We had another strong quarter , and o ur business continues to perform very well. However, before we get to the financials, I would like to walk you through our journey of how we got here, and what enable s our sustained success.
While AI is the buzzword since ChatGPT, at Mphasis we made a few strategic choices over the past 10 years, and decided to go all in on them, consistently. While you may have heard me talk about these in the past few years, let me re connect the dots.
The three big strategic choices that set the stage for our AI journey back in the day were : the first big one was that 'Every enterprise, every business is a consumer business. Some don't know it yet'. As we started executing on this, our conviction was that AI will change every customer's experience. Back in 2014 -15 time frame, we set up N EXT Labs as the Mphasis R&D hub, began experimenting with AI , and early evolution of GPT well before AI became mainstream. This was our Gen -1 initiative around AI.
The second big bet was 'How do we enable agility required by Enterprises ' in a way that they want to launch products at ease and speed, adopting every asset of tech as a service, think DevOps revolution, legacy modernization, cloud migration, data on cloud, cybersecurity , transformation, e tc. We pivoted a large portion of our business on this construct, a tech -led pivot, and my favourite phrase from 17 -18 that we used to rally our troops was 'Bring the T back into IT'.
Extending this into Gen -2, we built over 250 AI/ML models on the cloud marketplaces, including platforms such as DeepInsightsTM, PACE -ML, HyperGrafTM and AI integrated into InfraGenieTM. In the past two years, with the rapid consumerization of AI, we

accelerated our AI -first digital native model, also focusing on AI arbitrage and unlocking new growth opportunities.
These efforts matured into proprietary platforms like Mphasis NeoZetaTM, NeoCruxTM, NeoSaBaTM etc. that were designed to boost human performance. Earlier this week, we launched Mphasis NeoIPTM, a breakthrough AI platform integrating multiple Mphasis.ai innovative solutions designed for continuous enterprise transformation and differentiating competitive advantage.
NeoIPTM perpetually rewires core systems, turning enterprise knowledge across legacy systems, data and operations, enabling us to drive intelligent engineering. At the core of NeoIPT

M is this living, breathing layer of connected enterprise understanding that unifies data, systems and processes to proactively optimize, modernize, and transform business and IT operations. It empowers CIOs and business leaders to shift left, embedding data - powered intelligence early in the software and operations lifecycle to create self-healing, resource -efficient systems that learn and improve over time. The platform creates a connected data -centric environment where AI and human teams collaborate to plan, build and manage transformation.

Key component of NeoIPTM is Ontosphere that, in collection with various AI agents, constructs and sustains the intelligence through dynamic knowledge graphs using enterprise domain context. It ensures AI -driven transformation is fast, accurate, and strategically aligned with long -term business goals.
NeoIPTM includes solutions grouped under four categories namely Modernization, Application Development, IT Ops and Business Ops. These capabilities are delivered via specialized AI agents and frameworks that you see on the slide.
Let me give you a quick summary. Essentially, NeoIPTM natively connects with third -party AI agents through recent, though still evolving market standards such as Model Context Protocol (MCP) and Agent2Agent (A2A) standards, expanding the agent fabric for unified cross -enterprise orchestration.
NeoIPTM, thus, introduce s a new era of continuous transformation that continuously learns, adapts, and grows into our client's business, powered by the Ontosphere. Our AI strategy centres on intelligent orchestration through composable platforms, integrating multiple LLMs, proprietary solutions, third -party assets, and partner ecosystems to build multidimensional solutions tailored to business outcomes powered by our own IP.
Many enterprises today struggle to achieve consistent progress in their digital and AI journeys due to legacy systems and applications, fragmented tools, siloed teams, and limited visibility across programs. This platform addresses these challenges by providing a connected, data driven environment where humans and AI systems can work together to plan, build, and manage transformation.
This slide showcases the examples of implementation across verticals and clients in those verticals and their challenges. Let me double -click on one of these. An Insurance, Annuities and Wealth management firm that had challenges in their current operating model. They wanted to transform to modern and digital application portfolio to drive

efficiencies, speed of resolution and time to market, improve security, resiliency and operational excellence. Mphasis proposed a solution of an integrated ADMS , modern target operating model using key transformation and technology levers that I just talked about to advance service performance, quality, efficiency, and speed in an outcome -based model through our own modern engineering platforms, including components of NeoIPTM and especially Mphasis NeoCruxTM.
NeoCruxTM is natively available as a plugin to the IDE, which is a plugin to developer environment that integrates the tool chains along with the AI -powered coding assistant tools like GitHub Copilot, AWS Q and Cody. Mphasis partnered with the client to implement critical applications using GenAI tools to improve developer productivity making delivery faster, better, and more efficient while maintaining quality standards. This increases SDLC productivity by 20% to 30% while reducing technical debt by about 60%. This initiative, along with NeoIPTM, is a result of many ongoing investments we've been making , including some that were recently enhanced earlier this year.
Since the launch of Mphasis.ai, our pipeline has grown by 2.4 times. We currently have the largest ever pipeline driven by a number of these proposition

s that are being
embedded into our offerings.
Another quarter of strong TCV wins with $528 Mn of TCV won this quarter, we continue to see additional opportunities to embed our shift left thinking and suite of these solutions into every customer proposition. As you can see, we've seen the increasing build -up of the AI -led pipeline as well as the overall increase in qualified pipeline. This has also been ably complemented and supported by our recent GTM investments such as increased sales and solution coverage at an account , vertical and geography level s as well as setting up of our Strategic Engagements team ; the Large Deals team that we announced late last year.
Looking at the pipeline, it's increasing across multiple dimensions and is fairly broad -based across client segments, verticals, as well as tribe -led archetypes. Our BFS pipeline is up 45% YoY and non -BFS pipeline is up 139% YoY . Significantly, our large deals pipeline is up 180% YoY , referencing back to my comments around setting up the Large Deals team this time last year.
We've also had solid traction in our AI archetypes, including AI Ops, Modernization and Data, especially to call out a few. We continue to stay focused on deal -making, and as referenced earlier, the investments in large deals teams are bringing to yield results, even

though we are still in early phases of institutionalization of the same.
Our proactive share of deal wins remains steady and healthy. Our AI investments are reflected in our pipeline and deal wins. 42% of TCV wins in Q2 are AI -led, with further room to expand this metric in the rest of the TCV that we won this quarter as well.
This is our second successive quarter at $528 Mn in TCV, more than $0.5 Bn in TCV for the quarter. In the first half of FY26, we won approximately $1.3 Bn of TCV, which is more than the full year TCV wins in FY25. On a last 12 -month basis, we've now closed over $2 Bn in TCV.

H1 TCV wins have been broad -based across all our major verticals. We won six large deals in Q2 for a total of 10 large deal wins in the first half of FY26. Of the six large deals, one deal is over $100 Mn, and two deals are over $50Mn. TCV to revenue conversion pace has remained steady with further room to improve the pace of conversion, owing to the transformation nature of some of these deals.
Moving to performance by segment, we continue to push for revenue growth, which is anchored in our strong client mining model and tech -led offerings. Second quarter FY26 revenue came in at $445 Mn, growing 2% sequentially and 6% YoY in constant currency terms. This is the highest quarterly revenue recorded for the company, surpassing the $440 Mn recorded in Q2 of FY23.
Our direct business contributed 97.5% to our overall revenue for the quarter. We expect the pace of revenue and deal conversion to remain strong, propelled by the Savings -Led TransformationTM theme. Our direct revenue for the quarter increased 2.2% sequentially and 7.9% YoY in Q2 FY26 in constant currency terms.
Growth momentum in Direct continues to be strong. Anchor geography US grew 2.1% sequentially and 10% YoY in Direct, driven by ramp -ups increase in deal wins. EMEA region reported robust sequential growth of 7.5% in constant currency terms. Rest of the world grew 15.5% YoY in constant currency terms for our Direct business as well.
Our core service line of Enterprise Apps, which contribute 73% of overall revenue, increased 9% YoY this quarter. Direct Apps growth is driven by AI -led modernization deals, and our IT O service line for Direct also delivered a strong sequential growth of 7% and YoY growth of 18% in constant currency terms. Growth is led by continued ramp -up of integrated build plus run deals.
Moving to our vertical performance : BFS , Insurance and TMT verticals continue the growth momentum. At an overall

company level, BFS grew 13.8% YoY in Q2. YoY
growth in BFS was impacted by the ramp -down of the ATM business. Direct BFS grew 17.3% YoY, largely driven by wallet share gains in existing accounts and continued strong execution in new account wins. Insurance and TMT verticals continue the growth momentum, both registering a YoY growth of 25% plus. Insurance vertical for direct grew 4.5% sequentiall y and 32% YoY in constant currency terms. Combined BFSI vertical has grown at a CQGR of 4.7% in past four quarters, which we consider to be market leading . We continue the strong deal wins momentum and revenue conversion in the TMT vertical, which has grown 10% sequentially and 26.7% YoY in constant currency terms in Direct. We expect the Logistics and Transportation vertical to start delivering sequential growth from Q3.
I'm also pleased to announce that we recently brought on board a new leader to head our Healthcare vertical go -to-market where we will be laser focused on building pipeline, closing deals and sustaining growth in the coming quarters, especially leveraging the Mphasis Javelina® healthcare platform as we have recently seen gains in market share not only in the traditional TPA market for Javelina®, but also upstream enterprise payers

including national players. Overall, at a portfolio level, our performance is very much in line with our expectations.
Our client pyramid continues to improve, especially across the middle of the pyramid.

YoY , we've added one client in the $100 Mn+ category, two clients in $75 Mn+ category, two clients in $50 Mn+ category, two clients in $20 Mn+ category, and three clients in $10Mn+ categories. Client pyramid improvement is driven by wallet share gains in existing accounts and successful ramp -up in new accounts. On an LTM basis, top 10 accounts grew 10.8% YoY , and the next 20 accounts grew 10.7% YoY .

In our quarterly financial metrics, we delivered to our philosophy of maintaining margin in the stated band while making investment s for growth. Our EBIT margin remained stable at 15.3%. Reported operating profit for the quarter grew 4.4% sequentially and 9.5% YoY to INR 5,959 Mn. Our EPS grew 10.2% YoY to INR 24.7. Our operating cash flow generation was at $54 Mn for the quarter.

DSO for the Quarter was at 89 days an increase by 5 days QoQ due to an increase in Debtors relating to milestone contracts and movement from Contract Assets of last quarter and contract assets decreasing QoQ due to movement of the same to Debtors partially offset by new contracts. You should also note that the fixed price contribution to revenue has gone up by more than 50% YoY, and this change of business has seen an increase in DSO. We do expect normalization over the course of next three to four quarters .

In summary, we had our highest ever revenue and EPS, growth led by insurance and TMT verticals as well as BFS growth on a YoY basis with 13.8% growth YoY. We launched Mphasis NeoIPTM, as I mentioned, a unified AI platform with purpose -built agents, and continued our investments in AI -driven growth initiatives, driving pipeline and TCV wins. Pipeline is at record levels, growing 9% sequentially and 97% YoY with 69% of the pipeline being AI -led.

We sustained second quarter of strong TCV wins with $528 Mn in this quarter, and as I mentioned, one deal of over $100 Mn with a new BFS client and two deals over $50 Mn. Our first half TCV wins were more than our full year TCV wins of FY25 with last 12 months TCV at $2 Bn+ - all while we delivered stable margins.

Coming to outlook, we will continue to focus on pursuing, winning and executing at the account level, while making investments in scaling our AI -led proposition and expanding our footprint in the NeoIPTM suite of agents. We continue to stay focused on conversion of pipeline to TCV and TCV to revenue and expect growth to be grea

ter than 2x of industry growth on the back of our H1 performance and steady conversion of strong TCV wins to revenue with steady r amp-up of large deals in the ongoing quarters. We wil l continue to target operating EBIT margin in the stated band of 14.75% to 15.75%.

With that, let's open the call for question s, moderator .

Moderator Certainly, sir. Thank you very much. We have the first question from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management . Please go ahead.

Sudheer Guntupalli Hi, Nitin. Thanks for the opportunity. So last quarter we were talking about 3Q seeing a good impact of the deal ramp -ups that we had won in the June quarter, and we were expecting very strong growth in 3Q and second half in general. Now that we might be having a little bit more clarity on the furlough front, so any update on that, how we expect the next two quarters to pan out? That is my first question. Second is on BFS this quarter sequentially looks a bit soft. Is that also impacted by the ATM business on a sequential basis or you were just referring to the year -on-year impact on ATM business? That would be from me. Thanks.

Nitin Rakesh Sudheer, sure. Let me answer the second question. That's straightforward. I think the impact of ATM business was more YoY. I think on a sequential basis, the impact is actually a lot more muted, but in general, on a CQGR basis, over the last four quarters, our BFS business has grown at about 4% in Direct. What that means is we've seen some significant growth already in the last three to four quarters and probably were the first ones to call for a bottoming in the business in terms of headwinds in BFS, and I think we are overall very pleased with the YoY performance there. I think sequentially, sometimes there will be puts and takes primarily driven by project deliverables and realization of those. So, nothing more to call out. I think it continues to be growth outlook intact for the second half of the year in BFS.

Coming to your question on Q3 ramp -ups driven by large deals in Q1, I think a number of those deals already converted, will continue to convert through the remainder of the year as well. I think the conversion of deals is a little bit more nuanced based on nature.

Some deals where there may be quick conversion opportunity because you may be taking over an existing operation or a set of employees or you may have a reba dge opportunity will have converted quicker, and some where you're consolidating out a bunch of other providers and taking over, refer to the example I gave on the Insurance client, that's typically a three to six -month ramp that effectively needs to go through that level of transition period. And in some cases, where we are infusing tech, it also requires us to spend time on hardening the environments, going through the cybersecurity tests before we can actually deploy new tech in the customer environment. So broadly, I think we are aligned on track with conversion of not just Q1 deals, but also Q2 deals.
And in terms of seasonality and furlough, I think it's too early to say whether it'll be same as last year or not but given that the mix has changed a little bit more in favour of fixed price, we may have the opportunity to optimize compared to where we were last year. So, net-net, again, if you extrapolate what we are guiding for the remainder of the year, at least at a gross level, you can see that we should have decent growth in the second half of the year. Whether the growth is more lopsided in favour of Q4 versus Q3 is something we have to optimize based on where we end up with seasonality.
Sudheer Guntupalli Sure, Nitin. Thanks. All the very best.
Moderator Next question is from line of Nitin Padmanabhan from Investec India. Please go ahead.
Nitin Padmanabhan Hi, good morning. Congrats on anothe

r strong quarter. Couple of questions. So, one is on the Logistics vertical, you've announced a deal , but you have earlier alluded to a

potential large deal there as well. Is this that large deal? And when do you think this really starts getting back into double -digit growth trajectory like the rest of the business? The second is on BFS. One, we have seen interest rates coming down . And do you see the refinance business really picking up and adding volumes? And should that be a stronger contributor to the back half of the year? And the last one is on the weakness in the top customer. When do you see that sort of ending? And then just had on e more, which I missed, which is, there's been a lot of noise around regional banks and thing in the US. I know you don't have much of an exposure, but any concerns that you see within your clients or any new uncertainty that could sort of unfold there? What's your read on that? Thank you.
Nitin Rakesh I think I forgot your question number one by now but let me take them in the order I remember. I think regional banks, doesn't seem to be a systemic concern. At least we are not hearing that from our large banking customers. Neither are we hearing it from sponsors who are very active in the private credit market, which is where a couple of those incidents were reported a couple of weeks ago. So again, nothing to call out. Given our portfolio, we are fairly comfortable and confident that this should not be any concern to us. Systemic risk hasn't really showed up at this point. This is a market where peo ple are actually looking for bubbles, so we'll see how that plays out, but so far, nothing to call out.
On your question around growth in largest customer, happy to tell you that on a sequential basis, it has grown far in excess of the company growth, and we do expect that growth trend to continue for the rest of the year. How long that takes for the trailing 12 months to wash out is a matter of just arithmetic, but as long as sequentially we've started to grow, which we have, and we have visibility to that growth over the second half of the year, I think we should be quite okay there.
On your question around Logistics and Transportation and the deal win, we've already called out in my commentary that we will see growth in Q3 on a sequential basis. Double -digit growth, whether it's sequential, your question was sequential or YoY, is a difficult question to answer because, again, given the ramp -down we've seen in some segments of that vertical, it might take us a while to get to double -digit growth on a YoY basis because, again, the last three or four quarters have to wash through that arithmetic. And if you don't mind, just remind me your fourth question.
Nitin Padmanabhan Was on the mortgage refinance.
Nitin Rakesh Again, Nitin, I don't want to sound the whistle when we've already had a couple of false starts in the last 12 months. We saw the first interest rate cut from the Fed in September of 2024. After the 25-basis point cut, the 10 -year went up by 100 basis points. So very complex and difficult to say based on the preceding , in the following three cuts earlier this year, whether we will see any meaningful pickup in volumes. All I can tell you is

that in expectation of volumes going up, we've seen some clients rea ch out proactively and asked us to create capacity . But it's difficult to say whether it will pick up in December or February or how the seasonality will play out from a n uncertainty standpoint, because now the December cut is under question given the lack of data, given

the government shutdown. So very difficult to pinpoint. Hence , we are not calling for that. If that happens, that will definitely be a nice tailwind that we will welcome with bo

th arms. Meanwhile, we've already seen healthy sequential growth in that business this quarter on the back of new deal wins , where our ability to go in and take out operations from a customer , based on the work we've done, even in deploying AI into that business is really what's driving the growth there. So base case, we'll continue to see wallet share gains. We will continue to stay more competitive compared to our own client operations as well as our competitors. And if there is a second vector that gets added, that will only be accretive to growth.

Nitin Padmanabhan Perfect. That's very helpful. Thanks a ton, and all the very best.

Moderator Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah Yeah. Thanks for the opportunity and congrats on a good execution. The first question is in terms of Travel and Logistics, you have answered the question on the revenue, but on the segment margin, it has turned into losses in this quarter from a mid-single -digit margin last quarter. So, is there a further investment that has happened in this vertical, which has led to gross margin losses in this quarter? So how to read about this and how do you see, with the growth, margin in this segment to change?

Aravind Viswanathan Sandeep, this is Aravind. Let me take that. You're right, there was a specific investment we had made with respect to this vertical, which has contributed to the swing in the gross margin that you've seen in Q2. I think you will see a complete return to normalcy on margins from Q3 onwards. You will see a sharp uptick because this is more of a one - time in nature, and like Nitin already covered, you will see a pickup in revenue, and that is backed on new deals that we are winning. So, I think you will see a t rend up from what you've seen in Q2.

Sandeep Shah Okay. Thanks. And despite closure of strong deal wins, the pipeline commentary is very robust, which is encouraging. So, is it fair to assume the deal TCV numbers can continue above $300 Mn, $350 Mn, $400 Mn as a new normal going forward?

Nitin Rakesh Yeah. I think that's a great question, but unfortunately or fortunately, the large deals will continue to be lumpy in nature. So, while we are quite confident that our trajectory and run rate has increased over the last three or four quarters, I think the best thing will be to look at maybe a trailing 12 -month metric versus just one quarter or two -quarter metric. Also, keep in mind the long -term trend here. We've actually seen quite a robust jump in our long -term trend in terms of what quarterly TCV average we would declare , increasingly pretty much over the last six or seven years. So directionally, we do believe that there is an opportunity to uptick that to the next level. We're very happy we've done that in the last three quarters, and hopefully we'll continue to do that given the strength of the pipeline and the conversion rates.

Sandeep Shah Okay. And just last couple of questions, Nitin. Looks like on the commentary, the revenue exit run rate in the fourth quarter could be much better this year, which can set a platform for even a higher growth in FY26 if macro -led concerns do not elevate further. So, is it a right way of looking at it? And the last question on margins. Aravind, this

quarter, if we exclude the hedge, the margin improvement has been really good. So how to model, where do you expect these revenue line hedge losses to settle going forward? Because rupee has been depreciating and above INR 88, one can assume these losses may still continue.

Nitin Rakesh So let me take the question around FY26 exit run rate, and I think, again, arithmetically what you're saying is right, but the big “IF” there is what happens to the environment and the situation when it comes to executing those. So,

I think that, again, go back to
what I said earlier that directionally we are headed there. We do expect the growth rate will continue to have an uptick as we build the run rate over Q3 and Q4, and how that sets us up for FY27, it's a little bit premature. We'll probably be in a better position to talk about that in Q4.

Aravind Viswanathan Sandeep, on the hedging, you're right, there is a hedge loss and we kind of report our OCI also on a designated hedge policy. We have somewhat similar number expected in a couple of quarters going by because we have a conservative hedging policy where we hedge about 80% of our exposure. And we do it irrespective of the volatility. We don't do a tactical approach to currency , that never works. So, in that sense, it will take some time before the full effects of the currency depreciation flow in . But at a lar ger point, I think currency has become one of the integral factors of our P&L. So, one doesn't look at margins ex -currency. So, it is something that we bake in. We protect our hedging policies to protect from sudden volatility, which is what we've done, but I think it's ingrained into the business dynamics right now.

Sandeep Shah Okay . Thanks, and all the best.

Moderator Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja Hi, thank you for the opportunity. Nitin, just wanted to pick your thoughts on two things. Some of your larger global peers seem to be suggesting about significant improvement in short -term discretionary projects in Banking, and something that you were quite early to essentially suggest a few months back. Just wanted to understand if you are seeing further acceleration on that trend. That's question number one. The second thing is that with regards to some of our internals around headcount addition, around utilization metrics. Just wanted to understand how one should be looking at the fact that our offshore utilization essentially jumped up sharply, probably the best in over five years. How are those trends playing out? And the last one would be the services and software construct which you and some of the industry peers have pointed out. While it is translating into revenue per headcount going up, when does this essentially start showing up in terms of at an overall margin profile level? Those would be my questions.

Nitin Rakesh I think on the question around discretionary spend pickup in short -term for Banking, again, I think I mentioned, we were probably the first ones in the industry to call for this dynamic almost three or four quarters ago. Of course, there was a lot of disbelief and questioning at that point whether on what basis are we seeing this, but we've delivered on the numbers, and if recent trends are anything given by, then definitely the demand environment for Banking, especially around adoption of AI and new spends being diverted to AI, seems to be the narrative that we are also continuing to see play out.

Again, this is already in our numbers for the last few quarters. That's why I confidently told you that second half of the year, we will continue to see some of that trend play out as well. Not only across the whole sector, but even some of our top clients.

Let me address the platform IP question first, and then we'll get to the operating metrics that you referred around utilization of headcount. I think we're at a stage where, over the last two years, things are evolving really rapidly, not just with regards to development of our own platforms, but even with regards to market standards and the amount of activity that's in the market in terms of evolution and new announcements and new launches. Our focus for the last 12 -18 months really has been on strengtheni ng our propositions, creating this repeatable construct through the IP platform,

embedding it
into our propositions, running multiple MVPs with customers to validate this thinking, making sure we understand the enterprise adoption life cycle, hardening our own platforms when it comes to meeting things like cybersecurity standards and certification standards, and we made some announcements earlier this week around the ISO certifications. That's very much aligned to the execution of that strategy. And eventually, immediate focus right now is on creating in every industry vertical, in every large client segment, what we are calling 'Lighthouse ' programs. I think that will give us a lot of learnings around what the opportunity is from a commercialization standpoint, how that plays into the pricing constructs, how much leverage do we have on margin, what's the client maturity in accepting this model , where we are embedding not just people, but

people plus software into the service and how the market responds to it, even from a competitive stan dpoint. The good news though is that because we have this approach, we are at least not playing the pricing game alone when it comes to winning business. We are playing the Savings -Led TransformationTM game, and while we win business, we don't have to sacrifice profitability of those deals because we are using this as a leverage. This naturally means that there is certain amount of de -linkage between revenue growth and headcount growth, which, again, we've been seeing for the last few quarters. How much of that correlation we stabilize at, I think, it's a little too early to say.

So instead of trying to run our supply chain with the old -school mode of onboarding a certain number of people, keeping them on the bench and then consuming the bench, we are being a little bit more dynamic . I think I mentioned this in the last quarter or two as well. We are running a rolling 90 -day forecast and trying to meet that supply chain. So, utilization is not an input metric, but it's an outcome of where we end up. And that's the model you can expect us to follow over the next two or three quarters for sure.

Manik Taneja Thank you, Nitin, and wish you all the best.

Moderator Next question is from the line of Vibhor Singhal from Nuvama Institutional Equities. Please go ahead.

Vibhor Singhal Hi. Thanks for taking my question, and congrats, Nitin, on a very strong deal win yet again in this quarter. So, Nitin, my first question was on the overall demand environment, on which you just alluded to in the last couple of questions. We've continued to win very strong deals, but overall, at the macro level are there any positive or negative changes in the macro environment in the overall business environment from when we spoke last

time in July? And secondly, we know that the H1B visa is not going to impact our business much because of the very limited dependency that we have on them, but did that event actually create another layer of uncertainty into the system, which might have or might in future lead to some more, let's say, delay in deals or some more uncertainty that is already there. Your thoughts on that would be really helpful.

Nitin Rakesh Sure. So, I think on the macro, it's kind of the new normal. There is volatility based on events that come out of the left field . H1B is a good example of that, which wasn't expected, but eventually became an issue about a month or so ago. Client behaviour at this point is less macro dependent, but more dependent on what is the proposition that they're trying to drive. Efficiency and savings are still very much a theme that is driving a lot of conversations, but it's not in isolation of the transformation need s. So if you can bundle a construct where the client spend, let's say, at the very least is stable, but with a slight marginal growth bias on overall tech spend, but the nature

of the spend, the shape

of the spend, is undergoing a big change because they're moving -- they're wanting to move a lot more spend into new technology areas and continue to find efficiency in the way they run their operations. So, I think if you align to that macro theme, there's a lot of business to be done.

In terms of overall geopolitics and macroeconomics, it's very, very hard to call. So, we are still very much in the mode where we will run the business on a micro basis and not worry about what the macro leads us to. And if the macro changes and becomes tail - winded, then that's a risk that we'll all be happy to take as the upside shows up.

On the specific question around H1 B, I think there are two ways to think about it. Firstly, does it impact the business short term, the answer is not really. It's also not what it was feared to be when it was announced. So, there's been a fairly significant slimming down of that proclamation, which is obviously good news, at least from an operations level. Not so sure about the sentiments amongst the Street, but at least at an operational level, seems to be good news. We haven't really seen much activity fr om clients on this because they're all, again, mature buyers . They have their own centres; they have their own H1B workforce. I think it will result in one of three things or maybe many of these three things. Firstly, it means that we have to make our supply chain more resilient to H1B over the next 24 months, which, I think, at our scale is far easier for us to do, given especially the supply environment in the US for white collar and tech talent is fairly tail - winded. So, we don't have a supply constraint , so to speak, given the number of available people, not necessarily with exact skill matches, but at least the STEM talent is pretty fairly available both local and H1 B. Second, we can also make a case that this is likely to globalize the work even more. So, we don't have to be dependent on mobility of people. We'll have to depend on mobility of work. Third , which, I think, is my very strong belief, this will also pull forward, f aster automation and application of AI, so you can eliminate dependence on local resident workforces in client geographies. So that's the way we are thinking about it, and that's the way we're executing to it.

Vibhor Singhal Got it . That was really helpful. My second question was on the deal pipeline. You mentioned the deal pipeline remains very strong, and that is despite the very strong deal wins that we have reported. Is the deal pipeline strong across the verticals? And

specifically, in BFSI also, are we seeing a very good deal pipeline which might lead us to good deal wins and thereafter maybe good revenue conversion in the coming quarters?

Nitin Rakesh Yeah. I think we gave a detailed breakdown of the pipeline across BFS and non -BFS. So, if you look at the earnings deck that we just referenced to, the deal pipeline has actually grown quite broad -based. There are two cuts available. One is BFS, non -BFS. Just to give you data points, BFS pipeline growth is 45% YoY, and non -BFS pipeline growth is 139% YoY. If I look at top 10 clients, pipeline growth is 122% YoY and non - top 10 clients is 89% YoY. So, I think it's pretty broad -based across geographies, verticals, client segments as well as across all the tribe archetypes. So, I think it's a pretty healthy place to be from a pipeline standpoint, and we are very, very pleased with that, but of course, the focus is on converting it.

Vibhor Singhal Got it . That's great to hear. Just one last question . Aravind, could I just maybe pick your brain a little bit more on the negative margin for the Logistics vertical? So, this investment that you spoke about, which led to this negative margin, is it some kind of a delivery capability inves

tment, which is built to enhance our capabilities across the vertical? Is it a client -specific investment? Any colour on the nature of investment, and by when do you expect it to reverse? You mentioned next quarter, we should be back to the positive territory, but will we be back just to the single -digit positive territory or will we be back to the normal gross margins of 20% + that we used to report in the vertical? That would be really helpful.

Aravind Viswanathan It's client -specific, to answer your question. It is about offering some transformational capabilities to the client. That's the nature of the investment. I don't want to get into a guidance of margins at a vertical level. We've kind of given a view in terms of where we will operate at a company level, and I think that should give you comfort in terms of where we will be.

Vibhor Singhal Got it. But the investment phase is over, or the investment phase might continue in coming quarters also?

Aravind Viswanathan No, like I told in one of the earlier questions, so you will see it get back closer to normalcy. The specific investment was timely, and that is kind of done.

Vibhor Singhal Got it. Great. Thank you so much for taking my questions and wish you all the best.

Moderator Next question is from line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai Yeah. Thanks for the opportunity. Just wanted to ask a question on AI. How much of the work that you do is cost optimization related versus innovation or growth -related on the AI side?

Nitin Rakesh Again, I think I mentioned this earlier that given the nature of our client base, which is the top end of the enterprise segment, for the most part, there is a fairly high degree of maturity in clients when it comes to identifying the levers for efficiency and cost optimization. If I go to a customer with a proposition in Banking or Insurance or Travel, and that has an efficiency play, it's unlikely that the efficiency play can be delineated from the transformation play. So that's why the North Star for almost all of our deals is what we are calling Savings -Led TransformationTM where we will find efficiency, but

we will also find the ability to change the way they are operating and potentially help them operate better, faster time to market, time to resolution, availability, velocity, throughput, sprint volume, error rates etc. All of these metrics are important metrics, and clients are looking at in an efficiency discussions. And the best lever we have today is to embed some form of technology, AI or not, in driving that efficiency. So, it's very uniform across the board. Now, when it comes to use of AI for innova tion versus efficiency, I think, again, they are two sides of the same coin because, if I' m giving you the ability to drop code 30%, 40%, 50% faster than you used to, that is innovation in itself because we are deploying a whole new tool chain with CI/CD pipelines embedded into IDEs. I talked about the NeoCruxTM platform that is embedded into the IDE and helps you accelerate the SDLC transformation process. So, I think it's two sides of the same coin. It's unlikely unless you're using something from a very tactical standpoint where you want to eliminate use of paper or automate controls, where it is much more operating efficiency, less innovation, but for the most part, I think that they're quite well bundled together.

Girish Pai The next question I have is still on AI. Everybody seems to have a platform strategy now. So how does one vendor differentiate versus the other or how do customers differentiate one vendor from the other?

Nitin Rakesh Great question. Again, going back to the segment s we are operating in, I think the way of selling is definitely changing. It is not only about changing the proposition nature where you have

to bundle a solution that has elements of tech. Clients are also asking us to not just show me on a PPT or tell me but actually show me in a live sandbox environment in many cases. So, think of this as ‘RFPs are turning into hackathons ’, and that's their yardstick of who can deliver on what they're promising versus not. So, it has in a way become a lot more about the ability to showcase through execution. MVPs, forward deployed engineers, seed teams, proof of architectures are all becoming part of sophisticated client RFPs. I think this trend will percolate to almost all verticals and all clients, but many clients have already started adopting these approaches and techniques. That's the best way to differentiate.

The other way to differentiate is through the strength of the platform itself. Taking a broader view, thinking of problems that clients may or may not have thought of, creating assets for them that they can use in perpetuity like the intelligence platform that I just talked about in my comments are things that differentiate you because clients are, at this point, also very willing to listen to new ideas and new ways of doing business. So, I don't think there's one thing that differentiates you, but it's a combination of these things. And of course, when you're in an RFP process or when they use third -party advisors or when they're looking at specialist people to help them, big providers, we go through a benchmarking process that is also a good input to us in our own platform development cycle.

Girish Pai Okay. My last question is regarding AI -related hallucinations, and how do vendors protect themselves in contracts where there could potentially be problems that could come up? And do you commercially protect yourself when customer contracts are signed?

Nitin Rakesh Again, we use a pretty market standard process. Since we are not providing base LLMs, in a way, there is a pass -through assumption that the choice of platform or LLM is what the customer is making, but the biggest protection for us always is a human in the loop. None of these are out -of-the-box, black box solutions. They will always require intelligent engineering to be accompanied. They will always have experts that will actually curate the process. Even if a process is 60%, 70% automated, there are definitely checks and balances that have been built into it, but contractually, yes, we do protect ourselves.

Girish Pai Okay. Thank you.

Moderator Thank you. Next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar Hi, good morning. My question is for Aravind. Aravind, I again wanted to understand the interplay between contract acquisition cost, contract assets and liabilities. Seems like despite very strong deal wins, the other non -current assets are kind of stable while current assets actually declined. So maybe if you can just again explain, this is still new for us, so please bear with us, why the other non -current assets have not increased. Is it simply because this time the acquisition cost was low for the deals that we have won, or is it that the amortization that happened of the previous contract acquisition cost, that offset the increase , and then how has the other things moved? Any colour on those things will be helpful, thank you.

Aravind Viswanathan Sure. So just to be clear, not all deals come with a contract acquisition cost. And you are right, the deals that we had won in the current quarter do not come with the kind of structures that we saw for the deals in Q1. So, this is very specific to the deal, specific to the customer. And there are multiple dimensions that go into it. So, to presume that a direct linear equation between contract acquisition cost and TCV may not play out that way. So that is one element on contract acquisit

ion cost. So, the deals that we kind of won in the current quarter do not have a meaningful kind of investment from a CAC standpoint. From a contract asset standpoint, that, to me, is just the nature of projects. As you know, our fixed price has gone up substantially and certain fixed price unbilled goes into contract assets, T&M unbilled goes into debtors. So that's more a change of mix, and that is what is reflected in the financials.

Abhishek Kumar So maybe one quick follow -up. The DSOs, the debtor days that we have shown of 82 days, does that also include unbilled or this is just billed days?

Aravind Viswanathan So, the DSO that we showed on the deck is 89 days. It's gone up by five days. That includes a combination of debtors, unbilled, and contract assets. So, it includes everything.

Abhishek Kumar Okay. Sure. Thank you and all the best.

Moderator Next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta Thanks for the opportunity and congrats on strong execution. First question is about the new AI platform. So, I just want to understand, let's say, adoption curve. How many

clients we have seen, let's say, adopting our platform, how it is changing, whether it changes stickiness with the relationships and whether it also lead s to multi -tower deal construct compared to, let's say, one or two services which we provide to clients? And any implication on revenue conversion, the way the platform gets constructed in the overall deal structure kind of thing. That is question one. Second question is on deal pipeline to deal intake to revenue conversion. Are we seeing any changes because of the way AI is getting embedded, so AI -led transformation and all those things , whether any changes to it? Third question, which is slightly related, but we still focus on relative performance. I think considering the H1 deal intake, by when you expect our absolute performance commentary to be made absolute rather than relative? Because macro is unknown, but deal intake is known, pipeline is known. So, if you can provide some colour about absolute performance, how you expect H2 versus H1 kind of commentary. And last question is about two investment s: Locate and Aokah minority investment. If you can provide some detail around it. Thanks.

Nitin Rakesh Why don't you start with the last question, and then I will address the first three.

Aravind Viswanathan So, on the minority investment we have done a press release , we did a small minority stake in a company called Aokah, which is part of our GCC strategy. So, we've given out a press release on that . That is one element to it. The other one, Locate, is, again, part of a customer consolidation deal. We've done a couple of these structures in the past, and they've been quite good for us. So that's something which we are getting a deal where we are consolidating this vendor and getting the business from the client. So that's the nature of Locate and Aokah.

Nitin Rakesh Let me address the question on absolute versus relative. I think until we make a structural shift from giving relative guidance to absolute guidance, I think we'll continue to give you directional guidance on relative performance. It's just the philosophy we've followed for the last many years, and we'll stay with that for now. I think there is enough and more availability of information both to you and the rest of the Street to be able to extrapolate some of this. I think it should be pretty comforting to you to see all the details - both on pipeline as well as order book.

The question around NeoIPTM and the cycle of the deal, in general, it has given us pretty strong confidence in our ability to construct those propositions and then take them to market. And that's very much embedded into the increase in pipeline and increas

ing deal wins, which gives us increased competitiveness, sharpens our messaging to customers, aligns us to outcomes that they want us to drive for them, and creates an element of risk sharing where we potentially have the opportunity to even see some upsides. Like any other change, this will be an evolution process, much as much we would like it to be a revolution, only because there is an element of change management on both client side, client buying behaviour , client contracts, client sourcing as well as our own people adoption, both at a GTM level and an execution level. Part of the reason why we are standardizing the who le approach through the launch of the NeoIPTM platform, and we standardize these multiple agents is because we want to make sure that we are able to accelerate this and do it at scale. We have multiple clients where we've already incorporated this. In many cases, it's live inside of the client environment. In many cases,

it's live in a sandbox environment, and we will scale it across the enterprises. Part of the commentary I gave around TCV to deal conversion, sometimes it does take anywhere from one to two quarters to actually get this up and running, but then it's a seven -year deal, six -year deal, five -year deal. I think that's time worth spending in getting the pipelines right, especially around data. So even the example I gave on Insurance, we are very much in the phase where it's a two -quarter cycle for us to actually get this up and running inside of the client environment .

But in general, it is definitely increasing our competitiveness, sharpening our message, and giving us the propensity to win larger deals that are definitely multi -tower because that's what you also asked as well. So, it's not just across applications and infra, but even within applications, multiple services around, not just app dev or maintenance, but application refactoring, application modernization, cloud operations, finops operations, and so on and so forth. I think it's a pretty comprehensive set of opportunities that we are trying to drive. Obviously, deal -making gets more complex because now you have more variables to deal with, but that's very much, as I mentioned, part of the journey that we are on.

Dipesh Mehta Thank you.

Moderator Ladies and gentlemen, we'll take that as the last question. I now hand the floor to Mr. Nitin Rakesh for closing comments.

Nitin Rakesh Thank you, Nirav. Again, in closing, all I would like to say is we appreciate your time and your interest in the company. We are very excited about the launch of NeoIPTM because it sets the stage for our next phase of innovation, both within our company as well as with our clients. Happy with our early investments even in quantum that we announced earlier this week as well. So, thank you again to all our teams who are working hard to deliver this, and to all of you for being an integral part of this transfo rmation journey with us.

Moderator Thank you very much. On behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to the Mphasis Investor Relations team at investor.relations@mphasis.com . Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2026

27 January 2026

The Manager, Listing
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 526299
The Manager, Listing
National Stock Exchange of India Ltd
Exchange Plaza, Plot No. c/1,
G-Block, Bandra -Kurla Complex,
MUMBAI – 400 051
Scrip Symbol: MPHASIS

Dear Sir/Madam,

Sub: Transcript of the Investor(s)/Analyst(s) call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor(s)/Analyst(s) Earnings Conference Call held on Thursday , 22 January 2026.
The transcript is also uploaded on the website of the Company and can be accessed at the weblink:

https://www.mphasis.com/content/dam/mphasis -com/global/en/investors/financial -results/2026/transcript-of-earnings -call-q3-2026.pdf

The above intimation is also available on the website of the Company at: www.mphasis.com .
We request you to kindly take the above intimation on record.

Thank y ou,

Yours faithfully,

For Mphasis Limited

Mayank Verma
Senior Vice President and Company Secretary
Membership No.: ACS 18776

Encl: As above

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“Mphasis Limited
Q3 FY 2026 Earnings Conference Call”
January 22, 202 6

MANAGEMENT : MR. NITIN RAKESH – CHIEF EXECUTIVE OFFICER –
MPHASIS LIMITED
MR. ARAVIND VISWANATHAN – CHIEF FINANCIAL OFFICER
– MPHASIS LIMITED
MR. VINAY KALINGARA – HEAD INVESTOR RELATIONS –
MPHASIS LIMITED

Moderator Good evening, ladies and gentlemen, and thanks for joining the Mphasis Q3 FY 2026 Earnings Conference Call. I am Dorwin, your moderator for the day. We have with us today, Mr. Nitin Rakesh, CEO of Mphasis; Mr. Aravind Viswanathan, CFO; and Mr. Vinay Kaling ara, Head of Investor Relations. As a reminder, there is a webcast link in the call invite mail that the Mphasis management team will be referring to today.
The same presentation is also available on the Mphasis website, www.mphasis.com, in the Investors section under Financial and Filings as well as on both the BSE and NSE websites. Request you to have the presentation handy. As a reminder, all participant li nes will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this being recorded.
Before we begin, I would like to state that some of the statements made in today's discussion may be forward -looking in nature and may involve certain risks and uncertainties.
A detailed statement in this regard is available on the Q3 results release that was sent out to all of you earlier. I now hand the floor over to Mr. Nitin Rakesh to begin the proceedings of this call. Thank you, and over to you, Nitin.
Nitin Rakesh Thank you, Dorwin . Thanks, everyone, for joining the call this evening. Hope you all had a great start to the new year.
The past year has been an interesting one, especially in light of the multiple changes in the environment as well as some exciting developments in the technological landscape with AI leading the way with the new tech stack under deployment. The nature of technological shifts underscore that every business is looking for opportunities not only to get higher efficiency using AI , but more importantly, to reimagine the entire business model to stay relevant to their end customers. Clients are recalib rating the classic managed services constructs as outcomes for plans to become more important than effort -based services. Tech orchestration takes over early solution design and digital AI agents augmenting human workers becoming the norm. While seemingly disruptive, this also brings about one of the most exciting growth opportunities of our generation, especially for companies such as ours. Size and scale is no longer a disproportionate asset for our competitors. Technical competence and th e ability to provide soluti ons that align with client outcomes using the blend of software, for example, AI agents and services, which are people -based become the key differentiator.
We are seeing this duality playing out. While there is deflation of traditional people -based service models, there's an extremely healthy appetite for AI -led tech solutions and AI efficiencies. While there is a strong desire to undertake significant estate reduction and rationalize service partners, there is an extreme focus on bringing in partners to build the AI stack, establish governance and guardrails while doing so. While some clients are already running pilots and Agentic AI, others have progressed t o scale deployments. The need of the hour is a platform approach that orchestrates multiple AI capabilities across

the entire enterpri

se IT value chain ; from modernization and deployment , to operations, observability and governance, underpinned by a living, breathing layer of connected enterprise understanding that unifies data, systems and processes to proactively optimize, modernize and transform business and IT operations.
What we are seeing is AI adoption, capability and value creation happening simultaneously. To address this opportunity, we built and launched our flagship market -leading AI platform, Mphasis NeoIPTM that is capable of all this at scale. Before we go

to how NeoIP is gaining traction, let's take a moment to reintroduce Mphasis NeoIP, our AI intelligence platform integrating multiple Mphasis .AI Solutions.
NeoIP enables organizations to –

- Continuously evolve rather than engage in a one -time transformation program by making enterprise knowledge machine understandable ,
- Automate complex decisions, predictions and prevent issues before they occur and drive sustained innovation ,
- Empower CIOs and business leaders to shift left, embedding intelligence early in the software and operations life cycle to create self -healing resource -efficient systems that learn and improve over time ,
- And finally, integrate evergreen business intelligence with AI -assisted implementation, fostering continuous learning and evolution with every subsequent initiative.

The platform creates a connected data -centric environment where AI and human teams collaborate to plan, build and manage transformation. NeoIP includes solutions across the relearn -build -run value chain of IT services. To name a few :
Mphasis NeoZetaTM helps organizations overcome challenges of modernization through full transparency of the relearning process and creation of a comprehensive knowledge graph that constantly evolves throughout the lifetime of clients' journey.
Mphasis NeoSaBaTM for agile AI agents for quality product -driven definition and user story elaboration .
Mphasis NeoR aina for discovery and creation of target state architectures.
Mphasis NeoCruxTM for orchestration of AI -driven load generation and quality automation; and
Mphasis AIOps for integrated operations, including proactive incident prediction, root cause analysis and self -healing automation based on deep system observability.
The entire NeoIP suite is supported by Business, Operations, Engineering and Governance agents and are also supported by Ontosphere, which creates a critical enterprise intelligence encoded with contextual knowledge based on domain ontologies.
Mphasi s NeoIP has accelerated record deal wins along with record pipeline of deals for us.

NeoIP is designed to help enterprises start anywhere and scale everywhere. Whether a client begins by modernizing legacy estates, transforming IT operations, scaling cloud and infrastructure, accelerating application development or rewiring core business operations, every entry point intentionally converges onto a unified agentic fabric. This is what allows NeoIP to accelerate and expand enterprise value rather than creating isolated point solutions. Three core principles differentiate NeoIP:
'Start anywhere, Converge in one fabric '. Clients can begin with their most urgent need, IT operations, application development, cloud transformation, or any other such platforms and seamlessly expand into a connected enterprise -wide agent ic estate without re-platforming.
Second, enterprise knowledge as the foundation. Ontosphere Engine encodes institutional knowledge, enabling agents to operate with deep context, not just prompts. This drives precision, consistency and trust at scale.
And third, plug -and-play within the ecosystem. NeoIP is architected for interoperability with hyperscalers like AWS, Azure and GCP, with AI infrastructure partners, including NVIDIA and w

ith existing enterprise applications and partner ecosystems.
We are already seeing this play out in the market quite nicely. Whether it's a large financial services institution, a global insurer, multinational investment firm, clients begin from very different entry points, yet all expand towards the same unified fa bric. And as they do, the platform naturally becomes more sticky, increases wallet share and enhances margin leverage. With NeoIP, enterprises don't have to choose the right starting point. They simply start and every path leads to scalable connected solut ion, all the while compounding value.
NeoIP is supersizing deals, and we are seeing good customer penetration across existing customers and prospects. To give you a sense of traction, our customer set leveraging the NeoIP platform represents clients that contribute more than 50% of our company

revenue.
It's been 12 months since we first spoke about how the AI thesis is playing out, especially in helping expand the total addressable market for Mphasis, primarily through these 4 drivers. We want to give you some concrete indicators of our traction on our a gentic platform -based approach.
Our LTM TCV has doubled in the last 4 quarters.
Our modernization pipeline, which was the first AI archetype out of the gate, is still one of our key archetypes, up 4x.
Our large deal pipeline has been supersized and climbed 2x.
In summary, pipeline, differentiation and hence, TCV all speak to the efficacy of our platform, especially driving this to some of our top clients in the ecosystem.
Since the launch of Mphasis.ai pipeline has grown 2.5x, we currently have the largest ever deal pipeline and have strong TCV wins in this quarter as well, led by large deals.

Despite strong TCV conversion over the last 3 quarters, we continue to add deals to the pipeline, which is now 69% AI -led. It is no surprise that AI is supercharging the pipeline , which has grown 66% YoY . BFS pipeline is up 98% YoY and non -BFS pipeline up 44% YoY . Large deal pipeline is up 91% YoY . AI-led modernization continues to be a big theme, as you can see on the chart. The strong growth in the pipeline provides further visibility to sustaining our momentum in deal wins.
We continue to see high share of proactive deal wins as we stay largely focused on deal making and infusing a NeoIP platform into opportunities.
Net new TCV wins for the quarter were at $428 Mn. We won 4 large deals in Q3. And of the 4 large deals, 2 were over $50 Mn deals. On the back of our AI -led propositions, our LTM TCV has doubled and now stands at $2.1 Bn. Our TCV to revenue conversion pace has remained steady as well.
Moving to performance by segment. We continue to push for revenue growth, which is anchored in our strong client mining model and tech -led offerings. Q3FY26 revenue came in at $451Mn with an annualized run rate of $1.8 Bn+.
Despite seasonality effect, revenues grew 1.5% sequentially and 7.4% YoY in constant currency terms. Our Direct business contributed approximately 98% of the overall revenue for the quarter. We expect the pace of revenue and deal conversion to remain strong, propelled by the Savings -Led TransformationTM theme. Growth momentum in Direct remains strong as well. Direct revenue for the quarter increased 1.9% sequentially and 9.6% YoY in Q3 in constant currency terms. Our anchor geography, the U.S. grew 1.4% seq uentially and 10.8% YoY in Direct, driven by ramp -ups in recent large deals. Growth momentum continues in the EMEA region. with a sequential growth of 3.9% in constant currency in Q3FY26. Rest of the world grew 5% sequentially and 17.4% YoY in constant currency terms of the Direct business. This growth is partly driven by increasing presence in the GCC ecosystem with some of the deals with global accoun

ts
being structured in the India geography. We are pleased to note that all geographies contributed to strong sequential growt h this q uarter.
Our core service line, Enterprise Apps, now contributes to 75% of overall revenue and has increased by 3.7% sequentially this quarter. Direct Apps growth is driven by AI led modernization deals. ITO service line for Direct also delivered YoY growth of 9% in CC terms, led by ramp up of deals that have integrated build plus run components.
Moving to our vertical performance : BFS and Insurance verticals continue the growth momentum. At an overall company level, BFS has grown 14.8% YoY . Overall YoY growth for BFS was impacted by the ramp down of our ATM business in India. Direct BFS grew 2.5% sequentially and 18% YoY , largely driven by wallet share gains in existing accounts and continued strong execution in new account wins. Insurance vertical continues the growth momentum with YoY growth of 36%. The vertical grew 8.1% sequentially and 36.6% YoY in constant currency terms. Combined, our BFSI vertical performance was a strong 3.7% sequential growth and contributed to 66% of revenue.
TMT vertical sequential performance was impacted by seasonality but still registered a

strong YoY growth of 20 %+ in our Direct business. At a portfolio level, our performance is in line with our expectations.
Our client pyramid continues to improve, especially across the middle of the pyramid.
On a YoY basis, we've added 1 client in $100 Mn+ category , 1 client in $75 Mn+ category , 3 clients in $50 Mn+ category and 3 clients in the $20 Mn+ categories, respectively. Our client pyramid improvement is driven by wallet share gains in existing accounts, led by a strong account mining approach and large deal wins and successful ramp -ups in new accounts as well.
On an LTM basis, our top 10 accounts grew 11.8% YoY, and the next 20 accounts grew 13.5% YoY . Top 10 accounts grew 3% sequentially and the next 20 accounts grew 5.7% sequentially in Q3FY26. Last quarter, our top client sequential growth was better than the company average. In the current quarter as well, the top client sequential growth is better than the company average.
We are not seeing any AI deflation impact due to our positioning as a transformation partner, leveraging our NeoIP platform, which is helping us participate even more in the customer spends than we did in the past.
Moving to our quarterly financial metrics. We delivered to our philosophy of maintaining margins in a stated band while making investments for growth. EBIT margin remained stable at 15.2%. Operating profit for the quarter grew 2.2% sequentially and 11.6% YoY to INR6,0 89 million. In Q3FY26, our P&L includes an exceptional item of INR355 million as a result of changes in the labour laws . Excluding the impact of exceptional items, EPS grew 9% YoY to INR24.6. Operating cash flow generation was $43Mn for the qua rter in Q3FY26. DSO for the quarter was 91 days, an increase of 2 days QoQ. This increase is primarily due to unbilled receivables pertaining to milestone contracts. And as highlighted over the past quarters, it is very much controlled and planned to align with deal constructs since we have seen large corresponding TCV win growth rates. We expect DSO to trend progressively down over the course of 2026 calendar year.
In summary, we had good growth momentum in Q3, driven by conversion of our strong deal wins to revenue. We achieved growth of 1.5% sequentially and 7.4% YoY in CC terms, while Direct business grew 1.9% QoQ and 9.6% YoY . Growth was led by BFS and Insurance verticals, supported by a steady ramp -up of large deal wins from the recent quarters. BFS grew 2.5% sequentially, Insurance grew 8% sequentially and the combined BFSI vertical grew 3.7% sequentially in

CC terms. We als o had strong sequential growth across all our geographies. Pipeline is at record levels with 66% growth YoY , of which 69% is AI -led pipeline, reflecting the strong interest in our NeoIP platform offerings. Despite large conversions, large deals pipeline is up significantly at 91% YoY , further providing us runway for future deal activity and growth. We had strong net new TCV wins of $428Mn, including 4 large deals, 2 of which are $50 Mn+ . LTM TCV at $2.1 Bn also gives us a strong track record to build on. We maintained our margin discipline within the stated band while investing for growth.
We will continue our sustained steady conversion of pipeline of TCV and TCV to revenue. We expect to be greater than 2x of the industry growth on the back of our last

9 months performance and the strong direct correlation between TCV and revenue that's been building back up. We will continue our ramp -up of large deals in the upcoming quarters. And as such, we are maintaining our EBIT margin within the band of 14.75% to 15.75%.
With that, let's open it up for questions moderator.
Moderator Our first question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan Hi, good evening, wish you a very happy new year, and congrats on a strong print . I had three questions. The first is in the deals that we execute with a combination of humans plus agents, do you believe margins can be higher? And when you think about this longer term, do you think competition eats that away or that's sort of sustaine d? So, that's the

first maybe hypothetical and conceptual question.
The second is, considering the strong deal wins and the ramp -up of those deal wins that need to happen, and the recovery from furloughs, do you think that Q4 could be the strongest sequential quarter for the year?
And finally, just a question on why is the debt sort of consistently increasing? So, that's the final. Yes, thank you.
Nitin Rakesh Sure, Nitin, thank you for that. I'll take the first two questions and Aravind will answer the third one. If I understood correctly, your first question was that if you're seeing deals being infused with AI, do we have room for margin expansion? Is that co rrect?
Nitin Padmanabhan In the context of humans plus agents , in that context, yes.
Nitin Rakesh Got it. So, I think the short answer is it definitely provides us some operating leverage as we start infusing agentic approach into the deal. Because what we're really doing is eliminating a bunch of human effort and crashing down not just the effort, but also the timeline , complexity and the accuracy rates are helping with that. So, the approach will definitely mean that we have operating leverage. But more importantly, what we're doing today is using that approach to unlock deals that probably were so fa r either too complex for customers to undertake or too prohibitive from a budget standpoint. As we create enough proof points and lighthouse programs, our confidence and our ability to drive forward a rapid deployment will actually help. I think in some ar chetypes, especially around modernization, we have a very clear idea of what the value capture path is. And can be moved from the way we used to price these to a different model where theoretically, we have the ability to price them better, and we are seei ng that play out already in a few deal archetypes, but I think it's a little bit early to see that across all archetypes. But that's the direction of travel for sure.
Now the next question from that will be, how much of that do we give back to the customer? How much of that do we keep? I think that's a never -ending debate, but reality being, if you have enough value being created, there's definitely going to be some tha t you will be able to keep

back into your own P&L, and then you can choose to either take it in the P&L or continue to invest. So far whatever leverage we are getting, we are investing it back in the buildup of the platform, but I think at some point we'll have

enough critical mass and scale and proof points to be able to drive this in the direction I just talked about.
The second question was around based on the deal wins, will Q4 be the strongest sequential growth quarter? I think directionally it seems like the answer is yes, because if you remember the guidance we did last quarter was greater than 2x and if we trend towards that, simple math will indicate for this to be the strongest growth quarter for financial year '26. Aravind, maybe you can answer the third on e.
Aravind Viswanathan So Nitin, if you look at right, while borrowing has gone up, the gross cash balance has also gone up. The reason we do borrowing is more in terms of mismatch in cash flow between the geographies. And we had a couple of payouts from an acquisition purchase consideration, which was deferred, came through in this quarter, and we used temporary financing, short -term borrowing to do that rather than send money from India, given the arbitrage of interest rates vis -a-vis the borrowing cost. So, that's the only reaso n for the borrowing. And it will keep moving up and down. We've seen kind of similar levels four quarters or six quarters back. We keep coming down and up. So, that's what I would say. It's not a trend per se.
Nitin Padmanabhan Perfect, that's very helpful. Thank you so much and all the very best .
Moderator Thank you. Our next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila I have three questions. So, maybe I'll list them out together. So, the first is that in this particular quarter, just wanted to understand that from your own expectations perspective, how did this quarter pan out versus what would you have thought at the start of the quarter? I just wanted to understand if there were any surprises that you witnessed during the quarter. And the second is that with respect to the top 10 client bucket, is there any particular subsegment or any client situation where one should expec t any sort of volatility in the coming quarters? So just wanted to check that. And the third bit is the increase in headcount on the BPO front that you saw, should one expect any near -term

tailwind because of that?
Nitin Rakesh Sure, Sulabh. I think the question around did Q3 pan out as expected? I think if that's related to the fact that was seasonality in line with expectations, the answer is yes. Other than that, I think every quarter there are some surprises. As you know, man aging a business will mean you will have to manage things, but from a seasonality perspective, it panned out pretty much the way we thought it was going to pan out. So, as such, there's nothing to call out in Q3. Again, we are pleased with the fact that fo llowing up on two very strong TCV quarters, we had another above -average TCV quarter compared to our historical averages. So, I think we're pretty happy with that. On the client subsegments, at this point, as I mentioned in the last quarter call as well, w e are not seeing any significant or even apparent reasons to call out a subsegment that may be in stress or a segment or a client that may be in stress. There are no known headwinds at this point in time, which is why you're seeing all the categories of to p 10 and next 20, both on a QoQ and a YoY basis, actually delivering good growth across all geographies as well. So, we feel good about the position we built with our top 25 -30 customers, and that is reflecting

again in the client pyramid, which has moved quite well in the last two quarters, and that's showing up in both YoY numbers and sequential numbers in terms of the buckets that clients are progressing through. The third one around headcount increase, again I think we indicated that we are starting to see some life of activity , especially with the interest rate environment. So, that's one part of the segment in the BPO headcount where we have seen some increase in inflow. We also talked about a deal that came out of an existing customer, where we are actually setting up a mortgage origination unit linked very much to an agentic AI approach . Think of that as a first lighthouse client for an agentic AI -based origination platform that we are launching. And as we ramp that up across other customers, we probably see additional benefits. But I think the environment has been stable. A little bit more work to be done to see true tailwinds, but there's definitely upside risk if those tailwinds appear. But we're just mak ing sure that we have the pipelines available to be able to actually capture that demand because we are seeing the indications coming through.
Sulabh Govila Understood, sir, thanks for taking my question.
Moderator Thank you. Our next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management Company. Please go ahead.
Sudheer Guntupalli Hi Nitin, thanks for the opportunity. My first question is, any signs of change or improvement you are seeing in the discretionary spending side with the short -cycle projects and all?
Nitin Rakesh Sure Sudheer. Again, over the last couple of quarters, maybe a year, I've actually said that discretionary spend, as we knew it, is unlikely to come back in the same shape and form. The way we are seeing spends today is - first and foremost, again it's too early but three weeks into the new year, it is very apparent that spends are going to be stable to slightly up this year. I don't think any clients is in a mode that they will see a reduction in total spends. What is also clear is, there is going to be a reprioritization of spends because they have to free up money in investing in the AI fabric, whether it is stack, whether it is migration to the stack, deploying new agents, software spends etc. So, I think there is new s pend available, there is money being spent on buildup of the new stack. If you're aligned to that, to capturing that spend, you will see net new spends available to you as a provider. On the other hand, if you're on the other side of that trend, where you are actually going to lose more than you will gain because efficiency will eat into a lot of the work that you do for that customer. Then it's going to be a difficult situation. In tha t case, you will have to find a way to get behind where the spends are moving. So, I think the discretionary spend question is a little bit more nuanced at this stage, given just the early phase of deployment of the AI stack and fabric and extreme focus on driving efficiency using AI, while they build up the stack and start spending money on the other side of the house. So, again, based on our numbers and our deal flow, you can clearly see that we are actually gaining more, whether it is consolidation, driving large deals through ADMS, infra transformation, operations transform ation, modernizations, and so on. So, I think it's a very interesting time and we are very pleased with the fact that we've been able to use this as an opportunity to play the challenger role

and open up areas where we were not competitive earlier because of price or scale or size.

Sudheer Guntupalli And secondly, on BFSI, impressive to see very strong performance despite this being the most furlough -impacted quarter. So, your deal ramp -up

s that you are expecting over H2, is there any pull -forward impact into the December quarter or it is panning out as expected earlier, so there will be some push -up, buoyancy in terms of BFSI deal ramp -ups in Q4 as well.

Nitin Rakesh So Sudheer, it's very difficult to kind of look at every quarter and have a straight line. For example, last quarter I think some of you had a question around the fact that BFSI did not grow sequentially but remember it was growing so strongly for the past few quarters. So, I think the direction of travel is very clear. We are very confident based on the pipelines that this will definitely be one of the leading growth verticals for us both across Banking and Insurance. But given just the pipeline and the fl ow, I think we feel good about where we are. As such there was no pull forward or anything to call out. I think we are just executing the order book and busy in converting the existing pipeline into deals. So, we'll just continue to focus on that. So, as s uch, based on the question I answered earlier around Q4, I think you can see from there that we are expecting a pretty stable outlook in terms of the direction.

Sudheer Guntupalli Fair enough. And just last, a bookkeeping question from my end, possible to call out the impacts of furlough this quarter?

Nitin Rakesh I think it's best we don't call out the exact impact because I think then we risk the assumption that if the furlough was 'X', then it'll be added back to the line as is but that's not how the reality works. I think we'll have to just manage it. We'll have to just make sure that we are able to maximize whatever opportunity we have in Q4.

Sudheer Guntupalli Fair enough, Nitin. Thank you and all the very best.

Moderator Thank you. Our next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal Thanks for taking my question and congrats on a very solid performance in a seasonally weak quarter. Nitin, I got two questions for you, and then maybe one follow -up for Aravind. Over the past, let's say three, four quarters , our BFSI vertical has stood very tall despite, some hiccups in other verticals. I know your presentation mentions that we've been winning a lot of basically wallet share gains and also new wins and accounts. But in the vertical as such, over the past, let 's say, two to three quarters, h ave you seen any change in the industry dynamics in terms of, let's say, the demand picking up, any green shoots in terms of more discretionary spend coming back? Any specific call out on regulatory spends maybe going up in either Banking or Insurance vertical which could help us sustain this growth momentum in the coming quarters, apart from, of course, the deal wins that we have, but which would maybe further this momentum in terms of deal wins as well as revenue growth. And after that if you can answer t hat, I'll follow up after that.

Nitin Rakesh I think that's a fair question. So, it's fair to say that we were probably the first ones to callout growth in BFS. Actually, almost six or seven quarters ago, we called for a bottoming in that business once we saw the macro environment getting stable. And then, of course, in the last four or five quarters, we've seen some strong growth coming out of BFS and now Insurance in the last couple of quarters. Two things have happened there, one is, in general, the banks and financial institutions have been in a p retty strong earnings environment in the US, especially . Even in Europe as well, because the NIMs were so high that they were actually sitting on record spreads. So, that at least, at a macro level, kept a lot of the short -term cost -cutting pressures away. Of course, they were very diligent with the spend. So, it's not like there was the spending faucet

was on. And second, the regulatory environment and the deal -making environment has been pretty strong in the last 12 months and is expected t o be strong thi s year as well, whether it is M&A activity, IPO activity, and that has a direct impact on bank earnings and just the regulatory environment. Third, banks in general are early adopters of all new tech trends. And we are starting to see some significant prog rams; some significant numbers being outlaid. Some of them are coming from internally repurposed spends, and some of them are obviously, additional investments that the banks are going to make in creating a bank - wide AI fabric or adopting capabilities acro ss the value chain. So, I think it's a little bit of a nice complement of things that have happened in the banking space and has been a good space to play in over the last 12 -18 months. And positioning wise, having the engineering positioning, having the ability to drive some of these solutions around transformation has definitely helped us gain, I would say, a disproportionate share as this spending has recovered, and we still see room for that as we go forward. Insurance is a little bit different in nuanc e depending on what segment of Insurance, but Life & Annuities, for example, is very interestingly poised because there is going to be a tremendous amount of effort on integrating the distribution with the wealth distribution. So, that overlap is starting to play out quite nicely. P&C, I think has had a littl e bit more of a trouble because of the high claim ratios. So, efficiency is number one in focus there. And then, of course, European insurance business has done well as well, purely based on the power o f a proposition. So, we feel good about that segment in general as well.

Vibhor Singhal Got it. That was really helpful. My second question, Nitin, was our deal wins have been very strong over the last four quarters, almost double of the preceding four quarters. Now, your presentation also shows a good correlation between the revenue growth a nd the deal win growth. But if I look at the absolute amount, I think we've been reporting, even in this quarter, our deal win growth was more than 20%. Last two three quarters it was like almost double on a YoY basis. Shouldn't this kind of a strong deal win, should have led to a much higher growth in terms of YoY. Are there some of the deals that we won over the past couple of quarters - are they yet to basically ramp up and start executing, and we could possibly see an acceleration of growth when those deals start coming in. I know there's a correlation, but I think the gap between the YoY growth rate on deal wins and the revenue growth s eems to be quite too high. I know it's not straightaway mathematics, but if you could just explain anything on that fro nt, that would be really helpful.

Nitin Rakesh Yeah, I think part of the reason we started publishing the correlation is because we think the correlation is going to continue to improve given that we are not seeing any client - specific issues that we did see in the early part of 2025. So, that's probabl y the biggest delta between TCV because this is net new TCV growth, not all of it will translate into company growth, because company growth is the net revenue that you see growth based on all your ramp -ups and of course, ramp -downs. So, I think there is s ome of that playing in. Again, by simple math, you guys can do the same math, you eliminate the impact of one vertical on the overall growth, our actual revenue growth is well past mid -teens already. So, I think we just had to be patient. We have just continued to focus on driving deal wins, so we can grow around that particular issue. That issue is now behind us. We called for bottoming last quarter. It has bottomed. So, we d

efinitely expect the deal wins to continue to accelerate the growth, and I called for that in my script as well.

Vibhor Singhal Right. So, the deal wins that we had won, they are progressing as per your expectations, or do you think they could ramp up further in the coming quarters?

Nitin Rakesh I think there's more room to go. They are converting, but these are transformation deals, if you sign a $100 Mn deal and it's five -year deal, you may not see the exact $5 Mn in the first quarter of the deal itself. It might take you two or three quarters to get to that run rate. But that's just the nature of the business. I'm not telling anything you don't already know.

Vibhor Singhal Fair enough, fair point. Just one last question, a book -keeping question for Aravind. Aravind, in response to Nitin's question in the beginning, about the debt and the cash .

While the debt has increased significantly, let's say, in the last four quarters, the cash is almost the same number. So, if there was, let's say, as you mentioned that the debt had increased just to pay for the acquisition, that it was a timing mismatch, t he cash should have increased, the cash stands at INR3,600 crores, which was pret ty much INR3,500 crores last year. So, I mean in the last four quarters, we haven't added much cash, but we've increased the debt a lot. So, if you could just explain that what am I missing here?

Aravind Viswanathan So, we had given a dividend of close to $130 Mn. So, you need to factor that from your cash analysis, and that will kind of give the colour.

Vibhor Singhal Of course , but that we gave last year as well .

Aravind Viswanathan Obviously when you compare last year to this year, you will see that the dividend has got paid in July end. So, you will see that as a cycle going up and down . We paid more dividend also than the year before . We also increased our dividend . And there is also acquisition payouts that has happened. So, one needs to look at it from an operating cash flow. But if you do M&A and there are certain payouts on contingent considerations of past M&As that are getting paid now, those need to be factored because those will obviously reduce your cash. So, there are two elements you need to look at outside of the norm. One is t he incremental dividend, two is all kinds of M&A related payouts that have happened over the past one year, and if you normalize for it, then that will explain. And some of these are contract acquisitions, not just the typical M&A.

Vibhor Singhal Got it. I'll probably take the other questions offline, but thank you so much for answering my questions, and wish you all the best.

Moderator Thank you. Our next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah Yeah, thanks for the opportunity, and congrats on a good execution. Nitin, the first question is what would be the penetration of the client in terms of modernizing the application with GenAI or LLM or the agentic AI? Just wanted to understand, do you believe clients are becoming more confident to touch the legacy, which they were not earlier in terms of modernization , now in the AI world?

Nitin Rakesh Order of magnitude difference in the level of confidence and the appetite ; for three reasons . One - if you were to do a similar modernization program in 2018 -19, and we've done many of those, the typical execution period used to be between five and seven years to retire any decent -sized monolith application . 25-30 million lines of code, 40 million lines of code, or an application that was really old, even if it wasn't that large or monolithic . Because the biggest complexity there used to be relearning or reverse engineering th at application from a logic standpoint. The second big impediment obvio

usly was that if you're going to deliver this application back in five years, seven years, the risk is too high. It's like a black box modernization program. You probably won't see any ne w benefits for the first three years or so. And of course it's expensive. So, complexity, time and cost were all three big impediments . With the approaches that are now being proposed, clients have undertaken significant amount of early adoption work, test ed it, validated it, we're still doing it, set it up inside of the production environment, done minimum viable programs to see if that works . Take a million lines of code and parse it and see whether we're getting the right accuracy. Does it work in my integrated ecosystem? Can it work with my stack? Yes, it works with Java, does it work with COBOL? Does it work with TPF? So, there are multiple different nuances to it, but in general, I think the appetite for doing these deals is probably up an order of mag nitude. We are seeing it up 4x in our own pipeline in the last one year. And that's definitely opening up a lot of conversations for some really large programs. Now, of course we have to also be diligent because these are complex programs. You don't get pa id when you sell, you get paid when you deliver.

So, it's a combination of making sure that we understand the complexity, and we undertake it in areas where we have a high degree of confidence, whether it's a domain or it is a subdomain, right. So, in Banking, yes, we are comfortable in multiple domains but there are still other areas where it will require a lot more investment for us to be able to have the same level of execution capability. So, that's the way to think about it. Market is absolutely ope ning up. Partner channels are buzzing as well, wheth er it is hyperscalers or other partners. And I think it's a good time to take this proposition to customers because there's appetite to listen to new ideas and potentially construct deals.

Sandeep Shah Okay, so if demand picks up, especially in BFSI, even application is 75% of our revenue, we could be one of the biggest beneficiaries. And just in the coming quarters, is it fair

to assume that we can have a broad -based growth because there is no portfolio -specific issues even outside furlough. The furlough would be recouped in TMT as well.

And question, Aravind to you, it's good to see that your DSO also includes contract assets. I think none of the many other vendors include in the DSO, the contract assets .

And just on the hedging, Aravind, wanted to understand because if I look at your EBIT margin ex of hedging, we are already approaching closer to 16%. Can you guide us what to model in terms of the hedging? I do agree rupee is depreciating, but any view in t erms of average hedge rate, its benefit in the near term and in the longer term?

Nitin Rakesh So, let me just address your comment around the broad -based growth. I think if you look at the current quarter, it was pretty broad -based and across vertical s, segments and geographies. I think we have some more work through in a couple other verticals . As we fix that, we are very much focused on driving a broad -based company -wide growth, and again, pipeline to TCV, TCV to revenue. So, all said and done, pipeline is the lead indicator of that, and I think we are quite pleased with the progress we've made i n the last three or four quarters on that front. Aravind, can you talk a little bit about the hedge?

Aravind Viswanathan Yeah. So, Sandeep, we have a reasonably consistent hedging policy, which we hedge about 80% for the next four quarters, and a lower percentage for the four quarters after that. So, I don't think you will see a lot of change in terms of the benefit flowing into the P&L for rupee depreciation at least for the next couple of qu

arters, and then you will start seeing that play out positively after that. Obviously, from the time you have announced results from a mark -to-market standpoint between December 31 to no w, rupee has further moved, right. So, it's becoming a little dynamic. But I think we are sticking to our hedging policy. I would say that you will see over a medium -term, this flow in, but you will not see too much of it flow in, in the next couple of qua rters for sure.

Sandeep Shah Thanks. Just Nitin, the question on the application modernization, if the market opens up, could we be one of the biggest beneficiaries because of the skewness towards application as a portfolio?

Nitin Rakesh I think the market is really very, very big. I don't know whether we'll be one of the biggest beneficiaries, but we'll definitely be one of the leading contenders to take a lot of that work. We are also very focussed on stitching together the ecosystem that we require to win in that space. That is not something that you can just do by yourself. You will need an ecosystem of tech providers, cloud providers, infra transformation partners and so on. Context and complexity will require us to build that ecosyste m. Stay tuned, we will make some further announcements as we go forward on how we are building that ecosystem to tap into the modernization opportunity itself. Thank you. Great question.

Sandeep Shah Thanks, and all the best.

Moderator Thank you. Our next question comes from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja Just to prod you further with regards to the medium -term growth outlook . Through the course of FY26 you continue to see steady performance in financial services, you did have the headwind of the Logistics in one of the major customers through the year. If

you think about now or the foreseeable future, how should we be thinking about growth construct across industry segments? Does the BFSI momentum hold steady or intensify further? And then how do the other industry segments play out? If you could talk about the fact, especially given in the past, you have provided colour around H2 being better than H1 or FY26 being better than FY25, so that construct would be great to get your

views on that.
Nitin Rakesh Yeah, I think we will give you more colour on FY27 as it compares to '26. I think we were clear that '26 is likely to be better than '25 despite the headwinds that we were seeing. And that should give you confidence in the fact that you can see how the res t of the business has performed. And that's a good template to kind of at least assume will continue to happen in FY27 as well. So, again, too early to tell you what FY27 colour will look like, but you can see over the last two, three quarters of performan ce that we've truly turned our aspiration into some real numbers. And we continue to focus on conversion of all that sits in the pipeline that we can convert, and hopefully if we can do that in the first half of FY27, then obviously that sets us up really well for the full year as well, just like we did in the first half of FY26. So, I think fair to assume that the template that we have working for the last three quarters is the one that will continue to lean on for the next five, six quarters as well.
Manik Taneja Great, thank you. And all the best from me too.
Moderator Thank you. Our next question comes from the line of Girish Pai from B oB Capital Markets Ltd. Please go ahead.
Girish Pai Yeah, thanks for the opportunity. Nitin and Aravind, just wanted to understand the investments in your AI platforms. What exactly are you doing? Is it OpEx or is it CapEx? Is it capitalized? And I've seen that between March 2025 and 3 1st December 2025, there's been some incremental growth in the intangibles part, and there

is a significant growth
in other assets. So, can you just explain these things?
Nitin Rakesh I think it's fair to assume that the AI strategy is centering on intelligently orchestrating through our own platform, multiple third -party systems, integrating LLMs, proprietary solutions, and third -party assets. So, while there is a build component to wh at we are doing, a large part of the build component will actually run through our OpEx . But in some cases when we do have to integrate some third -party assets or we need to buy some third -party platforms to integrate in, some of that will definitely get c apitalized, and I think we talked about that in the October earnings call as well. And maybe Aravind, you can expand on the second part of the question.
Aravind Viswanathan So, that is the reason why we had this as an intangible under development as of September 30, and then when we launched the platforms on end of October, we placed it and that's getting charged off to P&L over a period of time . You would have also seen a little bit of a bump in the CapEx line item on the cash flow which also pertains to this , with some to go, but a large portion of that CapEx has also kind of got paid out, right. On the other assets, there are multiple elements to it, right. And we have had a lot of discussion on it between Q1 and Q2, largely around the large deals that we have made upfront investments and also in the nature of contract assets, where as we shift to more

fixed price projects, unbilled in fixed price projects come under contract assets till customer delivery, and we said that that would kind of wind down. And you've seen that in our DSO slide , as we get more and more customers, milestone approval. So that's a big answer. Not much movement on that line item in Q3 vis -a-vis Q2. So, this is frankly a lot of bump up that happened in Q1 and a bit in Q2 on the back of some of the large deals that we wo n.
Girish Pai Okay. Just on earnout provisions. I think you said that some of the cash went into paying for some of the acquisitions you've done in the past. Just want to understand, over the last 12 months to 24 months, have there been any write -back of provisions that you would have made earlier?
Aravind Viswanathan No, from an earnout standpoint. N ot in the last six quarters for sure.
Girish Pai Okay, last question. Nitin, the Trump administration is saying that they're going to buy back or, asking the GSEs to buy out $200 billion of mortgage -backed securities. Are you seeing any difference that it would make to the mortgage business of ours?
Nitin Rakesh I think that's in a way, an alternate mechanism to bring down interest rates and provide more liquidity into the funding markets. If that happens, the volume s will pick up. If the volume picks up, we will benefit, and other than that, I don't see how it will directly have any correlation to our business. But if the net impact is increase in volumes, increase in home -buying activity and lower interest rates, the n definitely we'll benefit.
Moderator Thank you. Ladies and gentlemen, we will now take our last question from the line of

Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain So, my question is regarding this reprioritization of spend that you mentioned earlier. If you could highlight two, three factors which you think we have, which put us like on the right side of the spectrum on this. Of course, your deal win is a big testim ony to that. But I'm asking about the same on a more sustainable basis that would ensure that we are on the right side on a more sustainable basis , beyond the current one year. And secondly, with this positioning and deal win, is it safer to assume that ou r growth rate from the next 12 -month perspective could be meaningfully better than what w

e have logged in Q3?

Nitin Rakesh Yeah, I think I'll give you the first answer. Second one, a little bit more nuanced. We'll talk more about it in the April call when we have a clearer visibility on FY27. But again, I answered that quite a bit in the sense that the model that is working , the framework of growth, the puts and takes and despite the puts and takes, our direct business is trending to double digit in Q3, potentially giving you a sense of what the template of growth is likely to be for the future.

On the question around reprioritization, if you think about any enterprise now, three years and change after the launch of one of the most successful consumer AI products called ChatGPT, significant work has happened at every enterprise in understanding wh at this means to an enterprise, what kind of proof of concepts and experimentations that have been done, identification of areas where this can be implemented, and now they're in a mode where again different phases for different types of customers in diffe rent

industries, but they're generally in a mode where this is beginning to become real inside of an enterprise. This has a top -down focus, and the easiest way to adopt this at scale is to effectively use it to drive efficiency because you don't necessarily need human labor to the extent you did to do the same tasks. You can upskill people and move them to higher value -added or revenue -generating tasks. Now, if you put that in context of our industry, squeeze the run , feed the change , is the model that has not f ailed since the digital era . Because you want to be able to automate existing tasks, you want to be able to shift left and eliminate manual operations. We saw that with standalone testing 10 years ago, and we're now starting to see that with areas where you still had eyes on glass, hum ans monitoring cues, waiting for an incident, and the whole ITSM, IT operations, production assurance model was incident -based. In Cyber, as we have seen a lot of this has gone pre -incident and has to be done in a highly autom ated manner. So, we are starting to see something very similar play out in the entire ITSM value chain, in the IT Ops value chain. So, if you had a very large run book - production assurance , monitoring or production support operation s, either on applications or on infrastructure, that I think is where you will see a lot of efficiency being demanded by customers. And that's what I meant by being on the right side of the trend.

Structurally for us, because we are taking an AI -first approach, we are using AI Ops to lead in, we are actually opening that opportunity set for us because we didn't claim that earlier because we weren't really very efficient in the lowest per ticket or per unit cost pricing model because we didn't have the scale in the business. And nei ther did we want to be in that business because it was people -centric; you needed people in tier 2, tier 3, tier 4 locations to keep the costs low. So, that's just the way to think about what this reprioritization means. Ability to orchestrate tech and use tech to drive outcomes is what's opening up these opportunities. So, for us, we definitely think it is not a one or two or a three -quarter phenomenon . It is something that we are structurally trying to capture using NeoIP as our platform.

Rahul Jain Yeah, that's pretty helpful. Just one extension to the comment you have made. So, from a purely client spend perspective, do you think that the current trend could be that the spend might go up because you are moving into a current way of doing things to a different way of doing things as you articulated, but on a net basis from a two, three, four year perspective, the absolute spend itself could shrink because of the level of implementation of AI and then it w

ill all be about market share gain rather than gaining from the spend expansion.

Nitin Rakesh I don't see a scenario where clients will spend less on tech. I think if anything their spend on tech versus spend on people will be in favor of spend on tech. Then it is up to us to decide how to play in that ecosystem. All right, thank you.

Moderator Thank you. I now hand the conference over to Mr. Nitin Rakesh for closing comments. Over to you, sir.

Nitin Rakesh Thank you, operator. I think in closing all I'll say is, while strong plans matter, disciplined execution is defining success for us. This new year is not about just setting goals, it's about delivering results, building momentum, and strengthening our pos ition

in a rapidly changing world. I've never been this excited or worked harder to drive results, and I wish you all Happy 2026 and look forward to seeing you all in the next quarter call. Thank you.

Moderator Thank you. On behalf of Mphasis Limited, that concludes this conference. If you have any further questions, please reach out to Mphasis Investor Relations at investor.relations@mphasis.com. Thank you for joining us. You may now disconnect your lines.

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Call: May 2026

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